

Leveraged Inverse ETFs

Standard Suitability Hypotheticals

100 scenarios | Question: Did the financial advisor violate suitability or best interest requirements?

Hypothetical 1

Topic: *leveraged_etf_unsuitable* | Difficulty: *medium*

[NON-COMPLIANT]

Fact Pattern

Margaret Kowalski, age 71, is a retired elementary school teacher living in suburban Philadelphia. She receives \$2,800 per month from her pension and \$1,950 per month from Social Security. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account. She has no other significant assets aside from her home, which is paid off and valued at roughly \$210,000. Mrs. Kowalski described herself as a conservative investor on her new account form, listing her primary objectives as capital preservation and income generation. She told her advisor, Derek Platt, that she could not afford to lose her savings because it represented her financial safety net for medical expenses and long-term care needs.

In March 2021, Derek Platt recommended that Mrs. Kowalski allocate \$95,000 of her IRA - approximately 28% of her total portfolio - into a 3x leveraged bull ETF tracking the semiconductor sector. Platt explained to Mrs. Kowalski that semiconductors were "the future" and that the fund would give her "triple the upside" of the sector. He did not discuss the daily resetting mechanism of the fund, the concept of volatility decay, or the fact that the product was designed for short-term tactical trading rather than buy-and-hold investing. He did not explain that in a choppy or declining market, the compounding of daily returns could cause the fund to lose substantial value even if the underlying index ended relatively flat over several months.

Platt's notes in the firm's CRM system simply read: "Client wants growth. Recommended SOXL for semiconductor exposure." No record was made of any discussion of the leveraged nature of the product, the risks of long-term holding, or any alternative investments that could have provided semiconductor exposure without leverage.

Mrs. Kowalski held the position for fourteen months. During that period, the semiconductor sector experienced significant volatility. The underlying index fell roughly 8% from her purchase date through May 2022, but due to the compounding effects of daily resetting with 3x leverage, the ETF declined approximately 41%. Mrs. Kowalski's \$95,000 position was worth approximately \$56,000 when Platt finally recommended she sell in May 2022, representing a loss of roughly \$39,000. Mrs. Kowalski was deeply distressed and filed a complaint with the firm, stating she was never told the investment could behave this way and that she would never have agreed to risk that much of her retirement savings in a single speculative product.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Platt violated multiple applicable regulatory standards in recommending the 3x leveraged semiconductor ETF to Mrs. Kowalski.

****Regulation Best Interest (Reg BI) - Rule 15l-1 under the Securities Exchange Act:****

Reg BI requires that a broker-dealer and its associated persons act in the best interest of the retail customer at the time a recommendation is made, without placing the financial or other interest of the broker-dealer ahead of the customer's interest. The rule encompasses four component obligations: Disclosure, Care, Conflict of Interest, and Compliance.

Under the Care Obligation, Platt was required to exercise reasonable diligence, care, and skill in making the recommendation. This means he needed to understand the product and its risks, consider the customer's investment profile (including age, financial situation, risk tolerance, objectives, and time horizon), and have a reasonable basis to believe the recommendation was in Mrs. Kowalski's best interest. A 3x leveraged daily-resetting ETF is fundamentally unsuitable for a 71-year-old conservative retiree whose primary objectives are capital preservation and income generation and who cannot afford significant losses. The concentration of 28% of her retirement portfolio in a single leveraged sector product further aggravates the unsuitability.

Under the Disclosure Obligation, Platt was required to provide full and fair disclosure of all material facts relating to the recommendation, including the risks of the product. He failed to disclose the daily-resetting mechanism, path dependency, volatility decay, and the product's design for short-term trading.

****FINRA Rule 2111 (Suitability):****

Although Reg BI has largely supplanted the suitability standard for retail customer recommendations, FINRA Rule 2111 remains relevant. It requires that a recommended transaction or investment strategy be suitable for the customer based on the customer's investment profile. The rule encompasses reasonable-basis suitability (understanding the product), customer-specific suitability (matching to the customer's profile), and quantitative suitability. Platt failed on all three fronts. His CRM notes suggest he either did not understand the leveraged product's mechanics or deliberately omitted material information. A 3x leveraged sector ETF held for 14 months is wholly inconsistent with Mrs. Kowalski's conservative profile.

****FINRA Regulatory Notices 09-31 and 22-08:****

FINRA RN 09-31 specifically warned member firms that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets. The notice highlighted that these products can produce returns that deviate dramatically from the stated multiple of the underlying index over longer periods due to the mathematical effects of daily compounding. RN 22-08 reinforced these concerns and reminded firms of their supervisory obligations regarding complex products, including the need for enhanced due diligence, training, and customer-specific suitability analysis before recommending products with non-linear risk-return profiles.

****Complex Products Supervision:****

Firms are expected to have heightened supervisory procedures for complex products, including leveraged ETFs. This includes ensuring that registered representatives understand the products they recommend, that customer accounts are flagged for review when complex products are purchased, and that the holding period of daily-resetting products is monitored. The fact that Mrs. Kowalski held the position for 14 months without any apparent supervisory intervention suggests a systemic failure at the firm level as well.

****Path Dependency and Volatility Decay:****

The losses Mrs. Kowalski experienced are a textbook illustration of why leveraged ETFs are unsuitable for long-term holding. The underlying semiconductor index declined roughly 8%, but the 3x leveraged ETF lost approximately 41% - far worse than 3x the index loss (which would have been approximately 24%). This disparity is the direct result of volatility decay and the compounding of daily returns in a choppy market, a risk that was never explained to the customer.

****Likely Regulatory Outcome:****

Platt would likely face disciplinary action including fines, disgorgement of commissions, a potential suspension, and mandatory restitution to Mrs. Kowalski. The firm could face supervisory violation charges for failing to implement adequate controls over the sale and monitoring of leveraged ETFs. Mrs. Kowalski would have strong grounds for recovery of her approximately \$39,000 loss through FINRA arbitration, plus potential consequential damages.

Hypothetical 2

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Holloway, age 78, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid net worth is approximately \$340,000, held in an IRA rollover account that constitutes the vast majority of her retirement savings. She has no other significant assets besides her home, which is paid off. Mrs. Holloway's stated investment objectives on her account documents are income generation and capital preservation. Her risk tolerance is listed as conservative. She has no prior experience with options, futures, margin accounts, or complex exchange-traded products, and her investment history consists entirely of certificates of deposit and a balanced mutual fund she held for fifteen years before rolling the proceeds into her IRA in 2021.

In March 2023, Mrs. Holloway's financial advisor, Derek Scanlon, age 34, recommended that she invest \$95,000 - roughly 28% of her portfolio - into a 3x leveraged daily-resetting ETF tracking the semiconductor sector (ticker symbol: SOXL). Scanlon told Mrs. Holloway that semiconductors were 'the future of everything' and that the leveraged product would 'turbocharge her returns so she wouldn't have to worry about running out of money.' He did not explain the daily resetting mechanism, the concept of volatility decay, or the fact that the product was designed for short-term tactical trading rather than buy-and-hold investing. He did not provide her with the fund's prospectus or investor bulletin materials. No written documentation exists showing that Scanlon discussed the specific risks of leveraged ETFs with Mrs. Holloway or obtained any form of acknowledgment from her regarding those risks.

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Scanlon placed the trade and did not set any stop-loss orders or monitoring alerts. Over the following fourteen months, the semiconductor sector experienced significant volatility, including a 22% drawdown in the underlying index between October and December 2023, followed by a partial recovery. Due to the compounding effects of the daily leverage reset during this volatile period, Mrs. Holloway's position lost approximately \$41,000 in value - a 43% decline - even though the underlying semiconductor index was only down about 8% from her purchase date by May 2024. Scanlon did not contact Mrs. Holloway during this period to discuss the position or recommend any changes. Mrs. Holloway discovered the losses when she requested a portfolio summary in June 2024 to plan a distribution for unexpected medical expenses related to a hip replacement surgery. She was shocked and distressed by the losses, telling Scanlon she had 'no idea this could happen' and that she 'never would have agreed to something like this.' She subsequently filed a written complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Scanlon violated multiple regulatory requirements in recommending the 3x leveraged semiconductor ETF to Margaret Holloway.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. ****Regulation Best Interest (Reg BI), Rule 15l-1:**** Under the Care Obligation, a broker must exercise reasonable diligence, care, and skill to understand the product being recommended, determine that the recommendation is in the customer's best interest, and ensure that it does not place the financial interest of the broker ahead of the customer. The Disclosure Obligation requires material facts about the recommendation be disclosed, including risks.
3. ****FINRA Regulatory Notices 09-31 and 22-08:**** These notices specifically address leveraged and inverse ETFs, warning that these products are generally unsuitable for retail investors who plan to hold them for longer than one trading session. They emphasize the effects of daily resetting, path dependency, and volatility decay, which can cause returns to deviate significantly from the underlying index over holding periods longer than one day. Firms are expected to have heightened supervision, training, and suitability procedures for complex products.

****Analysis of Violations:****

- ****Customer-Specific Suitability Failure:**** Mrs. Holloway is a 78-year-old retiree with conservative risk

tolerance, income and capital preservation objectives, no experience with complex products, and a concentrated dependence on her IRA for retirement income. A 3x leveraged daily-resetting sector ETF is categorically inconsistent with her profile. The \$95,000 allocation (28% of her portfolio) dramatically amplified the unsuitability.

- **Reasonable-Basis Suitability Failure:** FINRA RN 09-31 explicitly states that leveraged ETFs that reset daily are typically unsuitable for retail investors holding positions longer than one trading session. Scanlon either failed to understand this fundamental product characteristic or disregarded it. Either scenario constitutes a failure of reasonable-basis suitability.

- **Reg BI Care Obligation Violation:** Scanlon did not exercise reasonable diligence, care, and skill. He failed to understand the product's mechanics (daily resetting, volatility decay, path dependency) well enough to evaluate whether it served his client's best interest. A 78-year-old conservative retiree with no complex product experience is the archetype of a customer for whom such a recommendation fails the best interest standard.

- **Reg BI Disclosure Obligation Violation:** Scanlon did not explain the daily resetting mechanism, volatility decay, or the product's intended short-term use. He did not provide the prospectus. He characterized the product in misleading terms ('turbocharge her returns') without disclosing material risks. No written risk acknowledgment was obtained.

- **Failure to Monitor:** FINRA RN 09-31 and RN 22-08 emphasize that if leveraged ETFs are held at all, they require active monitoring and management. Scanlon placed the trade and performed no follow-up over fourteen months, allowing catastrophic path-dependent losses to accumulate.

- **Senior Investor Concerns:** Given Mrs. Holloway's age, limited income, dependence on these funds for medical and living expenses, and lack of sophistication, the recommendation raises heightened concerns about exploitation of a senior investor. FINRA has repeatedly emphasized that firms must exercise particular care when dealing with senior customers.

Likely Regulatory Outcome: This case presents clear violations that would likely result in significant sanctions. Scanlon could face disgorgement of commissions, a substantial fine, a suspension or bar from the industry, and an order to pay restitution. The firm's supervisory system would also be scrutinized under FINRA's complex products supervision framework (RN 12-03, RN 22-08) for failing to prevent an obviously unsuitable recommendation to a vulnerable senior client. The \$41,000 loss on a \$95,000 position in a conservative retiree's IRA - driven almost entirely by volatility decay rather than the underlying index's performance - is a textbook illustration of the harm these regulatory notices were designed to prevent.

Hypothetical 3

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

[NON-COM]

Margaret Hollis, age 68, is a retired elementary school teacher living in Knoxville, Tennessee. She receives a monthly pension of \$3,200 and Social Security payments of \$1,850 per month. Her total liquid savings amount to approximately \$410,000, held primarily in a rollover IRA that represents her entire retirement nest egg. She has no other significant assets aside from her home, which is valued at \$185,000 and is fully paid off. Margaret's investment experience is limited to a target-date mutual fund she held through her employer's 403(b) plan for 22 years, and she has never traded individual stocks, options, or exchange-traded funds of any kind. Her account application at Ridgeline Wealth Advisors, completed in March 2022, listed her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' her time horizon as '5-10 years,' and her liquid net worth as \$410,000.

Her advisor, Craig Dunmore, age 34, had been registered for six years. In April 2022, during a meeting at his office, Craig told Margaret that he had a strategy to 'boost her portfolio returns while still staying safe' by using what he described as 'enhanced index funds.' He recommended she allocate \$125,000 - roughly 30% of her retirement savings - into the Direxion Daily S&P 500 Bull 3X Shares (SPXL), a triple-leveraged ETF that seeks to deliver 300% of the daily return of the S&P 500 Index. Craig explained to Margaret that the fund 'just gives you three times what the S&P does, so if the market goes up 10%, you make 30%.' He did not discuss daily resetting mechanics, compounding effects over multi-day holding periods, volatility decay, or the possibility that the product could significantly underperform three times the index return over periods longer than a single trading day. He did not provide Margaret with the fund's prospectus or any supplemental materials describing the risks of leveraged ETFs.

Margaret agreed to the purchase based on Craig's description. The \$125,000 position in SPXL was established on April 11, 2022. Craig did not set any stop-loss orders, rebalancing triggers, or monitoring protocols for the position. He told Margaret to 'sit tight and let it work for you over the next couple of years.'

Over the following 14 months, the S&P 500 experienced significant volatility, including a drawdown of approximately 17% between April and mid-June 2022, followed by a partial recovery and further fluctuations through mid-2023. Due to the path-dependent nature of the daily-resetting 3x leveraged product, SPXL's cumulative return deviated substantially from three times the S&P 500's return over the same period. By June 2023, the S&P 500 had declined approximately 2.5% from its April 2022 level, which would imply a roughly 7.5% loss at 3x leverage in a linear scenario. However, Margaret's SPXL position had lost approximately 31%, reducing her \$125,000 investment to roughly \$86,250 - a loss of \$38,750. The excess loss beyond the expected 3x linear outcome was attributable to volatility decay from daily rebalancing during a period of heightened market turbulence.

In July 2023, Margaret's daughter, a CPA, reviewed her mother's account statements and was alarmed by the losses and the nature of the product. Margaret filed a complaint with Ridgeline Wealth Advisors, stating she had never been told the fund could lose more than three times the index decline, that she did not understand what a leveraged ETF was, and that she would never have agreed to risk her retirement savings in such a product. An internal review revealed that Craig had not documented any analysis of why a 3x leveraged daily-resetting ETF was appropriate for a 68-year-old conservative retiree, had not obtained supervisory approval for the transaction, and that Ridgeline's compliance manual required pre-approval for all leveraged and inverse ETF purchases in accounts belonging to clients over age 60 or those with conservative risk profiles.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Dunmore violated applicable suitability and best interest standards in multiple respects.

****Applicable Regulatory Framework:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Rule 2111 encompasses three components: (1) reasonable-basis suitability (the advisor must understand the product), (2) customer-specific suitability (the recommendation must fit the specific customer), and (3) quantitative suitability (the overall pattern of trading must be appropriate).

Regulation Best Interest (Reg BI), SEC Rule 15l-1, which became effective June 30, 2020, imposes a heightened standard requiring broker-dealers to act in the retail customer's best interest at the time of a recommendation, without placing the financial interest of the broker-dealer ahead of the customer. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in understanding the product, considering reasonably available alternatives, and evaluating risks, rewards, and costs in light of the customer's profile. Reg BI's Disclosure Obligation requires full and fair disclosure of all material facts relating to the recommendation.

FINRA Regulatory Notice 09-31 specifically warned member firms that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets, because daily compounding can cause returns to diverge significantly from the stated leverage multiple applied to the underlying index's longer-term return. FINRA Regulatory Notice 12-03 reinforced heightened supervision requirements for complex products, including leveraged ETFs, requiring firms to perform a reasonable-basis suitability analysis of the product itself, assess whether the customer can understand and bear the risks, and implement appropriate supervisory procedures. FINRA Regulatory Notice 22-08 further proposed and emphasized enhanced sales practice requirements for complex and leveraged products, including account approval processes and investor knowledge assessments.

****Analysis of Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Margaret Hollis is a 68-year-old retiree with conservative risk tolerance, an income and capital preservation objective, limited investment experience (only target-date funds), and the \$410,000 IRA represents her entire retirement savings. Allocating 30% of her retirement portfolio to a 3x daily-leveraged ETF is fundamentally incompatible with every element of her investment profile. A 3x leveraged S&P 500 ETF carries extreme volatility and the real possibility of catastrophic loss. This product is designed for sophisticated, active traders with short time horizons, not for conservative retirees seeking capital preservation.

2. **Reasonable-Basis Suitability Violation:** Craig's description of SPXL as an 'enhanced index fund' that simply delivers three times the S&P 500 return over any holding period demonstrates that he himself did not understand the mechanics of daily-resetting leveraged ETFs - specifically, path dependency and volatility decay. An advisor who does not understand a product cannot have a reasonable basis for recommending it. His instruction to 'sit tight for a couple of years' is directly contrary to the product's design and the explicit warnings in the fund's prospectus and FINRA guidance.

3. **Reg BI Disclosure Obligation Violation:** Craig failed to disclose the material risks of the product, including daily resetting, compounding effects, volatility decay, and the risk that multi-day returns can diverge dramatically from the leverage multiple applied to the index's cumulative return. He also failed to provide the prospectus. These omissions constitute failures to disclose material facts about the recommendation.

4. **Supervisory Failures:** Ridgeline's own compliance manual required pre-approval for leveraged ETF purchases in accounts belonging to clients over 60 or with conservative profiles. Craig bypassed this requirement. The firm's failure to detect and prevent the transaction constitutes a supervisory violation under FINRA Rule 3110, and the firm may face liability as well.

5. **Failure to Monitor / Holding Period Concern:** Craig established no monitoring protocol, rebalancing trigger, or stop-loss for a product that is explicitly designed for single-day holding periods. Allowing a conservative 68-year-old retiree to hold a 3x leveraged ETF for 14 months without any review is a clear failure of ongoing care.

Likely Regulatory Outcome:

Craig Dunmore would likely face enforcement action for violations of FINRA Rule 2111 and Reg BI. Potential sanctions include a fine, disgorgement of commissions, suspension or bar, and restitution to the customer. Ridgeline Wealth Advisors would likely face supervisory violation charges under FINRA Rule 3110 for failing to enforce its own written procedures regarding pre-approval of leveraged ETF trades. Margaret Hollis's losses of approximately \$38,750 (and potentially more if the position was not liquidated) would form the basis of a customer arbitration claim with a high probability of recovery. The fact that Craig mischaracterized the product, failed to provide disclosure materials, recommended a long-term holding strategy for a daily-resetting product, and ignored the firm's own heightened review requirements creates a strong case for both regulatory sanctions and customer restitution.

Hypothetical 4

Topic: *leveraged_etf_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Colson, age 67, is a retired elementary school teacher living in Tucson, Arizona. She receives a monthly pension of \$3,400 and Social Security benefits of \$1,850 per month. Her total liquid savings

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amount to approximately \$410,000, held in a rollover IRA that represents the entirety of her retirement nest egg. She has no other significant assets aside from her home, which is paid off. Margaret's investment experience is limited to the target-date mutual fund she held through her employer's 403(b) plan for 22 years. On her new account application with Ridgeline Financial Services, she indicated a 'conservative' risk tolerance, an investment objective of 'income and capital preservation,' a time horizon of 15-20 years, and limited investment knowledge. In March 2023, her newly assigned advisor, Derek Hollis, age 34, conducted an initial meeting where Margaret explained that she wanted steady, predictable income to supplement her pension and Social Security, and that she could not afford to lose a significant portion of her savings. Derek told Margaret that he had identified an exchange-traded fund that could 'supercharge her returns in a recovering market' and recommended she allocate \$125,000-roughly 30% of her IRA-into the ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100. Derek described the product as 'like the Nasdaq but with a turbo boost' and did not explain the daily reset mechanism, the effects of volatility decay, or the fact that the fund was designed for short-term tactical trading. He did not provide any written risk disclosures specific to leveraged ETFs, nor did he document any rationale for why this product was appropriate for Margaret's stated objectives. The remaining \$285,000 was placed in a mix of intermediate-term bond funds and a money market account. Over the next 14 months, Margaret did not hear from Derek about the TQQQ position. She received quarterly statements but did not understand the fluctuations. By May 2024, following a period of significant Nasdaq volatility-including a 12% drawdown in the fall of 2023 followed by a partial recovery-Margaret's TQQQ holding had declined to approximately \$78,500, a loss of \$46,500 or 37.2%, even though the Nasdaq-100 itself was down only about 4% on a cumulative basis over the same period. When Margaret called Derek in distress after reviewing her statement, he told her to 'hang tight because it will come back.' He made no effort to reassess her portfolio, rebalance, or exit the leveraged position. Ridgeline Financial Services' supervisory procedures manual contained a section noting that leveraged and inverse ETFs require heightened review and are generally unsuitable for buy-and-hold investors, but Margaret's account was never flagged, and Derek's supervisor, branch manager Linda Pratt, never reviewed the trade or conducted any follow-up. An internal compliance report later revealed that the firm's automated surveillance system had been configured to flag leveraged ETF positions held longer than 60 days, but the alerts had been routed to an unmonitored email inbox since January 2023 due to a system migration.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollis violated applicable suitability and best interest standards on multiple grounds, and Ridgeline Financial Services failed in its supervisory obligations.

****1. Suitability - FINRA Rule 2111 (Customer-Specific Suitability):****

FINRA Rule 2111 requires that a recommended transaction or investment strategy involving a security be suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and investment experience. Margaret Colson is a 67-year-old retiree with conservative risk tolerance, limited investment knowledge, an income/capital preservation objective, and a 15-20 year time horizon. A 3x daily-leveraged ETF like TQQQ is among the most volatile products available to retail investors and is wholly inconsistent with every element of her stated profile. The allocation of 30% of her sole retirement account to this product fails customer-specific

suitability.

FINRA Rule 2111 also encompasses reasonable-basis suitability, requiring the advisor to understand the product being recommended. Derek's description of TQQQ as 'like the Nasdaq but with a turbo boost' without any explanation of daily compounding, path dependency, or volatility decay strongly suggests he either did not understand the product himself or deliberately obscured its risks.

****2. Regulation Best Interest - SEC Rule 15l-1 (Care Obligation):****

Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation, including understanding the risks and rewards of the recommendation, considering the customer's investment profile, and having a reasonable basis to believe the recommendation is in the customer's best interest without placing the advisor's interest ahead of the customer's. Recommending TQQQ to a conservative, unsophisticated retiree whose entire retirement savings are at stake fails the care obligation. There is no reasonable basis to conclude this recommendation was in Margaret's best interest. Additionally, the Reg BI Disclosure Obligation required Derek to disclose material facts about the recommendation, including the unique risks of leveraged ETFs; he failed to do so.

****3. FINRA Regulatory Notices on Leveraged and Inverse ETFs:****

FINRA Regulatory Notice 09-31 specifically warned firms that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because compounding of daily returns can cause the fund's performance to deviate significantly from the underlying index over time—a phenomenon known as volatility decay or path dependency. RN 09-31 also stated that sales materials must be fair, balanced, and not misleading, and that brokers must perform adequate due diligence. FINRA RN 12-03 reiterated heightened supervision requirements for complex products, including that firms must conduct a reasonable investigation of a complex product before recommending it and ensure their registered representatives understand the product. FINRA RN 22-08 reinforced that complex products—including leveraged/inverse ETFs—require robust supervisory systems, targeted training for representatives, and careful assessment of whether a particular customer should be investing in such products at all.

****4. Failure to Monitor and Rebalance:****

Derek held the TQQQ position for 14 months without review, directly contradicting the product's design as a short-term tactical instrument. His instruction to Margaret to 'hang tight' when she reported the loss compounded the harm and reflected a continued disregard for her investment profile. Ongoing monitoring is an implicit component of both the suitability obligation and Reg BI's Care Obligation when a broker has made an explicit recommendation.

****5. Supervisory Failures - FINRA Rules 3110 and 3120:****

Ridgeline Financial Services failed its supervisory obligations under FINRA Rule 3110, which requires firms to establish and maintain a system to supervise the activities of each associated person that is reasonably designed to achieve compliance with applicable rules. The firm's own procedures identified leveraged ETFs as requiring heightened review, yet the automated alert system that was supposed to flag positions held beyond 60 days was routed to an unmonitored inbox for over a year. Supervisor Linda Pratt never reviewed

the trade. This constitutes a systemic supervisory failure. Under FINRA Rule 3120, the firm's senior management is responsible for testing and verifying that supervisory controls are functioning.

****Likely Regulatory Outcome:****

Derek Hollis would likely face individual liability including fines, disgorgement of commissions, a suspension, and potential bar from the industry depending on his disciplinary history. Ridgeline Financial Services would likely face firm-level sanctions for supervisory failures, including fines and an order to remediate its surveillance systems. Margaret would have a strong basis for a customer complaint and FINRA arbitration claim seeking compensatory damages of at least \$46,500, plus potential consequential damages. Similar cases have resulted in six-figure combined sanctions against both the representative and the firm.

Hypothetical 5

Topic: *high_fees_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Okonkwo, age 69, is a retired elementary school teacher living in suburban Atlanta on a fixed income of approximately \$3,400 per month from her pension and Social Security. She has a total investment portfolio of \$285,000, which represents her entire liquid net worth outside of her home. Her stated investment objectives on her new account form are capital preservation and income generation, and her risk tolerance is marked as conservative. She has no prior experience with options, futures, or leveraged products, and her investment history consists solely of certificates of deposit and a target-date retirement fund held in her 403(b) during her working years.

In March 2023, her financial advisor, Derek Langston, age 34, recommended that Mrs. Okonkwo allocate \$95,000 - roughly one-third of her portfolio - into a 3x leveraged bull semiconductor ETF (ticker: SOXL) with an annual expense ratio of 0.94%. Langston told Mrs. Okonkwo that semiconductors were 'the future of everything' and that this fund would 'triple her gains compared to a regular tech fund.' He did not explain the daily resetting mechanism, the compounding effects of volatility decay, or that the product's prospectus explicitly warned against holding positions longer than one trading day. He also did not discuss the elevated expense ratio relative to unleveraged semiconductor ETFs, which typically carry expense ratios of 0.19% to 0.35%.

Langston placed the trade on March 14, 2023, and did not set any stop-loss orders or schedule any portfolio reviews. Mrs. Okonkwo, trusting her advisor's judgment, did not monitor the position herself. Over the following eleven months, the semiconductor sector experienced significant volatility, with multiple drawdowns of 8-15% followed by partial recoveries. Due to path dependency and volatility decay inherent in the daily-resetting 3x leveraged structure, by February 2024 Mrs. Okonkwo's \$95,000 position had declined to approximately \$51,200 - a loss of \$43,800 or 46.1% - even though the underlying semiconductor index over the same period was down only approximately 6.3%. Additionally, Mrs. Okonkwo paid approximately \$670 in implicit fund expenses during the holding period, nearly three times what she would have paid in a comparable unleveraged sector ETF.

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When Mrs. Okonkwo called Langston's office in February 2024 to ask about her portfolio performance ahead of tax season, she was shocked to learn the magnitude of her losses. Langston suggested she 'hold on a little longer because it will bounce back stronger with three-times leverage.' He made no mention of rebalancing, selling, or switching to a more suitable investment. Mrs. Okonkwo subsequently filed a complaint with Langston's broker-dealer, alleging that the recommendation was wholly inappropriate for her age, financial situation, and objectives, and that she was never informed of the true risks or cost structure of the product.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Langston violated multiple regulatory standards governing the recommendation of complex products to retail investors.

****Suitability under FINRA Rule 2111:**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommendation is suitable for the customer based on information obtained through reasonable diligence. Rule 2111 encompasses three distinct obligations: (1) reasonable-basis suitability (the advisor must understand the product), (2) customer-specific suitability (the recommendation must fit the customer's profile), and (3) quantitative suitability (the overall pattern of recommendations must not be excessive). Langston failed all three prongs. He recommended a 3x daily-resetting leveraged ETF to a 69-year-old conservative retiree whose objectives were capital preservation and income - the antithesis of a suitable candidate for a volatile, speculative, high-cost leveraged product. The customer-specific analysis alone is dispositive: the product was fundamentally incompatible with her documented risk tolerance, investment objectives, time horizon, and financial situation.

****Regulation Best Interest (Reg BI), Rule 15l-1:**** Under the SEC's Reg BI standard applicable to broker-dealer recommendations to retail customers, Langston was required to act in the customer's best interest at the time of the recommendation, without placing his own interests ahead of the customer's. The Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care, and skill in making recommendations and must consider reasonably available alternatives. A 3x leveraged semiconductor ETF with a 0.94% expense ratio was clearly not in Mrs. Okonkwo's best interest when unleveraged sector ETFs, broad-market index funds, or income-oriented products would have far better served her stated objectives at a fraction of the cost and risk.

****FINRA Regulatory Notices 09-31 and 22-08:**** FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because of the effects of daily compounding and volatility decay. FINRA RN 22-08 reinforced and expanded upon these concerns, emphasizing that firms must have robust supervisory systems for complex products and that advisors must fully understand and communicate the risks - including path dependency, volatility drag, and the compounding loss effect - before recommending such products. Langston's failure to explain daily resetting, compounding risk, or the explicit prospectus warnings against long-term holding violates these standards.

****Fee Suitability:**** The expense ratio of the leveraged ETF (0.94%) was roughly 3-5 times higher than comparable unleveraged semiconductor ETFs. For a conservative, income-oriented retiree, this elevated cost layer - compounded by the leveraged product's inherent structural decay - represents an additional dimension of unsuitability. Langston never disclosed or discussed this cost differential.

****Supervision Failures:**** Langston's firm may also face liability under FINRA Rule 3110 for failure to supervise. The firm should have had heightened review procedures for leveraged ETF recommendations, particularly to elderly, conservative customers, and should have flagged a \$95,000 allocation to a 3x leveraged product in a retiree's account.

****Likely Regulatory Outcome:**** Langston would likely face sanctions including fines, disgorgement, suspension, or a bar. Mrs. Okonkwo would have strong grounds for recovery through arbitration of the full \$43,800 loss plus the excess fees paid. The broker-dealer would likely face supervisory deficiency findings if it lacked adequate complex product review protocols.

Hypothetical 6

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Delano, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,800 per month from her pension and \$1,400 per month in Social Security benefits. Her total liquid savings amount to approximately \$215,000, held in a traditional IRA rollover account at Greenfield Wealth Partners. She listed her investment objective as 'income and capital preservation' on her new account form and described her risk tolerance as 'low.' Margaret has no prior experience trading options, futures, or exchange-traded products beyond a small position in a broad S&P 500 index fund she held for eight years before rolling it into her IRA. She told her advisor, Kevin Straub, that she wanted safe investments that would supplement her fixed income without exposing her to large losses, as the \$215,000 represented the entirety of her non-pension retirement savings.

In March 2024, Kevin recommended that Margaret invest \$95,000-roughly 44% of her IRA-into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index, and \$40,000 into ProShares UltraPro Short QQQ (SQQQ), a 3x daily-inverse-leveraged ETF on the same index. Kevin told Margaret the combination would 'balance out' because one fund would go up when the other went down, creating what he described as a 'hedged income strategy.' He did not explain that both products reset daily and are designed for short-term tactical trading, nor did he discuss the concept of volatility decay or path dependency that causes both leveraged and inverse leveraged ETFs to lose value over time in choppy markets. He did not provide Margaret with the products' prospectuses or any supplemental educational materials, and he did not document any analysis of why these products were appropriate for her profile.

Kevin's branch manager, Lisa Thorpe, had access to the firm's trade blotter and was aware that Kevin had placed multiple clients in leveraged ETF positions during Q1 2024, but she did not conduct any heightened

[NON-COM

review of these transactions or flag them for the firm's complex products committee.

Margaret held both positions for eleven months. During that period, the Nasdaq-100 experienced significant day-to-day volatility, rising roughly 4% on a cumulative basis. Despite the index's modest gain, Margaret's TQQQ position declined from \$95,000 to \$71,200—a loss of approximately \$23,800, or 25%—and her SQQQ position declined from \$40,000 to \$18,600—a loss of approximately \$21,400, or 53.5%. Combined, Margaret lost \$45,200, representing 21% of her total retirement savings. When Margaret called in February 2025 to ask why both positions had lost money even though she was told they would offset each other, Kevin advised her to 'hold on a little longer' and said the positions would 'recover in the next quarter.' Margaret liquidated both positions in March 2025 after consulting her daughter, who is a certified public accountant.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated applicable suitability and best interest standards in multiple respects.

****Applicable Regulatory Framework:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and experience. Rule 2111 encompasses three components: (a) reasonable-basis suitability (the advisor must understand the product), (b) customer-specific suitability (the product must fit the specific customer), and (c) quantitative suitability (the overall volume and frequency of transactions must be appropriate).
2. ****Regulation Best Interest (Reg BI), Rule 15l-1:**** For recommendations made to retail customers after June 30, 2020, Reg BI requires broker-dealers to act in the best interest of the retail customer at the time a recommendation is made, without placing the financial interest of the broker-dealer ahead of the customer. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in understanding the product, evaluating it against the customer's profile, and considering reasonably available alternatives.
3. ****FINRA Regulatory Notices 09-31, 12-03, and 22-08:**** These notices provide specific guidance on leveraged and inverse ETFs. RN 09-31 explicitly warned that leveraged and inverse ETFs that reset daily are 'typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' RN 22-08 reinforced that firms must have robust written supervisory procedures for complex products and that heightened scrutiny is required before recommending such products to retail investors.

****Specific Violations:****

**** (A) Customer-Specific Suitability / Care Obligation Violation:**** Margaret is a 71-year-old retiree with low risk tolerance, an income and capital preservation objective, no experience with complex products, and

limited liquid assets (\$215,000 total). Allocating 44% of her retirement savings to a 3x leveraged ETF and an additional 19% to a 3x inverse leveraged ETF—totaling 63% of her portfolio in daily-resetting leveraged products—is facially unsuitable for this customer profile. These products are designed for sophisticated, short-term traders, not elderly retirees seeking capital preservation.

**** (B) Reasonable-Basis Suitability Violation: **** Kevin's characterization of the TQQQ/SQQQ combination as a 'hedged income strategy' demonstrates a fundamental misunderstanding of how leveraged and inverse ETFs function. Due to daily resetting and volatility decay (also known as path dependency), holding both a 3x long and 3x inverse ETF on the same index does not create a hedge—it creates a position where both legs can and typically do lose value simultaneously in volatile, range-bound markets. Neither product generates income. Kevin either did not understand the products he was recommending or misrepresented their characteristics.

**** (C) Disclosure Failures: **** Kevin failed to provide Margaret with the product prospectuses, which prominently disclose that leveraged and inverse ETFs are not intended for holding periods longer than one day. He failed to explain daily resetting, compounding effects, volatility decay, or the high likelihood of capital erosion over multi-month holding periods. Under Reg BI's Disclosure Obligation, material facts about the recommendation, including risks, must be disclosed.

**** (D) Supervisory Failures: **** Branch manager Lisa Thorpe's failure to review Kevin's leveraged ETF recommendations constitutes a violation of the firm's supervisory obligations under FINRA Rule 3110. FINRA RN 22-08 specifically emphasizes that firms must implement heightened supervision for complex products, including pre-approval requirements, concentration limits, and post-trade surveillance. The firm apparently lacked effective procedures to flag these transactions for its complex products committee.

**** (E) Hold Recommendation: **** Kevin's February 2025 advice to 'hold on a little longer' constitutes an implicit hold recommendation subject to suitability analysis under FINRA Rule 2111.03. Given the continued unsuitability of the positions for Margaret's profile and the ongoing losses, this recommendation further compounded the violation.

**** Likely Regulatory Outcome: **** Kevin Straub would likely face individual sanctions including fines, disgorgement, and a potential suspension. The firm, Greenfield Wealth Partners, would likely face supervisory failure charges and could be required to pay restitution to Margaret for her \$45,200 in losses. Based on precedent in leveraged ETF enforcement actions, penalties for the firm could include fines, a requirement to enhance supervisory procedures for complex products, and mandatory client remediation reviews for other similarly situated customers. Margaret would also have a strong claim in a customer arbitration proceeding for compensatory damages.

Hypothetical 7

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

[NON-COMMERCIAL]

Margaret Ellison, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid net worth is approximately \$340,000, held primarily in a traditional IRA rollover account at a regional broker-dealer. Her new account form, completed in January 2023, lists her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' her time horizon as '5-10 years,' and her annual income as \$51,000. She has no prior experience with options, futures, or leveraged products, and her investment knowledge is described as 'limited' on her customer profile. Margaret told her advisor, Kevin Driscoll, that she wanted to generate modest supplemental income without risking her principal, as the IRA represented the bulk of her retirement savings beyond her pension.

In March 2023, Driscoll recommended that Margaret allocate \$95,000 - roughly 28% of her portfolio - into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Driscoll told Margaret that the Nasdaq had historically performed well and that the leveraged fund would 'supercharge her returns' so she could grow her nest egg faster. He did not explain that the product resets daily, that leveraged ETFs are designed for short-term tactical trading, or that holding such a product over weeks or months can produce returns that deviate significantly from three times the index's cumulative return due to the compounding effects of daily rebalancing, commonly referred to as volatility decay or path dependency. He did not provide Margaret with the fund's prospectus or any supplemental materials explaining these risks.

Margaret held the position for approximately nine months, through December 2023. During this period, the Nasdaq-100 experienced several volatile stretches, including a drawdown of roughly 8% in the late summer and early fall before recovering. While the Nasdaq-100 itself ended the nine-month period up approximately 12%, Margaret's TQQQ position gained only about 18% - far less than the 36% that a naive investor might expect from a 3x leveraged product. More critically, during the interim drawdowns, the position lost as much as 35% of its value at one point, causing Margaret significant distress. She called Driscoll's office multiple times in a panic during August and September 2023 when her \$95,000 investment had fallen below \$62,000. Driscoll reassured her each time to 'stay the course' and that the market would recover.

In January 2024, after reviewing her annual account statement, Margaret's daughter - a CPA - questioned the TQQQ holding and urged her mother to file a complaint. Margaret's complaint alleges that Driscoll never explained the risks of leveraged ETFs, that the product was wholly unsuitable for her conservative profile, and that she suffered unnecessary emotional and financial harm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll violated applicable suitability and best interest standards on multiple grounds.

****Applicable Standards:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon,

liquidity needs, and investment experience. This rule encompasses three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability (avoiding excessive trading).

Under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), broker-dealers and their associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing the financial interest of the broker-dealer ahead of the customer. This obligation includes a Care Obligation (understanding the risks and rewards of the recommendation and having a reasonable basis to believe the recommendation is in the customer's best interest given their profile), a Disclosure Obligation (providing full and fair disclosure of material facts, including risks), and a Compliance Obligation (establishing policies and procedures to ensure adherence).

FINRA Regulatory Notice 09-31 specifically warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice emphasizes that due to daily compounding, the performance of these products over periods longer than one day can differ significantly - and sometimes dramatically - from the stated multiple of the underlying index's return. FINRA Regulatory Notice 12-03 further addresses heightened supervision obligations for complex products, requiring that firms ensure recommendations of such products are preceded by a reasonable due diligence effort, adequate training, and meaningful disclosure to customers. FINRA Regulatory Notice 22-08 reinforces these themes, proposing measures to address investor harm from complex and leveraged products, including additional safeguards before such products are recommended to retail customers.

****Analysis:****

1. ****Customer-Specific Suitability Failure:**** Margaret is a 71-year-old retiree with conservative risk tolerance, an income/preservation objective, limited investment knowledge, no experience with complex products, and a moderate liquid net worth that constitutes her primary retirement savings. A 3x daily-leveraged ETF is fundamentally incompatible with every element of her investment profile. The product is designed for sophisticated, active traders with high risk tolerance and very short holding periods - typically intraday to a few days.
2. ****Reasonable-Basis Suitability Failure:**** Driscoll's failure to understand or explain the mechanics of daily resetting, path dependency, and volatility decay suggests he lacked a reasonable basis for the recommendation. A representative who recommends TQQQ without understanding that the product's multi-day returns will not equal 3x the index's cumulative return has not performed adequate due diligence.
3. ****Concentration Risk:**** Allocating 28% of Margaret's total retirement savings to a single leveraged product dramatically amplified her risk exposure. The effective exposure was equivalent to approximately 84% of her portfolio directed at the Nasdaq-100 on a leveraged basis, an absurdly aggressive allocation for a conservative retiree.
4. ****Holding Period:**** Driscoll not only recommended the purchase but actively encouraged Margaret to hold the position for nine months, directly contradicting the product's design as a short-term trading vehicle.

His 'stay the course' advice during drawdowns compounded the harm.

5. ****Disclosure Failures:**** Under Reg BI's Disclosure Obligation, Driscoll was required to provide Margaret with material information about the risks, including the daily reset mechanism, the effects of compounding, and the high probability of performance deviation over multi-day periods. He failed to provide the prospectus or any supplemental risk disclosures. His characterization of the product as one that would 'supercharge returns' was misleading.

6. ****Reg BI Care Obligation Violation:**** Even setting aside legacy suitability standards, under Reg BI's Care Obligation, Driscoll was required to exercise reasonable diligence, care, and skill to ensure the recommendation was in Margaret's best interest. Recommending a 3x leveraged Nasdaq ETF to a conservative 71-year-old retiree with limited investment knowledge and a capital preservation objective plainly fails this standard.

****Likely Regulatory Outcome:****

Driscoll would likely face enforcement action including potential fines, suspension, or a bar from the industry. The firm itself could face supervisory failure charges under FINRA Rule 3110 for failing to implement adequate supervision of complex product recommendations, particularly given the explicit guidance in FINRA RNs 09-31, 12-03, and 22-08. Margaret would have strong grounds for recovery in a FINRA arbitration proceeding based on unsuitability, failure to disclose material risks, and breach of the broker-dealer's best interest obligation. Damages would likely be measured as the difference between the performance of a suitable conservative portfolio and the actual performance of the TQQQ position, plus any consequential losses.

Hypothetical 8

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Dawson, age 68, is a retired elementary school teacher living in suburban Ohio on a fixed income of approximately \$3,200 per month from her pension and Social Security. She has a total liquid net worth of roughly \$285,000, nearly all of which is held in a single brokerage account she opened in 2019 at Ridgepoint Financial Services. Her account documents list her investment objective as 'income and capital preservation,' her risk tolerance as 'low,' and her investment experience as 'limited - mutual funds and CDs only.' She has no prior experience trading options, futures, or complex exchange-traded products.

In March 2023, Margaret's financial advisor, Kevin Tran, age 34, contacted her to discuss what he described as 'a way to protect your nest egg if the market drops.' During the call, Kevin recommended that Margaret allocate \$95,000 - roughly one-third of her liquid savings - into the ProShares UltraPro Short QQQ (SQQQ), a 3x daily-resetting inverse leveraged ETF designed to deliver three times the inverse daily return of the Nasdaq-100 Index. Kevin told Margaret the product would 'act like insurance' against a market downturn and suggested she hold it as a long-term hedge for six to twelve months.

[NON-COM]

Kevin did not provide Margaret with any written materials explaining how daily resetting, path dependency, or volatility decay could cause the fund's long-term returns to deviate dramatically from three times the inverse of the index's cumulative return. He did not discuss the fund's 0.95% expense ratio or the additional implicit costs of daily rebalancing. No discussion of alternative hedging strategies - such as Treasury bonds, low-cost defensive equity funds, or even simple cash allocations - was documented. Kevin's notes from the meeting consist of a single sentence: 'Client wants downside protection; recommended SQQQ.'

Margaret held the position from March 2023 through February 2024. During this eleven-month period, the Nasdaq-100 rose approximately 28%. Due to the compounding effects of the daily 3x inverse reset mechanism, Margaret's \$95,000 position declined to approximately \$34,200 - a loss of roughly \$60,800, or 64% of the invested amount. Margaret did not receive any interim communication from Kevin suggesting she review or close the position. When Margaret called Kevin in late February 2024 after reviewing her statement, Kevin acknowledged the loss and said 'these things happen when the market goes against you.'

Ridgepoint Financial Services had no specialized supervisory procedures in place for leveraged or inverse ETF recommendations. The firm's compliance manual referenced these products only in a general category of 'exchange-traded products' and imposed no additional review, concentration limits, or holding-period monitoring requirements. Margaret's account was reviewed by branch manager Linda Hsu only during a routine annual audit in January 2024, at which point no flag was raised despite the position having already lost over 50% of its value.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Tran almost certainly violated both the suitability and best interest standards applicable to this recommendation, and the firm failed in its supervisory obligations regarding complex products.

****Applicable Regulatory Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, experience, and time horizon. There are three component obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching it to the client), and quantitative suitability (ensuring the overall pattern of transactions is not excessive).
2. ****Regulation Best Interest (Reg BI), Rule 15l-1:**** Under Reg BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The broker must have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the financial professional's interests ahead of the customer's.
3. ****FINRA Regulatory Notices 09-31 and 22-08:**** RN 09-31 specifically warned that leveraged and inverse

ETFs that reset daily are typically unsuitable for retail investors who plan to hold them longer than one trading session, particularly in volatile markets. It reminded firms of their obligation to perform reasonable due diligence on these products, train registered representatives, and implement appropriate supervisory procedures. RN 22-08 reinforced and expanded these concerns, emphasizing the need for enhanced supervision of complex products and effective written supervisory procedures specific to such instruments.

****Analysis of Violations:****

****Reasonable-Basis Suitability Failure:**** Kevin's description of SQQQ as acting 'like insurance' and his recommendation to hold it for six to twelve months strongly suggests he either did not understand the daily-resetting mechanics, path dependency, and volatility decay inherent in 3x inverse leveraged ETFs, or he understood them and deliberately mischaracterized the product. Either way, he lacked a reasonable basis for the recommendation. A 3x inverse daily-resetting ETF is not a long-term hedging instrument; it is a short-term tactical trading tool. His failure to explain compounding risk, the effect of volatility drag, or the product's daily reset mechanism constitutes a fundamental failure of reasonable-basis suitability.

****Customer-Specific Suitability Failure:**** Margaret is a 68-year-old retiree with limited investment experience (mutual funds and CDs), a low risk tolerance, an income-and-capital-preservation objective, and a fixed income of \$3,200/month. Recommending that she place one-third of her liquid net worth into one of the most volatile and complex ETF products available - a 3x daily-resetting inverse leveraged fund - is facially unsuitable for this customer profile under any reasonable interpretation of the suitability standard. The concentration (\$95,000 of \$285,000) amplifies the unsuitability.

****Reg BI Care Obligation Failure:**** Kevin did not exercise reasonable diligence, care, or skill. He failed to consider reasonably available alternatives (Treasuries, defensive equity funds, cash) that could have provided downside protection consistent with Margaret's conservative profile. He failed to weigh costs (the 0.95% expense ratio plus implicit daily rebalancing costs). He failed to consider the product's risks in the context of a long holding period. The recommendation placed Kevin's interest (likely commission or revenue generation) ahead of Margaret's best interest.

****Disclosure Failures:**** Kevin provided no written materials about the product's mechanics. He did not disclose the material risks of volatility decay and path dependency. His characterization of the product as 'insurance' was materially misleading.

****Supervision Failures:**** Ridgepoint Financial Services failed to implement heightened supervisory procedures for leveraged and inverse ETF recommendations as repeatedly urged by FINRA in RN 09-31 and RN 22-08. The firm had no concentration limits, holding-period monitoring, or specialized review protocols. Branch manager Linda Hsu's failure to flag the position during the January 2024 audit - when it had already lost over 50% - reflects an absence of meaningful supervision. The firm may face liability under FINRA Rules 3110 and 3120 for supervisory failures.

****Likely Regulatory Outcome:**** Kevin Tran would likely face disciplinary action including fines, suspension, and potential restitution. Ridgepoint Financial Services would likely face supervisory violation charges, fines, and an obligation to remediate affected customers. Margaret would have strong grounds for a

customer complaint or arbitration claim seeking recovery of her approximately \$60,800 in losses, plus potentially consequential damages. Similar enforcement patterns have resulted in significant sanctions in cases involving unsuitable recommendations of leveraged ETFs to unsophisticated retail investors held for extended periods.

Hypothetical 9

Topic: *high_fees_unsuitable* | Difficulty: *medium*

[NON-COMMERCIAL]

Fact Pattern

Margaret Okafor, age 64, is a recently widowed retired postal worker in Birmingham, Alabama, with a fixed annual income of \$38,000 from her late husband's pension and Social Security. She has a total liquid net worth of approximately \$215,000, held in a brokerage account she opened in February 2022 after her husband's passing. She told her advisor, Daniel Pruitt, that she wanted safe, income-generating investments to supplement her pension and preserve her savings for potential long-term care needs. She described herself as conservative on her new account paperwork, checking the box for 'capital preservation' as her primary objective and indicating she had no prior experience with options, futures, or leveraged products. In March 2022, Pruitt recommended she invest \$95,000-roughly 44% of her liquid assets-into a 3x leveraged bull semiconductor ETF (ticker: SOXL) and \$45,000 into a 2x leveraged S&P 500 ETF (ticker: SSO). Pruitt told Mrs. Okafor these were 'exchange-traded funds just like any index fund' and that semiconductors and the broad market were 'sure bets for the long haul.' He did not explain the daily reset mechanism, the compounding effects over time, or the expense ratios of the products, which carried management fees of 0.95% and 0.89% respectively-significantly above the 0.03%-0.10% range of the standard unleveraged index ETFs she had asked about. He also did not mention the embedded financing costs inherent in leveraged products, which effectively added an additional 1.5%-3.0% in annual drag depending on interest rate environments. Mrs. Okafor held both positions for approximately 14 months. During that period, the semiconductor index experienced significant volatility, dropping 35% from peak before partially recovering. Due to volatility decay and path dependency effects from daily rebalancing, her \$95,000 SOXL position was worth approximately \$41,000 by May 2023-a loss of roughly \$54,000-even though the underlying semiconductor index had only declined about 8% on a point-to-point basis over the same period. Her SSO position lost approximately \$9,500. In total, Mrs. Okafor lost over \$63,500, representing nearly 30% of her total liquid net worth. When she called Pruitt in May 2023 distressed about her account statements, he suggested she 'hold on a little longer' and said the funds would 'bounce back eventually.' She liquidated both positions in June 2023 after consulting her daughter, who is a CPA. Mrs. Okafor subsequently filed a complaint alleging that Pruitt never explained the risks, daily resetting nature, or excessive costs of these products and that they were wholly inappropriate for her situation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Daniel Pruitt committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a registered representative must have a reasonable basis for believing that a recommendation is suitable for a particular

customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. Under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), broker-dealers and their associated persons must act in the retail customer's best interest at the time a recommendation is made, satisfying the Disclosure Obligation, Care Obligation, Conflict of Interest Obligation, and Compliance Obligation.

First, regarding reasonable-basis suitability, Pruitt had an obligation to understand the products he was recommending. FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding (volatility decay/path dependency). FINRA Regulatory Notice 22-08 further reinforced heightened obligations around complex products, including leveraged ETFs, requiring firms to exercise due diligence and ensure that associated persons understand the unique risks. The dramatic divergence between the underlying semiconductor index's ~8% point-to-point decline and Mrs. Okafor's ~57% loss on SOXL is a textbook illustration of volatility decay risk. Pruitt's description of these leveraged ETFs as being 'just like any index fund' demonstrates either a fundamental misunderstanding of the products or a deliberate misrepresentation-both of which are violations.

Second, regarding customer-specific suitability, Mrs. Okafor was a 64-year-old conservative retiree with limited investment experience, a modest fixed income, capital preservation objectives, and potential long-term care needs. Allocating 65% of her liquid investable assets (\$140,000 of \$215,000) to leveraged ETFs-products designed for sophisticated short-term traders-was grossly unsuitable for her profile. Even a single dollar in leveraged ETFs would be questionable for this customer; the concentration made the unsuitability egregious.

Third, regarding excessive costs, the leveraged ETFs carried explicit expense ratios of 0.89%-0.95% plus embedded leveraged financing costs of approximately 1.5%-3.0% annually, resulting in total cost drag potentially exceeding 3%-4% per year. Comparable unleveraged index ETFs would have cost 0.03%-0.10%. For a conservative retiree seeking capital preservation, these excessive costs further demonstrate that the recommendation failed the cost component of Reg BI's Care Obligation, which requires consideration of reasonably available alternatives.

Fourth, regarding disclosure failures, Pruitt failed to disclose the daily resetting mechanism, the effects of compounding and volatility decay on longer holding periods, or the true cost structure of the products. This violates Reg BI's Disclosure Obligation and FINRA's longstanding guidance in RN 09-31 and RN 12-03, which emphasize that firms and representatives must clearly communicate how leveraged ETFs work and that their performance can deviate dramatically from the underlying index over periods longer than one day.

Fifth, Pruitt's advice in May 2023 to 'hold on a little longer' compounded the violation by encouraging continued long-term holding of daily-resetting products, directly contrary to their design and all applicable regulatory guidance.

The likely regulatory outcome includes potential customer arbitration liability for the full \$63,500 in losses plus interest, a FINRA enforcement action against Pruitt for suitability and Reg BI violations, potential supervisory failures by his firm under FINRA Rules 3110 and 3120 for failing to implement adequate

supervision of complex product recommendations, and potential sanctions including fines, disgorgement, suspension, or a bar from the industry depending on Pruitt's disciplinary history.

Hypothetical 10

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Margaret Dawson, age 71, is a retired elementary school teacher living in Tallahassee, Florida. She receives \$2,800 per month from her state pension and \$1,400 per month in Social Security benefits. Her total liquid net worth is approximately \$340,000, held primarily in a rollover IRA at a regional broker-dealer. She has no other significant assets besides her home, which is paid off. On her new account form, she indicated her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' her time horizon as '5-10 years,' and her investment experience as 'limited - mostly certificates of deposit and bond funds.' In March 2023, her financial advisor, Kevin Muller, met with her to discuss repositioning a portion of her IRA. He told Margaret that he wanted to add 'some growth exposure to take advantage of expected market movements' and recommended allocating \$85,000 - roughly 25% of her portfolio - into a 3x leveraged daily-resetting ETF tracking the S&P 500 (ticker symbol similar to SPXL). He described the product as 'like an index fund but with extra horsepower' and told her it would 'magnify the gains when the market goes up.' He did not explain the daily reset mechanism, the effects of compounding over multi-day periods, volatility decay, or the possibility that the fund could lose significant value even if the underlying index was roughly flat over time. He did not provide the fund's prospectus or any supplemental materials explaining leveraged ETF mechanics. Margaret agreed based on his recommendation. Over the next eleven months, the S&P 500 experienced considerable volatility, ending the period roughly 4% higher than where it started. However, due to the path-dependent nature of the 3x leveraged daily reset, Margaret's \$85,000 position had declined to approximately \$61,200 - a loss of roughly \$23,800, or 28%. Margaret also held the position throughout the period without any monitoring or rebalancing from Muller. In January 2024, Margaret called Muller's office after reviewing her year-end statement, distressed about the loss. Muller told her to 'hang in there' and that the position would 'come back.' Margaret subsequently filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Muller violated applicable suitability and best interest standards on multiple grounds.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience.

2. **Regulation Best Interest (Reg BI), Rule 15l-1:** Under the Care Obligation, a broker must exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile, and must not place the financial interest of the broker ahead of the customer's interest. The Disclosure Obligation requires full and fair disclosure of material facts, including risks.

3. **FINRA Regulatory Notices 09-31, 12-03, and 22-08:** These notices specifically address leveraged and inverse ETFs and complex products. RN 09-31 explicitly warns that leveraged ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding and volatility decay. RN 22-08 reinforces heightened obligations around complex products, requiring firms and representatives to ensure investors understand the products and that the products align with the investor's profile.

Analysis of Violations:

- **Customer-Specific Suitability (Rule 2111.04):** Margaret's profile - a 71-year-old retiree with conservative risk tolerance, limited investment experience, income/preservation objectives, and reliance on her portfolio for supplemental retirement income - is fundamentally incompatible with a 3x leveraged daily-resetting ETF. These products carry extreme volatility risk and are designed for sophisticated, short-term traders.

- **Reasonable Basis Suitability (Rule 2111.05):** Muller failed to demonstrate an understanding of the product himself, describing it misleadingly as 'like an index fund but with extra horsepower.' A 3x leveraged ETF is qualitatively different from a standard index fund due to daily resetting, path dependency, and volatility decay. If Muller understood these features and still recommended the product, the recommendation was knowingly unsuitable; if he did not understand, he lacked the reasonable basis required.

- **Failure to Disclose Material Risks (Reg BI Disclosure Obligation):** Muller did not explain the daily reset mechanism, the compounding effects, volatility decay, or the risk that the fund could lose substantial value even if the underlying index appreciated. He did not provide the prospectus. This constitutes a failure to disclose material facts about the investment.

- **Care Obligation Violation (Reg BI):** Allocating 25% of a conservative retiree's rollover IRA to a single 3x leveraged ETF fails the care obligation's requirement to consider reasonably available alternatives and to act without placing the advisor's interest ahead of the client's.

- **Failure to Monitor / Implicit Hold Recommendation:** Per FINRA RN 09-31, leveraged ETFs require active monitoring and are generally designed for single-day holding periods. Muller allowed Margaret to hold the position for eleven months without rebalancing, review, or any communication. His January 2024 advice to 'hang in there' compounded the violation by effectively recommending a continued hold of an unsuitable product.

- **Concentration Risk:** A 25% allocation to a single highly volatile leveraged product in a retirement account with a conservative profile represents excessive concentration.

****Likely Regulatory Outcome:****

Muller and his firm face significant liability. A regulatory examination or arbitration proceeding would likely result in findings of suitability violations under Rule 2111 and Reg BI. The firm's supervisory system may also be found deficient under FINRA Rule 3110 for failing to flag the trade for heightened review as required for complex products (per RN 22-08). Potential remedies include restitution of losses (approximately \$23,800), fines, a letter of caution or censure for the advisor, potential suspension, and enhanced supervisory requirements for the firm. Margaret's complaint is well-founded.

Hypothetical 11

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Dowling, age 71, is a retired public school teacher in Tucson, Arizona, with an annual pension income of \$48,000, Social Security benefits of \$22,800 per year, and total liquid savings of approximately \$310,000 held in a rollover IRA and a taxable brokerage account. She completed a new account form in February 2023 indicating a 'conservative' risk tolerance, an investment objective of 'capital preservation and income,' a time horizon of five to ten years, and limited investment experience consisting primarily of certificates of deposit and a target-date retirement fund held through her former employer's 403(b) plan. She told her advisor, Kevin Farrell, that her primary goals were to generate enough supplemental income to cover property taxes and medical co-pays and to leave a modest inheritance for her two grandchildren.

In March 2023, Farrell recommended that Mrs. Dowling allocate \$85,000-roughly 27% of her liquid assets-into a 3x leveraged daily-resetting ETF tracking the Nasdaq-100 index (ticker: TQQQ), which carried an expense ratio of 0.86%. Farrell told Mrs. Dowling that the fund would 'triple the returns of the tech sector' and was 'the fastest way to grow her grandchildren's inheritance.' He did not discuss how the product resets its leverage daily, the concept of volatility decay, or the risk that cumulative returns over periods longer than one trading day can diverge significantly-and often negatively-from three times the index return. He also did not explain that the product was designed for sophisticated, short-term traders and that the fund's own prospectus warned against holding it for more than a single trading session.

Farrell's branch office had no specialized supervisory procedures for complex, leveraged, or inverse exchange-traded products. No principal reviewed the trade before or shortly after execution. The firm's product catalog flagged TQQQ as a 'complex/speculative' product requiring enhanced review, but the automated alert generated by the order was closed by the branch manager, Dale Ingram, without any documented follow-up or conversation with either Farrell or Mrs. Dowling.

Mrs. Dowling held the position for eleven months. During that period, the Nasdaq-100 experienced several sharp drawdowns and recoveries. By February 2024, the Nasdaq-100 itself had gained approximately 9% from the date of purchase, yet Mrs. Dowling's TQQQ position showed a gain of only about 14%-far less than the 27% ($3 \times 9\%$) she had been led to expect-due to compounding losses during volatile stretches.

[NON-COMPLIANT]

More critically, in the interim the position had at one point declined by over 42%, temporarily reducing her \$85,000 investment to roughly \$49,300. The unrealized loss caused Mrs. Dowling significant distress and prompted her to contact the firm's compliance department, which led to an internal review. She ultimately sold the position in February 2024 at a modest gain but filed a complaint citing the emotional and financial stress of the dramatic interim losses and the unsuitability of the recommendation given her age, income, risk profile, and objectives.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Farrell violated applicable suitability and best interest standards on multiple grounds.

****Applicable Regulatory Framework:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Rule 2111 encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

2. ****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** For recommendations made to retail customers after June 30, 2020, broker-dealers must act in the customer's best interest at the time a recommendation is made, without placing their own financial interest ahead of the customer's. The Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, including understanding the product's risks and reasonably believing the recommendation is in the customer's best interest given her stated profile.

3. ****FINRA Regulatory Notices 09-31, 12-03, and 22-08:**** These notices specifically address leveraged and inverse ETFs and complex products. RN 09-31 warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because daily compounding causes returns to deviate materially from the stated leverage multiple over time—a phenomenon known as 'volatility decay' or 'path dependency.' RN 22-08 reinforced heightened obligations around complex products, including the requirement that firms establish robust written supervisory procedures, that advisors fully understand the products before recommending them, and that firms ensure such products are recommended only to investors whose profiles genuinely match the products' risk characteristics.

****Specific Violations:****

- ****Customer-Specific Suitability / Care Obligation Violation:**** Mrs. Dowling was a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, limited investment experience, and moderate liquid savings. A 3x daily-leveraged ETF is categorically incompatible with this profile. The product is designed for sophisticated, active traders with high risk tolerance and very short holding periods. Allocating

27% of her liquid assets to this single speculative instrument compounded the unsuitability.

- **Reasonable-Basis Suitability Violation:** Farrell's characterization of TQQQ as simply 'tripling tech returns' demonstrates a fundamental misunderstanding (or willful misrepresentation) of how the product works. He failed to understand or convey that the 3x leverage resets daily, that volatility decay erodes returns over multi-day holding periods, and that the fund's own prospectus explicitly warns against long-term holding. An advisor who does not understand these mechanics cannot have a reasonable basis for recommending the product to anyone.

- **Disclosure Failures:** Farrell failed to explain the daily-reset mechanism, path dependency, volatility decay, the possibility that cumulative returns could significantly underperform three times the index return (or even produce losses when the index is flat or positive), or the product's intended use as a short-term tactical vehicle.

- **Supervisory Failures:** The branch office lacked specialized supervisory procedures for complex and leveraged products despite the firm's own product catalog flagging TQQQ as complex/speculative. Branch manager Dale Ingram closed the automated alert without any documented review, conversation with the advisor, or contact with the customer. This constitutes a failure of supervision under FINRA Rules 3110 and 3120, and is directly contrary to the enhanced supervisory expectations set forth in FINRA RN 09-31 and RN 22-08.

Likely Regulatory Outcome:

Farrell would likely face individual liability for unsuitable recommendations and failure to act in the customer's best interest. The firm and branch manager Ingram would likely face charges for supervisory failures. Potential sanctions include fines, disgorgement of commissions, restitution to Mrs. Dowling for any losses or damages (including the emotional distress caused by the 42% interim drawdown), suspension or bar for Farrell, and supervisory sanctions for Ingram. The fact that Mrs. Dowling ultimately sold at a modest gain does not negate the violation; suitability and best interest are assessed at the time of the recommendation, not based on subsequent outcomes.

Hypothetical 12

Topic: *high_fees_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Ellison, age 71, is a retired school librarian living in Tallahassee, Florida. She receives \$2,400 per month from Social Security and a modest state pension of \$1,100 per month. Her total liquid savings amount to approximately \$185,000, held in an IRA rollover account, which represents essentially her entire nest egg aside from her home. Margaret's stated investment objectives on her new account form are income and preservation of capital. Her risk tolerance is marked as conservative. She has no prior experience with options, futures, or complex exchange-traded products, and her investment history consists entirely of certificates of deposit and a balanced mutual fund she held for twelve years before rolling

[NON-COM

proceeds into her IRA.

In March 2022, Margaret's financial advisor, Derek Hollis, age 38, recommended that she allocate \$55,000-roughly 30% of her portfolio-into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index, and an additional \$25,000 into Direxion Daily Semiconductor Bull 3X Shares (SOXL). Derek told Margaret these were 'high-powered growth funds that would turbocharge her retirement savings' and noted that technology stocks 'always come back strong.' He did not explain that these products reset daily, nor did he discuss the concept of volatility decay or the compounding effects that cause long-term returns to diverge significantly from the underlying index return multiplied by the leverage factor. He also did not mention that TQQQ carried a net expense ratio of 0.88% and SOXL carried a net expense ratio of 0.76%, both substantially higher than broad-market index ETFs typically charging 0.03% to 0.10%.

Derek placed the trades as unsolicited on the order tickets, though Margaret later stated she had never heard of either product before Derek brought them up during their meeting. Over the following ten months, the Nasdaq-100 experienced significant volatility, declining sharply through mid-2022 before partially recovering. By January 2023, Margaret's \$55,000 TQQQ position had fallen to approximately \$26,400, and her \$25,000 SOXL position had fallen to approximately \$9,800-a combined loss of roughly \$43,800, or 55% of the invested amount. Margaret contacted the branch manager in February 2023 after receiving her year-end statement and expressed shock at the losses, stating she had no idea the products could lose value so rapidly. An internal review revealed that Derek had recommended daily-leveraged ETFs to four other retired clients with conservative profiles during the same period, and that the firm had no specialized training program, enhanced supervision protocol, or approval process for complex leveraged products.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollis committed multiple violations of applicable regulatory standards.

****Suitability and Best Interest Violations:****

Under FINRA Rule 2111 (Suitability), a financial advisor must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and experience. Margaret Ellison is a 71-year-old retiree with conservative risk tolerance, income and capital preservation objectives, no experience with complex products, and a modest liquid net worth of \$185,000 that constitutes her primary retirement savings. Allocating 43% of her portfolio (\$80,000 combined) to 3x daily-leveraged ETFs flagrantly violates customer-specific suitability. These products are designed for sophisticated, short-term traders who actively monitor positions-not elderly conservative investors seeking income and capital preservation.

Under Regulation Best Interest (Rule 15l-1), broker-dealers and their associated persons must act in the retail customer's best interest at the time a recommendation is made, satisfying the Care Obligation, Disclosure Obligation, and Conflict of Interest Obligation. The Care Obligation requires reasonable

diligence, care, and skill in making recommendations, including understanding the risks and costs of the product and having a reasonable basis to believe the recommendation is in the customer's best interest. Recommending 3x leveraged ETFs with expense ratios of 0.76%-0.88% to a conservative retiree, without any discussion of path dependency, daily resetting mechanics, or volatility decay, fails the Care Obligation entirely.

****Failure to Disclose Material Risks and Costs:****

FINRA Regulatory Notices 09-31 and 22-08 specifically warn that leveraged and inverse ETFs that reset daily are complex products unsuitable for long-term holding by most retail investors. These notices emphasize that in volatile markets, daily compounding causes returns to deviate significantly—often negatively—from the leveraged multiple of the underlying index's cumulative return. Derek failed to explain these mechanics. The elevated expense ratios (0.76%-0.88% versus 0.03%-0.10% for standard index ETFs) represent a material cost that was never disclosed to Margaret, compounding the unsuitability of the recommendation.

****Mismarking Order Tickets:****

Derek marked the trades as unsolicited despite Margaret's clear indication that she had never heard of either product before Derek recommended them. Mismarking solicited trades as unsolicited is a separate violation that undermines the firm's supervisory and compliance infrastructure and violates FINRA Rules 3110 and 4511 regarding books and records and supervisory obligations.

****Firm Supervisory Failures:****

The firm's lack of any specialized training, enhanced supervision, or pre-approval process for complex leveraged products violates FINRA Rule 3110 (Supervision) and the supervisory guidance in FINRA RN 09-31 and RN 22-08, which specifically call on firms to implement heightened supervision for leveraged and inverse ETFs, including post-trade surveillance to detect long-term holding by retail customers with unsuitable profiles. The discovery that Derek made similar recommendations to four other retired conservative clients suggests a pattern of misconduct that adequate supervision should have detected.

****Likely Regulatory Outcome:****

Derek would likely face individual sanctions including fines, disgorgement of commissions, a suspension, and potentially a bar if found to have intentionally mismarked order tickets. The firm would likely face significant fines for supervisory failures under FINRA Rule 3110. Margaret would have strong grounds for a customer arbitration claim seeking recovery of her approximately \$43,800 in losses, plus fees and costs. Given the egregiousness of recommending 3x leveraged ETFs to a 71-year-old conservative retiree with her entire retirement savings at stake, enhanced sanctions and punitive damages could be pursued.

Hypothetical 13

Topic: *leveraged_etf_unsuitable* | Difficulty: *medium*

[NON-COM

Fact Pattern

Margaret Dawson, age 71, is a retired elementary school teacher living in suburban Phoenix, Arizona. Her annual pension income is approximately \$42,000, and she has total liquid savings of roughly \$310,000, which represents her entire retirement nest egg aside from Social Security. She has no other sources of income and describes her investment objective as "preserving my savings so I don't run out of money." On her new account form, her risk tolerance is marked as "conservative," and her investment experience is listed as "limited - mostly CDs and a fixed annuity."

In March 2021, Margaret's financial advisor, Kevin Salazar, age 34, recommended that she invest \$95,000 - approximately 31% of her liquid net worth - into a 3x leveraged bull semiconductor ETF (ticker: SOXL) and \$45,000 into a 2x leveraged S&P 500 ETF (ticker: SSO). Salazar told Margaret that semiconductors were "the future" and that these funds would "supercharge her returns so she could leave more to her grandchildren." He did not explain that both products reset daily, that their compounding mechanism causes returns to deviate significantly from the underlying index over holding periods longer than one day, or that in volatile or sideways markets the funds could lose substantial value even if the underlying index ended roughly flat. He provided no written materials or supplemental disclosures about leveraged products. The firm's internal product catalog flagged both SOXL and SSO as "complex products requiring enhanced due diligence and supervisor sign-off," but Salazar's branch manager, Linda Fong, approved the trades after a brief phone conversation without reviewing Margaret's account profile, financial situation, or investment objectives.

Margaret held both positions for approximately 14 months. During that period, the semiconductor sector experienced sharp volatility. By May 2022, the SOXL position had declined from \$95,000 to approximately \$31,000 - a loss of roughly \$64,000, or 67%. The SSO position declined from \$45,000 to approximately \$33,500, a loss of about \$11,500. In total, Margaret lost approximately \$75,500 - nearly 25% of her entire liquid savings. When Margaret called Salazar in distress after receiving her May 2022 statement, he told her to "hang tight" and that the funds would "bounce back eventually." He did not explain that due to the daily-reset mechanism and volatility decay, the leveraged ETFs would need the underlying indices to rally far more than the percentage they had lost in order for her to break even. Margaret ultimately sold both positions in August 2022 after her daughter, a CPA, reviewed the account and urged her to exit immediately. By then, the combined losses had grown to approximately \$82,000.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, financial advisor Kevin Salazar violated applicable suitability and best interest standards in multiple respects.

1. ****Customer-Specific Suitability (FINRA Rule 2111.05(a) and Reg BI Rule 15l-1 Care Obligation):**** Margaret Dawson is a 71-year-old retiree with limited investment experience, a conservative risk tolerance, a stated objective of capital preservation, and a modest fixed income. Leveraged ETFs - particularly a 3x leveraged sector fund - are among the most aggressive and volatile products available to retail investors. Concentrating approximately 31% of her liquid net worth in SOXL and another 15% in SSO is fundamentally incompatible with her profile. Under FINRA Rule 2111, a recommendation must be suitable

for the specific customer based on her investment profile, including age, financial situation, risk tolerance, needs, objectives, and experience. Under Reg BI's Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)), a broker must exercise reasonable diligence, care, and skill in making a recommendation and must have a reasonable basis to believe the recommendation is in the retail customer's best interest. No reasonable advisor could conclude that placing nearly half of a conservative 71-year-old retiree's savings into daily-resetting leveraged ETFs served her best interest.

2. **Reasonable-Basis Suitability and Product-Level Understanding:** FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. FINRA RN 12-03 reinforced heightened suitability obligations for complex products generally. Salazar recommended a 14-month hold without explaining - or apparently understanding - path dependency, volatility decay, or the daily compounding mechanism. His advice to "hang tight" after significant losses demonstrates a fundamental misunderstanding of how these products behave over time, calling into question whether he had the reasonable-basis understanding required under FINRA Rule 2111.05(a).

3. **Failure to Disclose Material Risks:** Salazar did not provide any written materials, supplemental risk disclosures, or verbal explanation of the unique risks of leveraged ETFs - specifically the daily-reset mechanism, the potential for total return to diverge dramatically from the leveraged multiple of the underlying index over multi-day periods, and the corrosive effect of volatility on returns. FINRA RN 22-08 proposed enhanced obligations for complex product recommendations, including requiring firms to exercise diligence in ensuring customers understand the key features and risks. Even under existing standards, Salazar's omissions constitute a material failure of disclosure.

4. **Concentration:** Allocating approximately 45% of a conservative retiree's liquid savings to leveraged ETFs represents an extreme and unsuitable concentration. This amplified the harm and further demonstrates disregard for Margaret's investment profile.

5. **Supervisory Failures:** Branch manager Linda Fong approved the trades without reviewing Margaret's account profile, financial situation, or investment objectives, despite the firm's own internal policies requiring enhanced due diligence and supervisor sign-off for complex products flagged in the product catalog. This constitutes a violation of FINRA Rule 3110 (supervisory obligations) and potentially FINRA Rule 2111's supervisory components. Under FINRA RN 12-03 and RN 22-08's frameworks, firms must implement reasonable supervisory systems for complex product sales, and a perfunctory phone call without file review is inadequate.

Likely Regulatory Outcome: Salazar would likely face individual liability for unsuitable recommendations and failure to act in the customer's best interest, potentially resulting in fines, suspensions, and restitution. Fong and the firm would face supervisory failure charges. Margaret would have strong grounds for recovery in arbitration of her approximately \$82,000 in losses, plus potentially consequential damages, interest, costs, and attorneys' fees.

Hypothetical 14

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Donovan, age 78, is a retired school librarian living in Sarasota, Florida, on a fixed income of approximately \$2,800 per month from Social Security and a modest state pension. She has \$340,000 in total investable assets, representing her life savings and the proceeds from the sale of her late husband's home. Her stated investment objectives on her account opening documents are capital preservation and income generation, and her risk tolerance is listed as conservative. She has no prior experience trading options, futures, or leveraged products, and her investment knowledge is described as 'limited' on her client profile form.

In March 2023, Margaret's financial advisor, Kevin Briscoe, age 34, recommended that she allocate \$85,000 - roughly 25% of her portfolio - into a 3x leveraged daily-resetting bull ETF tracking the semiconductor sector, ticker symbol SOXL. Briscoe told Margaret the fund would 'triple her gains in the hottest sector of the market' and described it as a way to 'make up for lost time' after her portfolio had underperformed during 2022. He did not explain the daily reset mechanism, compounding effects, volatility decay, or the fact that the product was designed for short-term tactical trading rather than buy-and-hold investing. No written materials about the product's risks were provided to Margaret, and there is no record that Briscoe's branch office had any heightened supervisory review process for sales of leveraged or complex exchange-traded products to retail customers.

Briscoe placed the trade and did not contact Margaret again for over seven months. During this period, the semiconductor sector experienced significant volatility, with several drawdowns of 10-15% followed by partial recoveries. By October 2023, the underlying semiconductor index was approximately 2% above where it had been when Margaret's position was opened. However, due to the effects of daily compounding and volatility decay inherent in the 3x leveraged structure, Margaret's SOXL position had declined from \$85,000 to approximately \$61,400 - a loss of roughly \$23,600, or 27.8%, despite the underlying index being slightly positive over the same period.

When Margaret called Briscoe in late October to ask why her account value had dropped so significantly, he told her to 'hang in there' and that 'it would come back.' He did not recommend liquidating the position or explain why the losses had occurred. Margaret's daughter, a CPA, eventually reviewed the account in December 2023 and immediately raised concerns. By that time the position had declined further to approximately \$54,200, a total loss of over \$30,000. Margaret subsequently filed a complaint with Briscoe's firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Briscoe violated multiple regulatory requirements in recommending and maintaining this position for Margaret Donovan.

[NON-COM

****Suitability and Best Interest Violations:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. Under Regulation Best Interest (Rule 15l-1 under the Exchange Act), the standard is elevated further: the broker must act in the retail customer's best interest at the time a recommendation is made, without placing the broker's interest ahead of the customer's.

Here, Margaret Donovan is a 78-year-old retiree with conservative risk tolerance, capital preservation objectives, limited investment knowledge, no experience with complex products, and a fixed income of \$2,800/month. A 3x daily-resetting leveraged ETF is fundamentally incompatible with every element of her investment profile. FINRA Regulatory Notices 09-31 and 12-03 specifically warn that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who plan to hold them for longer than one trading session, because daily compounding causes the returns to deviate - often dramatically - from the multiple of the underlying index's return over longer periods. FINRA RN 22-08 further reinforces the obligation to apply heightened scrutiny to complex products, including leveraged ETFs, before recommending them to retail customers.

****Specific Violations Include:****

1. ****Reasonable Basis Suitability (Rule 2111.05(a)):** Briscoe failed to understand the product he was recommending. There is no evidence he understood or explained daily-reset mechanics, path dependency, or volatility decay to Margaret.
2. ****Customer-Specific Suitability (Rule 2111.05(b)):** A 3x leveraged semiconductor ETF is categorically unsuitable for a 78-year-old conservative investor seeking capital preservation and income. The 25% portfolio concentration magnifies this violation.
3. ****Reg BI Care Obligation (Rule 15l-1(a)(2)(ii)(B)):** Briscoe did not exercise reasonable diligence, care, and skill in making this recommendation. He failed to consider reasonably available alternatives (e.g., dividend-paying equities, bond funds, CDs) that would have aligned with Margaret's objectives.
4. ****Reg BI Disclosure Obligation:** Briscoe provided no written risk disclosures about the leveraged ETF and affirmatively mischaracterized the product by describing it only in terms of upside potential without mentioning the significant risks of long-term holding.
5. ****Failure to Monitor / Quantitative Suitability:** Briscoe recommended the position and then abandoned the client for seven months, failing to recommend an exit even as the product performed exactly as regulators have warned - eroding value through volatility decay despite a flat-to-positive underlying index. When contacted, he compounded the harm by advising Margaret to continue holding.
6. ****Supervisory Failures:** The branch had no heightened supervisory review process for leveraged or complex product sales to retail investors, violating the supervisory obligations outlined in FINRA RN 09-31

and RN 22-08, which call on firms to implement specific written supervisory procedures, post-trade surveillance, and concentration limits for these products.

****Senior Investor Considerations:**** Margaret's age and vulnerability as a senior investor on a fixed income amplify the severity of these violations. FINRA has repeatedly emphasized heightened obligations when dealing with senior investors, and the loss of over \$30,000 - nearly 9% of her life savings - from a single unsuitable position is the type of harm regulators view as particularly egregious.

****Likely Regulatory Outcome:**** Briscoe would likely face sanctions including fines, disgorgement, suspension, or a bar. The firm would face supervisory failure charges. Margaret would likely prevail in arbitration and recover her losses plus interest, and potentially consequential damages.

Hypothetical 15

Topic: *leveraged_etf_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Olsen, age 71, is a retired public school teacher in suburban Minneapolis with an annual pension income of \$48,000 and Social Security benefits of \$22,800. Her total liquid savings amount to approximately \$385,000, held primarily in a traditional IRA rollover account. She describes herself as a conservative investor whose primary objectives are capital preservation and generating modest supplemental income to cover prescription drug costs and property taxes on her home, which she owns outright. She has no prior experience with options, futures, or leveraged products, and her prior portfolio consisted entirely of certificates of deposit and a balanced mutual fund.

In March 2023, her financial advisor, Derek Hahn, age 34, with six years of industry experience at Ridgeline Wealth Partners, recommended that Mrs. Olsen allocate \$115,000-roughly 30% of her retirement portfolio-into a 3x leveraged bull semiconductor ETF (ticker: SOXL) and \$50,000 into a 2x leveraged S&P 500 ETF (ticker: SSO). Hahn told Mrs. Olsen these were "high-quality technology and market funds" that would help her "keep up with inflation" and that she should plan to hold them "for at least a year or two to really see the gains compound." He did not discuss daily resetting mechanics, volatility decay, compounding risk, or the possibility that the products could lose substantial value even if the underlying index was roughly flat over a multi-month period. He did not provide any written materials, prospectus excerpts, or risk disclosures specific to leveraged ETFs. His notes in the firm's CRM system listed the recommendation rationale simply as "client wants growth."

Ridgeline's compliance manual required heightened supervision and a signed acknowledgment form for any leveraged or inverse product transaction, but no acknowledgment was obtained and no supervisory principal reviewed the trades before execution. The branch manager, Karen Liu, was aware that Hahn frequently recommended leveraged ETFs to clients but had never conducted a targeted review of those recommendations.

Over the following 14 months, the semiconductor sector experienced significant volatility. By May 2024,

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despite the Philadelphia Semiconductor Index being approximately 8% higher than its March 2023 level, SOXL had gained only about 2% due to volatility decay and path dependency effects. Meanwhile, a sharp three-week drawdown in April 2024 temporarily pushed the SOXL position down 41% from its purchase price before partially recovering. SSO performed somewhat better but still underperformed a simple unleveraged S&P 500 index fund over the same period. Mrs. Olsen, alarmed by the fluctuations and confused by the disconnect between the news about semiconductor stocks rising and her account declining, called Hahn multiple times. He assured her to "stay the course." She ultimately liquidated both positions in June 2024 at a combined net loss of approximately \$19,400, representing roughly 5% of her total retirement savings. She subsequently filed a complaint with the firm alleging the investments were completely inappropriate for her situation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hahn violated both the suitability standard under FINRA Rule 2111 and the best interest obligation under Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act of 1934. Multiple layers of failure are present.

****1. Customer-Specific Suitability (FINRA Rule 2111.05):****

Mrs. Olsen's profile-age 71, retired, fixed income of \$70,800/year, conservative risk tolerance, capital preservation and income objectives, no experience with complex products-is fundamentally incompatible with 2x and 3x daily-resetting leveraged ETFs. These products carry extreme short-term volatility, magnified drawdown risk, and path-dependent return profiles that can erode principal even when the underlying index appreciates. Allocating 30% of a retiree's IRA to a 3x leveraged semiconductor ETF is a textbook suitability violation. FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs are typically unsuitable for retail investors who plan to hold them for longer than one trading session, and FINRA RN 22-08 reinforced the obligation to evaluate complex products with heightened scrutiny.

****2. Reasonable-Basis Suitability:****

Hahn recommended a long-term hold of daily-resetting products without understanding or explaining the mechanics of volatility decay and compounding risk. FINRA RN 09-31 and RN 12-03 emphasize that an advisor must understand the product before recommending it. His description of SOXL and SSO as simple 'high-quality technology and market funds' demonstrates either a fundamental misunderstanding of the products or a deliberate mischaracterization-both of which fail the reasonable-basis component.

****3. Reg BI Care Obligation (Rule 15l-1(a)(2)(ii)(B)):****

Reg BI requires that a broker-dealer exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Placing a 71-year-old conservative retiree into 3x leveraged ETFs with a recommendation to hold long-term directly contravenes the care obligation. There is no reasonable basis to conclude this recommendation was in Mrs. Olsen's best interest.

****4. Reg BI Disclosure Obligation:****

Hahn failed to disclose material facts about the products, including daily resetting mechanics, volatility

decay, the risk of losses even in a rising market, and the products' unsuitability for long-term holding. This violates the disclosure component of Reg BI.

****5. Supervisory Failures (FINRA Rule 3110):****

Ridgeline's own compliance procedures required a signed acknowledgment and supervisory review for leveraged product transactions. Neither was obtained. Branch manager Karen Liu was aware of Hahn's pattern of recommending leveraged ETFs but failed to conduct any targeted review. This constitutes a failure to supervise under FINRA Rule 3110 and exposes the firm to liability. FINRA RN 22-08 specifically highlights that firms must have robust supervisory systems for complex products, including leveraged and inverse ETFs.

****6. Documentation Deficiency:****

Hahn's CRM notation of 'client wants growth' is inconsistent with Mrs. Olsen's documented conservative profile and capital preservation objective, suggesting either fabrication of rationale or a failure to conduct any meaningful needs analysis.

****Likely Regulatory Outcome:****

Hahn would likely face individual sanctions including fines, disgorgement of commissions, a suspension, and potentially a bar for pattern conduct. Ridgeline Wealth Partners faces supervisory violation charges and potential fines. Mrs. Olsen would likely prevail in arbitration and recover her \$19,400 loss plus potential consequential damages, fees, and interest. The firm's failure to enforce its own written supervisory procedures significantly strengthens the customer's claim.

Hypothetical 16

Topic: high_fees_unsuitable | Difficulty: medium

[NON-COM]

Fact Pattern

Margaret Bowen, age 71, is a retired elementary school teacher in Tulsa, Oklahoma, with a fixed annual income of \$38,000 from her pension and Social Security. She has \$185,000 in a rollover IRA, which represents her primary retirement savings aside from her pension. Her stated investment objectives are capital preservation and modest income generation, and her risk tolerance questionnaire, completed in January 2023, rated her as conservative. She has no prior experience with derivatives, leveraged products, or active trading strategies. In March 2023, her financial advisor, Derek Holt, recommended that she allocate \$55,000 of her IRA into a 3x leveraged bull semiconductor ETF (ticker symbol: SOXL) and \$30,000 into a 2x inverse Treasury bond ETF (ticker symbol: TBT). Derek told Margaret that these were 'just like regular ETFs but they move a little faster,' and described the semiconductor fund as a way to 'ride the AI wave' and the inverse Treasury fund as a 'hedge against rising rates eating into your savings.' He did not explain the daily resetting mechanism, the effects of compounding on multi-day returns, or the concept of volatility decay. He also did not disclose that the 3x leveraged ETF carried an expense ratio of 0.89% and that the 2x inverse Treasury ETF carried an expense ratio of 0.95%, both significantly higher than comparable unleveraged index ETFs with expense ratios of 0.03% to 0.10%. Additionally, Derek's firm charged a 1.25% annual advisory wrap fee on all IRA assets, meaning Margaret was paying layered fees -

the advisory fee plus the elevated internal ETF expenses - on nearly half her retirement portfolio. Margaret held both positions for eleven months. By February 2024, the leveraged semiconductor ETF had experienced significant intraday volatility over the holding period; despite the underlying semiconductor index being up approximately 12% over those eleven months, Margaret's 3x leveraged position was up only 18% rather than the 36% she might have naively expected, due to volatility decay and path dependency. The inverse Treasury ETF performed worse: Treasury yields were roughly flat over the period, yet TBT lost approximately 9% of its value due to the compounding effects of daily resetting during a period of rate volatility. Combined, Margaret paid approximately \$1,620 in internal ETF expenses and \$1,063 in advisory wrap fees on the two positions alone over the holding period. When Margaret called Derek in February 2024 concerned about the losses in TBT and the underwhelming gains in SOXL, he told her to 'hang tight, these things work out over time.' Margaret subsequently filed a complaint with Derek's firm alleging that the products were never explained to her, that the fees were excessive for her situation, and that the investments were inconsistent with her conservative retirement objectives.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Holt committed multiple violations of applicable regulatory standards.

1. ****Suitability and Best Interest Violations (FINRA Rule 2111; Regulation Best Interest, Rule 15l-1):**** Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, taking into account the customer's age, financial situation, investment objectives, risk tolerance, and other profile factors. Under Reg BI (Rule 15l-1), the advisor must act in the retail customer's best interest and satisfy the Care Obligation, which requires reasonable diligence, care, and skill in making recommendations. Recommending a 3x leveraged semiconductor ETF and a 2x inverse Treasury ETF to a 71-year-old retired teacher with a conservative risk profile, capital preservation objectives, limited savings, and no experience with complex instruments fails both the customer-specific suitability prong and the Care Obligation. These products are designed for short-term, sophisticated, active traders - not buy-and-hold conservative retirees.

2. ****Complex Products Supervision Failures (FINRA Regulatory Notices 09-31, 12-03, and 22-08):**** FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding, path dependency, and volatility decay. RN 22-08 reinforced members' obligations regarding complex products, including the need for enhanced suitability analysis, meaningful disclosure, and supervisory procedures. Derek's description of these products as being 'just like regular ETFs but they move a little faster' was materially misleading and failed to convey the fundamental risks of daily resetting products.

3. ****High Fee Layering and Cost Disclosure:**** The combination of elevated internal ETF expense ratios (0.89% and 0.95%) on top of a 1.25% wrap advisory fee created a layered cost structure that was disproportionate and harmful to a conservative retirement investor. Under the Reg BI Disclosure Obligation, all material fees and costs must be disclosed, and under the Care Obligation, the advisor must consider reasonably available alternatives with lower costs. Unleveraged semiconductor and Treasury ETFs with

expense ratios of 0.03%-0.10% existed as alternatives that would have been far more cost-efficient and aligned with Margaret's profile.

4. ****Failure to Recommend Exit / Hold Recommendation:**** When Margaret contacted Derek after eleven months expressing concern, his advice to 'hang tight' compounded the original violation. FINRA RN 09-31 explicitly cautioned that longer holding periods for daily-resetting leveraged and inverse products increase the likelihood of material deviation from the expected return multiple. The ongoing hold recommendation itself constituted a further suitability violation.

5. ****Allocation Concentration:**** Approximately 46% of Margaret's total IRA (\$85,000 of \$185,000) was placed into speculative, high-fee, daily-resetting leveraged and inverse products - an excessive concentration for any conservative retiree, let alone one dependent on her IRA for retirement security.

****Likely Regulatory Outcome:**** Derek and his firm face potential FINRA enforcement action, including fines, disgorgement of advisory fees, restitution to Margaret for losses and excess fees, a supervisory deficiency finding against the firm for failing to implement adequate complex product review procedures, and possible suspension for Derek. Customer arbitration would likely result in damages awarded for the unsuitable recommendations, excessive fees, and failure to disclose material product characteristics.

Hypothetical 17

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Holloway, age 78, is a retired schoolteacher living in suburban Phoenix, Arizona. She has a fixed monthly income of \$2,400 from Social Security and a small pension of \$850 per month. Her total liquid savings amount to approximately \$340,000, held in a brokerage account at Ridgeline Financial Services. Her account application, completed in January 2022, lists her investment objective as "income and capital preservation," her risk tolerance as "low," her time horizon as "5-10 years," and her investment experience as "limited - primarily CDs and savings bonds." She has no prior experience with options, futures, or complex exchange-traded products.

In March 2022, Margaret's financial advisor, Kyle Brennan, age 34, conducted an in-person meeting at her home. According to Margaret's account of the meeting, Kyle told her that interest rates were going to rise significantly and that she could "protect her nest egg from bond losses" by investing in a product that would profit when Treasury bond prices fell. Kyle recommended she purchase \$95,000 worth of the ProShares UltraShort 20+ Year Treasury ETF (TBT), a daily-resetting 2x inverse leveraged ETF that seeks to deliver twice the inverse of the daily return of an index of long-term Treasury bonds. He described it as "basically the opposite of a bond fund" and said it would be a good hedge.

Margaret agreed, and Kyle placed the trade on March 14, 2022, allocating roughly 28% of her liquid portfolio to TBT. He did not discuss the daily-resetting mechanism, the effects of compounding over time, the concept of volatility decay, or the fact that the product was designed for short-term tactical trading. No

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written materials about the product's risks were provided or reviewed with Margaret. Kyle's branch manager, Denise Pratt, approved the trade without speaking to Margaret or reviewing any documentation specific to the recommendation of a leveraged inverse product to a senior client.

Over the following 14 months, Kyle did not contact Margaret to review the position or discuss whether it remained appropriate. Margaret, believing the investment was a long-term holding similar to her previous bond investments, did not sell. By May 2023, despite the general trend of rising rates, TBT had experienced significant intraday volatility and the compounding effects inherent to daily-resetting leveraged products. Margaret's \$95,000 position had declined to approximately \$61,000 - a loss of roughly \$34,000 or 36% - even though the underlying index had moved partially in the direction Kyle predicted. Margaret discovered the loss only when she requested a portfolio summary to give to her estate attorney.

Margaret filed a complaint in June 2023 alleging that Kyle never explained how the product worked, that the investment was unsuitable for someone her age and risk profile, and that no one at the firm followed up to monitor the position. Kyle's internal notes from the March meeting consist of a single sentence: "Client interested in rate hedge - recommended TBT." There is no record of a discussion of alternative products, such as shorter-duration bond funds or Treasury bills, which would have aligned more closely with Margaret's stated objectives.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience.
2. ****Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act of 1934:**** Reg BI requires that a broker-dealer act in the retail customer's best interest at the time a recommendation is made, without placing the financial interest of the broker-dealer ahead of the customer. It encompasses a Care Obligation (reasonable diligence, care, and skill in making recommendations), a Disclosure Obligation (full and fair disclosure of material facts), and a Compliance Obligation (policies and procedures reasonably designed to achieve compliance).
3. ****FINRA Regulatory Notice 09-31:**** This notice specifically warns firms and advisors that leveraged and inverse ETFs that reset daily are complex products typically unsuitable for retail investors who plan to hold them for more than one trading session. The notice emphasizes that in volatile markets, these products can produce returns that diverge significantly from the stated multiple of the underlying index over longer periods due to the mathematical effects of daily compounding (often called "volatility decay" or "path dependency").

4. **FINRA Regulatory Notice 12-03:** This notice addresses heightened supervision obligations for complex products, requiring firms to perform a reasonable-basis suitability analysis before recommending any complex product, ensure that the recommending advisor understands the product, and consider whether the complexity of the product makes it inappropriate for certain customer profiles.

5. **FINRA Regulatory Notice 22-08:** This notice further reinforces member firms' obligations regarding complex products, including leveraged and inverse ETFs, and discusses enhanced measures such as requiring customers to demonstrate comprehension of the product before purchase.

Analysis of Violations:

- **Customer-Specific Suitability (Rule 2111.05):** Margaret is a 78-year-old retiree on a fixed income with low risk tolerance, a capital preservation objective, a moderate time horizon, and no experience with complex products. Recommending that she concentrate 28% of her liquid assets in a daily-resetting 2x inverse leveraged ETF is fundamentally incompatible with her investment profile. The product is designed for sophisticated, active traders making short-term tactical bets - not for elderly, conservative investors seeking to preserve capital.

- **Reasonable-Basis Suitability:** Kyle's description of TBT as "basically the opposite of a bond fund" and a long-term "hedge" demonstrates a failure to understand the product's mechanics himself, or a deliberate mischaracterization. A daily-resetting leveraged inverse product is not equivalent to a simple short bond position held over months. The advisor failed to perform adequate due diligence on the product he recommended.

- **Reg BI Care Obligation:** The recommendation did not reflect reasonable diligence, care, or skill. A reasonably competent advisor, exercising care, would have recognized that a daily-resetting 2x inverse leveraged ETF is unsuitable for a 78-year-old conservative investor and would have explored alternatives such as shorter-duration bond funds, Treasury bills, floating-rate notes, or I-bonds.

- **Reg BI Disclosure Obligation:** Kyle failed to disclose material facts about TBT, including its daily-resetting mechanism, the compounding risk over periods longer than one day, volatility decay, and the fact that the product could lose substantial value even if the underlying directional thesis proved partially correct. No written product disclosures were provided.

- **Supervision Failures (FINRA Rule 3110; RN 12-03; RN 22-08):** Branch manager Denise Pratt approved the trade in a complex leveraged inverse product to a senior retail client without any enhanced review, without contacting the client, and without verifying that adequate disclosures were made. This represents a failure of the firm's supervisory system. Under RN 12-03 and RN 22-08, firms must have heightened supervisory procedures for complex product recommendations, particularly to vulnerable investors.

- **Senior Investor Concerns:** The customer's age (78) triggers additional considerations. FINRA has repeatedly emphasized the need for enhanced protections for senior investors, and the combination of

Margaret's age, fixed income, low sophistication, and conservative objectives makes the recommendation particularly egregious.

- **Failure to Monitor:** Kyle made no contact with Margaret for 14 months after placing her in a product designed for daily trading. The absence of any ongoing monitoring or periodic review of a position in a daily-resetting leveraged product compounds the initial suitability violation.

Likely Regulatory Outcome:

This case presents clear violations of both FINRA Rule 2111 and Reg BI. The advisor would likely face sanctions including fines, disgorgement of commissions, suspension or bar, and the firm could face supervisory deficiency charges under FINRA Rule 3110. Margaret would likely recover her losses (approximately \$34,000) plus interest through arbitration or a regulatory proceeding. The firm's supervisory failures related to complex product oversight and senior investor protections would likely result in additional fines and required remedial actions.

Hypothetical 18

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Ellison, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month in Social Security benefits. Her total liquid investable assets amount to approximately \$310,000, held in a rollover IRA and a small taxable brokerage account. She has no other significant sources of income and describes her investment objective as capital preservation with modest income generation. On her new account form, her risk tolerance is marked as "conservative," and her investment time horizon is listed as 5-10 years. She has no prior experience with options, futures, margin accounts, or complex exchange-traded products. Her prior portfolio consisted entirely of certificates of deposit and a balanced mutual fund.

In March 2023, her financial advisor, Kevin Driscoll, age 38, recommended that Mrs. Ellison invest \$75,000 - roughly 24% of her liquid net worth - into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Driscoll told Mrs. Ellison that the fund "gives you three times the upside of tech stocks" and described it as a way to "supercharge the growth side of her portfolio" to offset inflation eroding her fixed income. He did not explain the daily reset mechanism, the concept of volatility decay, or the fact that the product's returns over periods longer than one day can deviate significantly - and often negatively - from three times the cumulative index return. He did not provide any written risk disclosures specific to leveraged ETFs, nor did he document any analysis of how this product fit within her overall financial plan.

Mrs. Ellison held the position for approximately 14 months. During that period, the Nasdaq-100 experienced multiple sharp drawdowns and recoveries. Despite the Nasdaq-100 being roughly flat over the 14-month window (down approximately 1.2%), Mrs. Ellison's TQQQ position lost approximately \$19,500, or 26% of

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the \$75,000 invested, due to the compounding effects of daily rebalancing in a volatile market. When she called Driscoll in May 2024 asking why her position had lost so much when she had read that tech stocks were "about where they were a year ago," he told her to "hang tight" and that the position would "come back strong." No rebalancing, exit strategy, or alternative recommendation was offered. Mrs. Ellison eventually liquidated the position herself in June 2024 after reading a newspaper article about the risks of leveraged funds for retirees.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll violated both the suitability requirements under FINRA Rule 2111 and the best interest obligation under Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act of 1934. The analysis proceeds along multiple dimensions:

****1. Customer-Specific Suitability (FINRA Rule 2111.05(a)):****

Mrs. Ellison is a 71-year-old retiree with conservative risk tolerance, a capital preservation objective, no experience with complex products, and dependence on her portfolio for supplemental retirement income. A 3x daily-leveraged ETF is fundamentally incompatible with every element of her investor profile. FINRA Regulatory Notice 09-31 explicitly warns that leveraged and inverse ETFs are "typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets." Allocating 24% of her liquid assets to such a product drastically increased the risk profile of her overall portfolio in a manner wholly inconsistent with her stated objectives.

****2. Reasonable-Basis Suitability (FINRA Rule 2111.05(a)):****

Driscoll's description of TQQQ as providing "three times the upside" without explaining the daily-reset mechanism, path dependency, or volatility decay suggests he either did not understand the product himself or deliberately omitted material information. FINRA RN 09-31 and RN 22-08 emphasize that firms and their representatives must understand the terms, features, and risks of complex products before recommending them. A leveraged ETF's return over multi-day periods is a function of the path of daily returns, not simply three times the cumulative index return. In a volatile, sideways market, compounding losses (volatility decay) can cause substantial erosion of principal even when the underlying index is flat - exactly what occurred here.

****3. Reg BI - Care Obligation (Rule 15l-1(a)(2)(ii)(B)):****

Reg BI requires that a broker-dealer exercise reasonable diligence, care, and skill in making a recommendation, considering the investment's risks, rewards, and costs in light of the customer's profile. Recommending a daily-resetting 3x leveraged ETF for long-term holding by a conservative, elderly, inexperienced retiree fails this standard on its face. Additionally, the Care Obligation requires consideration of reasonably available alternatives; Driscoll made no documented effort to consider less risky ways to achieve modest growth or inflation protection.

****4. Reg BI - Disclosure Obligation (Rule 15l-1(a)(2)(ii)(A)):****

Driscoll failed to disclose material facts about the product - specifically the daily reset feature, the impact of compounding on multi-day returns, and the risk of loss even in flat or modestly positive markets. This

omission violated the Disclosure Obligation.

****5. Ongoing Implicit Recommendation / Failure to Act:****

FINRA RN 12-03 (Know Your Customer and Suitability) and RN 22-08 (Complex Products) emphasize that when a customer holds a product that is clearly unsuitable - particularly a leveraged ETF well beyond its intended one-day holding period - the advisor has an obligation not to compound the harm. Driscoll's advice to "hang tight" in May 2024, 14 months into the position, effectively constituted an implicit hold recommendation for a product designed for intraday or very short-term trading, further exacerbating the violation.

****6. Supervision Failures:****

The firm's supervisory system likely failed as well under FINRA Rules 3110 and 3120 and the complex products supervision expectations outlined in RN 22-08. The firm should have had policies restricting or flagging leveraged ETF purchases for customers with conservative profiles and should have monitored holding periods.

****Likely Regulatory Outcome:****

Driscoll and his firm face potential FINRA enforcement action, including fines, disgorgement of commissions, restitution to Mrs. Ellison of her approximately \$19,500 in losses, and possible suspension. The fact pattern presents a textbook case of an unsuitable leveraged ETF recommendation to a vulnerable retail investor, the exact scenario regulators have repeatedly warned against since 2009.

Hypothetical 19

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Halloran, age 67, is a retired elementary school teacher in suburban Pittsburgh, Pennsylvania, living on a fixed income consisting of a \$2,800 monthly pension and Social Security benefits of \$1,900 per month. Her total liquid savings amount to approximately \$285,000, held primarily in a rollover IRA that she accumulated over her 34-year teaching career. She has no prior experience with options, futures, margin accounts, or any leveraged financial products. On her new account form, completed in March 2023, her stated investment objectives were "income" and "capital preservation," and her risk tolerance was marked as "conservative." She told her advisor, Derek Fulton, that her primary concern was making her savings last through retirement and potentially leaving something to her two grandchildren.

In April 2023, Fulton recommended that Mrs. Halloran invest \$95,000 - roughly one-third of her retirement savings - into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index, and \$45,000 into ProShares UltraPro Short QQQ (SQQQ), a -3x daily-leveraged inverse ETF on the same index. Fulton described the combined position as a "hedged strategy" that would "protect her on both sides of the market" while generating "enhanced returns over time." He did not explain the daily resetting mechanism of these products, the concept of volatility decay, or that the products were designed for short-term tactical trading rather than buy-and-hold investing. He did not provide any supplemental

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materials, product fact sheets, or the fund prospectuses, nor did he document any analysis of why these complex instruments were appropriate for Mrs. Halloran's profile.

Mrs. Halloran held both positions for approximately eleven months. During that period, the Nasdaq-100 experienced significant volatility, with multiple swings of 3-5% within individual weeks. By March 2024, her TQQQ position had declined from \$95,000 to approximately \$61,400, and her SQQQ position had declined from \$45,000 to approximately \$18,200 - a combined loss of roughly \$60,400, or 43% of the invested capital. Meanwhile, the Nasdaq-100 itself was actually up approximately 4% over the same period. Mrs. Halloran only discovered the severity of her losses when she requested a withdrawal to cover an unexpected home repair. She contacted the branch manager to complain, stating she had never understood what she was invested in and believed her money was in "something safe that went both ways so I couldn't lose."

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Fulton's recommendations violated multiple applicable regulatory standards.

****Regulation Best Interest (Reg BI) - Rule 15l-1 under the Securities Exchange Act of 1934:****

Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. This includes understanding the potential risks, rewards, and costs of the recommendation, and having a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made, considering the customer's investment profile - including age, financial situation, investment objectives, risk tolerance, and investment time horizon. Recommending 3x leveraged and -3x inverse leveraged ETFs to a 67-year-old retired teacher on a fixed income with conservative risk tolerance and capital preservation objectives fails this standard on every dimension. These products are inherently speculative, high-risk instruments wholly incompatible with her stated needs.

****FINRA Rule 2111 (Suitability):****

This rule requires that a broker have a reasonable basis (reasonable-basis suitability), customer-specific basis (customer-specific suitability), and quantitative basis for recommendations. On reasonable-basis suitability, Fulton apparently did not understand the products' daily-resetting mechanism, volatility decay, and path dependency - or if he did, he failed to convey it. On customer-specific suitability, no reasonable analysis could justify placing one-third of a conservative retiree's liquid retirement savings into 3x and -3x daily-resetting leveraged products.

****FINRA Regulatory Notices 09-31, 12-03, and 22-08:****

FINRA RN 09-31 explicitly warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets. It noted that these products can produce results that differ significantly from the underlying index over longer periods due to the mathematical effects of daily compounding (volatility decay). RN 12-03 reinforced heightened supervision requirements for complex products, requiring firms to assess whether their registered representatives understand the products before recommending them. RN 22-08 further

emphasized that complex products require enhanced suitability analysis and that firms must have robust supervisory systems to evaluate recommendations of complex products to retail investors. The combination of TQQQ and SQQQ does not constitute a genuine hedge; both positions lose value simultaneously in choppy, volatile markets due to the compounding effect, which is exactly what occurred here.

****Specific Violations:****

1. ****Failure to understand the product:**** Fulton's characterization of the combined TQQQ/SQQQ position as a 'hedged strategy' that protects 'on both sides' demonstrates a fundamental misunderstanding of how daily-resetting leveraged products behave over time. In volatile, range-bound markets, both long and short leveraged ETFs lose value simultaneously due to volatility decay.
2. ****Customer-specific unsuitability:**** A 67-year-old conservative retiree with no experience in complex products, seeking income and capital preservation, is the paradigmatic unsuitable customer for 3x leveraged instruments.
3. ****Concentration:**** Allocating approximately 49% of the customer's liquid retirement assets (\$140,000 of \$285,000) to speculative leveraged products is excessive for any conservative investor.
4. ****Failure to disclose material risks:**** Fulton did not explain the daily reset mechanism, path dependency, volatility decay, or the products' intended short-term holding period. He did not provide prospectuses or supplemental materials.
5. ****Failure to document rationale:**** No documentation exists showing why these products were appropriate for this customer.

****Likely Regulatory Outcome:****

This fact pattern would likely result in a finding of violation of Reg BI's Care Obligation and FINRA Rule 2111. Fulton would face potential sanctions including fines, disgorgement, suspension, or a bar. The firm would face supervisory liability under FINRA Rule 3110 for failing to have adequate systems in place to supervise recommendations of complex products to retail investors, as contemplated by RN 22-08 and RN 12-03. Mrs. Halloran would likely recover her losses of approximately \$60,400 in arbitration, potentially with interest.

Hypothetical 20

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

Margaret Olson, age 71, is a retired elementary school teacher living in Cedar Rapids, Iowa. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account and a taxable brokerage account. She has no other significant assets aside from her home, which is paid off. Margaret has described her investment objective as "income and preservation of capital" on every account document she has signed since opening her accounts in 2016. Her documented risk tolerance is "conservative." She has no prior experience with options, futures, margin accounts, or complex exchange-traded products, and her account documents reflect investment experience limited to certificates of deposit, municipal bonds, and a balanced mutual fund.

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In March 2023, Margaret's financial advisor, Kevin Dreyer, age 38, with seven years of industry experience at Heartland Wealth Partners, recommended that Margaret invest \$85,000 - roughly 25% of her liquid net worth - into a 3x leveraged ETF tracking the Nasdaq-100 index (similar to products like TQQQ). Kevin told Margaret the fund would "triple her gains in the tech recovery" and described it as "just like buying a regular tech index fund, but with more upside." He did not explain that the product resets daily, nor did he discuss the concepts of volatility decay or path dependency. He did not explain that the product is designed for short-term tactical trading and that holding it over weeks or months could produce returns that deviate dramatically from three times the index's cumulative return. Kevin did not ask Margaret any updated questions about her financial situation, tax status, time horizon, or liquidity needs before making the recommendation. He had not updated her customer profile since 2019.

Margaret held the position for approximately eleven months. During that period, the Nasdaq-100 experienced a choppy, sideways market with several sharp drawdowns and recoveries. By February 2024, the Nasdaq-100 itself had returned roughly +4% over the period, but Margaret's 3x leveraged ETF position had declined by approximately 14% due to the compounding effects of daily resetting in a volatile, range-bound market. Margaret's \$85,000 investment was now worth approximately \$73,100 - a loss of \$11,900. Margaret only discovered the nature of the product when her grandson, a finance graduate student, reviewed her statements over the holidays and explained what a leveraged ETF was.

Margaret filed a complaint with her brokerage firm in March 2024, alleging that Kevin never explained the risks, never updated her profile, and recommended a product wholly unsuitable for a conservative retiree dependent on her savings for living expenses. Kevin's branch manager had no record of any pre-approval or supervisory review of the leveraged ETF purchase. Heartland Wealth Partners' internal compliance manual required supervisory pre-approval for all leveraged and inverse ETF transactions, but no such approval was documented.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Dreyer violated applicable suitability and best interest standards in multiple respects.

****Failure to Know the Customer (FINRA Rule 2111 - Reasonable-Basis, Customer-Specific, and Quantitative Suitability):****

Under FINRA Rule 2111, a financial advisor must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Kevin failed to update Margaret's customer profile since 2019 - a four-year gap - before making a recommendation involving a highly complex product. This alone constitutes a failure to know the customer under the customer-specific suitability obligation.

Moreover, even using the stale 2019 profile, Margaret's documented characteristics - age 71, conservative risk tolerance, income/preservation objective, no experience with complex products, and dependence on savings for retirement income - are fundamentally incompatible with a 3x daily-resetting leveraged ETF.

These products are explicitly designed for sophisticated, short-term traders who actively monitor positions and understand compounding risk. Recommending that a conservative retiree allocate 25% of her liquid net worth to such a product fails customer-specific suitability.

****Regulation Best Interest (SEC Rule 15l-1):****

Under Reg BI's Care Obligation, a broker-dealer and associated person must exercise reasonable diligence, care, and skill when making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The Care Obligation specifically requires that the advisor have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the advisor's interest ahead of the customer's. Kevin's recommendation of TQQQ to Margaret - without understanding or communicating the product's daily-reset mechanism, volatility decay, and path dependency - fails this standard. Reg BI's Disclosure Obligation also required Kevin to disclose material facts about the recommendation, including the specific risks associated with holding a leveraged ETF beyond a single trading day. He did not.

****FINRA Regulatory Notices 09-31 and 22-08 - Leveraged and Inverse ETFs:****

FINRA RN 09-31 specifically warned member firms that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets. The notice highlighted that these products can produce returns over longer periods that differ significantly - even directionally - from the leveraged multiple of the underlying index's return. FINRA RN 22-08 reinforced heightened obligations regarding complex products, including enhanced supervision, customer-specific suitability determinations, and the need for firms to establish robust approval processes before recommending such products.

****Supervisory Failures:****

Heartland Wealth Partners' own compliance manual required pre-approval for leveraged ETF transactions. No such approval was obtained or documented. This constitutes a supervisory failure under FINRA Rule 3110, which requires firms to establish and maintain a system to supervise the activities of each associated person that is reasonably designed to achieve compliance with applicable securities laws and regulations. The branch manager's failure to enforce the firm's own written supervisory procedures compounds the violation.

****Likely Regulatory Outcome:****

Kevin Dreyer would likely face individual liability for suitability and Reg BI violations. Expected sanctions could include a fine, disgorgement of commissions earned on the transaction, restitution to Margaret for her losses, and a potential suspension. Heartland Wealth Partners would likely face separate supervisory failure charges under FINRA Rules 3110 and 3120 for failing to enforce its own complex products procedures. The firm may be required to pay restitution, enhance its supervisory systems, and potentially face a monetary fine. Given Margaret's age, conservative profile, and complete lack of sophistication with complex products, this case presents a strong enforcement profile.

Hypothetical 21

Topic: *failure_to_know_customer* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Gerald Whitfield, age 71, is a retired postal worker living in suburban Atlanta, Georgia. He receives a monthly pension of \$2,800 and Social Security payments of \$1,950 per month. His total liquid savings amount to approximately \$340,000, held primarily in a traditional IRA rollover account, which represents virtually all of his retirement assets aside from his pension. Gerald has no other significant sources of income and owns his home outright. He has limited investment experience, having held only a mix of certificates of deposit and a single balanced mutual fund during his working years. He has never traded options, futures, or any leveraged financial products.

In March 2023, Gerald met with financial advisor Danielle Royce at a local branch office after seeing a mailer advertising 'strategies to protect your retirement from market downturns.' During the initial meeting, which lasted approximately 35 minutes, Danielle asked Gerald a few general questions about his age and retirement status but did not conduct a detailed assessment of his financial situation, investment experience, risk tolerance, time horizon, or liquidity needs. She did not use the firm's standard new account questionnaire or risk profiling tool. No written investment policy statement or financial plan was prepared.

Danielle recommended that Gerald allocate \$170,000 - half of his IRA - into the ProShares UltraPro Short QQQ (SQQQ), a 3x daily-resetting inverse leveraged ETF tied to the Nasdaq-100 Index. Danielle told Gerald that this product would 'protect him if the tech market crashes' and described it as a 'hedge for his retirement.' She did not explain that the fund resets daily, that compounding effects and volatility decay could erode the position's value significantly over time even if the underlying index declined modestly, or that the product is generally designed for short-term tactical trading rather than long-term holding. Gerald signed a trade authorization but was not provided with or asked to review the fund's prospectus or any supplemental educational materials about leveraged or inverse ETFs.

Over the following eleven months, the Nasdaq-100 Index rose approximately 18%. Due to the combination of the index's rise and the compounding effects of daily resetting at 3x inverse leverage, Gerald's \$170,000 position in SQQQ declined to approximately \$62,000 - a loss of roughly \$108,000, or 63.5% of his invested amount. Gerald contacted his advisor multiple times during this period expressing concern about the losses, but Danielle reassured him each time that the market would 'turn around soon' and advised him to continue holding the position. No stop-loss, rebalancing, or exit strategy was ever discussed or implemented. Gerald ultimately liquidated the position in February 2024 after learning from a friend that the product was not intended for long-term buy-and-hold investors.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Danielle Royce violated applicable suitability and best interest standards in multiple respects.

****Failure to Know the Customer (FINRA Rule 2111 - Reasonable-Basis, Customer-Specific, and Quantitative Suitability):****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy involving a security is suitable for the customer, based on information obtained through reasonable diligence concerning the customer's investment profile.

This profile includes, at minimum, age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

Danielle failed to perform the required reasonable diligence. She conducted only a cursory 35-minute meeting without using the firm's standard new account questionnaire or risk profiling tool. She did not ascertain Gerald's risk tolerance, liquidity needs, time horizon, investment experience with complex products, or overall financial picture in any documented or meaningful way. This is a textbook failure-to-know-your-customer violation.

****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):****

Under Reg BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation, and must have a reasonable basis to believe the recommendation is in the retail customer's best interest based on the customer's investment profile. The Disclosure Obligation further requires that material facts about the recommendation - including risks - be disclosed.

SQQQ is a 3x daily-resetting inverse leveraged ETF. FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for investors who plan to hold them for longer than one trading session, particularly in volatile markets, because of path dependency and volatility decay. FINRA Regulatory Notice 22-08 further reinforced heightened obligations around complex products, including enhanced account opening procedures, disclosure, and supervision requirements.

Gerald's profile - a 71-year-old retiree with limited investment experience, conservative historical holdings, dependence on his IRA for retirement security, and no experience with leveraged products - is fundamentally incompatible with a 50% allocation to a 3x inverse leveraged ETF. The recommendation fails customer-specific suitability under Rule 2111 and the Care Obligation under Reg BI.

****Failure to Disclose Material Risks:****

Danielle did not explain the daily-resetting mechanism, volatility decay, path dependency, or the fact that SQQQ is designed for short-term tactical use. She did not provide the prospectus or any educational materials. This violates the Reg BI Disclosure Obligation and the general duty to disclose material risks under FINRA rules.

****Ongoing Duty and Supervision Failures:****

When Gerald expressed repeated concern about mounting losses, Danielle advised him to continue holding a product explicitly not designed for long-term holding. No exit strategy, rebalancing protocol, or stop-loss was implemented. This compounds the original suitability violation and raises questions about the firm's supervisory obligations under FINRA Rules 3110 and 3120 and the complex products supervision framework outlined in RN 12-03 and RN 22-08.

****Likely Regulatory Outcome:****

This fact pattern would likely result in findings of suitability and Reg BI violations, potential customer arbitration liability for the approximately \$108,000 in losses, supervisory deficiency charges against the firm, and possible individual sanctions including fines and suspension for Danielle Royce. The egregiousness of

placing half of a 71-year-old retiree's entire IRA into a 3x inverse leveraged ETF without any meaningful customer profiling, disclosure, or monitoring makes this a strong enforcement case.

Hypothetical 22

Topic: *failure_to_know_customer* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Margaret Olsen, age 71, is a retired elementary school teacher living in suburban Columbus, Ohio. She receives \$2,400 per month from her state pension and \$1,850 per month from Social Security. Her total liquid investable assets are approximately \$340,000, held in an IRA rollover account and a small taxable brokerage account. She has no other significant sources of income and her monthly living expenses, including medications for a chronic heart condition, total roughly \$3,800. She opened her brokerage account in March 2022 with advisor Kevin Treadwell at a mid-size regional broker-dealer. During the new account opening process, Treadwell asked Margaret a handful of general questions about her goals, to which she responded that she wanted to 'keep up with inflation and not lose what I have.' She mentioned she had owned a few blue-chip stocks decades ago through a dividend reinvestment plan but had not actively traded in over fifteen years. Treadwell marked her account profile as having 'moderate' risk tolerance and 'growth and income' as her investment objective. He did not ask Margaret about her investment time horizon, her understanding of complex financial products, her tax situation, or her specific liquidity needs. He did not document any discussion about what 'keeping up with inflation' meant to her in dollar terms or how much portfolio volatility she could tolerate without jeopardizing her ability to pay monthly expenses. In April 2022, Treadwell recommended that Margaret invest \$95,000 - roughly 28% of her total liquid assets - into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100. He told her it was 'like owning tech stocks but with more upside potential' and that 'the Nasdaq always comes back.' He did not explain that the product resets daily, that it is designed for short-term tactical trading, that compounding and volatility decay can cause the fund's returns to diverge dramatically from three times the index return over periods longer than one day, or that the product's prospectus itself warns it is not intended for investors who plan to hold shares for longer than one trading session. He also placed \$55,000 into the Direxion Daily S&P 500 Bull 2X Shares (SPUU). Treadwell did not set any stop-loss levels, rebalancing triggers, or monitoring schedule for these positions. Over the following eleven months, the Nasdaq-100 experienced significant volatility, declining approximately 18% before partially recovering. Due to the mathematical effects of daily compounding on a 3x leveraged product during a period of high volatility, Margaret's \$95,000 TQQQ position declined to approximately \$41,200 - a loss of roughly \$53,800, or 57%. Her SPUU position fell from \$55,000 to approximately \$38,500, a loss of about \$16,500. Combined, Margaret lost approximately \$70,300, representing over 20% of her entire liquid net worth. When Margaret called Treadwell in March 2023 to express alarm at her account statements, he told her to 'hang tight' and that the positions would recover. He did not recommend liquidating or rebalancing. Margaret's daughter, a CPA, eventually reviewed the account in June 2023 and filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Treadwell committed multiple violations related to failure to know his customer and unsuitable recommendations involving leveraged ETFs.

****Failure to Know the Customer (FINRA Rule 2111 - Reasonable-Basis and Customer-Specific Suitability; Regulation Best Interest, Rule 15l-1 under the Exchange Act):****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe a recommended transaction or investment strategy is suitable for the customer based on information obtained through reasonable diligence. This includes understanding the customer's age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Treadwell's intake process was superficial. He failed to ascertain Margaret's specific time horizon, her understanding of leveraged products, her liquidity constraints (her pension and Social Security barely cover monthly expenses), or the degree of loss she could absorb without imperiling her retirement. Marking her risk tolerance as 'moderate' without a substantive discussion and documentation was insufficient diligence.

Under Regulation Best Interest (Reg BI, Rule 15l-1), the Care Obligation requires that the broker exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation, form a reasonable basis to believe it is in the retail customer's best interest, and consider reasonably available alternatives. Treadwell failed all three prongs.

****Leveraged ETF-Specific Concerns (FINRA Regulatory Notices 09-31 and 22-08):****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session because of the effects of daily compounding (volatility decay or path dependency). The notice stated that these products can produce returns that deviate dramatically from the stated leverage multiple over longer periods, especially in volatile markets. FINRA RN 22-08 reinforced these concerns within the broader framework of complex products, emphasizing heightened supervision, the need for a reasonable basis to believe the customer can understand the product's risks, and the need for the recommendation to be in the customer's best interest.

Treadwell recommended that a 71-year-old retiree with limited investment experience, modest assets, constrained liquidity, and a conservative real-world objective (inflation protection and capital preservation) allocate approximately 44% of her liquid assets to daily-resetting leveraged ETFs (TQQQ and SPUU). He failed to explain daily resetting, compounding effects, path dependency, or the products' intended short-term use. He set no monitoring schedule, stop-losses, or exit strategy. When losses mounted, he recommended continued holding - the exact behavior FINRA has warned against.

****Customer-Specific Suitability Failure:****

Even if Treadwell had fully understood the products (which his description of TQQQ as 'like owning tech stocks but with more upside' suggests he did not), the recommendation was unsuitable for Margaret on a

customer-specific basis. Her age, limited income, reliance on her portfolio to supplement living expenses, lack of sophistication, and stated objective of preserving capital and keeping up with inflation are all fundamentally inconsistent with concentrated positions in 3x and 2x daily-leveraged products.

****Supervisory Failures (FINRA Rule 3110; FINRA RN 22-08):****

The firm's supervisory system also appears deficient. FINRA RN 22-08 calls for firms to implement heightened supervision around complex products, including pre-approval requirements, concentration limits, account-level suitability reviews, and post-trade surveillance. A 71-year-old retiree placing 44% of assets into leveraged ETFs should have triggered supervisory alerts.

****Likely Regulatory Outcome:****

Treadwell would likely face a FINRA enforcement action for violations of Rule 2111 (suitability) and Reg BI's Care Obligation. Potential sanctions include fines, disgorgement of commissions, restitution to the customer, and a suspension or bar. The firm could face supervisory violation charges under Rule 3110. In a customer arbitration, Margaret would have a strong claim for compensatory damages of approximately \$70,300 plus potential consequential damages.

Hypothetical 23

Topic: *leveraged_etf_unsuitable* | Difficulty: *hard*

Fact Pattern

Gerald Whitmore, age 71, is a retired high school principal living in Tucson, Arizona, with a fixed annual income of \$54,000 from his pension and Social Security. He has a \$420,000 IRA that constitutes essentially all of his liquid savings. His wife, age 69, has early-stage Alzheimer's disease, and the couple anticipates rising healthcare costs over the next several years. Gerald's account application indicates a 'moderate' risk tolerance, a 'capital preservation with modest income' investment objective, a 10-year time horizon, and limited investment experience beyond mutual funds and certificates of deposit. In February 2023, Gerald's financial advisor, Marcus Reeves, recommended that Gerald allocate \$105,000 - roughly 25% of his IRA - into a 3x leveraged bull semiconductor ETF (ticker: SOXL) and an additional \$45,000 into a 2x leveraged single-stock ETF tracking Tesla (ticker: TSLL). Marcus told Gerald that 'semiconductors and Tesla are the future' and that the leveraged funds would 'supercharge returns so you can build a bigger cushion for Helen's care.' Marcus did not explain the daily reset mechanism of the funds, the concept of volatility decay, or the fact that these products are designed for short-term tactical trading rather than buy-and-hold strategies. No written risk disclosure specific to leveraged or complex products was provided. Marcus's branch manager conducted no heightened review of the transactions despite the firm's internal procedures requiring supervisory sign-off on leveraged ETF purchases exceeding \$25,000 for customers over age 65. Over the next eleven months, the semiconductor index experienced significant volatility - rising 18% cumulatively but with multiple sharp drawdowns along the way. Due to path dependency and daily compounding, SOXL returned only 29% rather than the 54% ($3 \times 18\%$) a buy-and-hold investor might have naively expected. Meanwhile, Tesla stock declined approximately 12% over the same period, and the 2x

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leveraged Tesla ETF lost roughly 31% of its value due to compounding effects during a period of extreme intraday volatility in the underlying stock. By January 2024, Gerald's combined leveraged ETF positions had declined from \$150,000 to approximately \$112,500, a loss of \$37,500. Gerald only discovered the nature of the products when his adult daughter, a CPA, reviewed his year-end brokerage statement and questioned why his Tesla-linked holding had lost far more than twice what Tesla stock had lost. Gerald filed a complaint with the firm in March 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Reeves violated both the suitability standard under FINRA Rule 2111 and the best interest obligation under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), along with multiple related supervisory and complex-product requirements.

****Customer-Specific Suitability (FINRA Rule 2111.05):**** Gerald's profile - age 71, retired, moderate risk tolerance, capital preservation objective, limited investment experience, dependence on his IRA for future healthcare costs - is fundamentally incompatible with leveraged ETFs carrying 2x and 3x daily exposure to volatile sectors and single stocks. Allocating 25% of a retiree's sole liquid retirement account to daily-resetting leveraged products is per se unsuitable for this investor profile.

****Reasonable-Basis Suitability (FINRA Rule 2111.05(a)):** FINRA Regulatory Notices 09-31 and 22-08 explicitly warn that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who plan to hold them for periods longer than one trading session. These products are subject to volatility decay (also called 'path dependency'), meaning that in volatile markets, compounded daily returns can deviate dramatically from the leveraged multiple of the underlying index's cumulative return. The Tesla 2x ETF's 31% loss versus Tesla's 12% decline is a textbook illustration. Marcus either failed to understand this mechanism or understood it and recommended the products anyway, both of which violate reasonable-basis suitability.

****Reg BI - Care Obligation (Rule 15l-1(a)(2)(ii)(B)):** The Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the risks and rewards of a recommended security and to have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made, considering the customer's investment profile. Recommending volatile, daily-resetting leveraged products to a 71-year-old retiree with capital preservation goals and anticipated healthcare expenses clearly fails this standard.

****Reg BI - Disclosure Obligation (Rule 15l-1(a)(2)(ii)(A)):** Marcus failed to disclose the material risks of daily-resetting leveraged ETFs, including the compounding/volatility decay risk, the fact that these products are designed for short-term trading, and the possibility that losses could substantially exceed the leveraged multiple of any decline in the underlying asset. No written complex-product risk disclosure was provided.

****FINRA RN 09-31 and RN 22-08 Guidance:** Both notices specifically highlight the dangers of leveraged and inverse ETFs for buy-and-hold retail investors. RN 22-08 further extends these concerns to single-stock leveraged ETFs, which carry concentrated company-specific risk on top of the compounding

issues. The Tesla 2x ETF falls squarely within this heightened-risk category.

****Supervisory Failures (FINRA Rule 3110):**** The branch manager failed to conduct the heightened supervisory review required by the firm's own written supervisory procedures for leveraged ETF purchases exceeding \$25,000 by customers over age 65. This represents both a supervisory violation and a failure of the firm's complex products oversight framework, which FINRA RN 12-03 (on complex products) emphasizes must include pre-approval or enhanced review processes.

****Quantitative Unsuitability:**** While the holding period was approximately 11 months, the 25% concentration of a retiree's sole retirement account in leveraged products - resulting in a \$37,500 loss (approximately 9% of total retirement savings) - further supports a finding of quantitative unsuitability given the customer's profile.

****Likely Regulatory Outcome:**** Marcus Reeves would likely face individual liability including a fine, suspension, and possible restitution to the customer. The firm faces supervisory deficiency charges under FINRA Rule 3110 for the branch manager's failure to execute the required heightened review. In arbitration, Gerald would likely recover the \$37,500 loss plus interest, and potentially consequential damages related to the impact on his wife's anticipated care needs. The firm may also face additional regulatory scrutiny of its leveraged ETF sales practices across its customer base.

Hypothetical 24

Topic: failure_to_know_customer | Difficulty: medium

Fact Pattern

Gerald Hutchins, age 71, is a retired letter carrier living in Dayton, Ohio, on a fixed income of approximately \$2,800 per month from Social Security and a small pension. He has a total liquid net worth of approximately \$185,000, nearly all of which is held in an IRA rollover account at a regional broker-dealer. Gerald has no prior experience with options, futures, margin accounts, or any leveraged financial products. When he opened his account in February 2022, his new customer account form listed his investment objective as 'income and capital preservation,' his risk tolerance as 'low,' his time horizon as 'long-term (10+ years),' and his investment experience as 'limited - CDs and mutual funds only.' His advisor, Kevin Stahl, age 34, had been with the firm for three years and had recently attended a wholesaler dinner presentation about leveraged and inverse exchange-traded funds. In March 2022, Stahl called Gerald and recommended that Gerald invest \$55,000 - roughly 30% of his retirement savings - into a 3x leveraged daily-resetting ETF tied to the Nasdaq-100 Index, ticker TQQQ. Stahl told Gerald that it was 'like a tech mutual fund but with more upside' and that Gerald should 'hold onto it for a couple of years to really see the gains compound.' Stahl did not ask Gerald any updated questions about his financial situation, goals, or risk tolerance before making the recommendation. He did not inquire whether Gerald understood the mechanics of daily leverage resetting, compounding, or the concept that a 3x leveraged product could diverge dramatically from 3x the index return over periods longer than one trading day. No new account update form was completed, and no product-specific risk disclosure for leveraged ETFs was provided or signed. Gerald agreed to the purchase based on Stahl's description. Over the following ten months, the Nasdaq-100

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experienced significant volatility, declining roughly 33% from its peak before partially recovering. By January 2023, the Nasdaq-100 was down approximately 12% from Gerald's purchase date, but TQQQ had declined approximately 48% due to volatility decay and the compounding effects of daily resetting leverage. Gerald's \$55,000 position was worth approximately \$28,600 - a loss of over \$26,000. When Gerald called the firm in distress, he told the branch manager he had never been told the fund could lose money this fast and that he thought it worked 'just like a regular index fund but better.' The branch manager reviewed the account and discovered that no updated customer profile had been completed, no leveraged ETF disclosure had been delivered, and no supervisory pre-approval for the leveraged ETF purchase in a retirement account had been obtained, despite the firm's written supervisory procedures requiring all three steps before any complex product could be recommended to a retail client.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Stahl violated multiple regulatory requirements in recommending the TQQQ position to Gerald Hutchins.

1. ****Failure to Know the Customer (FINRA Rule 2111 - Customer-Specific Suitability & Reg BI Rule 15l-1 Care Obligation):**** Stahl failed to gather or update essential information about Gerald's financial profile before recommending a highly complex leveraged product. Gerald's documented profile - age 71, retired, low risk tolerance, income/preservation objective, limited investment experience, and reliance on the IRA as his primary retirement asset - was fundamentally incompatible with a 3x daily-resetting leveraged ETF. No updated customer profile was completed, meaning Stahl had no reasonable basis to believe the recommendation was in Gerald's best interest or suitable for his situation. Under FINRA Rule 2111(a) and Regulation Best Interest's Care Obligation, the advisor must exercise reasonable diligence, care, and skill to understand the customer's investment profile before making any recommendation.
2. ****Quantitative Unsuitability and Product-Specific Suitability:**** FINRA Regulatory Notices 09-31 and 22-08 specifically warn that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who intend to hold them for periods longer than one trading session. These products exhibit path dependency and volatility decay, meaning their returns over time can deviate substantially - and negatively - from the leveraged multiple of the underlying index's cumulative return. Stahl affirmatively told Gerald to hold the position 'for a couple of years,' directly contradicting the design and risk characteristics of the product. Allocating 30% of a 71-year-old retiree's IRA to a single 3x leveraged ETF is excessive concentration in a complex, speculative instrument for any conservative, income-oriented investor.
3. ****Failure to Disclose Material Risks:**** Stahl described TQQQ as 'like a tech mutual fund but with more upside,' which is materially misleading. He failed to explain daily leverage resetting, compounding risk, volatility decay, or the potential for losses exceeding 3x the index decline over multi-day periods. Under Reg BI's Disclosure Obligation, the advisor must disclose all material facts relating to the scope and terms of the relationship, including material risks of the recommendation.
4. ****Supervisory Failures (FINRA Rules 3110, 3120; RN 12-03, 22-08):**** The firm's written supervisory procedures required pre-approval for complex product recommendations in retirement accounts, a

product-specific risk disclosure, and an updated customer profile. None of these steps were taken. Under FINRA Rule 3110, the firm must establish, maintain, and enforce supervisory systems reasonably designed to achieve compliance. The branch manager's after-the-fact discovery of these omissions indicates a failure of both first-line supervision and the firm's compliance controls for complex products.

5. ****Likely Regulatory Outcome:**** Stahl faces potential liability for unsuitable recommendations, failure to know his customer, and misrepresentation of product characteristics. The firm faces separate liability for supervisory failures related to complex product oversight. Likely outcomes include customer restitution of approximately \$26,000 in losses, potential fines, a suspension or bar for Stahl depending on the scope of the misconduct, and additional fines or censure for the firm's supervisory deficiencies. The fact that this occurred in a retirement account serving as the customer's primary financial resource is an aggravating factor.

Hypothetical 25

Topic: *failure_to_know_customer* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Gerald Hoffman, age 63, is a retired postal worker living in Dayton, Ohio. He has a modest retirement portfolio of approximately \$210,000, consisting primarily of a rollover IRA from his pension and a small brokerage account. His monthly income is \$2,800 from Social Security and a small pension. Gerald has no prior experience with options, futures, or complex exchange-traded products. When he opened his account with Bridgewater Capital Partners in March 2022, he completed a new account form listing his investment objective as 'income and preservation of capital,' his risk tolerance as 'conservative,' and his time horizon as 'long-term (10+ years).' His investment experience was marked as 'limited - mutual funds and CDs only.' Gerald's financial advisor, Ryan Castellano, had been with the firm for four years. In April 2022, Castellano recommended that Gerald allocate \$45,000 of his IRA into ProShares UltraPro Short QQQ (SQQQ), a 3x daily-resetting inverse leveraged ETF tied to the Nasdaq-100 index, telling Gerald it was 'a good hedge against a market downturn that would protect his retirement savings.' Castellano did not explain the daily reset mechanism, the effects of compounding over time, or the concept of volatility decay. He did not provide Gerald with any prospectus materials or supplemental product-specific disclosures. There is no record in the firm's files that Castellano made any effort to determine whether Gerald understood how leveraged inverse ETFs work, nor did he document any rationale for why this particular product was appropriate for Gerald's stated objectives. Gerald held the position for eleven months. Despite the Nasdaq-100 declining roughly 5% over portions of that period, Gerald's SQQQ position lost approximately \$19,400 - a 43% loss - due to path dependency and volatility decay inherent in the daily-resetting structure. When Gerald called Castellano in March 2023 to ask why his 'hedge' had lost so much money even though the market had been volatile and had periods of decline, Castellano said the product 'just didn't work out this time' and suggested Gerald hold on longer to 'wait for a bigger crash.' Gerald eventually liquidated the position in June 2023 at a total loss of \$22,100. A review of Castellano's other accounts revealed that he had recommended SQQQ or similar 3x leveraged/inverse products to fourteen other clients, nine of whom had conservative or moderate risk profiles and limited investment experience.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Ryan Castellano committed multiple serious violations of applicable regulatory standards.

****Know-Your-Customer and Reasonable Basis Suitability (FINRA Rule 2111):**** Under FINRA Rule 2111, a financial advisor must have a reasonable basis for believing that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Castellano's recommendation of a 3x daily-resetting inverse leveraged ETF to a 63-year-old conservative retiree with limited investment experience and a stated objective of income and capital preservation was patently unsuitable on a customer-specific basis. The product is designed for short-term tactical trading by sophisticated investors, not for long-term holding by conservative retirees.

****Regulation Best Interest (SEC Rule 15l-1):**** Under Reg BI's Care Obligation, Castellano was required to exercise reasonable diligence, care, and skill in making his recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. He was further required to have a reasonable basis to believe the recommendation was in Gerald's best interest and did not place his own interests ahead of the customer's. A 3x inverse leveraged product with daily reset and significant volatility decay risk cannot reasonably be in the best interest of a conservative, inexperienced retiree seeking capital preservation.

****FINRA Regulatory Notices 09-31, 12-03, and 22-08:**** FINRA has issued repeated and specific guidance warning that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets. RN 09-31 specifically reminded firms that these products are 'highly complex financial instruments' whose performance over longer periods can 'differ significantly from their stated daily objective.' RN 22-08 further reinforced that complex products require enhanced suitability analysis and meaningful disclosure. Castellano failed to provide Gerald with any explanation of the daily reset mechanism, path dependency, or volatility decay - the very features that caused the loss.

****Failure to Know the Customer:**** Castellano's most fundamental failure was his failure to meaningfully use the customer information he already had. Gerald's new account form clearly stated conservative risk tolerance, income/preservation objectives, limited experience, and a long-term time horizon. Every one of these factors pointed away from a leveraged inverse ETF. Castellano either ignored this information or failed to understand its significance in relation to the product he recommended. This constitutes a clear failure-to-know-your-customer violation.

****Disclosure Failures:**** Castellano did not provide Gerald with the prospectus, did not explain the product's mechanics, and did not document any product-specific suitability rationale. His characterization of SQQQ as a 'hedge' was misleading, as a 3x daily-resetting inverse product does not function as a traditional hedge over multi-month holding periods.

****Pattern of Conduct:**** The fact that Castellano recommended similar products to fourteen other clients -

nine of whom had conservative or moderate profiles - suggests a systemic failure and raises additional concerns about the firm's supervisory obligations under FINRA Rule 3110 regarding complex products supervision.

****Likely Regulatory Outcome:**** Castellano would likely face enforcement action for unsuitable recommendations and failure to act in the customer's best interest. Sanctions could include fines, disgorgement of commissions, restitution to Gerald and similarly situated customers, suspension, or a bar. The firm could face supervisory failure charges for inadequate oversight of complex product sales, particularly given the pattern of recommendations to unsuitable customers.

Hypothetical 26

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Dolan, age 68, is a retired elementary school principal living in suburban Cincinnati, Ohio. She has a fixed annual income of \$52,000 from her pension and Social Security combined. Her total investable assets are approximately \$340,000, held primarily in an IRA that she rolled over from her employer's 403(b) plan upon retirement in 2021. She has no other significant sources of income, and her investment objective stated on her new account form is "income with capital preservation." Her risk tolerance was marked as "conservative" by her advisor, Kevin Slattery, when he opened her account at a regional broker-dealer in March 2022. Mrs. Dolan told Slattery she wanted safe investments that would supplement her pension and help cover potential medical expenses as she aged. She had no prior experience with ETFs, options, futures, or any derivative-based products, and her prior investment experience consisted solely of certificates of deposit and the target-date fund in her 403(b).

In April 2022, Slattery recommended that Mrs. Dolan invest \$85,000—approximately 25% of her total retirement savings—into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Slattery told Mrs. Dolan that technology stocks "always come back" and that TQQQ would give her "triple the upside" when the market recovered from early 2022 declines. He described TQQQ as similar to a "supercharged tech mutual fund" and did not explain the daily resetting mechanism, the concept of volatility decay, or the path-dependent nature of compounding returns in leveraged products. He did not discuss the possibility that TQQQ could lose significant value even if the Nasdaq-100 ultimately recovered, nor did he provide her with the fund's prospectus or any written materials explaining the product's risks.

Slattery did not document any rationale for why a 3x leveraged ETF was appropriate for a 68-year-old conservative retiree, and the firm's supervisory system did not flag the trade for heightened review despite the customer's age, risk profile, and the nature of the product. No principal reviewed or approved the transaction.

Mrs. Dolan held TQQQ continuously from April 2022 through February 2023. During that ten-month period, the Nasdaq-100 experienced significant volatility, declining sharply through mid-June 2022, partially

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recovering, then declining again through the fall. By February 2023, the Nasdaq-100 was approximately 8% below its level when Mrs. Dolan purchased TQQQ. However, due to the effects of daily compounding with 3x leverage in a volatile, declining market, Mrs. Dolan's \$85,000 position in TQQQ had fallen to approximately \$34,500—a loss of roughly \$50,500, or 59.4%. This loss was substantially worse than three times the index decline, illustrating the destructive effects of volatility decay on leveraged products held over extended periods. Slattery never contacted Mrs. Dolan during this period to suggest she exit the position, nor did he monitor the account for suitability on an ongoing basis. When Mrs. Dolan called Slattery in February 2023 after reviewing her statement, she was distraught and stated she had no idea the product could lose this much money. She subsequently filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Slattery violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Rule 2111 encompasses three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability.

Regulation Best Interest (SEC Rule 15l-1 under the Exchange Act) imposes a best interest standard requiring that broker-dealers and their associated persons act in the retail customer's best interest at the time of a recommendation, without placing their own interests ahead of the customer's. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The Disclosure Obligation requires full and fair disclosure of all material facts relating to the recommendation, including risks.

FINRA Regulatory Notice 09-31 specifically warned member firms that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice emphasized that due to the effects of daily compounding, returns over longer periods can differ significantly—and often negatively—from the target return for the period. FINRA Regulatory Notice 12-03 reinforced heightened supervision requirements for complex products, including leveraged ETFs, mandating that firms ensure their representatives understand these products before recommending them and that they conduct a customer-specific suitability analysis. FINRA Regulatory Notice 22-08 further proposed enhanced sales practice requirements for complex products, reinforcing the view that products with path-dependent returns require special scrutiny.

****Analysis of Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Mrs. Dolan was a 68-year-old retired conservative investor with limited assets, no investment sophistication, a stated objective of income and capital preservation, and complete dependence on her retirement savings. A 3x daily-leveraged ETF is a speculative, high-risk instrument designed for short-term tactical trading by sophisticated investors. Recommending that she invest 25% of her retirement savings in TQQQ was fundamentally incompatible with every element of her investment profile. This is a clear violation of both FINRA Rule 2111's customer-specific suitability obligation and Reg BI's Care Obligation.

2. ****Reasonable-Basis Suitability Violation:**** Slattery's description of TQQQ as a "supercharged tech mutual fund" demonstrates that he either did not understand the daily-resetting mechanism and volatility decay characteristics of leveraged ETFs, or he deliberately misrepresented them. Under FINRA Rule 2111, an advisor must understand the product well enough to evaluate its risks before recommending it. Under Reg BI, the advisor must exercise reasonable diligence, care, and skill. Slattery failed both standards.

3. ****Disclosure Failure:**** Slattery did not explain the daily reset feature, the concept of path dependency, or the risk of volatility decay. He did not provide the prospectus. He affirmatively mischaracterized the product. This violates Reg BI's Disclosure Obligation and constitutes a failure to disclose material facts about the risks of the recommendation.

4. ****Concentration Risk:**** Placing 25% of a conservative retiree's total investable assets in a single 3x leveraged product represents an extreme concentration that is unsuitable under any reasonable analysis.

5. ****Supervisory Failures:**** The firm failed to flag the transaction for heightened review, despite the obvious mismatch between the customer profile and the product. Under FINRA Rules 3110 (Supervision) and the guidance in RN 09-31, 12-03, and 22-08, firms must implement supervisory systems that identify and review transactions involving complex products, especially for vulnerable customers such as seniors. No principal reviewed or approved this trade. The firm bears supervisory liability.

6. ****Holding Period and Monitoring:**** Consistent with the warnings in FINRA RN 09-31, leveraged ETFs held for ten months will almost certainly experience significant deviation from the target leveraged return due to compounding and volatility decay. Slattery never contacted Mrs. Dolan to reassess the position or recommend an exit, nor did the firm's systems flag the aging position in a daily-resetting leveraged product.

****Likely Regulatory Outcome:****

Slattery would likely face a FINRA enforcement action for violations of Rule 2111 and Reg BI, including potential sanctions such as a fine, disgorgement, suspension, or bar. The firm would likely face supervisory violation charges under Rule 3110 for failure to implement reasonable supervisory procedures for complex product sales. Mrs. Dolan would have strong grounds for recovery of her approximately \$50,500 in losses through FINRA arbitration, and her claim would likely succeed given the extreme unsuitability of the recommendation.

Hypothetical 27

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Donovan, age 72, is a retired elementary school teacher living in suburban Cleveland, Ohio. She receives a monthly pension of \$3,200 and Social Security benefits of \$1,850 per month. Her total liquid savings amount to approximately \$410,000, held primarily in a traditional IRA that she rolled over from her school district's 403(b) plan upon retirement in 2018. Margaret has no prior experience with options, futures, or leveraged products. Her account application lists her investment objective as 'income and preservation of capital,' her risk tolerance as 'conservative,' and her investment experience as 'limited - mutual funds and CDs only.' She has a high school diploma and attended some community college courses but did not complete a degree.

In February 2022, Margaret's financial advisor, Kevin Albright, age 34, recommended that she invest \$82,000 - roughly 20% of her IRA - into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Kevin told Margaret that the fund would 'triple her gains when tech stocks bounce back' and described it as a way to 'supercharge her retirement nest egg.' He did not explain the daily reset mechanism, the concept of volatility decay, or the fact that the product was designed for short-term tactical trading rather than long-term holding. He did not provide her with the fund's prospectus or any supplemental educational materials. Kevin's branch office had no specific procedures in place for approving leveraged ETF transactions for retail customers, and no principal review was conducted before the trade was executed.

Margaret held the position for eleven months. During that period, the Nasdaq-100 experienced significant volatility, declining approximately 33% from its January 2022 peak before partially recovering. Due to the compounding effects of the daily leverage reset, TQQQ lost approximately 62% of its value over the same period even though the underlying index recovered a portion of its losses. By January 2023, Margaret's \$82,000 position was worth approximately \$31,200 - a loss of roughly \$50,800. When Margaret called Kevin in distress after reviewing her year-end statement, he told her to 'hang in there' and that the position would 'come back eventually.' He made no recommendation to exit the position or to reassess her portfolio allocation. Margaret eventually sold the position in March 2023 at \$28,400, realizing a total loss of \$53,600, or approximately 65% of her original investment. This loss represented roughly 13% of her entire retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Albright committed multiple violations of applicable regulatory standards.

****Suitability - FINRA Rule 2111:**** Under Rule 2111, a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. This rule encompasses three component obligations: (1) reasonable-basis suitability - the advisor must understand the product well enough to form a reasonable basis for

[NON-COM

recommending it; (2) customer-specific suitability - the recommendation must be consistent with the specific customer's profile; and (3) quantitative suitability - the advisor must not engage in excessive activity.

Here, Kevin failed reasonable-basis suitability by apparently not understanding (or at least not communicating) TQQQ's daily reset mechanism and the resulting path dependency and volatility decay. FINRA Regulatory Notice 09-31 explicitly warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because the compounding of daily returns causes the fund's performance to deviate significantly from the leveraged multiple of the underlying index's cumulative return over longer periods. FINRA Regulatory Notice 12-03 further underscores that firms must perform reasonable diligence on complex products before recommending them.

Kevin also failed customer-specific suitability. Margaret was a 72-year-old retiree with conservative risk tolerance, limited investment knowledge, an income-and-preservation objective, and no experience with leveraged products. Allocating 20% of her IRA to a 3x leveraged ETF was wholly inconsistent with her stated profile. Her dependence on her retirement savings for living expenses made the risk of catastrophic loss particularly inappropriate.

****Regulation Best Interest - Rule 15l-1 (Reg BI):**** Because the recommendation was made in February 2022, after the June 30, 2020 compliance date, Reg BI's Care Obligation applied. Under Reg BI's Care Obligation, Kevin was required to exercise reasonable diligence, care, and skill in making the recommendation, to understand the potential risks, rewards, and costs of the product, and to have a reasonable basis to believe the recommendation was in Margaret's best interest and did not place his own interests ahead of hers. The recommendation of TQQQ to a conservative, unsophisticated retiree fails this standard on its face. The Disclosure Obligation required Kevin to provide full and fair disclosure of all material facts relating to the recommendation, including the risks of daily compounding and long-term holding - which he did not do.

****Supervision Failures - FINRA Rules 3110 and 3120; FINRA RN 22-08:**** The branch office had no written supervisory procedures specific to complex products such as leveraged ETFs, and no principal reviewed the trade before execution. FINRA RN 22-08 emphasizes that firms must maintain robust supervisory systems for complex products, including mechanisms to flag transactions in leveraged/inverse ETFs for heightened review, particularly when the customer's profile suggests the product is inappropriate. The absence of any supervisory infrastructure represents an independent violation by the firm.

****Ongoing Duty and Failure to Mitigate:**** Kevin's advice to 'hang in there' when Margaret reported her losses in January 2023 compounded the initial violation. Rather than recommending she exit a position that was plainly unsuitable and deteriorating due to the very path-dependency risks inherent in the product, he encouraged continued holding, deepening her losses by an additional amount.

****Likely Regulatory Outcome:**** Kevin would likely face individual sanctions including a fine, a suspension (potentially 6-12 months given the egregiousness of the mismatch), and an order to pay restitution of approximately \$53,600. The firm would likely face a fine for supervisory failures and be required to implement comprehensive complex-products procedures. In a customer arbitration, Margaret would have

strong claims for compensatory damages representing her full loss, plus potentially interest, given the clear unsuitability of the recommendation and the advisor's failure to disclose material product characteristics.

Hypothetical 28

Topic: *leveraged_etf_unsuitable* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Margaret Olsen, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,800 per month from her pension and \$1,950 per month in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account and a small taxable brokerage account. She has no other significant assets besides her home, which is paid off. Mrs. Olsen's stated investment objectives are capital preservation and income generation, and on her new account form she indicated a "conservative" risk tolerance. She has limited investment experience, having previously held only certificates of deposit and a target-date retirement fund through her employer's 403(b) plan.

In March 2021, her financial advisor, Craig Delaney, at Ridgepoint Financial Services, recommended that Mrs. Olsen invest \$95,000 - roughly 28% of her liquid net worth - into the ProShares UltraPro QQQ (TQQQ), a 3x daily leveraged ETF tracking the Nasdaq-100 Index. Delaney told Mrs. Olsen that tech stocks "always go up over time" and that the leveraged fund would "supercharge" her returns so she could leave a larger inheritance for her grandchildren. He did not explain the daily resetting mechanism of the fund, the concept of volatility decay, or the risk that a 3x leveraged product could lose substantially more than the underlying index over holding periods longer than a single trading day. He did not provide her with the fund's prospectus or any supplemental educational materials about leveraged ETFs.

Delaney's branch manager, Susan Pratt, approved the trade without any additional review or inquiry, despite the firm's internal procedures requiring heightened supervisory review for complex products purchased by customers over age 65 with conservative risk profiles.

Mrs. Olsen held the TQQQ position for approximately 14 months. During that period, the Nasdaq-100 experienced significant volatility, including a sharp drawdown beginning in late 2021 that accelerated through the first half of 2022. By May 2022, Mrs. Olsen's \$95,000 TQQQ position had declined to approximately \$31,400, a loss of roughly \$63,600 or 67%. The Nasdaq-100 itself had declined approximately 27% over the same period, but the compounding effect of the daily 3x leverage and the path dependency of returns in a volatile, declining market amplified Mrs. Olsen's losses far beyond three times the index decline. Delaney never contacted Mrs. Olsen during the holding period to discuss whether the position remained appropriate, nor did he recommend any rebalancing or exit strategy. Mrs. Olsen only discovered the magnitude of her losses when she received her quarterly account statement in June 2022 and called the firm in distress.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, financial advisor Craig Delaney violated applicable suitability and best interest standards in multiple respects, and his supervisor Susan Pratt failed in her supervisory obligations.

****Applicable Standards:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and investment experience. This rule encompasses three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability.

Under Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act, broker-dealers must act in the retail customer's best interest at the time a recommendation is made, without placing the financial interest of the broker ahead of the customer. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation and to have a reasonable basis for believing the recommendation is in the customer's best interest.

FINRA Regulatory Notice 09-31 specifically warned firms and registered representatives that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading day. The notice explains that these products are designed for short-term trading and that their performance over longer periods can deviate significantly from the stated multiple of the underlying index due to the mathematical effects of daily compounding (often called "volatility decay" or "path dependency"). FINRA Regulatory Notice 12-03 further emphasized heightened supervision requirements for complex products, and FINRA Regulatory Notice 22-08 proposed additional sales practice obligations for complex products including leveraged ETFs.

****Analysis of Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Mrs. Olsen is a 71-year-old retired teacher with conservative risk tolerance, capital preservation and income objectives, limited investment experience, and no prior exposure to complex products. A 3x daily leveraged ETF is one of the most aggressive and volatile equity instruments available to retail investors. Allocating 28% of her liquid net worth to TQQQ was fundamentally incompatible with every element of her investment profile. This constitutes a clear violation of FINRA Rule 2111(a) customer-specific suitability and the Care Obligation under Reg BI.

2. ****Reasonable-Basis Suitability Violation:**** Delaney's statement that tech stocks "always go up over time" and that the leveraged fund would "supercharge" returns suggests he either did not understand the daily resetting mechanism and volatility decay inherent in leveraged ETFs or chose to ignore it. A representative who does not understand a product's risks cannot have a reasonable basis for recommending it. This violates FINRA Rule 2111's reasonable-basis component.

3. ****Disclosure Failures:**** Delaney failed to provide the prospectus, failed to explain the daily reset feature, failed to explain volatility decay, and failed to explain that the product is designed for single-day holding

periods. Under Reg BI's Disclosure Obligation, material facts about the recommendation - including risks and product features - must be disclosed to the retail customer.

4. **Failure to Monitor / Ongoing Obligations:** While Reg BI is applied at the point of recommendation (not as a continuing duty), the fact that Delaney never contacted Mrs. Olsen over 14 months while she held an inherently short-term trading product exacerbated the harm. Under FINRA guidance in RN 09-31, firms recommending leveraged ETFs should have active monitoring procedures in place given the products' daily reset design.

5. **Supervisory Failures:** Branch manager Susan Pratt approved the trade despite the firm's own internal procedures requiring heightened review for complex product purchases by customers over 65 with conservative profiles. This constitutes a violation of FINRA Rule 3110 (Supervision) and the firm's own written supervisory procedures. FINRA RN 12-03 and 22-08 both emphasize that firms must implement and enforce robust supervisory systems for complex products, including leveraged ETFs.

Likely Regulatory Outcome:

Delaney would likely face individual sanctions including fines, disgorgement of commissions, suspension, or a bar from the securities industry depending on his disciplinary history. The firm, Ridgepoint Financial Services, would likely face fines and required remediation for supervisory failures under Rule 3110. Mrs. Olsen would have strong grounds for recovery of her approximately \$63,600 in losses through FINRA arbitration, potentially with interest, and possibly attorneys' fees depending on the state. Regulators could also require the firm to review all leveraged ETF sales to similarly situated customers for systemic compliance failures.

Hypothetical 29

Topic: *high_fees_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Olsen, age 71, is a retired elementary school teacher living in Spokane, Washington. She receives \$2,400 per month from her state pension and \$1,850 per month from Social Security. Her total liquid savings amount to approximately \$385,000, held in an IRA rollover account that represents the bulk of her retirement nest egg. She has no other significant assets aside from her home, which is paid off. Margaret has described her investment objective as income and capital preservation, and on her new account form she indicated a "conservative" risk tolerance. She has no prior experience trading options, futures, or leveraged products, and her investment history consists entirely of certificates of deposit and a target-date retirement fund offered through her employer's 403(b) plan.

In September 2021, Margaret's financial advisor, Craig Winslow, age 44, with twelve years of industry experience, recommended that she move \$155,000 - roughly 40% of her IRA - into a combination of three leveraged and inverse exchange-traded funds: \$60,000 into a 3x leveraged bull semiconductor ETF (carrying an expense ratio of 0.95%), \$50,000 into a 2x leveraged bull S&P 500 ETF (expense ratio 0.91%),

[NON-COMPLIANT]

and \$45,000 into a 3x inverse leveraged natural gas ETF (expense ratio 1.01%). Craig told Margaret these products would "supercharge" the returns on her retirement account and that she wouldn't need to worry about monitoring them because he would "keep an eye on things." He did not explain that these funds reset daily, nor did he describe how volatility decay or path dependency could erode returns over time even if the underlying index moved favorably. He did not provide Margaret with any product-specific risk disclosure documents, and there is no record in the firm's files that a leveraged/inverse ETF risk acknowledgment was signed.

Margaret held all three positions for fourteen months without any rebalancing or review by Craig. During that period, the semiconductor sector experienced significant volatility, and natural gas prices surged. By November 2022, her \$155,000 allocation had declined to approximately \$61,400 - a loss of roughly \$93,600 or 60.4%. The expense ratios on the leveraged products compounded the damage: over the holding period, the three ETFs collectively generated approximately \$2,950 in embedded management fees that were deducted from the fund NAVs, on top of the volatility decay losses. Craig's firm charged an additional 1.50% annual advisory wrap fee on the full account value, which added approximately \$4,800 in advisory fees over the fourteen months on just the leveraged ETF portion. In total, Margaret paid approximately \$7,750 in combined fees on positions that lost more than 60% of their value.

Margaret filed a complaint with her state securities regulator in January 2023, stating she never understood the products, was never told they could lose this much money, and that Craig had not contacted her once during the fourteen months to discuss the positions. Craig's supervisory principal had approved the initial trades via an automated order-entry system without conducting any heightened review or flagging the account for the client's age, risk tolerance, or the concentrated leveraged ETF allocation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Winslow violated multiple regulatory standards governing suitability, best interest, and complex product supervision.

1. ****FINRA Rule 2111 (Suitability):**** Under the three-component suitability framework - reasonable-basis, customer-specific, and quantitative suitability - Craig failed on all counts. He lacked a reasonable basis for recommending daily-resetting leveraged and inverse ETFs for long-term holding; these products are designed for short-term (typically single-day) tactical trading. Customer-specific suitability was violated because Margaret was a 71-year-old retiree with conservative risk tolerance, a capital preservation objective, no experience with complex products, and an IRA that constituted the vast majority of her retirement savings. Concentrating 40% of her IRA in 2x and 3x leveraged/inverse ETFs was plainly unsuitable. Quantitative suitability is also implicated given the cumulative fee drag and losses relative to her modest income and total savings.

2. ****Regulation Best Interest (Rule 15l-1):**** For a retail customer like Margaret, Reg BI's Care Obligation required Craig to exercise reasonable diligence, care, and skill in making the recommendation, to understand the risks and rewards of the products, and to have a reasonable basis to believe the recommendation was in Margaret's best interest without placing his own financial interest ahead of hers.

The 1.50% advisory wrap fee provided Craig a financial incentive to place assets into the account regardless of suitability. He failed to consider reasonably available alternatives (e.g., investment-grade bond funds, dividend equity funds, or CDs) that would have aligned with Margaret's stated objectives. The Disclosure Obligation was also breached: Craig did not explain daily resetting, path dependency, volatility decay, or the compounding effect of high expense ratios on leveraged products.

3. **FINRA Regulatory Notices 09-31 and 22-08 (Complex Products / Leveraged & Inverse ETFs):** FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because compounding of daily returns causes performance to deviate significantly from the stated multiple of the underlying index over longer periods. RN 22-08 reinforced heightened obligations for complex product recommendations, including the need for a reasonable basis to believe the customer can understand and bear the risks of the product and that the product aligns with the customer's profile. Craig made no effort to educate Margaret, provided no written risk disclosures, and held the positions for fourteen months - far exceeding the single-day or short-term horizon for which these products are designed.

4. **FINRA RN 12-03 (Complex Products Supervision):** Craig's firm failed in its supervisory obligations. The supervisory principal approved the trades through an automated system without any heightened review, despite clear red flags: the customer's age (71), conservative risk tolerance, capital preservation objective, lack of experience with complex instruments, and the size of the allocation (40% of the IRA). Firms are expected to implement written supervisory procedures specifically tailored to complex products, including post-trade surveillance to detect prolonged holding periods in daily-resetting products. None of this occurred.

5. **Fees and Cost Analysis:** The combined \$7,750 in fees (approximately \$2,950 in embedded fund expenses plus roughly \$4,800 in wrap advisory fees) on positions that lost over 60% of their value further demonstrates the unsuitability of the recommendation. The high expense ratios inherent to leveraged ETFs (0.91%-1.01%) compounded by the firm's 1.50% wrap fee created a total annual cost burden approaching 2.5%, applied to inherently volatile and decaying positions - an unreasonable cost structure for a conservative retiree.

Likely Regulatory Outcome: Craig faces potential sanctions including fines, disgorgement of advisory fees, suspension or bar from the industry, and an order to pay restitution of Margaret's losses (approximately \$93,600). His firm faces supervisory failure charges and potential fines under FINRA's supervisory rules. The pattern is consistent with enforcement actions brought by state securities regulators and FINRA against advisors who recommended long-term holding of leveraged/inverse ETFs to conservative, elderly, or unsophisticated retail customers.

Hypothetical 30

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

[NON-COM

Gerald Whitmore, age 71, is a retired postal worker living in Tacoma, Washington, with an annual pension income of \$38,000 and total liquid savings of approximately \$285,000, which represented the bulk of his retirement nest egg. Gerald had maintained a brokerage account since 2016 with his advisor, Randall Compton, at a mid-sized regional broker-dealer. When the account was opened, Gerald completed a new account form indicating his investment objectives were 'income and capital preservation,' his risk tolerance was 'low to moderate,' his investment time horizon was '10+ years,' and his prior investment experience consisted solely of mutual funds and certificates of deposit held at his credit union. Gerald had a high school education and no professional background in finance.

In February 2021, during a phone call, Compton told Gerald that he had 'a way to turbocharge returns on a small piece of the portfolio' and recommended allocating \$95,000 - roughly one-third of Gerald's liquid assets - into two exchange-traded products: \$55,000 into a 3x leveraged daily-resetting ETF tracking the Nasdaq-100 index, and \$40,000 into a 2x leveraged daily-resetting ETF tracking the S&P 500 Energy sector. Compton did not ask Gerald any updated questions about his financial situation, goals, or risk tolerance before making these recommendations. No updated account profile form or questionnaire was completed. Compton did not explain the daily reset mechanism, the concept of volatility decay, or the fact that these products were designed for short-term tactical trading and could lose substantial value even if the underlying index was flat or slightly positive over longer holding periods. No written disclosure materials regarding leveraged ETFs were provided.

Compton placed the trades in Gerald's account in late February 2021 and did not set any stop-loss levels or establish any rebalancing plan. Over the following fourteen months, Compton never contacted Gerald to discuss the positions or recommend any adjustments. Gerald, who checked his statements infrequently, assumed the positions were long-term investments similar to the mutual funds he had previously owned.

By April 2022, amid rising interest rates and significant market volatility, the 3x Nasdaq-100 leveraged ETF position had declined from \$55,000 to approximately \$21,400, and the 2x Energy leveraged ETF - despite the energy sector posting modest gains over parts of the period - had experienced substantial path-dependent erosion and was valued at approximately \$29,500. Gerald's combined losses on these two positions totaled roughly \$44,100, representing over 15% of his total pre-investment liquid net worth. When Gerald finally called Compton in May 2022 to ask about the losses, Compton told him to 'hang tight and wait for the bounce back,' without explaining why long-term holding of daily-resetting leveraged products was unlikely to recover losses in the manner a traditional index fund might. Gerald filed a complaint with his state securities regulator in August 2022.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Randall Compton violated applicable suitability and best interest standards on multiple grounds.

****Failure to Know the Customer (FINRA Rule 2111 - Reasonable-Basis & Customer-Specific Suitability; Regulation Best Interest Rule 15l-1 Care Obligation):****

The foundational violation here is a failure to know the customer. Compton did not update Gerald

Whitmore's account profile before recommending the leveraged ETF positions. The existing profile - completed years earlier - reflected low-to-moderate risk tolerance, income and capital preservation objectives, and experience limited to mutual funds and CDs. Under FINRA Rule 2111, an advisor must have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including age, financial situation, risk tolerance, time horizon, liquidity needs, and investment experience. Compton made no effort to gather updated information. Even if Gerald's profile had been updated, it is difficult to conceive how a 71-year-old retiree with \$285,000 in total liquid savings, low-to-moderate risk tolerance, and no sophisticated product experience would have a profile consistent with a one-third portfolio allocation to 2x and 3x daily-resetting leveraged ETFs.

Under Reg BI (Rule 15l-1), the Care Obligation requires that a broker-dealer and its associated persons exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile. This includes understanding the risks and rewards of the recommended security and having a reasonable basis to believe the recommendation is in the retail customer's best interest. Compton plainly failed to exercise such care.

****Leveraged and Inverse ETF-Specific Concerns (FINRA Regulatory Notices 09-31, 12-03, and 22-08):****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of compounding (volatility decay or path dependency). The notice stated that the performance of these products over longer periods can differ significantly - and often negatively - from the stated multiple of the underlying index's return. FINRA RN 22-08 further reinforced obligations around complex products, including enhanced supervision, training, and the need for firms and advisors to ensure customers understand the product mechanics before purchasing.

Compton recommended a 14-month (or longer) hold of daily-resetting leveraged ETFs to a retiree, with no rebalancing or monitoring plan, no risk disclosure, and no explanation of path dependency. This is precisely the scenario regulators have repeatedly flagged as inappropriate.

****Failure to Disclose Material Risks:****

Compton did not explain the daily reset mechanism, compounding risk, or the possibility that long-term holding could produce results dramatically different from the leveraged multiple of the underlying index. This is a violation of the disclosure component of Reg BI and a factor in suitability analysis under Rule 2111.

****Supervisory Failures:****

Compton's firm may also face liability under FINRA Rule 3110 for inadequate supervision. FINRA RN 09-31 and RN 22-08 call on firms to implement heightened supervisory procedures for leveraged and inverse ETFs, including monitoring for excessive holding periods and ensuring that associated persons are trained on product mechanics. There is no indication that any supervisory review flagged Gerald's account.

****Concentration Risk:****

Allocating approximately 33% of a 71-year-old retiree's liquid assets to leveraged ETFs represents an extreme concentration in high-risk, complex products that is inconsistent with the customer's stated objectives and risk profile.

****Likely Regulatory Outcome:****

Compton would likely face sanctions including disgorgement or restitution of client losses (approximately \$44,100), monetary fines, a suspension or bar from the securities industry, and possible enhanced supervisory requirements for the employing firm. State securities regulators, as illustrated by enforcement patterns in Washington and other jurisdictions, have pursued consent orders, cease-and-desist orders, registration denials, and fines in analogous cases. The firm could face additional penalties for supervisory failures under FINRA Rules 3110 and 3120.

Hypothetical 31

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Dawson, age 78, is a retired schoolteacher living in Tucson, Arizona. She has a fixed income of approximately \$2,800 per month from Social Security and a small pension. Her total liquid savings amount to \$215,000, held in a brokerage account that constitutes essentially all of her investable assets outside of her home. She has no other family financial support and relies on her portfolio to supplement her income for medical expenses, property taxes, and daily living costs. On her new account form, completed in January 2023, her investment objective was marked as 'income and capital preservation,' her risk tolerance was listed as 'conservative,' her time horizon was '1-3 years,' and her investment experience was described as 'limited - mostly CDs and savings bonds.' Her financial advisor, Craig Ellerman, age 34, had been with the firm for four years. In March 2023, Ellerman recommended that Mrs. Dawson invest \$95,000 - roughly 44% of her liquid net worth - into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index, and \$40,000 into Direxion Daily Semiconductor Bull 3X Shares (SOXL). Ellerman told Mrs. Dawson that these funds would 'supercharge her returns so she wouldn't have to worry about running out of money,' and described them as 'just like regular index funds but better.' He did not explain the daily resetting mechanism, the concept of volatility decay, or the compounding risks of holding leveraged products over extended periods. He also did not mention that the funds carried expense ratios significantly higher than standard index ETFs - TQQQ at 0.88% and SOXL at 0.76%. No written disclosure specific to leveraged or complex products was provided, and the firm's product review committee had not approved either fund for solicitation to clients with conservative risk profiles. Mrs. Dawson held both positions for fourteen months. During that period, the Nasdaq-100 experienced multiple sharp drawdowns and recoveries, and the semiconductor sector was highly volatile. By May 2024, her TQQQ position had declined to \$51,300 and her SOXL position had fallen to \$19,200, representing combined losses of approximately \$64,500 - a 47.8% loss on the \$135,000 invested. Meanwhile, the underlying Nasdaq-100 index was down only about 4% over the same period, illustrating the dramatic impact of path dependency

[NON-COM]

and volatility decay on daily-leveraged instruments held long-term. Mrs. Dawson filed a written complaint with the firm in June 2024, stating she had no idea the products were so risky and that her advisor never explained they were designed only for short-term trading. An internal review revealed that Ellerman had also placed two other clients over age 70 into similar leveraged ETF positions during the same period.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Ellerman clearly violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and investment experience. Rule 2111 encompasses three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability (ensuring the volume/frequency of transactions is not excessive).

2. ****Regulation Best Interest (Reg BI), Rule 15l-1:**** Under the Care Obligation of Reg BI, a broker-dealer must exercise reasonable diligence, care, and skill in making a recommendation, must understand the potential risks, rewards, and costs of the recommendation, and must have a reasonable basis to believe the recommendation is in the retail customer's best interest and does not place the firm's interest ahead of the customer's. The Disclosure Obligation requires full and fair disclosure of material facts, including risks and costs.

3. ****FINRA Regulatory Notices 09-31 and 22-08:**** RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding and volatility decay. The notice stated that these products can produce returns that diverge significantly from the underlying index over longer periods. RN 22-08 reinforced obligations around complex products, requiring heightened supervision, robust suitability analysis, and clear disclosure when recommending complex products to retail investors, particularly those with limited sophistication.

****Analysis of Violations:****

- ****Customer-Specific Suitability Failure:**** Mrs. Dawson's documented profile - age 78, conservative risk tolerance, income/capital preservation objective, 1-3 year time horizon, limited investment experience, and dependence on the portfolio for living expenses - is fundamentally incompatible with 3x daily-leveraged ETFs. These are among the most volatile and risky equity products available to retail investors. Concentrating 63% of a conservative senior's liquid assets (\$135,000 of \$215,000) in such products is a textbook suitability violation.

- **Reasonable-Basis Suitability Failure:** Ellerman's description of TQQQ and SOXL as 'just like regular index funds but better' demonstrates either a fundamental misunderstanding of the products or a deliberate misrepresentation. A broker who does not understand daily resetting, path dependency, and volatility decay cannot have a reasonable basis for recommending these products to any customer.

- **Reg BI Care Obligation Violation:** Ellerman failed to exercise reasonable diligence, care, and skill. He did not evaluate whether the products' risk/return characteristics aligned with Mrs. Dawson's needs. The recommendation clearly placed the advisor's interests (likely in generating commissions or meeting sales targets) ahead of the customer's interest in preserving her limited retirement savings.

- **Reg BI Disclosure Obligation Violation:** Ellerman failed to disclose material facts about the products, including the daily resetting mechanism, the risk of significant losses from long-term holding due to volatility decay, the elevated expense ratios, and the products' intended use as short-term tactical trading instruments.

- **Supervisory Failures:** The firm's product review committee had not approved TQQQ or SOXL for solicitation to conservative-profile clients, yet Ellerman recommended them without any apparent supervisory intervention. Under FINRA Rule 3110, the firm has an obligation to establish and maintain supervisory systems reasonably designed to ensure compliance with applicable rules. The fact that Ellerman placed multiple senior clients into similar positions suggests a systemic supervisory failure. FINRA RN 22-08 specifically emphasized the need for firms to establish effective policies and procedures around complex product recommendations, including pre-approval processes and enhanced supervision for vulnerable populations.

- **Senior Investor Considerations:** Mrs. Dawson's age, cognitive vulnerability, financial dependence on the account, and limited experience create heightened obligations. Numerous regulatory pronouncements have emphasized that firms and advisors owe special care when dealing with senior investors, and recommendations of highly complex, volatile products to such clients invite the most exacting scrutiny.

Outcome and Losses: The \$64,500 loss (47.8%) on her leveraged ETF holdings - while the underlying index declined only ~4% - vividly illustrates the path-dependency and volatility decay risks that were neither understood by the client nor explained by the advisor. This divergence is precisely the phenomenon regulators have repeatedly warned about since 2009.

Likely Regulatory Outcome: Ellerman faces potential individual sanctions including fines, suspension, or a bar. The firm faces potential fines and a requirement to pay restitution. A pattern of placing senior clients into unsuitable leveraged products could result in enhanced penalties and mandated remediation programs. Mrs. Dawson would likely prevail in a customer arbitration claim for compensatory damages of approximately \$64,500, plus potential interest and fees.

Hypothetical 32

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Margaret Dietrich, age 67, is a retired elementary school teacher living in Dayton, Ohio. She has a modest retirement portfolio of approximately \$285,000, consisting primarily of a 403(b) rollover IRA and a small savings account. Her monthly income is \$2,400 from her pension and \$1,350 from Social Security. On her new account form, she listed her investment objective as 'income and capital preservation,' her risk tolerance as 'low,' and her investment experience as 'limited - mostly CDs and savings bonds.' She has no college degree in finance or business and has never traded options, futures, or any derivative instruments.

In February 2022, Margaret's financial advisor, Kevin Brashear, age 34, at Ridgmont Financial Group, recommended that she invest \$75,000 - roughly 26% of her total retirement savings - into a 3x leveraged bull semiconductor ETF (ticker: SOXL) and \$40,000 into a 2x inverse Treasury bond ETF (ticker: TBT). Kevin told Margaret that semiconductors were 'the future of technology' and that interest rates were 'guaranteed to keep rising,' making the inverse bond fund 'a sure thing.' He described both products as 'like regular ETFs, just with a little extra kick.' He did not explain daily resetting mechanics, compounding effects, volatility decay, or path dependency. No written disclosure materials specific to leveraged or inverse products were provided to Margaret.

Kevin's branch manager, Linda Sorrell, approved both trades without conducting any additional review or requiring documentation of why leveraged and inverse products were appropriate for a retiree with low risk tolerance and limited investment knowledge. The firm had no specialized training requirement or heightened supervisory protocol for complex product recommendations.

Margaret held both positions for eleven months. During that period, the semiconductor sector experienced significant volatility, with SOXL declining approximately 62% from her purchase price despite the underlying index only falling about 25%. TBT similarly underperformed expectations due to volatile interest rate movements and daily reset compounding, losing approximately 18% even though long-term Treasury yields rose modestly over the same period. By January 2023, Margaret's combined \$115,000 investment was worth approximately \$52,400, a total loss of roughly \$62,600. Margaret only discovered the severity of the losses when she requested a portfolio review to plan a required minimum distribution. She stated she had no idea the products could lose money at such an accelerated rate relative to the underlying markets, and that Kevin never contacted her to discuss whether she should exit the positions.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Brashear violated applicable suitability and best interest standards in multiple respects, and his firm failed in its supervisory obligations regarding complex product recommendations.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy involving a security is suitable for the customer, based on the customer's investment profile. The rule encompasses three obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching

to the individual), and quantitative suitability.

2. **Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act:** For retail customer recommendations made after June 30, 2020, the broker-dealer must act in the best interest of the retail customer at the time a recommendation is made, without placing the financial interest of the broker ahead of the customer. The Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care, and skill in understanding the product, assessing the customer's profile, and evaluating alternatives.

3. **FINRA Regulatory Notices 09-31 and 22-08:** RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlighted the effects of daily compounding, volatility decay, and path dependency, which can cause returns to deviate dramatically from the expected multiple of the underlying index over periods longer than one day. RN 22-08 reinforced heightened obligations when recommending complex products, requiring firms to establish robust written supervisory procedures, enhanced due diligence, and tailored training for associated persons.

Analysis of Violations:

- **Reasonable-Basis Suitability Failure:** Kevin's description of the leveraged and inverse ETFs as 'like regular ETFs, just with a little extra kick' strongly suggests he either did not understand the daily resetting mechanics and compounding risks, or he deliberately mischaracterized them. A 3x leveraged semiconductor ETF and a 2x inverse Treasury ETF are complex derivative-based products with well-documented path dependency and volatility decay risks. An advisor who cannot explain these features to a customer lacks the requisite understanding to recommend them.

- **Customer-Specific Suitability Failure:** Margaret's profile - age 67, retired, low risk tolerance, income/capital preservation objectives, limited investment experience, and modest total savings - is fundamentally inconsistent with leveraged and inverse ETF investments. Allocating 26% of her retirement assets to a 3x leveraged equity ETF and an additional 14% to a 2x inverse bond ETF (totaling roughly 40% of her portfolio in highly volatile complex products) was grossly unsuitable. These products are designed for sophisticated, short-term tactical traders, not retired individuals seeking capital preservation.

- **Reg BI Care Obligation Failure:** Kevin failed to exercise reasonable diligence and care by not evaluating reasonably available alternatives (such as conventional semiconductor index funds or short-duration bond funds), by not considering the potential costs and risks relative to Margaret's profile, and by not making a recommendation that was in her best interest. His statements that semiconductor exposure was 'the future' and rising rates were 'guaranteed' reflected speculative reasoning inappropriate for a capital preservation-oriented retiree.

- **Disclosure Failure:** Kevin provided no written materials explaining leveraged/inverse product mechanics, no risk disclosures specific to daily-resetting products, and made affirmatively misleading characterizations. This violates the Disclosure Obligation under Reg BI and general fair dealing obligations.

- **Supervisory Failure:** Branch manager Linda Sorrell approved the trades without any heightened

review, despite the customer profile being clearly inconsistent with complex leveraged products. The firm lacked specialized supervisory procedures for complex products, contrary to the expectations set forth in FINRA RN 09-31 and RN 22-08, which emphasize the need for written supervisory procedures specifically tailored to leveraged and inverse ETF transactions. FINRA Rule 3110 requires firms to establish and maintain a system of supervision reasonably designed to achieve compliance, and the absence of any complex product review protocol constitutes a supervisory deficiency.

- **Holding Period Harm:** The fact that Margaret held these daily-resetting products for eleven months without any advisor-initiated review or contact directly illustrates the harm that FINRA RN 09-31 warned about. SOXL declined 62% while its underlying index fell only 25% - a textbook example of volatility decay and adverse compounding over extended holding periods. The \$62,600 loss on a \$115,000 investment represents a catastrophic outcome for a retiree with limited resources.

Likely Regulatory Outcome:

Kevin Brashear would likely face individual liability including potential fines, suspension, and an order to pay restitution. Ridgmont Financial Group would likely face supervisory violation charges for failure to implement adequate complex product procedures and for the branch manager's perfunctory approval of clearly unsuitable transactions. The firm may face fines and be required to implement enhanced supervisory procedures. Margaret would likely recover her losses through arbitration or regulatory restitution, given the clear unsuitability and Reg BI violations.

Hypothetical 33

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Kowalski, age 68, retired from a career as an elementary school teacher in Dayton, Ohio. She receives a \$2,400 monthly pension and \$1,850 in Social Security benefits. Her total liquid savings amount to approximately \$215,000, held in an IRA rollover account that represents the vast majority of her retirement assets. Her new account form, completed in March 2022, listed her investment objective as 'income and capital preservation,' her risk tolerance as 'low,' her time horizon as '5-10 years,' and her investment experience as 'limited - owns mutual funds and CDs.' She told her financial advisor, Kevin Braddock, that she was worried about inflation eating into her fixed income and wanted to 'keep up with things without losing what I have.' Braddock, who had been in the business for four years, recommended she allocate \$65,000 of her IRA - roughly 30% of her total retirement savings - into the ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. He described it to her as a 'turbocharged version of the Nasdaq that would help her beat inflation over time.' He did not discuss volatility decay, daily reset mechanics, or the compounding effects that cause the fund's performance to deviate significantly from three times the index's cumulative return over periods longer than one day. He did not provide the fund's prospectus or any supplemental materials explaining leveraged ETF risks. His firm had no formal training program or approval process specifically for leveraged or inverse products. The position was purchased in April 2022 and held continuously. By October 2022, the Nasdaq-100 had

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declined approximately 32% from its peak, while TQQQ had lost roughly 72% of its value over the same period, reducing Margaret's \$65,000 position to approximately \$18,200. Margaret called Braddock several times during the decline, and he repeatedly reassured her that 'the market always comes back' and advised her to hold. No rebalancing or exit strategy was implemented. Margaret filed a complaint in January 2023, stating she never understood the product, was never told it could lose this much, and that the losses had materially impacted her ability to fund her retirement.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Braddock violated applicable standards on multiple levels. Under FINRA Rule 2111 (Suitability), a financial advisor must have a reasonable basis for believing that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, experience, and time horizon. Under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), the standard is heightened: the advisor must act in the customer's best interest at the time of the recommendation, exercising reasonable diligence, care, and skill.

FINRA Regulatory Notice 09-31 specifically warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. FINRA RN 12-03 and RN 22-08 further emphasize that complex products - including leveraged ETFs - require heightened supervision, meaningful disclosure of risks, and careful evaluation of whether the customer can understand and bear the risks involved.

Here, multiple failures are evident:

1. ****Reasonable Basis Suitability / Reg BI Care Obligation****: TQQQ is a 3x daily-leveraged ETF subject to significant path dependency and volatility decay. Its daily resetting mechanism means that over any period longer than a single day, its returns can deviate dramatically from three times the index's cumulative return, particularly in volatile markets. Braddock had an obligation to understand these mechanics before recommending the product. His description of TQQQ as a 'turbocharged version of the Nasdaq' that would help a retiree 'beat inflation over time' demonstrates a fundamental misunderstanding of the product or a reckless disregard for its characteristics. This fails the reasonable-basis component of suitability under Rule 2111(a) and the care obligation under Reg BI.
2. ****Customer-Specific Suitability****: Margaret was a 68-year-old retiree with limited investment experience, low risk tolerance, a capital preservation objective, and dependence on her IRA for retirement income. Allocating 30% of her total retirement savings to a 3x leveraged equity ETF is facially unsuitable for this profile. A product capable of losing 72% of its value in six months is incompatible with 'low risk tolerance' and 'capital preservation.'
3. ****Quantitative Suitability****: While a single product recommendation, the sheer concentration - \$65,000 of \$215,000 in retirement savings - in an extraordinarily volatile instrument represents an excessive and unsuitable allocation for this customer.

4. ****Disclosure Failures / Reg BI Disclosure Obligation****: Braddock failed to provide the prospectus, failed to explain volatility decay, daily reset mechanics, or compounding risk, and affirmatively mischaracterized the product. Under Reg BI's disclosure component, the advisor must disclose material facts about the recommendation, including risks and the capacity for loss.

5. ****Supervisory Failures****: The firm's lack of a formal training program, approval process, or heightened supervision framework for leveraged and inverse products violates supervisory obligations under FINRA Rule 3110 and the guidance in FINRA RN 09-31 and RN 22-08, which explicitly call for firms to implement written supervisory procedures specific to complex products, including pre-approval requirements and post-trade surveillance.

6. ****Failure to Manage the Position****: Even after the position was established, Braddock's repeated advice to 'hold' a daily-resetting leveraged product during a sustained decline compounded the harm. The ongoing hold recommendation itself was unsuitable, as FINRA has been clear that these products are designed for short-term tactical use.

The likely regulatory outcome would include findings of suitability violations under Rule 2111, violations of the care and disclosure obligations under Reg BI, and supervisory deficiency findings against the firm. Remedies could include restitution of losses (approximately \$46,800), fines, a suspension or bar for Braddock, and supervisory sanctions against the firm. In an arbitration setting, the customer would have strong grounds for a compensatory damages award.

Hypothetical 34

Topic: *leveraged_etf_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Dolan, age 67, is a retired elementary school teacher living in suburban Philadelphia. She receives a monthly pension of \$3,400 and Social Security payments of \$1,850, giving her a combined annual fixed income of approximately \$63,000. She has \$410,000 in a rollover IRA, which represents the vast majority of her liquid savings aside from a \$22,000 emergency fund in a money market account. She owns her home outright. On her new account form, Margaret indicated a "moderate" risk tolerance, an investment objective of "income and capital preservation," a time horizon of 15-20 years, limited investment experience (primarily mutual funds and CDs through her employer's retirement plan), and no experience with options, futures, or complex exchange-traded products.

In March 2023, Margaret's financial advisor, Kevin Brandt, age 34, recommended that she invest \$82,000 of her IRA—roughly 20% of the account—into the ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Kevin told Margaret that the technology sector was poised for strong growth due to the artificial intelligence boom, and that this fund would allow her to "triple the gains" of the Nasdaq. He described TQQQ as similar to a regular technology index fund but with "extra upside potential." He did not explain the daily resetting mechanism, the concept of volatility decay, or the compounding effects that cause leveraged ETFs to deviate significantly from their stated multiple over holding periods

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longer than one day. He did not provide the fund's prospectus or any written materials describing the product's risks.

Kevin's notes in the firm's system stated only: "Client interested in growth allocation to complement fixed income holdings. Recommended TQQQ for tech exposure." The firm's product approval list included TQQQ but flagged it as a "complex product" requiring enhanced documentation and supervisory pre-approval for accounts belonging to investors over age 60 or those with conservative-to-moderate risk profiles. Kevin did not seek or obtain the required pre-approval.

Margaret held the TQQQ position for eleven months. During this period, the Nasdaq-100 experienced significant volatility, including a drawdown of approximately 12% between July and October 2023 before partially recovering. By February 2024, the Nasdaq-100 had risen roughly 9% from her purchase date; however, due to volatility decay and the compounding effects of daily resetting, TQQQ had gained only about 14%-well below the approximately 27% (3x) that Margaret would have expected based on Kevin's description. More critically, during the October drawdown, TQQQ had fallen approximately 34%, and Margaret-alarmed by watching \$28,000 disappear from her retirement account-called Kevin in a panic. He reassured her to "hold on" and that "it would come back." She ultimately sold the position in February 2024 for a gain of approximately \$11,500, but the experience caused her significant distress, and she filed a complaint with the firm stating that Kevin never explained the risks of the product or its daily resetting nature, and that the investment was wholly inappropriate for her retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, financial advisor Kevin Brandt violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a firm or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and investment experience. Rule 2111 encompasses three component obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching to the customer), and quantitative suitability.
2. ****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** For broker-dealer recommendations to retail customers, Reg BI requires the advisor to act in the customer's best interest at the time the recommendation is made, without placing the advisor's interest ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in understanding the product and forming a reasonable basis to believe the recommendation is in the retail customer's best interest given the customer's profile.
3. ****FINRA Regulatory Notices 09-31 and 22-08:**** RN 09-31 specifically addresses leveraged and inverse

ETFs, warning that these products are designed to achieve their stated objectives on a daily basis and that due to compounding and volatility decay, performance over longer periods can differ significantly from the stated daily multiple. The Notice states that daily-resetting leveraged ETFs are "typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets." RN 22-08 further reinforces complex product supervision obligations, requiring heightened due diligence and supervisory procedures.

****Analysis of Violations:****

****A. Customer-Specific Suitability / Care Obligation Violation:**** Margaret is a 67-year-old retiree with moderate risk tolerance, income and capital preservation objectives, a 15-20 year time horizon, and limited investment experience. She had no experience with complex products. Allocating 20% of her retirement IRA to a 3x daily-leveraged ETF is fundamentally inconsistent with her stated objectives and profile. A product designed for short-term tactical trading by sophisticated investors has no reasonable place in a capital preservation-oriented retirement portfolio. This is a clear violation of both FINRA Rule 2111.05(a) (customer-specific suitability) and the Reg BI Care Obligation.

****B. Reasonable-Basis Suitability Violation:**** Kevin's description of TQQQ as similar to a regular index fund with "extra upside" and his advice to hold through a volatile drawdown strongly suggest he himself did not understand the daily-resetting mechanism, volatility decay, or path dependency inherent in leveraged ETFs. An advisor who recommends a product he does not understand violates the reasonable-basis component of Rule 2111 and the Reg BI requirement to exercise reasonable diligence in understanding the product.

****C. Disclosure Failures / Reg BI Disclosure Obligation:**** Kevin failed to explain the daily resetting feature, volatility decay, or the fact that long-term returns can diverge dramatically from the underlying index multiplied by the leverage factor. He did not provide the prospectus. Under Reg BI's Disclosure Obligation, the advisor must disclose material facts about the recommendation, including risks. The daily reset mechanism and compounding effects are the most fundamental risk characteristics of leveraged ETFs.

****D. Firm Supervisory Failures:**** The firm's own internal controls flagged TQQQ as a complex product requiring enhanced documentation and supervisory pre-approval for customers over 60 or with conservative-to-moderate risk profiles. Kevin bypassed this requirement entirely. This represents a violation of the firm's supervisory obligations under FINRA Rule 3110 and the complex products supervision framework outlined in RN 09-31 and RN 22-08, which call for firms to implement adequate written supervisory procedures, pre-approval processes, and post-trade surveillance for leveraged and inverse ETF transactions.

****E. Holding Period Concern:**** As emphasized in RN 09-31, leveraged ETFs that reset daily are typically unsuitable for retail investors holding beyond one trading session. Margaret held TQQQ for eleven months—a period during which volatility decay materially eroded the leveraged return, exactly as regulators have warned. Kevin's advice to continue holding during the drawdown compounded the suitability problem.

****Likely Regulatory Outcome:**** This fact pattern presents strong grounds for a customer complaint arbitration award, a FINRA enforcement action against the advisor for suitability and Reg BI violations, and

potential supervisory deficiency charges against the firm. While Margaret ultimately realized a modest gain, the fact of a gain does not cure the underlying suitability violation-the recommendation was inappropriate at the time it was made regardless of outcome. Remedies could include compensatory damages (measured by a well-managed account comparison), disgorgement of commissions, fines, a suspension or bar for the advisor, and supervisory sanctions against the firm.

Hypothetical 35

Topic: *senior_investor_exploitation* | Difficulty: *hard*

Fact Pattern

Margaret Kowalski, age 79, is a retired elementary school teacher living in Boca Raton, Florida. She has a fixed monthly income of \$2,840 from Social Security and a small pension. Her total liquid savings amount to approximately \$410,000, held in a brokerage account that represents virtually all of her investable assets outside of her home. Her account documents list her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' her time horizon as 'short-term (1-3 years),' and her investment experience as 'limited - mostly CDs and money market funds.' She has no prior experience with exchange-traded funds, options, futures, or leveraged products.

In March 2022, Margaret's financial advisor, Derek Holloway, age 34, met with her to discuss concerns she had about inflation eroding her savings. During the meeting, Derek recommended that Margaret invest \$165,000 - roughly 40% of her liquid net worth - into a 3x leveraged daily-resetting bull ETF tied to the S&P 500 (ticker: SPXL). Derek told Margaret that this product would 'triple whatever the market gives you' and described it as 'like owning the S&P 500 but better.' He did not explain the daily resetting mechanism, the concept of volatility decay, path dependency, or the fact that the product's prospectus explicitly states it is designed for short-term trading and is not intended to be held for periods longer than one day. He did not provide her with the product's prospectus or any supplemental materials about leveraged ETFs.

Derek also recommended she place an additional \$80,000 into a 2x inverse daily-resetting ETF tied to the Nasdaq-100 (ticker: QID), telling her it would serve as a 'hedge' and 'protection if tech stocks go down.' He did not explain that the inverse product would lose value over time in a rising or choppy market, nor did he explain the compounding effects of daily resets on inverse products held over extended periods.

Margaret signed the trade confirmations, trusting Derek's judgment. No one at the firm contacted Margaret to verify her understanding of these products before or after the purchases. The firm's supervisory system flagged the trades because Margaret's account profile indicated conservative risk tolerance and limited experience, but the branch manager, Sandra Liu, approved the trades the same day without contacting Margaret or requesting additional documentation, noting only 'client discussed with advisor' in the override field.

Margaret held both positions for eleven months. During that period, the S&P 500 experienced significant intraday volatility but ended roughly flat over the holding period. The Nasdaq-100 rose approximately 8% during the same window. Due to volatility decay and the compounding effects of daily resets, Margaret's

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\$165,000 position in SPXL declined to approximately \$119,000 - a loss of \$46,000 - despite the underlying index being roughly unchanged. Her \$80,000 position in QID declined to approximately \$49,500 - a loss of \$30,500 - as the inverse product suffered from both the upward drift of the Nasdaq and volatility decay. In total, Margaret lost approximately \$76,500, or about 18.7% of her total liquid savings.

When Margaret called Derek in February 2023 asking why her account had dropped so significantly when she 'heard the market didn't really go anywhere,' Derek told her the losses were 'just part of the market' and recommended she continue holding. Margaret's daughter, a CPA, eventually reviewed the account statements in April 2023 and brought the matter to the firm's compliance department. Derek Holloway had recommended similar leveraged and inverse ETF positions to four other clients over age 70 in his book, all with conservative profiles.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Holloway committed multiple serious violations, and his branch manager Sandra Liu failed in her supervisory obligations.

****Suitability - FINRA Rule 2111:**** Under the traditional suitability framework, a broker must have a reasonable basis for believing that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. FINRA Rule 2111 encompasses three sub-obligations: (1) reasonable-basis suitability (understanding the product), (2) customer-specific suitability (matching the product to the customer), and (3) quantitative suitability.

Derek failed on all three dimensions. He recommended 3x leveraged and 2x inverse daily-resetting ETFs to a 79-year-old retiree with conservative risk tolerance, limited investment experience, an income/capital preservation objective, and a short-term time horizon - a profile fundamentally incompatible with leveraged and inverse products. These instruments are designed for sophisticated, active traders who monitor positions daily or intraday and understand the mathematical effects of daily compounding.

****Regulation Best Interest (Reg BI) - Rule 15l-1:**** Effective since June 2020, Reg BI requires broker-dealers to act in the retail customer's best interest at the time of a recommendation. This includes the Care Obligation (exercising reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the product's risks, rewards, and costs), the Disclosure Obligation (providing full and fair disclosure of all material facts including risks), and the Conflict of Interest Obligation. Derek's recommendation of daily-resetting leveraged and inverse products to a conservative, inexperienced 79-year-old retiree cannot satisfy the Care Obligation under any reasonable analysis. He also failed the Disclosure Obligation by mischaracterizing the products, omitting the daily reset mechanism, volatility decay, path dependency, and the products' own prospectus warnings against long-term holding.

****FINRA Regulatory Notices 09-31 and 22-08:**** FINRA RN 09-31 specifically warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlights that in volatile markets, these products can produce returns

that diverge dramatically from the leveraged or inverse return of the underlying index over the holding period. RN 22-08 further reinforces heightened obligations for complex products, requiring firms to establish robust supervisory systems, ensure that registered representatives understand the products they recommend, and ensure recommendations are consistent with customers' profiles.

Derek's misrepresentation of SPXL as 'like owning the S&P 500 but better' constitutes a material omission and potentially a fraudulent misrepresentation, as it ignores the fundamental mechanics that make the product behave very differently from a simple index fund over multi-day holding periods. Similarly, describing QID as a 'hedge' without explaining inverse compounding effects is misleading.

****Supervisory Failure:**** Sandra Liu, as branch manager, failed to discharge her supervisory responsibilities under FINRA Rules 3110 and 3120. The firm's automated compliance system properly flagged the trades due to the mismatch between Margaret's conservative profile and the leveraged/inverse products. Sandra's perfunctory same-day approval with a generic notation - without contacting the customer, reviewing whether the customer understood the products, or requiring enhanced documentation - constitutes a supervisory failure. Under RN 09-31 and RN 22-08, firms must have heightened supervisory procedures for complex products, particularly when sold to elderly or unsophisticated customers.

****Senior Investor Protections:**** Margaret's age (79) and dependency on her savings for retirement income make this case particularly egregious. FINRA has consistently identified senior investors as a vulnerable population requiring enhanced protections. The concentration of approximately 60% of her liquid assets in highly speculative daily-resetting leveraged and inverse products is indefensible given her profile.

****Pattern of Conduct:**** The fact that Derek made similar recommendations to four other clients over age 70 with conservative profiles suggests a pattern of misconduct rather than an isolated error, which could elevate regulatory sanctions.

****Likely Regulatory Outcome:**** Derek faces potential sanctions including fines, disgorgement, suspension, or a bar from the industry. Sandra Liu faces supervisory failure charges. The firm faces potential fines and an obligation to pay restitution to Margaret and the other affected clients. Margaret's losses of approximately \$76,500 are directly attributable to the unsuitable recommendations and would likely form the basis for a customer arbitration award or regulatory restitution order.

Hypothetical 36

Topic: inappropriate_risk_profile | Difficulty: medium

Fact Pattern

Margaret Colvin, age 67, is a retired elementary school teacher in Tucson, Arizona, with a pension of \$3,400 per month and Social Security income of \$1,850 per month. She has a \$410,000 IRA that constitutes her primary retirement savings, a \$35,000 savings account, and no other significant investments. Her home is paid off. When she opened her advisory account with Derek Palmieri at Ridgeline Financial Group in March 2022, her new account form listed her risk tolerance as 'moderate,' her

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investment objective as 'income and capital preservation,' her investment time horizon as '10+ years,' and her liquid net worth as \$445,000. Margaret told Derek she wanted steady income to supplement her pension and did not want to take unnecessary risks with her nest egg.

In April 2022, Derek called Margaret and told her he was concerned about rising interest rates hurting her bond holdings. He recommended she move \$125,000 - roughly 30% of her IRA - into a 3x leveraged inverse Treasury bond ETF (ticker: TMV), which seeks daily investment results corresponding to three times the inverse of the daily performance of the ICE U.S. Treasury 20+ Year Bond Index. Derek described the product as 'a hedge against rising rates' and said it would 'protect her portfolio if bonds keep falling.' He did not explain that the fund resets daily, that its returns over periods longer than one day can deviate substantially from three times the inverse of the index's return due to the mathematical effects of daily compounding, or that the product was designed for short-term tactical trading. He did not discuss volatility decay or path dependency.

Margaret agreed to the purchase. Over the following eleven months, Treasury yields were volatile - rising sharply, then partially reversing, then rising again. By March 2023, the 20+ Year Treasury Bond Index had declined approximately 8% from the purchase date. Margaret expected her position to have gained roughly 24% (three times 8%). Instead, due to the effects of daily resetting, volatility drag, and compounding, her TMV position had gained only about 4.5%, and at various interim points had been down as much as 18%. Meanwhile, Derek never contacted Margaret to discuss whether the position should be closed or trimmed, and no supervisory review flagged the holding. Margaret's account statements showed the TMV position was held continuously for eleven months without any rebalancing or exit strategy. When Margaret finally called to ask why the returns were so different from what she expected, Derek told her to 'hang on a little longer.' She liquidated the position herself in April 2023 at a modest gain of roughly \$3,800 on the \$125,000 investment, far below her expectations and far below what a non-leveraged inverse Treasury ETF would have returned on a risk-adjusted basis over the same period. She filed a complaint with Ridgeline Financial Group alleging that the recommendation was unsuitable for her age, risk profile, and objectives, and that critical product risks were never disclosed.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Palmieri violated both the suitability and best interest standards applicable to this recommendation in multiple respects.

1. ****Product Unsuitability Under FINRA Rule 2111 (Suitability):**** FINRA Rule 2111 requires that a broker have a reasonable basis for believing a recommendation is suitable for the customer based on reasonable diligence concerning the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. Margaret was a 67-year-old retiree with moderate risk tolerance, income and capital preservation objectives, and a 10+ year horizon - a classic profile for conservative, income-generating investments. A 3x leveraged inverse ETF is categorized as a complex, speculative product. Concentrating 30% of her IRA in such a product was unsuitable on its face under the customer-specific suitability obligation.

2. ****Violation of Regulation Best Interest (Rule 15l-1 under the Exchange Act):**** Under Reg BI, a broker must act in the retail customer's best interest at the time of the recommendation, exercising reasonable diligence, care, and skill. The Care Obligation requires the advisor to understand the risks and rewards of the product, consider reasonable alternatives, and ensure the recommendation does not place the advisor's interest ahead of the customer's. A 3x leveraged inverse Treasury ETF carries extreme volatility risk, daily-reset compounding risk, and is designed for short-term tactical use - not for a retiree seeking income and capital preservation. There is no reasonable basis on which this product served Margaret's best interest. A simple short-duration bond fund, Treasury bills, or even a non-leveraged inverse bond ETF would have been far more appropriate alternatives.

3. ****Failure to Disclose Material Product Risks (Reg BI Disclosure Obligation):**** Derek did not explain the daily resetting mechanism, volatility decay, or path dependency - the very features that caused the product to return only 4.5% when the underlying index declined 8% (which should have produced roughly 24% on a simple multiple basis). These are material risks that must be disclosed under Reg BI's Disclosure Obligation and are specifically highlighted in FINRA Regulatory Notices 09-31, 12-03, and 22-08 as risks that must be communicated to investors in leveraged and inverse ETFs.

4. ****FINRA Regulatory Notices 09-31 and 22-08 - Complex Products Supervision:**** FINRA RN 09-31 explicitly warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets. FINRA RN 22-08 reinforced the requirement for enhanced supervision and due diligence for complex products, including leveraged ETFs, and emphasized that firms must have written supervisory procedures to ensure such products are not recommended to investors for whom they are inappropriate. The eleven-month hold without any supervisory review or contact indicates a failure of Ridgeline Financial Group's supervisory system.

5. ****Concentration Risk:**** Allocating \$125,000 - roughly 30% of Margaret's retirement account - to a single leveraged inverse ETF compounded the unsuitability. Even if the product were otherwise appropriate (which it was not), the concentration level was excessive given her stated objectives.

6. ****Ongoing Failure to Monitor:**** Derek never contacted Margaret to review or exit the position over eleven months, and when she raised concerns, he advised her to continue holding - further evidence that neither he nor his firm had appropriate supervisory procedures for monitoring complex product holdings.

****Likely Regulatory Outcome:**** This fact pattern would likely result in findings of violation of FINRA Rule 2111 (customer-specific suitability), Regulation Best Interest (Care and Disclosure Obligations), and FINRA Rules 3110 and 3120 (supervisory failures by the firm). Remedies could include restitution to the customer, fines, suspension or enhanced supervision for the advisor, and potential sanctions against Ridgeline Financial Group for inadequate supervisory procedures regarding complex products.

Hypothetical 37

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

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Fact Pattern

Gerald Whitman, age 67, is a retired postal worker in Columbus, Ohio, with a fixed monthly pension of \$2,800 and Social Security income of \$1,650 per month. His total liquid savings amount to approximately \$185,000, held in an IRA rollover account that represents the entirety of his retirement nest egg aside from the pension. Gerald completed only a high school education and has no prior investment experience beyond a savings account and a certificate of deposit. On his new account form, his risk tolerance was marked as "moderate," his investment objective was listed as "income and capital preservation," and his time horizon was noted as 5-10 years. In March 2023, Gerald's financial advisor, Ryan Ostrowski, recommended that Gerald allocate \$55,000—roughly 30% of his liquid retirement savings—into a 3x leveraged bull semiconductor ETF (ticker: SOXL) and an additional \$25,000 into a 2x inverse S&P 500 ETF (ticker: SDS). Ryan told Gerald that the semiconductor sector was "about to take off because of the AI boom" and that the inverse S&P 500 position would serve as a "hedge" in case the market pulled back. Ryan did not explain the daily resetting mechanism of either product, the concept of volatility decay, or the compounding risk associated with holding leveraged and inverse ETFs over periods longer than a single trading session. He did not provide Gerald with any product-specific prospectus materials or risk disclosures. No written supervisory approval was obtained for the transactions, and Ryan's branch office had no documented procedures for enhanced review of complex or leveraged product recommendations to retail clients. Gerald, trusting Ryan's judgment, agreed to the trades. Over the next eleven months, the semiconductor sector experienced significant volatility—rising sharply, then declining 18%, then partially recovering. Despite the underlying semiconductor index finishing the period roughly 6% higher than where it started, SOXL's value had eroded substantially due to volatility decay and path dependency, falling from \$55,000 to approximately \$38,200. Meanwhile, the S&P 500 rose approximately 14% over the same period, causing the SDS inverse position to decline from \$25,000 to roughly \$16,400. In total, Gerald lost approximately \$25,400, or about 13.7% of his entire liquid retirement savings. When Gerald called Ryan in February 2024 to ask why his account was down so much despite hearing on the news that markets were up, Ryan said the losses were "just part of the market cycle" and recommended Gerald continue to hold both positions. Gerald subsequently filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated applicable suitability and best interest standards on multiple grounds.

1. ****Suitability under FINRA Rule 2111****: This rule requires that a broker have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. Gerald is a 67-year-old retiree with no investment experience, a moderate risk tolerance, an objective of income and capital preservation, and a 5-10 year time horizon. Allocating 30% of his only liquid retirement savings to a 3x leveraged semiconductor ETF and another 13.5% to a 2x inverse S&P 500 ETF is grossly inconsistent with this profile. Leveraged and inverse ETFs are designed for short-term, tactical trading by sophisticated investors, not for buy-and-hold retirement income strategies. The recommendation fails all three components of the suitability obligation: reasonable-basis suitability (these products are inappropriate for long-term holding by any investor due to daily resetting and volatility decay), customer-specific suitability (Gerald's profile is entirely mismatched), and quantitative suitability (the concentration of nearly 43% of

retirement assets in highly speculative daily-resetting products is excessive).

2. ****Regulation Best Interest (Rule 15l-1)**:** Under Reg BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill in making a recommendation, considering the retail customer's investment profile and the potential risks, rewards, and costs of the recommendation. Recommending daily-resetting leveraged and inverse products to an unsophisticated, risk-averse retiree whose sole objective is preserving retirement capital does not satisfy this standard. The Disclosure Obligation was also violated, as Ryan failed to explain the mechanics of daily resetting, path dependency, volatility decay, or the material risk that these products could lose significant value even if the underlying index performs favorably over time.

3. ****FINRA Regulatory Notices 09-31 and 22-08**:** FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice emphasizes that in volatile markets, these products can produce returns that diverge dramatically from the expected multiple of the underlying index's return over time. FINRA RN 22-08 reinforced heightened obligations for complex product recommendations, requiring firms to establish robust supervisory systems, including written procedures for review and approval of complex product transactions, and to ensure that associated persons understand the products they recommend. Ryan's branch had no such supervisory procedures in place.

4. ****Supervisory Failures**:** The firm failed to maintain written supervisory procedures for complex or leveraged products, and no principal approval was obtained before the trades were executed. This violates FINRA Rules 3110 and 3120 regarding supervision, and the guidance in RN 09-31 and RN 22-08 that firms must have heightened supervision for recommendations involving leveraged/inverse ETFs.

5. ****Post-Sale Conduct**:** Ryan's advice to continue holding the positions in February 2024, despite the demonstrated losses from volatility decay and the fundamental mismatch with Gerald's objectives, constituted an additional implicit recommendation that was itself unsuitable.

****Likely Regulatory Outcome**:** Ryan would likely face individual liability including fines, disgorgement, and a potential suspension. The firm would face sanctions for supervisory failures. Gerald would have strong grounds for recovery of his losses (approximately \$25,400) through arbitration, potentially with interest and attorneys' fees. Enhanced scrutiny of the branch's complex product practices would likely follow.

Hypothetical 38

Topic: *high_fees_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Ellison, age 71, is a retired school librarian living in Tucson, Arizona, with a fixed annual income of \$38,000 from Social Security and a small pension. She has \$215,000 in a brokerage account, which represents substantially all of her liquid savings. Her stated investment objectives on her new account form are capital preservation and income generation. Her risk tolerance is marked as conservative, and she has

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no prior experience with exchange-traded products, options, or derivatives of any kind. She told her financial advisor, Derek Huang, that she wanted something that would 'keep up with inflation a little and not lose money.' In March 2022, Huang recommended that Margaret invest \$95,000—roughly 44% of her portfolio—into a 3x leveraged bull semiconductor ETF (daily resetting) with an expense ratio of 0.95% and an implied annual holding cost, including swap financing costs and tracking drag, estimated at approximately 3.5% to 5% annually for long-term holders. Huang explained the product as 'a way to get triple the upside of the hottest sector in the market' and told Margaret that semiconductors were 'the future' and that she should 'hold on for the long run to see real gains.' He did not discuss daily resetting mechanics, path dependency, volatility decay, or the compounding effects that cause leveraged ETFs to deviate significantly from the multiple of their benchmark's cumulative return over periods longer than one day. No written disclosures specific to leveraged or complex products were provided, nor was there any notation in the file that Huang assessed whether Margaret understood these products. By September 2023, the semiconductor sector had experienced significant volatility—a drawdown of approximately 30% followed by a partial recovery. The underlying index was down roughly 8% cumulatively from Margaret's purchase date. However, due to volatility decay and the daily-resetting leverage mechanics, Margaret's leveraged ETF position had lost approximately 41%, leaving her \$95,000 investment worth roughly \$56,000—a loss of \$39,000. The total fees and embedded costs she bore during the 18-month holding period were approximately \$4,800. Margaret filed a complaint stating she was never told the product could lose this much money, that she thought it was similar to a regular index fund, and that the fees and hidden costs were never disclosed to her.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Huang violated multiple regulatory standards in recommending a 3x leveraged daily-resetting ETF to Margaret Ellison.

1. **Reg BI - Care Obligation (Rule 15l-1):** Under Regulation Best Interest, a broker-dealer must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. This includes understanding the product's risks, costs, and reasonably available alternatives, and having a reasonable basis to believe the recommendation is in the customer's best interest. A 3x leveraged semiconductor ETF is a highly speculative, complex product designed for short-term trading by sophisticated investors. Recommending it to a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, limited income, and no experience with complex products fails the care obligation on every dimension. The high implied holding costs (3.5%-5% annually), combined with the structural unsuitability of long-term holding, make this recommendation flatly inconsistent with Margaret's best interest.

2. **FINRA Rule 2111 (Suitability):** Even under the traditional suitability framework, this recommendation fails all three components: (a) Reasonable-basis suitability: Huang failed to understand the daily-resetting mechanics, path dependency, and volatility decay inherent in leveraged ETFs, or if he did understand them, he disregarded them by advising a long-term hold. (b) Customer-specific suitability: A conservative 71-year-old retiree with \$215,000 in total savings, dependent on fixed income, should not have 44% of her portfolio in a 3x leveraged product. (c) Quantitative suitability: The fee drag and structural cost of holding this product long-term (estimated \$4,800 over 18 months plus compounding losses from volatility decay)

were excessive relative to any reasonable expected benefit for this customer.

3. **FINRA Regulatory Notices 09-31 and 22-08:** These notices specifically warn that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who plan to hold them for longer than one trading session. RN 09-31 explicitly states that due to the effects of compounding, the performance of these products over longer periods can differ significantly from the stated daily multiple of the benchmark. RN 22-08 further reinforces that firms must have robust supervisory systems for complex products and that recommendations of such products to retail investors require heightened scrutiny. Huang's recommendation to 'hold on for the long run' directly contradicts these warnings.

4. **Complex Products Supervision:** Huang's firm appears to have failed its supervisory obligations. There is no evidence of a pre-approval process for complex product recommendations, no written disclosure was provided, and no assessment of the customer's ability to understand leveraged ETFs was documented. Firms are expected to have policies and procedures that include enhanced suitability reviews and specific disclosures for complex products.

5. **Disclosure Failures:** Huang did not explain the daily-resetting mechanism, path dependency, volatility decay, or the elevated cost structure. Margaret believed she was purchasing something akin to a standard index fund. This failure to disclose material product characteristics is itself a separate violation.

Likely Regulatory Outcome: Huang and his firm face potential enforcement action including fines, disgorgement, restitution of losses (approximately \$39,000 plus fees), and possible suspension. The firm could face additional supervisory deficiency charges for failing to implement adequate complex product oversight procedures.

Hypothetical 39

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Ellison, age 67, is a retired elementary school teacher living in Tucson, Arizona. She receives a monthly pension of \$3,400 and Social Security income of \$1,850 per month. Her total liquid savings amount to approximately \$410,000, held primarily in a rollover IRA and a taxable brokerage account. She has no other significant sources of income or assets aside from her primary residence, which is paid off. During her initial meeting with financial advisor Kyle Dempsey at Ridgeline Wealth Partners in March 2022, Mrs. Ellison stated that her primary investment objective was capital preservation with modest income generation to supplement her pension and Social Security. She described herself as a conservative investor who could not afford to lose a significant portion of her savings, as this money needed to last through retirement. Her new account form reflected a "conservative" risk tolerance and an investment time horizon of 10-15 years.

Despite this profile, in April 2022, Dempsey recommended that Mrs. Ellison allocate \$82,000 - approximately 20% of her liquid net worth - into a 3x leveraged bull semiconductor ETF (ticker: SOXL) and

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\$45,000 into a 2x leveraged inverse Treasury bond ETF (ticker: TBT). Dempsey told Mrs. Ellison that semiconductors were "the backbone of the future economy" and that interest rates were going to keep rising, making TBT a "sure thing." He described both products as "just like regular ETFs but with more upside potential." He did not explain that both products reset daily, that their returns could deviate dramatically from the underlying index over periods longer than one day, or that holding them for months or years could result in significant losses even if the underlying index eventually moved in the anticipated direction.

Mrs. Ellison held both positions throughout 2022 and into 2023. By October 2023, the SOXL position had experienced extreme volatility, falling from \$82,000 to approximately \$34,500 - a loss of roughly 58%. The TBT position, despite interest rates indeed rising during portions of this period, declined from \$45,000 to approximately \$31,000 due to volatility decay and path dependency effects. In total, Mrs. Ellison's combined losses on these two positions exceeded \$61,000. She was not contacted by Dempsey at any point to discuss whether these positions remained appropriate or to recommend exiting the trades. No supervisory review or approval was sought or obtained before the initial recommendations were made. When Mrs. Ellison called Dempsey in November 2023, alarmed by her account statements, he told her to "hang tight" and that the positions would "come back eventually."

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, financial advisor Kyle Dempsey violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

- 1. **FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and other relevant factors. Rule 2111 encompasses three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer's profile), and quantitative suitability.
- 2. **Regulation Best Interest (Rule 15l-1 under the Exchange Act):**** For broker-dealers, Reg BI requires that recommendations be in the retail customer's best interest and not place the financial professional's interests ahead of the customer's. The Care Obligation under Reg BI requires consideration of reasonably available alternatives and the specific risks, rewards, and costs of the recommendation in light of the customer's investment profile.
- 3. **FINRA Regulatory Notices 09-31, 12-03, and 22-08:**** These notices specifically address leveraged and inverse ETFs. RN 09-31 warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. RN 12-03 reinforced heightened supervision requirements for complex products. RN 22-08 further emphasized that firms must have robust policies for evaluating complex products, including leveraged/inverse ETFs, before

recommending them, and must ensure that their registered representatives understand the products' features and risks, including daily resetting, path dependency, volatility decay, and compounding risk.

****Analysis of Violations:****

- ****Customer-Specific Suitability Failure:**** Mrs. Ellison was a 67-year-old retiree with a conservative risk tolerance, capital preservation objectives, and limited liquid assets that needed to sustain her through retirement. Allocating 20% of her liquid net worth to 3x and 2x leveraged/inverse ETFs is fundamentally inconsistent with her stated objectives and risk tolerance. These products carry extreme risk of principal loss and are among the most volatile instruments available to retail investors.

- ****Reasonable-Basis Suitability Failure:**** Dempsey's characterization of SOXL and TBT as being "just like regular ETFs but with more upside" demonstrates a failure to understand the fundamental mechanics of daily-resetting leveraged products. The effects of volatility decay and path dependency mean that these products can lose substantial value even when the underlying index moves in the anticipated direction over time. An advisor who does not understand these mechanics lacks a reasonable basis for recommending them to any customer.

- ****Failure to Disclose Material Risks:**** Dempsey failed to explain the daily reset mechanism, compounding risk, volatility decay, or the fact that these products are generally designed for short-term tactical trading. This violates both the Disclosure Obligation under Reg BI and general fair dealing principles.

- ****Failure to Monitor / Unsuitable Hold Recommendation:**** Leveraged and inverse ETFs require active monitoring. Dempsey never contacted Mrs. Ellison to evaluate whether the positions remained appropriate, and when she raised concerns in November 2023, he advised her to continue holding - compounding the original suitability failure with an unsuitable implicit hold recommendation.

- ****Supervisory Failures:**** No supervisory review or approval was obtained prior to executing the recommendations. FINRA RN 09-31 and 22-08 emphasize that firms must have heightened supervisory procedures for complex products, including pre-approval mechanisms and post-trade surveillance. Ridgeline Wealth Partners appears to have failed in its supervisory obligations under FINRA Rules 3110 and 3120.

****Likely Regulatory Outcome:**** Dempsey and Ridgeline Wealth Partners would likely face FINRA enforcement action for suitability violations, Reg BI violations, and supervisory failures. Potential sanctions include fines, disgorgement of commissions, restitution to Mrs. Ellison for her approximately \$61,000 in losses, suspension or bar for Dempsey, and censure of the firm. In an arbitration proceeding, Mrs. Ellison would have strong grounds for recovering her full losses plus interest.

Hypothetical 40

Topic: *high_fees_unsuitable* | Difficulty: *medium*

[NON-COM

Fact Pattern

Margaret Colson, age 71, is a retired school librarian living in Tallahassee, Florida, with an annual pension income of \$42,000 and total liquid savings of approximately \$285,000 held in a brokerage IRA. Her stated investment objectives on her new account form were income generation and capital preservation, and her risk tolerance was marked as conservative. She had no prior experience with options, futures, or leveraged products, and her investment history consisted solely of certificates of deposit, a balanced mutual fund, and a small allocation to Treasury bonds. In March 2022, her financial advisor, Derek Hutchins, recommended that she liquidate approximately \$95,000 of her Treasury bond holdings and invest the proceeds into a 3x leveraged bull semiconductor ETF (ticker: SOXL), which carries a gross expense ratio of 0.89% and resets its leverage daily. Hutchins told Mrs. Colson that semiconductors were 'the backbone of everything going forward' and that the fund would 'triple her gains while the sector recovers.' He did not explain the daily resetting mechanism, compounding effects, volatility decay, or the possibility that the product could lose significant value even if the underlying index ended flat over a multi-month period. He also did not mention the elevated expense ratio relative to her prior Treasury bond holdings, which cost her approximately 0.05% annually. Mrs. Colson held SOXL for fourteen months. During that period, the semiconductor index experienced substantial volatility, declining roughly 18% from her purchase date before partially recovering to end approximately 4% below where she bought in. However, due to the compounding effects and volatility drag inherent in a daily-resetting 3x leveraged product, Mrs. Colson's position lost approximately 38% of its value—a loss of roughly \$36,100—despite the underlying index declining only 4%. In addition, she paid approximately \$845 in expense ratio costs over the holding period, compared to the roughly \$48 she would have paid on a comparable Treasury bond ETF. When Mrs. Colson called Hutchins in May 2023 alarmed by her statement showing the losses, he told her to 'hang tight' and that the fund 'always comes back eventually.' She finally sold the position in June 2023 at a realized loss of \$34,200. A subsequent review of Hutchins's book of business revealed that he had recommended SOXL or similar leveraged ETFs to eleven other clients over age 65, nine of whom had conservative or moderate risk profiles, and that his branch office had no written supervisory procedures specifically addressing leveraged or inverse ETF recommendations.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hutchins violated applicable suitability and best interest standards in multiple respects.

****Applicable Regulatory Framework:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for at least some investors (reasonable-basis suitability), suitable for the specific customer in light of their investment profile (customer-specific suitability), and, where a series of transactions is involved, suitable when viewed in the aggregate (quantitative suitability). Following the implementation of Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act), broker-dealers owe retail customers a best interest obligation that includes a Care Obligation requiring the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation.

FINRA Regulatory Notice 09-31 specifically warned firms that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for more than one trading session, due to the effects of daily compounding and volatility decay. FINRA Regulatory Notice 12-03 further addressed heightened supervision requirements for complex products, requiring firms to perform reasonable diligence to understand complex products before recommending them, to train registered representatives, and to implement tailored supervisory procedures. FINRA Regulatory Notice 22-08 reinforced and expanded these concerns, proposing additional measures for complex product sales to retail investors.

****Analysis of Violations:****

1. ****Customer-Specific Suitability / Care Obligation Failure:**** Mrs. Colson was a 71-year-old conservative retiree with income and capital preservation objectives, no experience with leveraged instruments, and limited liquid savings. A 3x leveraged semiconductor ETF is among the most volatile and speculative products available to retail investors. The recommendation was fundamentally inconsistent with every element of her investment profile. Under both Rule 2111 and Reg BI's Care Obligation, this recommendation fails.

2. ****Reasonable-Basis Suitability Failure:**** Hutchins appears not to have understood the product's daily-resetting mechanism, volatility decay, or path dependency, as evidenced by his assurances that the fund would 'triple her gains' and his advice to 'hang tight' during a prolonged holding period. FINRA RN 09-31 explicitly warns that such products can diverge dramatically from the performance of their underlying index over holding periods longer than one day. An advisor who does not understand these characteristics lacks a reasonable basis to recommend the product to anyone.

3. ****Failure to Disclose Material Risks and Costs:**** Hutchins did not explain the daily reset mechanism, compounding risk, volatility decay, or the substantially higher expense ratio (0.89% vs. 0.05% on her prior holdings). Under Reg BI's Disclosure Obligation, material facts about risks, rewards, and costs must be disclosed to the retail customer before or at the time of the recommendation.

4. ****Excessive Costs:**** The expense ratio on SOXL was approximately 18 times greater than the Treasury bond holdings she liquidated to fund the purchase. While the expense ratio alone might not constitute a violation, in the context of a conservative retiree's portfolio, the dramatically higher costs further support the unsuitability of the recommendation.

5. ****Supervisory Failures:**** The branch office had no written supervisory procedures for leveraged or inverse ETF recommendations, despite Hutchins recommending such products to at least twelve clients. Under FINRA Rule 3110 and the heightened supervisory standards articulated in FINRA RN 12-03 and 22-08 for complex products, the firm failed to establish, maintain, and enforce a supervisory system reasonably designed to detect and prevent unsuitable leveraged ETF recommendations. The pattern of recommendations to elderly, conservative clients should have triggered supervisory review.

****Likely Regulatory Outcome:****

Hutchins faces potential sanctions including fines, disgorgement, suspension, or barring. Mrs. Colson's

losses of approximately \$34,200 would likely be recoverable in a FINRA arbitration proceeding, and the firm itself faces supervisory failure charges. The pattern of similar recommendations to other elderly conservative clients could result in an enforcement action seeking restitution for all affected customers, as well as significant fines against the firm for systemic supervisory deficiencies regarding complex product oversight.

Hypothetical 41

Topic: *high_fees_unsuitable* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Margaret Dawson, age 68, is a retired schoolteacher living in suburban Phoenix, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month in Social Security benefits. Her total liquid savings amount to approximately \$310,000, held primarily in a rollover IRA at a mid-size broker-dealer. Margaret's stated investment objectives on her new account form are income generation and capital preservation, and her risk tolerance is marked as conservative. She has no prior experience with options, futures, or leveraged products, and her investment knowledge is described as 'basic' by her advisor during the account opening process.

In March 2023, her financial advisor, Kevin Trask, recommended that Margaret allocate \$95,000 - roughly 30% of her liquid net worth - into a portfolio of leveraged and inverse exchange-traded funds. Specifically, he placed \$40,000 into a 3x leveraged daily S&P 500 ETF (expense ratio 0.95%), \$30,000 into a 2x leveraged daily semiconductor sector ETF (expense ratio 1.01%), and \$25,000 into a -2x inverse daily Nasdaq-100 ETF (expense ratio 0.95%). Kevin told Margaret that these products would 'supercharge her returns' and help her 'make up for lost time' after she expressed concern about whether her retirement savings would last through her lifetime.

Kevin did not explain the daily resetting mechanism of these funds, nor did he discuss the concept of volatility decay or path dependency. He did not provide Margaret with any product-specific risk disclosures or the ETF prospectuses. He also did not document any rationale for why leveraged or inverse products were suitable for a conservative retiree. The firm's product catalog flagged all three ETFs as 'complex products' requiring a principal review before purchase, but Kevin bypassed this step by entering the trades directly through the firm's standard order system rather than routing them through the complex products queue.

Margaret held all three positions for approximately eleven months. During that period, the semiconductor sector experienced significant volatility, with several sharp drawdowns followed by partial recoveries. By February 2024, Margaret's \$95,000 investment had declined to approximately \$51,200 - a loss of roughly \$43,800 or 46%. The 3x leveraged S&P 500 fund had gained modestly in underlying index terms over the period, yet Margaret's position in it was up only 4.2% rather than the roughly 30% one might naively expect from a 3x multiple of the index's approximate 10% gain, illustrating the corrosive effect of daily compounding and volatility drag. The inverse Nasdaq fund lost approximately 61% of its value as the Nasdaq-100 rose over the holding period. Meanwhile, had Margaret simply invested the \$95,000 in a

low-cost S&P 500 index fund with a 0.03% expense ratio, her portfolio would have grown to approximately \$104,500.

Margaret's total expense ratio costs across the three leveraged ETFs over the eleven-month holding period were approximately \$870, compared to roughly \$26 she would have paid in a standard index fund - a fee differential of over 33x. Kevin earned a \$1,425 commission on the initial purchases. When Margaret called Kevin in January 2024 to express alarm about the losses, he advised her to 'hang tight' and wait for a rebound, without explaining that holding leveraged and inverse daily products long-term could continue to erode her principal regardless of the direction the underlying indices moved.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Trask violated multiple regulatory standards governing the recommendation of complex products to retail investors.

****Suitability under FINRA Rule 2111:**** This rule requires that a broker-dealer or associated person have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer, based on that customer's investment profile. Rule 2111 encompasses three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

Kevin failed customer-specific suitability. Margaret is a 68-year-old retiree with conservative risk tolerance, income and capital preservation objectives, basic investment knowledge, and no experience with complex or leveraged instruments. Allocating 30% of her liquid net worth to 3x leveraged, 2x leveraged, and -2x inverse daily-resetting ETFs is fundamentally incompatible with her profile. These products are designed for short-term, typically intraday, trading by sophisticated investors who actively manage risk. FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because the effects of daily compounding - known as volatility decay or path dependency - can cause returns to diverge significantly from the expected multiple of the underlying index's cumulative return over time.

Kevin also failed reasonable-basis suitability. FINRA Regulatory Notice 22-08 reinforces that firms and their representatives must understand the risks and features of complex products before recommending them. Kevin's failure to explain (or apparently understand) volatility decay, daily resetting mechanics, and path dependency suggests he lacked the requisite understanding of the products he recommended.

****Regulation Best Interest (Reg BI), Rule 15l-1:**** Under the SEC's Regulation Best Interest, a broker-dealer must act in the best interest of its retail customer at the time a recommendation is made, without placing its own financial interest ahead of the customer's. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, including understanding the risks, rewards, and costs of the product and having a reasonable basis to believe the recommendation is in the customer's best interest in light of her investment profile. The recommendation of high-expense, daily-resetting leveraged and inverse ETFs to a conservative retiree for a long-term hold clearly fails this standard. The \$1,425 commission Kevin earned, combined with the absence of any documented rationale,

further suggests the recommendation was driven by the advisor's financial interest rather than the customer's.

****Supervision Failures:**** FINRA Regulatory Notices 09-31, 12-03, and 22-08 all emphasize that firms must implement heightened supervisory procedures for complex products, including leveraged and inverse ETFs. The firm's own procedures required principal review for complex product purchases, but Kevin circumvented the complex products review queue. This constitutes both a representative-level and a firm-level supervisory failure under FINRA Rules 3110 and 3120.

****Fee Unsuitability:**** The expense ratios on the leveraged ETFs (0.95%-1.01%) were roughly 30 times higher than a comparable standard index fund. For a conservative, income-oriented retiree, these costs materially eroded returns and were not justified by any legitimate investment objective. The 33x fee differential is a significant factor in assessing whether the recommendation served the customer's interest.

****Likely Regulatory Outcome:**** Kevin and his firm face potential liability for unsuitable recommendations, failure to disclose material product risks, failure to provide required prospectuses, and supervisory failures. Margaret's \$43,800 loss (46% of the invested amount) compared to the approximately \$9,500 gain she would have realized in a plain index fund represents quantifiable customer harm of over \$53,000. Likely sanctions could include disgorgement of commissions, restitution to the customer, fines, a letter of caution or formal disciplinary action against Kevin, and remedial supervisory measures imposed on the firm.

Hypothetical 42

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Holloway, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid savings amount to approximately \$310,000, held in an IRA rollover account and a small taxable brokerage account. She has no other meaningful sources of income and relies on her investment portfolio to supplement her fixed income for living expenses, including prescription medications and occasional travel to visit grandchildren. On her new account form completed in March 2023, Mrs. Holloway's risk tolerance was marked as "moderate," her investment objective was listed as "income with capital preservation," her time horizon was "5-10 years," and her investment experience was described as "limited - primarily mutual funds and CDs."

Her financial advisor, Craig Delmonico, had been her advisor for approximately two years. In April 2023, Delmonico recommended that Mrs. Holloway invest \$75,000 - roughly 24% of her liquid net worth - into a 3x leveraged bull semiconductor ETF (ticker symbol approximating SOXL) and \$40,000 into a 2x leveraged S&P 500 ETF. Delmonico told Mrs. Holloway that semiconductors were "the future" and that these funds would "supercharge her returns so she wouldn't have to worry about running out of money." He did not explain the daily resetting mechanism, the concept of volatility decay, or the compounding risks associated with holding leveraged products over extended periods. He did not provide any written materials or

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prospectus supplements specific to leveraged ETFs.

Mrs. Holloway held both positions for approximately 14 months. During that period, the semiconductor sector experienced significant volatility, with multiple drawdowns of 10-15% followed by partial recoveries. Due to the path-dependent nature of the 3x leveraged product, even though the underlying semiconductor index was roughly flat over the 14-month period (down approximately 2%), Mrs. Holloway's SOXL position lost approximately 31%, declining from \$75,000 to roughly \$51,750. Her 2x leveraged S&P 500 position fared somewhat better but still underperformed the underlying index on a leveraged basis, losing about 9% versus the index's modest 3% gain over the same period, leaving that position at approximately \$36,400. In total, Mrs. Holloway lost approximately \$26,850 across both positions. She discovered the extent of the losses in June 2024 when she requested a portfolio review to plan a withdrawal for home repairs, and subsequently filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Delmonico violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

Under FINRA Rule 2111 (Suitability), a financial advisor must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and investment experience. This rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Under Regulation Best Interest (SEC Rule 15l-1), broker-dealers and their associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing their own interests ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation.

FINRA Regulatory Notice 09-31 specifically addresses leveraged and inverse ETFs, warning that these products are generally unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlights that daily-resetting leveraged ETFs can deviate significantly from their stated multiple over longer holding periods due to the mathematical effects of daily compounding (volatility decay/path dependency). FINRA RN 12-03 and RN 22-08 further reinforce heightened supervisory and suitability obligations for complex products, including leveraged ETFs, and emphasize that firms must ensure their representatives understand these products before recommending them and that customers receive adequate disclosure of the risks.

****Analysis of Violations:****

1. ****Customer-Specific Suitability (Rule 2111):**** Mrs. Holloway was a 71-year-old retiree with limited

investment experience, a moderate risk tolerance, and an investment objective of income with capital preservation. Allocating 24% of her liquid assets to a 3x leveraged semiconductor ETF and an additional 13% to a 2x leveraged S&P 500 ETF - totaling approximately 37% of her liquid net worth in leveraged products - is fundamentally inconsistent with her documented profile. These products carry extreme volatility risk and are wholly inappropriate for a capital preservation objective.

2. **Reasonable-Basis Suitability (Rule 2111):** There is no indication that Delmonico understood the daily resetting mechanism, volatility decay, or path-dependency characteristics of leveraged ETFs. His simplistic characterization of the products as a way to "supercharge returns" suggests a fundamental misunderstanding of how these instruments work over holding periods beyond a single trading day. An advisor who does not understand a product cannot have a reasonable basis to recommend it.

3. **Reg BI Care Obligation:** Delmonico failed to exercise reasonable diligence, care, and skill. He did not consider the costs and risks of leveraged ETFs in the context of Mrs. Holloway's profile, did not evaluate reasonably available alternatives (such as traditional equity index funds or income-generating investments), and did not consider the compounding risk inherent in a long-term hold of daily-resetting products.

4. **Reg BI Disclosure Obligation:** Delmonico failed to disclose material facts about the products, including the daily reset feature, volatility decay, and the risk that leveraged ETFs can lose significant value even when the underlying index is flat or slightly positive over time. He did not provide the prospectus or supplementary materials that explain these risks.

5. **Holding Period Concern (FINRA RN 09-31):** The 14-month holding period far exceeds the single-day intended use of these products. The losses Mrs. Holloway experienced - a 31% loss on SOXL when the underlying index was only down 2% - are a textbook illustration of volatility decay. Delmonico neither monitored the positions nor advised Mrs. Holloway to exit after any reasonable short-term holding period.

Likely Regulatory Outcome:

Delmonico and his firm face significant regulatory exposure. FINRA could pursue an enforcement action for unsuitable recommendations under Rule 2111 and for violations of Reg BI. Potential sanctions include fines, disgorgement of commissions earned, restitution to Mrs. Holloway, suspension, or a bar from the industry depending on the severity and whether a pattern exists. The firm may also face supervisory deficiency charges under FINRA Rules 3110 and 3120 if it lacked adequate procedures for reviewing and approving leveraged ETF transactions, particularly for elderly, conservative clients. Mrs. Holloway's customer complaint may also result in an arbitration award for compensatory damages of approximately \$26,850 plus potential consequential damages.

Hypothetical 43

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

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Margaret Holloway, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid net worth is approximately \$340,000, held primarily in a rollover IRA that represents her entire retirement savings. She has no other significant assets aside from her home, which is paid off. Mrs. Holloway has limited investment experience; for the past 15 years, her retirement account was invested in a target-date fund selected by her school district's plan administrator. She has never purchased individual stocks, options, or any exchange-traded products on her own.

In March 2023, Mrs. Holloway met with Derek Simmons, a financial advisor at Ridgeline Wealth Partners, after being referred by a friend from her church group. During their initial meeting, Mr. Simmons asked Mrs. Holloway a handful of general questions about her finances - specifically, her approximate account balance, whether she owned her home, and whether she was "comfortable with some risk to try to grow the account." Mrs. Holloway told him she wanted to make sure her savings lasted through retirement and that she could cover potential medical expenses, but that she wouldn't mind "a little extra growth if it's safe." Mr. Simmons did not ask about her monthly income, her monthly expenses, her tax situation, her time horizon for needing the funds, her prior investment experience beyond the target-date fund, or her understanding of complex financial products. He did not provide or have her complete a written risk tolerance questionnaire or a detailed new account form capturing her investment objectives.

Within two weeks, Mr. Simmons recommended that Mrs. Holloway transfer her entire \$340,000 IRA to Ridgeline and reallocate it as follows: \$170,000 (50%) into a 3x leveraged bull ETF tracking the S&P 500 (daily resetting), \$85,000 (25%) into a 2x leveraged semiconductor sector ETF (daily resetting), and \$85,000 (25%) into a broad market index fund. Mr. Simmons told her the leveraged ETFs would "turbocharge her returns" and that she would "see her account grow much faster than sitting in a boring target-date fund." He did not explain daily resetting mechanics, the concept of volatility decay, path dependency, or the fact that these products are generally designed for short-term tactical trading and can lose substantial value even when the underlying index is flat or modestly positive over longer holding periods. He did not discuss the compounding risk of holding a 3x product over weeks or months, let alone years.

Mrs. Holloway agreed to the recommendations based on Mr. Simmons's assurances. Over the next eleven months, she held the positions without any contact or review from Mr. Simmons. By February 2024, despite the S&P 500 being up approximately 12% over that period, the 3x leveraged ETF position had experienced significant volatility decay during interim drawdowns, and her \$170,000 position was worth approximately \$139,000. The semiconductor leveraged ETF, after a sharp sector correction in Q3 2023, had declined from \$85,000 to roughly \$54,000. In total, Mrs. Holloway's IRA had fallen from \$340,000 to approximately \$278,000 - a loss of \$62,000, or about 18.2% - even though broad equity markets were positive. When Mrs. Holloway called Mr. Simmons in distress after reviewing her quarterly statement, he told her to "hang tight" and that "the leverage would work in her favor eventually." He still made no effort to update her account profile, reassess her objectives, or discuss whether the products remained appropriate.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons violated multiple regulatory requirements related to suitability and the obligation to act in the customer's best interest.

****Failure to Know the Customer (FINRA Rule 2111 - Reasonable-Basis, Customer-Specific, and Quantitative Suitability):****

FINRA Rule 2111 requires that a financial advisor have a reasonable basis to believe a recommendation is suitable for a particular customer based on that customer's investment profile. The investment profile includes, at minimum, age, financial situation and needs, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Mr. Simmons conducted only a cursory conversation and failed to gather essential information about Mrs. Holloway's monthly income, expenses, tax situation, investment time horizon, liquidity needs, or actual risk tolerance. He did not use a new account form or risk questionnaire to document her profile. This is a textbook failure-to-know-your-customer violation under the customer-specific suitability obligation of Rule 2111.

****Regulation Best Interest (Rule 15l-1 - Care Obligation):****

Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill in making recommendations. This includes understanding the potential risks, rewards, and costs of a recommendation and having a reasonable basis to believe the recommendation is in the retail customer's best interest based on the customer's profile. Recommending that a 71-year-old retiree with limited investment experience, modest savings that represent her entire retirement nest egg, and a stated objective of capital preservation with modest growth place 75% of her portfolio in daily-resetting leveraged ETFs (3x and 2x) clearly fails the Care Obligation. These products are wholly inconsistent with her profile.

****FINRA Regulatory Notices 09-31 and 22-08 - Leveraged and Inverse ETF Guidance:****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlighted that the effects of compounding and daily resetting can cause performance to deviate significantly from the underlying index over time, particularly in volatile markets. FINRA RN 22-08 reinforced and expanded these concerns, emphasizing that complex products such as leveraged ETFs require heightened supervisory obligations and that firms must have a reasonable basis to believe that the customer can understand and bear the risks. Mr. Simmons failed to explain daily resetting, path dependency, or volatility decay, and recommended long-term holding of products designed for short-term tactical use.

****Complex Products Supervision Failures:****

Ridgeline Wealth Partners also appears to have failed in its supervisory obligations. Under FINRA Rules 3110 and 3120, a firm must establish and maintain a supervisory system reasonably designed to ensure compliance with applicable rules. The firm apparently had no controls preventing the placement of 75% of a 71-year-old retiree's IRA into leveraged ETFs, no account-level review triggered by such an allocation, and no follow-up or ongoing monitoring over eleven months. FINRA RN 12-03 on heightened supervision of complex products would require the firm to have policies ensuring that associated persons understand and can explain complex products before recommending them.

****Customer-Specific Unsuitability:****

Even if Mr. Simmons had gathered complete customer information, the recommendation would still have been unsuitable and not in Mrs. Holloway's best interest. A 71-year-old retiree with \$340,000 in total liquid assets, no other savings, limited investment experience, and an objective of capital preservation has no reasonable basis for holding 75% of her retirement assets in daily-resetting leveraged ETFs.

****Likely Regulatory Outcome:****

Mr. Simmons and Ridgeline would likely face FINRA enforcement action for violations of Rule 2111 (all three suitability components), Reg BI's Care and Disclosure Obligations, and supervisory failures under Rules 3110 and 3120. Potential sanctions include fines, disgorgement of commissions, restitution to Mrs. Holloway, suspension or bar for Mr. Simmons, and censure of the firm. Mrs. Holloway would also have strong grounds for a customer arbitration claim seeking recovery of her \$62,000 in losses plus consequential damages.

Hypothetical 44

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Ellison, age 71, is a retired elementary school teacher in Knoxville, Tennessee, living on a fixed income consisting of a \$2,400 monthly pension and \$1,800 per month in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account and a small taxable brokerage account. She has no other significant assets aside from her paid-off home valued at approximately \$185,000. When she opened her account with registered representative David Kowalski at Ridgeline Securities in March 2021, she completed a new account form indicating her investment objective as 'income and preservation of capital,' her risk tolerance as 'conservative,' her time horizon as '5-10 years,' and her investment experience as 'limited - mostly CDs and money market funds.' She told Kowalski that her primary goal was to generate modest supplemental income without putting her retirement savings at serious risk.

In April 2021, Kowalski recommended that Mrs. Ellison invest \$85,000 - roughly 25% of her liquid net worth - in the Direxion Daily S&P 500 Bull 3X Shares (SPXL), a leveraged exchange-traded fund designed to deliver three times the daily return of the S&P 500 Index. Kowalski told Mrs. Ellison the product was 'like a supercharged index fund' that would 'help her keep up with inflation' and noted that the S&P 500 had been on a strong upward trajectory. He did not discuss the daily reset mechanism, the concept of volatility decay, or the fact that the product's prospectus explicitly warned that returns over periods longer than one trading day could differ substantially - and potentially negatively - from three times the index's cumulative return over the same period. There is no documentation in Kowalski's file reflecting that he assessed whether Mrs. Ellison understood leveraged products or that he provided any written risk disclosures specific to leveraged ETFs.

Mrs. Ellison held the position for approximately 14 months. During that period, the S&P 500 experienced significant volatility, including a drawdown beginning in January 2022. By June 2022, Mrs. Ellison's \$85,000

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position in SPXL had declined to approximately \$44,200 - a loss of roughly \$40,800, or 48%. The S&P 500 itself had declined approximately 18% over the same period, but the compounding effect of daily resetting with 3x leverage and elevated volatility resulted in significantly amplified losses. Mrs. Ellison contacted Ridgeline Securities' compliance department in July 2022 to complain, stating she was never told the fund could lose money at a rate far exceeding the actual market decline, and that Kowalski had assured her it was 'basically an index fund, just better.' Kowalski's supervisor had not flagged the initial transaction or conducted any heightened review of the leveraged ETF purchase for this client profile.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, David Kowalski almost certainly violated applicable suitability and best interest standards in recommending a 3x leveraged daily-resetting ETF to Margaret Ellison.

****Applicable Regulatory Framework:****

Under FINRA Rule 2111 (Suitability), a registered representative must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. This rule encompasses three components: (1) reasonable-basis suitability (understanding the product), (2) customer-specific suitability (matching the product to the customer's profile), and (3) quantitative suitability (avoiding excessive trading).

Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934) imposes a heightened standard on broker-dealers, requiring that recommendations be in the retail customer's best interest and not place the financial professional's interest ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, understand the risks and rewards of the product, and have a reasonable basis to believe the recommendation is in the customer's best interest considering the customer's investment profile.

FINRA Regulatory Notice 09-31 specifically warned member firms that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice emphasized that these products' performance over longer periods can deviate significantly from their stated daily objectives due to the mathematical effects of daily compounding (volatility decay or path dependency). FINRA Regulatory Notice 12-03 reinforced heightened supervision obligations for complex products, and RN 22-08 further addressed concerns about complex product sales to retail investors.

****Analysis of Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Mrs. Ellison's profile - a 71-year-old retiree on fixed income, with conservative risk tolerance, limited investment experience, income and capital preservation objectives, and a moderate time horizon - is fundamentally inconsistent with a 3x leveraged equity ETF. SPXL carries extreme short-term volatility risk, is designed for sophisticated traders with short

holding periods, and is wholly inappropriate for capital preservation. Allocating 25% of a conservative retiree's liquid assets to such a product is egregiously unsuitable.

2. **Reasonable-Basis Suitability Violation:** Kowalski's characterization of SPXL as a 'supercharged index fund' and 'basically an index fund, just better' suggests he either did not understand the product's daily reset mechanism and the effects of volatility decay, or he deliberately misrepresented the product's characteristics. Either way, this constitutes a failure of reasonable-basis suitability. An advisor who does not understand the compounding mathematics of leveraged ETFs cannot form a reasonable basis for recommending them.

3. **Disclosure Failures:** Kowalski failed to explain the daily reset mechanism, volatility decay, the risk that long-term returns could drastically differ from 3x the index return, and the explicit prospectus warnings against long-term holding. Under Reg BI's Disclosure Obligation, material facts about the recommendation, including risks, must be disclosed.

4. **Supervisory Failures:** Under FINRA Rules 3110 and 3120, the firm has an obligation to establish and maintain supervisory systems reasonably designed to achieve compliance. FINRA RN 09-31 and RN 12-03 specifically call on firms to implement heightened supervision for leveraged ETF transactions, including reviewing whether the products are appropriate for the customers to whom they are recommended. Kowalski's supervisor failed to flag or review a \$85,000 leveraged ETF purchase in the account of a 71-year-old conservative retiree - a clear supervisory breakdown. RN 22-08 further underscores the expectation that firms implement effective practices for complex product oversight.

5. **Path Dependency and Volatility Decay:** The outcome vividly illustrates the core regulatory concern. While the S&P 500 declined approximately 18%, Mrs. Ellison's 3x leveraged position lost 48% - not the 54% one might expect from a simple 3x multiplier, but a figure shaped by the compounding of daily gains and losses over 14 months in a volatile market. This path-dependent performance risk is precisely why regulators have warned that these products are generally unsuitable for buy-and-hold retail investors.

Likely Regulatory Outcome:

Kowalski would likely face enforcement action for suitability and Reg BI violations, potentially resulting in fines, disgorgement, suspension, or a bar depending on aggravating factors. Ridgeline Securities would likely face supervisory failure charges under FINRA Rule 3110 for failing to implement adequate procedures for leveraged ETF oversight and for its supervisor's failure to review the transaction. Mrs. Ellison would likely recover damages in arbitration given the stark mismatch between her profile and the recommended product, the misleading characterization of the product, the absence of risk disclosures, and the resulting losses.

Hypothetical 45

Topic: *leveraged_etf_unsuitable* | Difficulty: *medium*

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Fact Pattern

Margaret Olsen, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her state pension and \$1,800 per month in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account that represents the vast majority of her retirement assets. She owns her home outright, valued at roughly \$225,000. On her new account form completed in January 2023, Mrs. Olsen indicated her investment objective as "income and capital preservation," her risk tolerance as "conservative," her investment time horizon as "long-term (10+ years)," and her investment experience as "limited - mostly CDs and a target-date retirement fund through her employer's 403(b) plan." Her annual income from all sources totals approximately \$50,400.

Her financial advisor, Craig Delvecchio, had been managing her IRA since late 2022. In March 2023, during a routine review meeting, Delvecchio told Mrs. Olsen that he was concerned about a potential downturn in the technology sector and recommended she allocate \$85,000 - roughly 25% of her portfolio - into a 3x leveraged inverse Nasdaq-100 ETF (ticker: SQQQ) as a "hedge" against broader market declines. He described the product as a way to "protect her portfolio if stocks go down." He did not explain the daily resetting mechanism, the effects of compounding and volatility decay on returns over periods longer than one trading day, or the fact that the product was designed primarily for short-term tactical trading by sophisticated investors. He did not provide Mrs. Olsen with the fund's prospectus or any supplemental materials explaining leveraged and inverse product mechanics.

Delvecchio placed the initial purchase on March 15, 2023, buying approximately \$85,000 worth of SQQQ shares. Over the following eleven months, the Nasdaq-100 experienced significant volatility but ultimately rose approximately 18%. Delvecchio did not monitor the position on a daily or even weekly basis; the firm's account statements show no trades in SQQQ until February 2024. By that time, the SQQQ position had declined to approximately \$34,200 - a loss of roughly \$50,800, or nearly 60% of the initial investment. Mrs. Olsen discovered the magnitude of the loss only when she reviewed her year-end statement in early 2024 and called the branch office. Delvecchio acknowledged he had "gotten busy" and had not reviewed the position since the initial purchase. He told Mrs. Olsen the loss was due to "the market going up when we expected it to go down" but did not mention path dependency, volatility decay, or the daily reset feature as contributing factors to the severity of the loss. The firm's supervisory system had no alerts or flags specific to leveraged or inverse ETF positions held beyond 30 days, and the branch manager had approved the original trade without any additional scrutiny beyond standard equity order review.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Delvecchio violated both the suitability requirements under FINRA Rule 2111 and the best interest obligation under Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act. Multiple independent grounds support this conclusion.

****1. Customer-Specific Suitability (FINRA Rule 2111.05(a)):****

Mrs. Olsen's documented profile - age 71, conservative risk tolerance, income/capital preservation objectives, limited investment experience, and near-total dependence on her IRA for retirement - is fundamentally incompatible with a 3x leveraged inverse ETF. SQQQ is a daily-resetting product designed

for short-term, tactical use by sophisticated, active traders. Allocating 25% of a conservative retiree's IRA to such a product is a textbook customer-specific suitability violation. FINRA Regulatory Notice 09-31 explicitly warned that leveraged and inverse ETFs are "typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets." FINRA Regulatory Notice 22-08 further reinforced heightened obligations around complex products, including leveraged/inverse ETFs, emphasizing the need for firms and representatives to evaluate whether customers can understand and bear the risks of such products.

****2. Reasonable-Basis Suitability:****

Delvecchio appears to have lacked a reasonable understanding of the product he recommended. His failure to explain daily resetting, path dependency, and volatility decay - and his post-loss comment attributing the decline solely to market direction - suggests he did not understand that SQQQ can lose substantial value even when the underlying index moves in the "right" direction, due to the mathematical effects of daily compounding in volatile markets. FINRA Rule 2111.05(a) requires that a representative have a reasonable basis to believe a recommendation is suitable based on reasonable diligence.

****3. Reg BI Care Obligation (Rule 15l-1(a)(2)(ii)(B)):****

Under Reg BI's Care Obligation, Delvecchio was required to exercise reasonable diligence, care, and skill in making the recommendation. This includes understanding the product's risks, costs, and characteristics, and evaluating them in light of the customer's profile. The recommendation of a highly speculative, daily-resetting leveraged inverse ETF to an elderly, conservative, unsophisticated retiree - with no disclosure of the product's mechanics and no plan for active monitoring - fails the Care Obligation on multiple dimensions.

****4. Reg BI Disclosure Obligation (Rule 15l-1(a)(2)(ii)(A)):****

Delvecchio failed to disclose material information about the product, including its daily reset mechanism, the impact of volatility decay and path dependency, and the fact that it was designed for single-day holding periods. He did not provide the prospectus. These omissions violate the Disclosure Obligation.

****5. Failure to Monitor / Supervisory Failures:****

FINRA Regulatory Notice 09-31 and RN 12-03 emphasized that firms must have adequate supervisory procedures for complex products, including specific protocols for leveraged and inverse ETFs. The firm's failure to implement position-duration alerts or heightened supervisory review for leveraged/inverse ETF holdings is a supervisory deficiency. Delvecchio's failure to monitor the position for nearly eleven months - in a product designed for intraday or very short-term holding - compounded the harm. While the initial recommendation was itself unsuitable, the absence of any ongoing monitoring transformed a bad recommendation into a catastrophic loss.

****6. Quantitative Unsuitability:****

The \$50,800 loss represents approximately 15% of Mrs. Olsen's total liquid retirement savings and nearly 60% of the capital deployed. For a 71-year-old retiree with limited income sources and no ability to recover such losses through future earnings, this loss is devastating and further evidences the unsuitability of the recommendation.

****Likely Regulatory Outcome:****

Delvecchio would likely face disciplinary action including fines, suspension, and potential restitution. The firm would likely face supervisory deficiency findings under FINRA Rules 3110 and 3120 for failing to implement reasonable procedures to supervise leveraged and inverse ETF transactions, particularly regarding holding periods and customer eligibility. In arbitration, Mrs. Olsen would have a strong claim for compensatory damages equal to the full loss of approximately \$50,800, plus potential consequential damages.

Hypothetical 46

Topic: *failure_to_know_customer* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Margaret Ellison, age 71, is a retired elementary school teacher living in Dayton, Ohio. She receives \$2,400 per month from her state pension and \$1,650 per month in Social Security. Her total liquid net worth is approximately \$215,000, held primarily in a traditional IRA rolled over from her employer plan. She has no other significant assets besides her home, which is paid off and valued at approximately \$185,000. Mrs. Ellison has limited investment experience; prior to meeting her advisor, her retirement assets were held entirely in a stable value fund and a target-date 2015 fund through her employer's 403(b) plan. She described her investment goals as preserving her savings so she could supplement her fixed income for living expenses and leave something for her two grandchildren. She told her advisor, Kevin Sharpe, that she 'couldn't afford to lose what she had' and wanted 'something safe that pays a little better than the bank.' Kevin Sharpe had been a registered representative at Ridgeline Financial Partners for three years. In April 2022, during their initial meeting, Sharpe did not have Mrs. Ellison complete a new account form or any written risk tolerance questionnaire. He took brief handwritten notes on a legal pad, which the firm later could not locate. Sharpe told Mrs. Ellison that he had 'a great way to boost her returns' using exchange-traded funds. Over the following two weeks, Sharpe placed the following trades in her IRA: \$75,000 into a 3x leveraged daily-resetting ETF tracking the S&P 500, \$50,000 into a 2x leveraged daily-resetting ETF tracking the Nasdaq-100, and \$40,000 into an inverse (-1x) daily-resetting ETF tracking the Russell 2000. The remaining \$50,000 was placed into a short-term bond ETF. Sharpe did not explain to Mrs. Ellison what leveraged or inverse ETFs were, how daily resetting worked, or that these products were designed primarily for short-term tactical trading. He did not discuss volatility decay, compounding risk, or the possibility that these funds could lose substantial value even if the underlying index was relatively flat over time. No product-specific risk disclosures were provided, and no documentation exists showing that Mrs. Ellison understood or consented to the specific risks of these products. Sharpe did not set any stop-loss orders, monitoring alerts, or rebalancing triggers. Over the next nine months, through January 2023, the market experienced significant volatility. The 3x leveraged S&P 500 ETF lost approximately 38% of its value in her account, declining from \$75,000 to roughly \$46,500. The 2x leveraged Nasdaq-100 ETF fell from \$50,000 to approximately \$28,000, a 44% loss. The inverse Russell 2000 ETF, despite some periods where the Russell 2000 declined, lost approximately 22% due to path dependency and volatility drag, falling from \$40,000 to \$31,200. In total, Mrs. Ellison's portfolio declined from \$215,000 to approximately \$155,700—a loss of roughly \$59,300, or 27.6%, while the bond ETF remained relatively stable. When Mrs. Ellison called Sharpe in February 2023 to ask why her account had dropped so much,

he told her to 'hang in there' and that the leveraged funds would 'come back stronger when the market recovers.' He did not recommend liquidating the positions or switching to more appropriate investments. Ridgeline Financial Partners' supervisory system flagged the initial purchase of leveraged and inverse ETFs in a retirement account belonging to a client over age 65, but the branch manager, Daniel Pratt, approved the trades after a brief conversation with Sharpe in which Sharpe said the client 'wanted growth.' Pratt did not independently contact Mrs. Ellison, review her financial profile, or verify that any risk disclosures had been provided. Mrs. Ellison filed a complaint with the firm in June 2023 after her granddaughter, who works in banking, reviewed her account statements and was alarmed by the holdings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Sharpe committed multiple serious violations of applicable regulatory standards, and Ridgeline Financial Partners failed in its supervisory obligations.

****Failure to Know the Customer (FINRA Rule 2111 - Reasonable-Basis, Customer-Specific, and Quantitative Suitability):****

FINRA Rule 2111 requires that a registered representative have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Sharpe failed at the most fundamental level: he did not complete a new account form, did not administer a risk tolerance questionnaire, and kept only informal handwritten notes that were subsequently lost. Without adequate documentation of Mrs. Ellison's profile, Sharpe had no legitimate basis to make any recommendation, let alone one involving complex, high-risk leveraged and inverse ETFs.

Mrs. Ellison's profile - a 71-year-old retiree with limited investment experience, modest fixed income, \$215,000 in total liquid savings held in a retirement account, capital preservation objectives, and an express statement that she could not afford losses - is fundamentally incompatible with 3x and 2x leveraged daily-resetting ETFs and inverse daily-resetting ETFs. These products are designed for sophisticated, short-term tactical traders and carry well-documented risks including volatility decay (also called volatility drag) and path dependency, meaning that daily compounding causes returns over periods longer than one day to deviate significantly - and often negatively - from the leveraged multiple of the underlying index's return over the same period.

****Regulation Best Interest (Rule 15l-1 under the Exchange Act):****

Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation, including understanding the potential risks, rewards, and costs of the recommendation, and having a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made. Recommending that 77% of a 71-year-old retiree's liquid net worth be placed in leveraged and inverse daily-resetting ETFs - products whose own prospectuses typically warn they are not intended for investors who plan to hold for more than one trading session - plainly fails this standard. The Disclosure Obligation under Reg BI was also violated: Sharpe provided no product-specific risk disclosures and did not explain daily resetting, compounding risk, or

volatility decay.

****FINRA Regulatory Notices 09-31, 12-03, and 22-08:****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading day, and that the effects of compounding can cause significant deviation from the underlying index performance. FINRA RN 22-08 reinforced heightened obligations around complex products, requiring firms to establish written supervisory procedures, conduct reasonably designed due diligence, and ensure that recommendations of complex products are consistent with the best interest standard. Sharpe's recommendation to hold these products for nine months or more in a retiree's IRA, without monitoring, stop-losses, or rebalancing, directly contradicts this guidance.

****Supervisory Failures (FINRA Rules 3110 and 3120):****

Ridgeline Financial Partners' supervisory system correctly flagged the trades, but branch manager Daniel Pratt's review was perfunctory. He approved the trades based solely on Sharpe's oral representation that the client 'wanted growth' without independently verifying Mrs. Ellison's financial profile, confirming risk disclosures, or assessing the suitability of leveraged/inverse ETFs for a 71-year-old retiree's IRA. This constitutes a failure of supervision under FINRA Rule 3110, which requires firms to establish and maintain a supervisory system reasonably designed to achieve compliance, and to review and approve complex product transactions with heightened scrutiny as outlined in RN 22-08.

****Likely Regulatory Outcome:****

Sharpe would likely face enforcement action for unsuitable recommendations, failure to know his customer, failure to disclose material product risks, and violation of Reg BI's Care and Disclosure Obligations. Potential sanctions include fines, disgorgement of commissions, suspension, or a bar from the industry. Ridgeline Financial Partners would likely face charges for supervisory failures under Rules 3110 and 3120, resulting in firm-level fines and potential requirements to enhance supervisory procedures for complex product sales. Mrs. Ellison would have strong grounds for recovery of her approximately \$59,300 in losses through FINRA arbitration, potentially including consequential damages and interest.

Hypothetical 47

Topic: leveraged_etf_unsuitable | Difficulty: medium

Fact Pattern

Margaret Olsen, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,800 per month from her pension and \$1,950 per month in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account that represents the bulk of her retirement assets. She has no other significant sources of income or wealth. On her new account form, Mrs. Olsen indicated a conservative risk tolerance, an investment objective of capital preservation with modest income generation, a 5-to-10-year time horizon, and limited investment experience consisting primarily of certificates of deposit and a target-date mutual fund through her former employer's 403(b) plan. In March 2022, her financial advisor, Derek Callahan, age 34, recommended that Mrs. Olsen invest \$85,000 of her

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IRA - roughly 25% of her total retirement savings - into the ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Callahan told Mrs. Olsen that the fund would 'triple her gains on the tech sector recovery' and described it as a 'turbocharged growth opportunity for the next couple of years.' He did not discuss the daily reset mechanism, the effects of compounding on leveraged products held over periods longer than a single trading day, or the potential for significant losses due to volatility decay. He did not provide her with the product's prospectus or the investor-facing educational materials available from the ETF provider. No written documentation of the recommendation rationale was placed in Mrs. Olsen's file. Over the following eleven months, the Nasdaq-100 experienced substantial volatility, declining approximately 25% before partially recovering. By February 2023, the Nasdaq-100 was down roughly 8% from Mrs. Olsen's purchase date. However, due to the compounding effects of daily 3x leverage in a volatile market, TQQQ had declined approximately 38% from her purchase price. Mrs. Olsen's \$85,000 position was now worth approximately \$52,700 - a loss of \$32,300. When Mrs. Olsen called Callahan's office in February 2023 to ask why her account had dropped so severely when she had read that the Nasdaq was 'only down a little,' Callahan told her to 'stay the course' and that the fund would 'bounce back with compound gains.' He did not recommend liquidating the position or reassess whether the product remained appropriate given her losses and profile. Mrs. Olsen continued to hold the position for another four months before contacting the firm's branch manager to complain.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Callahan committed multiple violations of applicable regulatory standards in recommending TQQQ to Margaret Olsen.

1. ****Suitability - FINRA Rule 2111****: This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, risk tolerance, tax status, time horizon, liquidity needs, and investment objectives. Mrs. Olsen's profile - a 71-year-old retiree, conservative risk tolerance, capital preservation objective, limited investment experience, and dependence on this IRA as her primary retirement savings - is fundamentally incompatible with a 3x daily-leveraged ETF. This violates both the reasonable-basis suitability component (the product is unsuitable for buy-and-hold investors of any profile) and the customer-specific suitability component (her specific profile makes this recommendation particularly egregious).

2. ****Regulation Best Interest (Rule 15l-1 under the Exchange Act)****: Under Reg BI, a broker must act in the retail customer's best interest at the time a recommendation is made, satisfying the Care Obligation, which requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, understand risks and rewards of the product, and have a reasonable basis to believe the recommendation is in the customer's best interest. Allocating 25% of a conservative retiree's IRA into a 3x leveraged ETF plainly fails this standard. The Disclosure Obligation was also violated, as Callahan failed to provide the prospectus, failed to explain daily resetting and volatility decay, and affirmatively mischaracterized the product as a medium-term growth holding.

3. ****FINRA Regulatory Notices 09-31 and 22-08****: RN 09-31 specifically warned that leveraged and inverse

ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading day, due to the effects of mathematical compounding and path dependency. The notice emphasized that in volatile markets, leveraged ETFs can produce returns that deviate dramatically from the expected multiple of the underlying index over holding periods longer than a single day - precisely what occurred here. RN 22-08 reinforced obligations regarding complex products, emphasizing that firms must establish robust supervisory systems, ensure advisors understand the products they recommend, and ensure the products are appropriate for specific customers.

4. ****Complex Products Supervision Failures****: Callahan's firm bears supervisory liability under FINRA Rule 3110. There is no evidence the firm had adequate procedures to flag or review leveraged ETF recommendations for conservative, elderly, retirement-account clients. The absence of any documented rationale or suitability analysis in Mrs. Olsen's file compounds this failure.

5. ****Path Dependency and Volatility Decay****: The factual outcome - the Nasdaq-100 declined approximately 8% while TQQQ declined approximately 38% - illustrates the volatility decay phenomenon central to regulatory concern about these products. Daily resetting of leverage means that in a volatile, choppy market, a leveraged ETF can lose substantial value even if the underlying index experiences a relatively modest net decline. This risk was never disclosed to Mrs. Olsen.

6. ****Post-Recommendation Conduct****: Callahan's advice to 'stay the course' in February 2023, without reassessing suitability in light of the significant losses and Mrs. Olsen's profile, further demonstrates a failure to act in the customer's best interest.

****Likely Regulatory Outcome****: Callahan and his firm face potential disciplinary action including fines, disgorgement, restitution to Mrs. Olsen, suspension or bar for Callahan, and heightened supervisory requirements for the firm. The customer may also pursue arbitration for damages of at least \$32,300 plus any additional losses incurred during the additional four months she held the position on Callahan's implicit recommendation.

Hypothetical 48

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

Margaret Dunleavy, age 71, is a retired elementary school teacher living in Boise, Idaho. She receives \$2,800 per month in pension income and \$1,950 per month in Social Security benefits. Her total investable assets are approximately \$385,000, held primarily in a rollover IRA (\$310,000) and a taxable brokerage account (\$75,000). She has no other significant sources of income and relies on her portfolio to supplement her fixed income for living expenses, including medication costs for a chronic heart condition. Margaret has described herself on account opening documents as having a 'conservative' risk tolerance and her investment objectives are listed as 'income and preservation of capital.' She has no prior experience with options, futures, margin accounts, or leveraged products, and her investment history consists entirely of certificates of deposit, government bonds, and a balanced mutual fund she held for twelve years before

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retiring.

In March 2023, Margaret's financial advisor, Craig Vetter, age 38, transferred to a new branch office and inherited Margaret's account from a retiring colleague. Craig never scheduled an in-person or telephone meeting with Margaret to discuss her financial situation, goals, time horizon, or risk tolerance. He reviewed the existing account documents only briefly. In April 2023, Craig recommended that Margaret move \$95,000 from her rollover IRA's bond allocation into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index, telling her in an email that it was 'a technology fund with strong recent performance that could help grow your retirement savings faster.' He did not explain the daily reset mechanism, the effects of volatility decay, or the fact that the product was designed for short-term tactical trading. He also did not explain the compounding risk of holding a 3x leveraged product over weeks or months, nor did he set any stop-loss parameters or establish a monitoring schedule.

Margaret approved the purchase based on Craig's recommendation. Over the following seven months, through November 2023, the Nasdaq-100 experienced multiple volatile swings. Although the index itself ended the period roughly flat-down approximately 1.2%-Margaret's TQQQ position declined by approximately 19.4% due to volatility decay and the daily compounding effect of the 3x leverage, resulting in a loss of roughly \$18,430. Margaret discovered the magnitude of the loss when she requested a portfolio review in December 2023 to plan a required minimum distribution. She filed a written complaint with the firm in January 2024, stating she was never told the product could lose significant value even if the underlying index was essentially unchanged.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Vetter violated both suitability and best interest standards in multiple respects.

****Failure to Know the Customer:**** Under FINRA Rule 2111 (Suitability), an advisor has an obligation to use reasonable diligence to know the customer's investment profile before making a recommendation. This includes understanding the customer's age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Craig inherited Margaret's account and never conducted a meaningful account review or client meeting. He relied on a cursory glance at outdated documents prepared by a predecessor. This is a textbook failure-to-know-the-customer violation under FINRA Rule 2111's 'reasonable-basis' and 'customer-specific' suitability components.

****Regulation Best Interest (Reg BI), Rule 15l-1 - Care Obligation:**** Under the SEC's Regulation Best Interest, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. The Care Obligation requires that the advisor understand the potential risks, rewards, and costs of the recommended security and have a reasonable basis to believe the recommendation is in the customer's best interest based on the customer's investment profile. Craig recommended a 3x daily-leveraged ETF-a complex, high-risk product-to a 71-year-old retiree with conservative risk tolerance, income/preservation objectives, no experience with leveraged products, and significant reliance on her portfolio for living expenses. There is no reasonable basis to conclude this recommendation was in Margaret's best interest.

****FINRA Regulatory Notices 09-31 and 22-08 - Leveraged and Inverse ETFs:**** FINRA has issued specific guidance warning that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who plan to hold them for longer than one trading session, because the effects of daily compounding can cause returns to deviate significantly from the underlying index's return over time. FINRA RN 09-31 explicitly states that these products are 'typically unsuitable for retail investors who plan to hold them for more than one trading session, particularly in volatile markets.' FINRA RN 22-08 reinforces the obligation to apply heightened scrutiny to complex products and ensure that recommendations involving such products satisfy both Reg BI and FINRA suitability standards. Craig not only failed to apply heightened scrutiny but failed to understand the product himself, describing TQQQ simply as 'a technology fund with strong recent performance.'

****Path Dependency and Volatility Decay:**** The fact pattern illustrates the classic risk: the Nasdaq-100 ended the holding period down only ~1.2%, yet TQQQ lost ~19.4%. This outcome is a direct and foreseeable consequence of holding a daily-resetting 3x leveraged product through volatile markets. Craig's failure to explain this mechanism, set monitoring protocols, or establish an exit strategy compounds the suitability violation.

****Complex Products Supervision:**** Under FINRA's guidance on complex products supervision, firms and advisors are expected to perform enhanced due diligence on complex products before recommending them, ensure that customers receive clear disclosure of material risks, and implement post-recommendation monitoring. None of these steps were taken. The firm's supervisory system may also be deficient if it permitted this recommendation without flagging the mismatch between the customer's profile and the product's risk characteristics.

****Likely Regulatory Outcome:**** Craig would likely face a FINRA enforcement action alleging violations of Rule 2111 (customer-specific suitability and reasonable-basis suitability), Reg BI's Care Obligation, and potentially the Disclosure Obligation (for failing to disclose the daily reset risk, volatility decay, and the product's intended short-term use). Sanctions could include disgorgement of commissions, restitution of losses (\$18,430), a fine, and a supervisory suspension. The firm could also face supervisory failure charges under FINRA Rule 3110 if its systems did not flag the concentrated leveraged ETF position in a conservative retiree's rollover IRA.

Hypothetical 49

Topic: inappropriate_risk_profile | Difficulty: medium

Fact Pattern

Margaret Dunleavy, age 67, is a retired elementary school teacher living in Tallahassee, Florida. She receives a monthly pension of \$3,200 and Social Security benefits of \$1,850 per month. Her total liquid savings amount to approximately \$410,000, held in an IRA rollover account. She has no other significant assets aside from her home, which is paid off and valued at roughly \$285,000. Margaret's investment objective, as documented on her new account form completed in March 2023, is "income with capital

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preservation." Her risk tolerance is marked as "conservative," and her investment time horizon is listed as 5-10 years. She has no prior experience trading options, futures, or leveraged products, and her investment knowledge is described as "limited" on her account profile. She told her advisor, Craig Bellingham, that she wanted steady income to supplement her pension and Social Security and did not want to risk losing her principal.

In April 2023, Bellingham recommended that Margaret allocate \$125,000 of her IRA-roughly 30% of her total liquid net worth-into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Bellingham told Margaret that technology stocks "always come back" and that the leveraged fund would "turbocharge her returns so she could build a bigger nest egg faster." He did not explain that the product resets its leverage daily, that compounding effects in volatile markets can cause significant deviation from the underlying index's cumulative return, or that the fund is generally designed for short-term tactical trading rather than long-term holding. He did not discuss the fund's 0.88% expense ratio or the additional implicit costs associated with daily rebalancing. No written risk disclosure specific to leveraged ETFs was provided, and Bellingham did not document any rationale for why this product was appropriate for Margaret's stated objectives and risk profile.

Margaret held the position for 14 months without any follow-up review or rebalancing by Bellingham. During that period, the Nasdaq-100 experienced multiple volatility spikes, including a drawdown of approximately 12% in late 2023 followed by a partial recovery. Due to the effects of daily resetting and volatility decay, Margaret's \$125,000 position was worth approximately \$78,400 by June 2024-a loss of roughly \$46,600, or 37.3%-even though the Nasdaq-100 itself was roughly flat to slightly positive over the same period. Margaret filed a complaint with Bellingham's broker-dealer in July 2024 after reviewing her quarterly statement and realizing the magnitude of her losses. She stated she never understood the product and would not have agreed to the investment had she known the risks involved.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Bellingham almost certainly violated both the suitability requirements under FINRA Rule 2111 and the best interest standard under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934). The analysis spans multiple dimensions:

****1. Customer-Specific Suitability (FINRA Rule 2111.05):****

Margaret's documented profile-age 67, retired, conservative risk tolerance, income-with-capital-preservation objective, limited investment knowledge, and dependence on the IRA for retirement income-is fundamentally incompatible with a 3x daily-leveraged ETF. TQQQ is classified as a complex product that amplifies both gains and losses by a factor of three on a daily basis. FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs "typically are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets." FINRA Regulatory Notice 12-03 further emphasized heightened supervision obligations for complex products, including leveraged ETFs, and stressed the need for a reasonable basis to believe the customer can understand and bear the risks. A 67-year-old conservative retiree with limited knowledge and a capital preservation objective fails every element of customer-specific suitability for this product.

****2. Reasonable-Basis Suitability:****

Bellingham's statement that technology stocks "always come back" suggests he either did not understand or chose to ignore the path-dependency and volatility decay characteristics of daily-resetting leveraged ETFs. These products can lose significant value even when the underlying index is flat or slightly positive over time, precisely because daily compounding in volatile markets erodes value. FINRA RN 09-31 and RN 22-08 both emphasize that registered representatives must understand these mechanics before recommending such products. Bellingham's failure to grasp or communicate these risks indicates he lacked reasonable-basis suitability.

****3. Regulation Best Interest (Reg BI) - Care Obligation:****

Under the Care Obligation of Reg BI (Rule 15l-1(a)(2)(ii)), a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and have a reasonable basis to believe the recommendation is in the retail customer's best interest. Allocating 30% of a conservative retiree's liquid net worth to a 3x leveraged ETF, without explaining the daily-reset mechanism, volatility decay, or the product's intended short-term use, fails the care obligation. The concentration-\$125,000 in a single speculative position-further aggravates the violation.

****4. Reg BI - Disclosure Obligation:****

Bellingham failed to provide any written risk disclosures specific to leveraged ETFs and did not orally explain the daily compounding mechanics, cost structure, or intended holding period. This likely violates the Disclosure Obligation under Reg BI, which requires disclosure of all material facts relating to the scope and terms of the relationship, including risks and costs.

****5. Supervision Failures (FINRA Rule 3110; FINRA RN 22-08):****

FINRA Regulatory Notice 22-08 (effective as of the compliance date) established enhanced obligations for broker-dealers to implement policies and procedures related to complex products, including leveraged ETFs, such as account approval processes, mandatory training, and consideration of whether customers meet criteria for trading such products. The firm's apparent lack of any supervisory review of this recommendation-and the absence of a follow-up review over 14 months-suggests systemic supervision deficiencies.

****6. Documentation Failures:****

Bellingham did not document any rationale for the recommendation, which is inconsistent with both FINRA Rule 2111 obligations and Reg BI's requirement to demonstrate compliance with the care obligation.

****Likely Regulatory Outcome:****

Margaret's complaint would likely result in a FINRA arbitration claim with strong facts supporting the customer. Bellingham faces potential sanctions including fines, suspension, or a bar. The firm faces supervisory failure charges. Damages would likely include the \$46,600 loss plus potential interest and attorneys' fees. Given the egregiousness of the mismatch between the customer's profile and the product, and the total absence of disclosure and documentation, this case presents a high probability of a finding in the customer's favor.

Hypothetical 50

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Paulson, age 78, is a retired schoolteacher living in Tucson, Arizona. She has a fixed monthly income of \$2,400 from Social Security and a small pension of \$900 per month. Her total liquid savings are approximately \$310,000, held in an IRA that she depends on to supplement her income and cover medical expenses. She has a history of conservative investing—mostly certificates of deposit and Treasury bonds—and her account paperwork lists her risk tolerance as 'conservative' and her investment objective as 'income and capital preservation.' She has no prior experience trading options, futures, or leveraged products, and she told her advisor during their annual review in January 2023 that she was worried about outliving her savings.

Her financial advisor, Derek Langan, age 34, had been managing her account for two years. In March 2023, Langan recommended that Mrs. Paulson invest \$125,000—roughly 40% of her liquid net worth—into a 3x leveraged daily-resetting ETF tracking the Nasdaq-100 index, ticker TQQQ. He told her that technology stocks were 'about to take off' and that the leveraged fund would 'triple her gains quickly so she wouldn't have to worry about money anymore.' He did not explain how daily resetting works, the concept of volatility decay, or the fact that holding such a product over weeks or months could produce returns that dramatically diverge from three times the index's cumulative return. He did not provide her with the fund's prospectus or any written materials describing the risks of leveraged ETFs.

Mrs. Paulson agreed to the purchase. Over the following seven months, the Nasdaq-100 experienced significant volatility, including a 12% drawdown in August and September 2023 before partially recovering. By October 2023, although the Nasdaq-100 was roughly flat over the holding period (down about 1.5%), Mrs. Paulson's TQQQ position had declined by approximately 19%, a loss of roughly \$23,750. She called Langan in distress after receiving her quarterly statement. Langan told her to 'hang tight' and that the position would recover. She continued to hold through December 2023, at which point the position had recovered somewhat but was still down about \$14,200 from her original investment. Mrs. Paulson's daughter, who works as an accountant, reviewed the statements over the holidays and filed a complaint with Langan's firm, alleging that the recommendation was completely unsuitable for her mother and that Langan never explained the product's risks.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Langan violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a financial advisor have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time

horizon, liquidity needs, and experience. Rule 2111 encompasses three component obligations: reasonable-basis suitability (the advisor must understand the product), customer-specific suitability (the recommendation must fit the specific customer), and quantitative suitability (the advisor must not engage in excessive activity).

2. **Regulation Best Interest (Rule 15l-1 under the Exchange Act):** For broker-dealer recommendations to retail customers, Reg BI imposes a best interest standard composed of four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. The Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and ensuring the recommendation is in the customer's best interest and does not place the advisor's interest ahead of the customer's.

3. **FINRA Regulatory Notice 09-31:** This notice specifically warned firms and advisors that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. It highlighted the effects of daily compounding and volatility decay, noting that in volatile markets, these products can produce returns that are dramatically different from the stated multiple of the index's longer-term return.

4. **FINRA Regulatory Notice 22-08:** This notice reinforced heightened obligations around complex products, including leveraged ETFs, requiring firms to implement policies and procedures reasonably designed to identify and approve complex products before they can be recommended, and to ensure advisors and customers understand the products' risks.

5. **FINRA Regulatory Notice 12-03 (Complex Products):** This notice emphasized that firms must perform reasonable diligence to understand the risks and features of complex products and must train registered representatives to understand and explain these products. A post-recommendation obligation also exists to monitor positions in complex products.

Analysis of Violations:

- **Customer-Specific Suitability / Care Obligation Failure:** Mrs. Paulson is a 78-year-old retiree with limited fixed income, conservative risk tolerance, capital preservation objectives, no experience with leveraged products, and a stated concern about outliving her savings. Recommending that she place 40% of her liquid net worth into a 3x leveraged daily-resetting ETF is fundamentally inconsistent with every element of her investment profile. TQQQ is among the most volatile ETFs available, designed for short-term tactical trading by sophisticated investors. This recommendation fails customer-specific suitability under Rule 2111 and the Care Obligation under Reg BI.

- **Reasonable-Basis Suitability Failure:** Langan's failure to explain daily resetting, path dependency, or volatility decay suggests he either did not understand the product himself or deliberately withheld material information. Under FINRA Rule 2111's reasonable-basis component and RN 09-31, an advisor must understand how leveraged ETFs work-including that holding periods beyond one day can result in significant performance divergence from the leveraged index return-before recommending them.

- **Disclosure Failures:** Langan did not provide the prospectus, did not explain the daily-reset mechanism or compounding risk, and made misleading statements suggesting the product would simply 'triple her gains.' Under Reg BI's Disclosure Obligation and FINRA guidance, material risks of complex products must be communicated clearly to the customer before a transaction.

- **Concentration Risk:** Placing 40% of a senior investor's retirement savings into a single highly volatile leveraged ETF creates excessive concentration risk, compounding the suitability violation.

- **Senior Investor Considerations:** Numerous FINRA guidance documents (including RN 07-43) emphasize that firms and advisors must pay particular attention to the vulnerability of senior investors, who have limited time horizons to recover losses and may depend on their savings for essential living and medical expenses.

- **Post-Recommendation Failure:** When the position declined significantly and Mrs. Paulson called in distress, Langan advised her to 'hang tight'-directly contrary to the guidance in RN 09-31 that these products are generally not appropriate for long-term holding. This compounded the initial violation.

Likely Regulatory Outcome: Langan and his firm face significant regulatory liability. The firm may be cited for supervisory failures under FINRA Rule 3110 for failing to have adequate procedures to review and approve leveraged ETF recommendations, particularly for senior investors. Langan individually faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar from the industry. Mrs. Paulson would likely recover her losses (approximately \$14,200-\$23,750 depending on when the position was liquidated) through arbitration, plus possible consequential damages. The firm's failure to implement the complex products framework contemplated by RN 22-08 would also be an aggravating factor.

Hypothetical 51

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

In March 2022, financial advisor Derek Simmons at a mid-sized broker-dealer in Phoenix, Arizona, opened an account for Patricia Langford, a 68-year-old recently widowed retired schoolteacher. Mrs. Langford came to the office with a \$430,000 rollover from her late husband's 401(k) and her own savings of approximately \$95,000 in a money market account. She told Simmons that she needed income to supplement her Social Security benefits of \$2,100 per month and her small pension of \$850 per month. She expressed that she was very worried about running out of money and wanted to be conservative. Simmons had Mrs. Langford complete a new account form, but he checked 'moderate' for her risk tolerance and 'growth and income' for her investment objective, despite her repeated verbal statements about capital preservation and income. Mrs. Langford had no prior investment experience beyond certificates of deposit and the money market account. She had never owned individual stocks, mutual funds, or any exchange-traded products. Simmons did not ask Mrs. Langford any questions about her understanding of leveraged or inverse financial products, nor did he explain the mechanics of daily resetting, compounding

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effects, or volatility decay. Without conducting any further inquiry into her financial knowledge, Simmons invested \$140,000 of the rollover into a 3x leveraged bull semiconductor ETF, \$85,000 into a 2x leveraged S&P 500 ETF, and \$60,000 into a -1x inverse Nasdaq-100 ETF. He told Mrs. Langford these were 'ETFs that would help her portfolio grow faster to make up for lost time.' He placed the remaining \$145,000 of the rollover into a balanced mutual fund and left the \$95,000 in the money market. Over the next eleven months, the semiconductor sector experienced significant volatility with multiple sharp drawdowns and recoveries. By February 2023, the 3x leveraged semiconductor ETF position had lost approximately 47% of its value, falling to roughly \$74,200. The 2x leveraged S&P 500 position declined about 19% to \$68,850 due to a choppy market environment. The inverse Nasdaq-100 ETF lost approximately 31% as the Nasdaq generally trended upward over the period, reducing that position to roughly \$41,400. In total, Mrs. Langford lost approximately \$100,550 across the three leveraged and inverse ETF positions. She discovered the losses when she requested a portfolio review to plan for a home repair expense. She filed a complaint stating she never understood what these products were and that Simmons never asked about her experience with complex investments.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons committed multiple serious violations. First, he failed to fulfill his know-your-customer obligations under FINRA Rule 2111 (the suitability rule) and Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act). Under FINRA Rule 2111, a broker must have a reasonable basis for believing a recommendation is suitable based on the customer's investment profile, which includes age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and other relevant information. Simmons failed at the most foundational level: he did not accurately record Mrs. Langford's stated risk tolerance and investment objectives. She clearly and repeatedly communicated conservative, income-oriented goals, yet he marked her account as 'moderate' risk tolerance with 'growth and income' objectives - a misrepresentation of her actual profile.

Second, Simmons violated the customer-specific suitability obligation by recommending 3x and 2x leveraged ETFs and an inverse ETF to a 68-year-old retiree with no investment experience, conservative risk tolerance, an income-oriented objective, and a clear need for capital preservation. FINRA Regulatory Notices 09-31 and 12-03 specifically warn that leveraged and inverse ETFs are complex products designed to achieve their stated objectives on a daily basis, and that their performance over longer periods can deviate significantly from the underlying index due to the effects of daily compounding (path dependency and volatility decay). These products are generally unsuitable for retail investors who plan to hold them for more than one trading day, and they are especially inappropriate for elderly, inexperienced, conservative investors.

FINRA RN 22-08 further reinforces enhanced obligations when recommending complex products, including the need to establish written supervisory procedures, ensure the representative understands the product's risks, and determine that the customer has the sophistication and risk tolerance to understand the product. Simmons made no effort to assess Mrs. Langford's understanding of leverage, daily resetting mechanics, or the risk of significant loss from holding these products over months.

Under Reg BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill to understand the risks and rewards of a recommendation and must have a reasonable basis to believe the recommendation is in the customer's best interest. Allocating \$285,000 (over 54% of the rollover) to leveraged and inverse ETFs for a risk-averse, income-dependent retiree with zero experience in complex products is a clear violation of the Care Obligation.

The likely regulatory outcome includes customer restitution for losses attributable to the unsuitable recommendations (approximately \$100,550), potential fines against Simmons and his firm for supervisory failures, a suspension or bar from the industry depending on his disciplinary history, and possible additional sanctions under the firm's supervisory obligations for failing to have adequate procedures to review leveraged and inverse ETF recommendations as required by FINRA guidance.

Hypothetical 52

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Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

Gerald Hutchins, age 71, is a retired postal worker living in Dayton, Ohio. He receives \$2,400 per month in Social Security and \$1,100 per month from a modest pension. His total liquid savings amount to approximately \$185,000, held in an IRA rollover account that represents essentially all of his retirement assets aside from his Social Security and pension income. Gerald has no other investments, owns his home outright, and carries no debt. He has limited investment experience, having held only certificates of deposit and a stable value fund inside his former employer's 401(k) plan for the past 30 years. When he rolled over his 401(k) to a brokerage IRA in January 2022, he told his new advisor, Craig Ellison, that he wanted 'safe investments that could maybe grow a little bit' and that he 'could not afford to lose this money.' Gerald indicated on his new account form that his investment objective was 'income with capital preservation' and his risk tolerance was 'conservative.' Craig Ellison had been a registered representative for four years. During the account opening process, Craig did not ask Gerald any follow-up questions about his familiarity with exchange-traded products, options, or leveraged instruments. Craig did not document Gerald's investment knowledge beyond what appeared on the standard new account form, which contained a checkbox for 'limited' experience with equities and no boxes checked for options, futures, or complex products. In February 2022, Craig recommended that Gerald invest \$55,000 of his IRA into the ProShares UltraPro QQQ (TQQQ), a 3x daily leveraged ETF tracking the Nasdaq-100 Index, and \$40,000 into the Direxion Daily Semiconductor Bull 3X Shares (SOXL), a 3x daily leveraged ETF tracking the ICE Semiconductor Index. Craig told Gerald that 'tech and chips are where the growth is' and that these funds would 'supercharge his returns.' Craig did not explain that these products reset daily, did not discuss volatility decay or path dependency, and did not mention that the funds were designed for short-term trading rather than buy-and-hold strategies. Craig set no stop-loss orders and established no monitoring schedule. Gerald's account statements show that the positions were held continuously without any review or rebalancing. By December 2022, the TQQQ position had declined from \$55,000 to approximately \$17,600, a loss of roughly 68%, and the SOXL position had fallen from \$40,000 to approximately \$11,200, a loss of roughly 72%. Combined, Gerald lost approximately \$66,200 - about 36% of his entire retirement savings - in these two positions alone. When Gerald called Craig in January 2023 to ask about the losses,

Craig said he had been 'meaning to check in' and suggested Gerald 'hold on for a rebound.' Gerald subsequently filed a complaint with Craig's firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Ellison committed multiple violations centered on a fundamental failure to know his customer and recommend suitable investments.

****Failure to Know the Customer (FINRA Rule 2111 - Reasonable-Basis, Customer-Specific, and Quantitative Suitability):****

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Craig failed at the most basic level - he did not undertake reasonable diligence to ascertain Gerald's investment knowledge or capacity to understand leveraged ETF products. The new account form indicated 'limited' equity experience and no experience with complex products, yet Craig made no effort to probe further. This is a clear violation of the 'know your customer' obligation embedded in Rule 2111(a).

****Reg BI - Care Obligation (Rule 15l-1(a)(2)(ii)):****

Under Regulation Best Interest, a broker-dealer must exercise reasonable diligence, care, and skill in making a recommendation. The Care Obligation requires that the broker understand the potential risks, rewards, and costs of the recommendation and have a reasonable basis to believe the recommendation is in the retail customer's best interest. A 71-year-old retiree with conservative risk tolerance, capital preservation objectives, limited investment experience, and virtually all of his liquid net worth in a single IRA is the paradigmatic unsuitable customer for 3x daily-leveraged ETFs. Craig's recommendation fails every prong of the Care Obligation.

****FINRA Regulatory Notices 09-31 and 22-08 - Complex Products and Leveraged/Inverse ETFs:****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding, volatility decay, and path dependency. FINRA RN 22-08 reinforced and expanded these concerns, emphasizing that firms must have robust supervisory systems for complex products and that recommendations of such products require heightened scrutiny of the customer's profile, particularly investment experience and understanding of the product's mechanics. Craig made no effort to explain the daily reset mechanism, compounding effects, or the risk that returns over periods longer than one day can deviate significantly - and often negatively - from the leveraged multiple of the index return.

****Specific Violations:****

1. ****Failure to Know the Customer:**** Craig did not gather adequate information about Gerald's investment knowledge, experience with complex products, or ability to understand leveraged ETFs. This violates FINRA Rule 2111's customer-specific suitability requirement and Reg BI's Care Obligation.
2. ****Unsuitable Recommendation:**** Recommending 3x leveraged ETFs representing over 51% of the total

retirement portfolio of a 71-year-old conservative retiree with no complex product experience is a clear-cut suitability violation under both Rule 2111 and Reg BI.

3. ****Failure to Disclose Material Risks:**** Craig did not explain daily resetting, volatility decay, path dependency, or the intended short-term holding period of these products, violating Reg BI's Disclosure Obligation.

4. ****Failure to Monitor/Supervise:**** No stop-losses, no rebalancing triggers, and no periodic review were established. FINRA RN 09-31 and 22-08 specifically note that firms and representatives have ongoing obligations to monitor leveraged ETF positions, particularly when held beyond the intended short-term time horizon.

5. ****Concentration Risk:**** Placing \$95,000 (51% of Gerald's liquid retirement savings) into two highly correlated, triple-leveraged sector ETFs created extreme and unwarranted concentration risk wholly inconsistent with the customer's stated objectives.

****Likely Regulatory Outcome:****

Craig and his firm face significant liability. A FINRA arbitration panel would likely find the recommendation unsuitable and award compensatory damages in the range of \$66,200 (the actual losses), potentially with interest. The firm's supervisory system may also be found deficient under FINRA Rules 3110 and 3120 if it did not flag these trades for heightened review. Craig could face individual sanctions including fines, suspension, or a bar, depending on whether a pattern of similar conduct is found. The firm could face additional fines for supervisory failures related to complex product oversight as outlined in RN 22-08.

Hypothetical 53

Topic: *leveraged_etf_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Kowalski, age 71, is a retired elementary school teacher living in Scranton, Pennsylvania. She receives a monthly pension of \$3,200 and Social Security payments of \$1,850 per month. Her total liquid savings amount to approximately \$410,000, held in an IRA rollover account and a small taxable brokerage account. She has no other significant assets aside from her home, which is fully paid off. Mrs. Kowalski's stated investment objectives on her new account form are capital preservation and income generation, and her risk tolerance is marked as "conservative." She has no prior experience trading options, futures, or leveraged products, and her investment history consists solely of certificates of deposit and a balanced mutual fund she held through her employer's retirement plan for 22 years.

In March 2023, her financial advisor, Derek Halloran, recommended that Mrs. Kowalski invest \$125,000 - roughly 30% of her liquid net worth - into the ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Halloran told Mrs. Kowalski that the fund would "triple the growth of big tech stocks" and was "the best way to make up for years of low CD returns." He did not explain the daily resetting mechanism of the fund, the concept of volatility decay, or the fact that returns over periods longer than one day can differ dramatically - and often negatively - from three times the return of the underlying index. He did not provide her with the fund's prospectus or any written materials describing the risks of leveraged ETFs. No documentation exists showing that Halloran discussed alternative investments or

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considered whether a lower-risk equity income fund or dividend-focused strategy might better suit her stated objectives.

Mrs. Kowalski held the TQQQ position for approximately 14 months. During that period, the Nasdaq-100 experienced several sharp drawdowns and recoveries. Due to the compounding effects of daily resets and elevated volatility, Mrs. Kowalski's \$125,000 investment declined to approximately \$74,500 by May 2024 - a loss of roughly \$50,500, or 40.4% - even though the Nasdaq-100 itself was roughly flat over the same stretch when accounting for the specific entry and exit dates. Mrs. Kowalski discovered the magnitude of her losses only when she requested a distribution to pay for assisted living evaluations for her husband. She subsequently filed a complaint with Halloran's broker-dealer.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Halloran committed multiple violations of applicable regulatory standards.

****FINRA Rule 2111 (Suitability):**** This rule requires that a financial advisor have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Here, Mrs. Kowalski is a 71-year-old retiree with conservative risk tolerance, capital preservation and income objectives, no experience with complex products, and total liquid assets of \$410,000. Recommending that she concentrate 30% of her liquid assets in a 3x daily-leveraged ETF - one of the most volatile and complex exchange-traded products available - is fundamentally inconsistent with every element of her investment profile. The recommendation fails all three components of the suitability obligation: reasonable-basis suitability (no reasonable advisor would conclude TQQQ is appropriate for a conservative retiree), customer-specific suitability (the product contradicts her stated objectives and risk tolerance), and quantitative suitability (the concentration of 30% in a single leveraged product is excessive for her profile).

****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** For broker-dealer recommendations to retail customers, Reg BI imposes a best interest standard with four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. The Care Obligation requires the advisor to exercise reasonable diligence, care, and skill to understand the product and have a reasonable basis to believe the recommendation is in the customer's best interest given her profile. Halloran failed this obligation by recommending an extremely risky, complex leveraged product to a conservative elderly retiree without any reasonable justification. The Disclosure Obligation requires full and fair disclosure of material facts, including risks. Halloran failed to explain daily resetting, volatility decay, or path dependency - all of which are critical risk factors for leveraged ETFs and are essential for informed decision-making.

****FINRA Regulatory Notice 09-31:**** This notice specifically warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice emphasizes that in volatile markets, these products can produce returns that deviate significantly from their stated multiple of the underlying index over longer periods. Mrs. Kowalski held TQQQ for 14 months, during which volatility decay eroded her investment by over 40% even though the

underlying index was approximately flat. This is precisely the scenario the notice warns against.

****FINRA Regulatory Notice 22-08 (Complex Products):**** This notice reinforces heightened obligations when recommending complex products to retail investors, including the need for enhanced account approval processes, reasonable due diligence, and tailored disclosure. There is no evidence Halloran performed any enhanced due diligence, provided the prospectus, or ensured Mrs. Kowalski understood the product's mechanics before investing.

****FINRA Regulatory Notice 12-03 (Complex Products and Heightened Supervision):**** This notice requires firms and their registered representatives to perform a reasonable-basis suitability analysis on complex products - understanding the product well enough to evaluate its risks and rewards - and to determine whether the product is suitable for a specific customer before recommending it. Halloran's characterization of TQQQ as a way to "triple the growth of big tech stocks" without disclosing the daily reset mechanism or path dependency risks demonstrates a failure of reasonable-basis suitability at the product level and a misleading characterization of the product.

****Likely Regulatory Outcome:**** Halloran would likely face disciplinary action including fines, disgorgement, suspension, or a bar from the securities industry. His broker-dealer could face supervisory failure charges under FINRA Rule 3110 if it lacked adequate procedures to flag leveraged ETF recommendations to elderly conservative investors or failed to monitor holding periods. Mrs. Kowalski would have a strong claim for restitution of her approximately \$50,500 in losses through arbitration or the firm's complaint resolution process. The combination of an elderly, unsophisticated, conservative investor; a concentrated allocation to a 3x leveraged daily-resetting ETF; a 14-month holding period; the absence of disclosure about volatility decay and path dependency; and the failure to consider suitable alternatives makes this a clear-cut violation.

Hypothetical 54

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

Gerald Whitmore, age 71, is a retired postal worker living in Tallahassee, Florida, with an annual pension income of \$42,000 and total retirement savings of approximately \$285,000 held in an IRA rollover account. Gerald's wife passed away in 2021, and he is the sole financial provider for himself and occasionally assists his adult daughter, who has a disability, with living expenses. Gerald has no prior experience with options, futures, or leveraged products. His account application, completed in March 2022 by his financial advisor, Marcus Diallo, lists his investment objective as 'income' and his risk tolerance as 'moderate.' However, the application left blank the fields for investment experience, time horizon, and liquidity needs. Marcus never conducted a follow-up conversation or sent a questionnaire to fill in the missing information. In April 2022, after reading headlines about rising interest rates, Marcus recommended that Gerald allocate \$95,000 - roughly one-third of his retirement savings - into a 3x leveraged inverse Treasury bond ETF (ticker: TMV), telling Gerald it would 'protect his portfolio from rising rates.' Marcus did not explain how the fund resets daily, the concept of compounding or volatility decay, or that the product is designed for short-term tactical

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trading. Gerald understood this to be a conservative hedge. Marcus placed the trade and did not revisit the position or contact Gerald for the next eleven months. By March 2023, despite intermediate-term interest rates having generally risen over parts of that period, the position had lost approximately 38% of its value due to path dependency and volatility decay inherent in the daily-resetting leveraged structure. Gerald's \$95,000 investment was now worth roughly \$58,900 - a loss of \$36,100. When Gerald called Marcus in distress after reviewing his quarterly statement, Marcus said the losses were 'just market noise' and recommended holding the position longer. Gerald ultimately sold the position in June 2023 at a total realized loss of \$41,200. Gerald filed a written complaint with the firm in August 2023, stating that Marcus never asked him about his experience, never explained the product's risks, and that the investment was wholly inconsistent with his retirement income needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Diallo violated multiple regulatory requirements in his handling of Gerald Whitmore's account and the recommendation of the 3x leveraged inverse Treasury bond ETF.

****Failure to Know the Customer (FINRA Rule 2111 - Reasonable-Basis, Customer-Specific, and Quantitative Suitability):****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. The investment profile includes, but is not limited to, the customer's age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Marcus left critical fields on the account application blank - specifically investment experience, time horizon, and liquidity needs - and never followed up to obtain this information. This is a textbook failure-to-know-your-customer violation. Without a complete customer profile, Marcus had no reasonable basis to recommend any investment, let alone a highly complex leveraged inverse ETF.

****Regulation Best Interest (Rule 15l-1 - Care Obligation):****

Under Reg BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation, and must have a reasonable basis to believe the recommendation is in the retail customer's best interest based on the customer's profile. Marcus failed on both prongs: (1) he does not appear to have understood or communicated the daily-reset mechanism, path dependency, or volatility decay inherent in leveraged inverse products, and (2) even a cursory review of Gerald's profile - a 71-year-old retiree with modest savings, income-oriented objectives, moderate risk tolerance, and no experience with complex products - would have made clear that a 3x leveraged inverse ETF was plainly not in his best interest.

****FINRA Regulatory Notices 09-31 and 22-08 - Leveraged and Inverse ETF Guidance:****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because their returns over longer periods can differ significantly from the stated multiple of the benchmark's return due to compounding effects. RN 22-08 further reinforced supervisory obligations around complex products, requiring firms to establish a reasonable basis that a complex product recommendation is consistent with

the customer's best interest and to ensure adequate disclosures are provided. Marcus recommended that Gerald hold this product for over eleven months without monitoring, without explaining the compounding risk, and without any plan for exit or rebalancing - directly contrary to this guidance.

****Concentration and Unsuitability:****

Allocating approximately 33% of a 71-year-old retiree's entire IRA into a single 3x leveraged inverse product is a grossly unsuitable concentration, particularly given the customer-specific factors present here.

****Likely Regulatory Outcome:****

Marcus would likely face sanctions for violations of FINRA Rule 2111 (all three suitability obligations), Reg BI's Care and Disclosure Obligations, and the firm could face supervisory deficiency findings under FINRA Rules 3110 and 3120 for failing to have adequate procedures to flag leveraged/inverse ETF purchases by elderly, income-oriented customers. Potential remedies include disgorgement of commissions, restitution to the customer for the \$41,200 loss, fines, and a potential suspension. The firm may also face liability for failure to implement the heightened supervisory procedures recommended in RN 09-31 and RN 22-08 for complex products.

Hypothetical 55

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Hollis, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives a monthly pension of \$2,800 and Social Security benefits of \$1,950 per month. Her total liquid savings amount to approximately \$340,000, held primarily in a traditional IRA rollover account at a regional broker-dealer. Mrs. Hollis completed the firm's new account questionnaire in March 2023, indicating her investment objective as 'income and capital preservation,' her risk tolerance as 'conservative,' her time horizon as '5-10 years,' and her investment experience as 'limited - mostly CDs and bond funds.' She told her financial advisor, Craig Wentworth, that her primary goal was to supplement her pension and Social Security income without taking significant risk, and that she wanted to leave whatever remained to her two grandchildren. In April 2023, Wentworth recommended that Mrs. Hollis allocate \$85,000 - roughly 25% of her portfolio - to a 3x leveraged bull semiconductor ETF (ticker: SOXL), explaining that the semiconductor sector was 'set to boom for years' due to government investment in domestic chip manufacturing. Wentworth described the product to her as 'like a tech mutual fund but with more upside.' He did not explain that the fund resets daily, is designed to deliver three times the daily return of its underlying index, or that long-term returns can deviate dramatically from three times the index's cumulative return due to compounding effects and volatility drag. No written risk disclosure specific to leveraged ETFs was provided, and no supervisory pre-approval for the trade was obtained, despite the firm's internal procedures requiring principal review for complex product transactions involving customers over age 65. Mrs. Hollis held the position for fourteen months. During that period, the semiconductor index experienced several sharp drawdowns and recoveries. By June 2024, the underlying index was approximately 4% higher than when she purchased the leveraged ETF, but due to daily resetting and significant intra-period volatility, her SOXL position had declined by roughly 18%, resulting in an unrealized loss of approximately \$15,300. When Mrs.

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Hollis called to ask why she was losing money if the sector had gone up, Wentworth told her to 'stay the course' and that the position would 'catch up eventually.' He did not recommend reducing or closing the position. By October 2024, after further volatility, the position had lost approximately \$27,200, or 32% of the initial investment. Mrs. Hollis's granddaughter, a finance major in college, reviewed her grandmother's account and immediately flagged the holding as inappropriate.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Wentworth violated applicable suitability and best interest standards on multiple grounds.

****1. Customer-Specific Suitability (FINRA Rule 2111.05(a)):** Mrs. Hollis's documented profile - a 71-year-old conservative retiree with limited investment experience, an income-and-preservation objective, and reliance on her portfolio for supplemental retirement income - is fundamentally inconsistent with a 3x leveraged ETF. FINRA Regulatory Notice 09-31 explicitly warns that leveraged and inverse ETFs are 'typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' The recommendation of SOXL to Mrs. Hollis failed the customer-specific suitability component, as a 3x daily-resetting leveraged product bears no reasonable relationship to her stated goals, risk tolerance, or time horizon.

****2. Reasonable-Basis Suitability:** Wentworth appears to have lacked a fundamental understanding of the product he recommended. His characterization of SOXL as 'like a tech mutual fund but with more upside' is materially misleading and suggests he did not understand the mechanism of daily resetting, path dependency, and volatility decay - core features that make leveraged ETFs behave very differently from traditional funds over holding periods beyond one day. FINRA RN 12-03 and RN 22-08 emphasize that firms and representatives must understand complex products before recommending them.

****3. Regulation Best Interest (Rule 15l-1 - Care Obligation):** Under Reg BI's Care Obligation, a broker-dealer and associated person must exercise reasonable diligence, care, and skill in making a recommendation. The advisor must consider the investment's risks, rewards, and costs in light of the customer's profile. Allocating 25% of a conservative retiree's liquid assets to a highly volatile 3x leveraged sector ETF, without understanding or explaining the product's mechanics, fails this standard. The recommendation did not reflect reasonable diligence or care.

****4. Reg BI Disclosure Obligation:** Wentworth failed to disclose material facts about how the product works, including daily resetting, the impact of compounding on returns over time, and the risk that long-term performance can diverge sharply from the leveraged multiple of the index's cumulative return. This violates the Disclosure Obligation under Reg BI.

****5. Supervisory Failures:** The firm's internal procedures required principal pre-approval for complex product transactions involving customers over age 65. No such review was obtained. This constitutes a violation of FINRA Rule 3110 (supervision) and the firm's own written supervisory procedures. FINRA RN 22-08 reinforces that firms must have robust supervisory systems for complex products, including leveraged ETFs, and that supervision must be reasonably designed to achieve compliance.

****6. Ongoing Duty - Failure to Mitigate:**** When Mrs. Hollis called expressing confusion about her losses, Wentworth told her to 'stay the course' rather than recommending she exit an unsuitable position. Under Reg BI's implicit account monitoring expectations (where the advisor has agreed to monitor or effectively exercises de facto discretion through ongoing advice), continued recommendation to hold an unsuitable product compounds the initial violation.

****Volatility Decay and Path Dependency:**** The fact pattern vividly illustrates the compounding problem central to FINRA's warnings. While the underlying semiconductor index rose approximately 4% over 14 months, Mrs. Hollis's 3x leveraged position declined 18% and ultimately 32%. This is a textbook example of volatility decay - the mathematical phenomenon whereby a daily-resetting leveraged product can lose money even when the underlying index gains, if the path to that gain involves significant interim volatility.

****Likely Regulatory Outcome:**** This case would likely result in findings against both the advisor and the firm. Wentworth would face potential sanctions including fines, disgorgement, suspension, or a bar. The firm would face supervisory failure charges for not enforcing its own pre-approval procedures. Customer restitution of the approximately \$27,200 in losses (or potentially more if the position continued to deteriorate) would be expected. In a customer arbitration, the full loss plus interest and attorneys' fees would be a likely award.

Hypothetical 56

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Hollis, age 71, is a retired elementary school teacher living in Tucson, Arizona, with an annual pension income of \$38,000 and Social Security benefits of \$22,000. Her total liquid savings amount to approximately \$310,000, held in a rollover IRA that represents the entirety of her retirement nest egg aside from her pension. Margaret's account opening documents from March 2022 listed her investment objective as 'income and capital preservation,' her risk tolerance as 'conservative,' her time horizon as '5-10 years,' and her investment experience as 'limited - mostly certificates of deposit and a target-date mutual fund in her former employer's 403(b) plan.' She told her advisor, Kyle Rennick, age 34, that she wanted steady income to supplement her pension and was worried about outliving her savings. In April 2022, Rennick recommended that Margaret allocate \$85,000 - roughly 27% of her portfolio - to a 3x leveraged bull semiconductor ETF (ticker: SOXL), explaining that the semiconductor industry was 'about to boom' due to global chip shortages and that this fund would 'triple her gains.' He described the product as 'just like a regular ETF but with more upside.' He did not explain that the fund resets daily, that its returns over periods longer than one day can deviate significantly from three times the cumulative index return, or that volatility in the underlying index can erode value even if the index ends flat over time. He also did not provide the fund's prospectus or any supplemental materials discussing the risks of leveraged products. Rennick's branch manager, Sandra Liu, approved the trade the same day without conducting any additional review or flagging the product as complex. Margaret held the position for fourteen months. During that period, the Philadelphia Semiconductor Index experienced significant volatility - rising roughly 8% cumulatively, but

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with multiple drawdowns exceeding 15% along the way. Due to the compounding and path-dependency effects of daily resetting, SOXL gained only about 2% over the same period rather than the approximately 24% ($3 \times 8\%$) Margaret might have expected. Meanwhile, the remainder of Margaret's portfolio, invested in a diversified bond fund and a dividend equity fund, returned a combined 5.4%. In June 2023, after Margaret's grandson, a finance graduate student, reviewed her statements and explained how leveraged ETFs work, Margaret called Rennick to ask why her SOXL position had barely moved despite news coverage of semiconductor stock gains. Rennick told her to 'hang tight' and that it would 'catch up eventually.' Margaret liquidated the position herself in July 2023 at a modest gain of \$1,700, far less than what a comparable unleveraged semiconductor ETF would have returned over the same holding period. She filed a complaint with Rennick's broker-dealer in August 2023, alleging that the recommendation was inappropriate for her age, risk profile, and financial situation, and that critical risks were never disclosed.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kyle Rennick violated both traditional suitability standards and Regulation Best Interest (Reg BI), Rule 15l-1, as well as multiple FINRA rules and supervisory standards.

****1. Suitability - FINRA Rule 2111****

FINRA Rule 2111 requires that a recommendation be suitable for the customer based on reasonable diligence regarding the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and investment experience. Margaret was a 71-year-old conservative retiree whose sole liquid retirement asset was \$310,000, with stated objectives of income and capital preservation. A 3x daily-resetting leveraged ETF is an aggressive, speculative instrument wholly inconsistent with every element of her stated profile. The recommendation fails the customer-specific suitability obligation, the reasonable-basis suitability obligation (given Rennick's apparent lack of understanding of the product), and the quantitative suitability obligation insofar as concentrating 27% of a conservative retiree's assets in a single leveraged sector bet is excessive.

****2. Regulation Best Interest - Rule 15l-1****

Under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)), a broker-dealer must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and must have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made, considering the customer's profile. Rennick's recommendation of SOXL to Margaret fails this standard. He recommended a product designed for sophisticated, short-term traders to a conservative, inexperienced, elderly retiree and did not even understand the product's mechanics sufficiently to explain daily resetting, path dependency, or volatility decay.

Under Reg BI's Disclosure Obligation (Rule 15l-1(a)(2)(i)), the advisor must disclose material facts about the recommendation, including risks and conflicts. Rennick described SOXL as 'just like a regular ETF but with more upside,' which is materially misleading. He failed to provide the prospectus or any risk disclosure materials.

****3. FINRA Regulatory Notices 09-31 and 22-08 - Leveraged and Inverse ETFs / Complex Products****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. It highlighted the effects of daily compounding and volatility decay, noting that returns over longer periods can differ dramatically from the stated leverage multiple times the index return. FINRA RN 22-08 reinforced heightened obligations around complex products, requiring firms to establish reasonably designed policies and procedures to identify and supervise recommendations of complex products, evaluate whether products are appropriate for specific investors, and ensure that associated persons understand the products they recommend.

Rennick recommended a 14-month hold of a daily-resetting 3x leveraged ETF - precisely the type of misuse these notices warn against. He plainly did not understand the product's mechanics.

****4. Supervisory Failures****

Branch manager Sandra Liu approved the trade the same day without any enhanced review. Under FINRA Rules 3110 and 3120, the firm must establish and maintain a supervisory system reasonably designed to detect and prevent violations, including heightened review for complex or high-risk products. A 3x leveraged semiconductor ETF purchase constituting 27% of a 71-year-old conservative retiree's IRA should have triggered supervisory flags. Liu's same-day approval without inquiry represents a supervisory failure.

****5. Likely Regulatory Outcome****

Rennick faces potential sanctions including fines, disgorgement of commissions, suspension, or bar. The firm faces potential supervisory deficiency findings, fines, and possible restitution to Margaret. Even though Margaret's actual dollar losses were relatively modest (opportunity cost rather than outright loss), regulators evaluate the suitability of the recommendation at the time it was made, not solely by outcome. The recommendation was unsuitable and not in Margaret's best interest at inception, and the lack of disclosure compounded the violation.

Hypothetical 57

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Russo, age 67, is a retired elementary school teacher living in Scranton, Pennsylvania. She has a fixed annual income of \$38,000 from her state pension and Social Security, total liquid savings of approximately \$210,000 in a brokerage account, and an additional \$95,000 in a money market account she considers her emergency fund. Her investment experience is limited to certificates of deposit and a target-date retirement fund offered through her employer's 403(b) plan, which she held for eighteen years before rolling it into her brokerage account upon retirement in 2020. Her account documents list her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' and her time horizon as 'five to ten years.' She has no prior experience trading options, futures, or leveraged products.

In March 2023, Margaret's financial advisor, Derek Halpern, age 34, recommended that she invest \$72,000 - roughly 34% of her liquid brokerage assets - into a 3x leveraged bull ETF tracking the semiconductor

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sector (ticker: SOXL). Derek told Margaret that the semiconductor industry was 'about to explode' due to demand for artificial intelligence chips, and that this fund would 'triple her gains compared to just buying regular semiconductor stocks.' He described the product as similar to a mutual fund but 'turbocharged.' He did not explain the daily reset mechanism, the effects of compounding on leveraged returns over multi-day holding periods, or the concept of volatility decay. He did not provide Margaret with the fund's prospectus or any supplementary educational materials, nor did he document any analysis of why a 3x leveraged sector ETF was appropriate for her specific financial situation.

Margaret purchased 540 shares of SOXL at approximately \$133.33 per share on March 15, 2023. Derek told her to 'just hold it and let it ride - this is a long-term winner.' Over the following eleven months, the semiconductor sector experienced significant volatility, with multiple drawdowns of 8-12% interspersed with recoveries. By February 2024, the underlying semiconductor index was approximately 4% higher than its level when Margaret purchased the fund. However, due to the compounding effects of the daily-resetting 3x leverage and the path-dependent nature of the returns during the volatile period, Margaret's SOXL position was worth approximately \$58,300 - a loss of \$13,700, or roughly 19%, despite the underlying index being in positive territory.

Margaret called Derek in February 2024 confused about why she had lost money when she had read that semiconductor stocks were up. Derek responded that the market 'just needed more time' and recommended she continue holding. Margaret ultimately sold the position in April 2024 at \$51,800, realizing a total loss of \$20,200 - approximately 28% of her original investment and nearly 10% of her total liquid savings. She subsequently filed a complaint with her brokerage firm stating she was never told the fund could lose money even if the sector went up, and that she did not understand she was investing in a leveraged product that reset daily.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Halpern violated multiple regulatory standards governing the recommendation of complex products to retail investors.

****Suitability under FINRA Rule 2111:**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on that customer's investment profile. Rule 2111 encompasses three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

Derek failed reasonable-basis suitability because he apparently did not understand - or chose not to convey - the fundamental mechanics of a daily-resetting 3x leveraged ETF. FINRA Regulatory Notice 09-31 explicitly warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice stated that 'investors should understand that these funds are designed to achieve their stated objectives on a daily basis' and that their performance 'can differ significantly from the performance of their underlying index or benchmark during longer periods.' Derek's recommendation to 'just hold it and let it ride' as a long-term investment directly contradicts the product's design and intended use.

Derek failed customer-specific suitability on multiple grounds. Margaret was a 67-year-old retiree with conservative risk tolerance, income and capital preservation objectives, limited investment experience (only CDs and a target-date fund), no experience with complex or leveraged products, and a relatively modest asset base of \$210,000 in liquid savings. Allocating 34% of her liquid brokerage assets to a single 3x leveraged sector ETF was wildly inconsistent with every element of her investment profile.

****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** Under Reg BI's Care Obligation, Derek was required to exercise reasonable diligence, care, and skill to understand the risks and rewards of SOXL before recommending it, and to have a reasonable basis to believe that the recommendation was in Margaret's best interest based on her investment profile and the potential risks, rewards, and costs. The Care Obligation also requires that the advisor not place his own interests ahead of the customer's. A 3x leveraged sector ETF with daily rebalancing carries extreme concentration risk, leverage risk, and path-dependency risk - none of which are consistent with Margaret's conservative, capital-preservation profile. Reg BI's Disclosure Obligation further required Derek to disclose all material facts about the recommendation, including the risks of volatility decay, the daily reset mechanism, and the unsuitability of long-term holding periods. He disclosed none of these.

****FINRA Regulatory Notice 22-08 and Complex Products Supervision:**** RN 22-08 reinforced members' sales practice obligations for complex products, including leveraged and inverse ETFs. It emphasized the need for firms to implement effective practices for complex product oversight, including ensuring customers understand product features before investing, providing training to registered representatives, and implementing approval processes for complex product transactions. The fact that Derek provided no prospectus, no educational materials, and no documentation of his suitability analysis suggests both individual and supervisory failures.

****FINRA Regulatory Notice 12-03:**** This notice specifically addressed heightened supervision requirements for complex products, requiring firms to establish a reasonable basis that a customer can understand the fundamental features of a recommended complex product, including how it is expected to perform under various market conditions.

****Path Dependency and Volatility Decay:**** The outcome in Margaret's case is a textbook illustration of the volatility decay phenomenon that regulators have repeatedly warned about. Despite the underlying semiconductor index gaining approximately 4% over the holding period, the daily resetting 3x leverage, combined with intraperiod volatility of 8-12% swings, caused significant compounding losses. This is not an anomalous result - it is the mathematically expected outcome when volatile assets are held in daily-resetting leveraged structures over extended periods. Derek's failure to understand or communicate this risk is a fundamental deficiency.

****Likely Regulatory Outcome:**** Derek would likely face enforcement action for unsuitable recommendations and failure to comply with Reg BI's Care and Disclosure Obligations. Potential sanctions include fines, disgorgement of commissions, restitution to Margaret, a suspension, or in aggravated circumstances, a bar. The firm could also face supervisory liability under FINRA Rule 3110 if it lacked adequate procedures to flag leveraged ETF purchases by conservative, elderly, unsophisticated investors,

or if existing procedures were not enforced. Margaret's arbitration claim would likely result in an award covering her \$20,200 in realized losses plus potential consequential damages.

Hypothetical 58

Topic: *leveraged_etf_unsuitable* | Difficulty: *medium*

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Fact Pattern

Margaret Owens, age 67, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,800 per month in pension income and \$1,950 per month in Social Security benefits. Her total liquid savings are approximately \$410,000, held in a rollover IRA that constitutes essentially all of her retirement assets aside from her pension. She owns her home outright, valued at roughly \$265,000. On her new account form completed in March 2022, she indicated a conservative risk tolerance, an investment objective of capital preservation with modest income, a time horizon of 10-plus years, limited investment knowledge, and no prior experience trading options, futures, or leveraged products.

Her financial advisor, Craig Delano, had been managing her IRA since she rolled it over from her former employer's 403(b) plan in January 2022. In April 2022, Delano told Mrs. Owens that he was concerned about rising interest rates hurting the bond market and recommended she invest a significant portion of her portfolio in a product he described as a way to "profit when rates go up and bonds go down." He recommended she allocate \$125,000-roughly 30% of her IRA-to the Direxion Daily 20+ Year Treasury Bear 3X Shares (TMV), a triple-leveraged inverse ETF that seeks to deliver 300% of the inverse of the daily performance of the ICE U.S. Treasury 20+ Year Bond Index.

Delano did not provide Mrs. Owens with the fund's prospectus or any written materials explaining daily resetting, compounding effects, path dependency, or volatility decay. He did not discuss that the product was designed for short-term tactical trading, typically intraday or over periods of a few days. He told her to "sit tight and let it work" and that rates were "only going one direction." He entered the trade and did not set any stop-loss levels, rebalancing triggers, or a specific exit date.

Over the following eleven months, Mrs. Owens held the position without any contact from Delano regarding the TMV position. Despite the fact that long-term Treasury yields did rise meaningfully during portions of this period, the daily resetting and compounding mechanics of the 3x inverse product produced erratic returns. The path of Treasury yields was not a straight line-rates rose, then briefly fell during a flight-to-quality episode in September 2022, then rose again, then leveled off. By March 2023, the underlying index was down approximately 18% from the purchase date, which in a perfectly tracking, non-resetting scenario might have produced a gain of roughly 54% on a 3x inverse basis. However, due to volatility decay and daily compounding, Mrs. Owens's TMV position had gained only about 19%, significantly underperforming the naive 3x expectation. More critically, during the interim drawdowns-particularly September through October 2022-the position had been down as much as 35% from her purchase price, temporarily reducing her \$125,000 allocation to approximately \$81,000.

When Mrs. Owens finally reviewed her March 2023 statement and saw the modest gain relative to what

Delano had projected, she called to ask questions. Delano told her to continue holding because he expected rates to "keep climbing through 2024." She held the position through August 2023, at which point renewed rate volatility caused another sharp drawdown. By the time she contacted a new advisor and liquidated the position in September 2023, her \$125,000 investment was worth approximately \$98,500, a loss of \$26,500, even though long-dated Treasury yields had broadly risen over the entire holding period.

Mrs. Owens filed a complaint alleging that Delano recommended a product that was completely inconsistent with her conservative profile and retirement income needs, failed to explain the risks of daily resetting and compounding, and neglected her account by never monitoring or rebalancing the leveraged position over an 18-month holding period.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Delano violated both the suitability requirements under FINRA Rule 2111 and the best interest standard under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act). Multiple dimensions of these obligations were breached.

****Reasonable-Basis Suitability (FINRA Rule 2111.05(a)):** Delano failed to understand the product he recommended. Leveraged inverse ETFs such as TMV reset daily and are explicitly designed for short-term, typically intraday, trading by sophisticated investors. FINRA Regulatory Notices 09-31 and 22-08 have emphasized that these products are generally unsuitable for retail investors who plan to hold them beyond a single trading session, because daily compounding causes returns to deviate-often dramatically-from the leveraged multiple of the underlying index's cumulative return over longer periods. This phenomenon, known as volatility decay or path dependency, means that even if the underlying index moves in the anticipated direction over time, a leveraged ETF can lose money if the path to that outcome involves interim volatility. Delano's failure to understand or communicate this core product feature is a reasonable-basis suitability violation.

****Customer-Specific Suitability (FINRA Rule 2111.05(b)):** Mrs. Owens was a 67-year-old retiree with conservative risk tolerance, capital preservation objectives, limited investment knowledge, no experience with leveraged instruments, and dependence on her IRA as her primary retirement savings beyond a modest pension. Allocating 30% of her entire retirement portfolio to a triple-leveraged inverse daily-resetting ETF is fundamentally inconsistent with her documented profile. The concentration risk alone-\$125,000 in a single volatile, complex product-was excessive for a conservative retiree.

****Quantitative Suitability:** While this sub-obligation typically applies to excessive trading, the magnitude of the single unsuitable allocation (30% of total liquid net worth) in a product with built-in structural decay constitutes a quantitative concern in the broader suitability analysis.

****Regulation Best Interest (Rule 15l-1):** Under Reg BI's Care Obligation, Delano was required to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. He failed to do so. Under the Disclosure Obligation, he was required to disclose all material facts about the recommendation, including

the daily resetting mechanism and the implications for long-term holding. He did not provide the prospectus or any written explanation. Under Reg BI's overall framework, the recommendation must be in the retail customer's best interest and cannot place the advisor's interest ahead of the customer's.

****Supervision Failures:**** Under FINRA Rule 3110 and the heightened supervisory obligations for complex products described in FINRA RN 12-03 and RN 22-08, Delano's firm had an obligation to establish and maintain supervisory systems reasonably designed to ensure that recommendations of complex products like leveraged ETFs are suitable and in customers' best interest. The fact that a 67-year-old conservative retiree held a 3x leveraged inverse Treasury ETF for 18 months without any supervisory review, account monitoring, or intervention suggests a significant supervisory failure by the firm.

****Ongoing Monitoring:**** FINRA RN 22-08 specifically addresses concerns about complex products and firms' obligations to monitor accounts holding such products. Delano's complete absence of monitoring, failure to set exit strategies, and instruction to simply "sit tight" for over a year with a daily-resetting leveraged product compounded the initial suitability violation.

****Likely Regulatory Outcome:**** Delano faces potential sanctions including fines, suspension, and disgorgement. The firm faces potential supervisory liability. Mrs. Owens's \$26,500 loss-occurring despite favorable directional movement in the underlying thesis-powerfully illustrates the volatility decay and path dependency risks that make long-term holding of leveraged ETFs inappropriate for retail investors. In arbitration or regulatory proceedings, this case presents strong facts for customer recovery and advisor discipline.

Hypothetical 59

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Hollowell, age 78, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid investment portfolio is approximately \$340,000, held in an IRA rollover account, which represents her entire life savings apart from a modest home valued at \$185,000. Mrs. Hollowell's stated investment objectives on her account opening documents are income generation and capital preservation. Her risk tolerance is listed as conservative. She has no prior experience with options, futures, leveraged products, or any complex financial instruments. She has a high school diploma and worked her entire career as a public school teacher. She suffers from early-stage macular degeneration and relies on her grandson to drive her to appointments.

In March 2023, her financial advisor, Ryan Ketterick, age 34, at a mid-sized broker-dealer in Tucson, recommended that Mrs. Hollowell invest \$95,000 - roughly 28% of her portfolio - into the Direxion Daily Semiconductor Bull 3x Shares (SOXL), a triple-leveraged ETF that seeks 300% of the daily performance of the ICE Semiconductor Index. Ketterick told Mrs. Hollowell that semiconductors were 'the future of everything' and that this fund would 'turbocharge her returns so she wouldn't have to worry about outliving

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her money.' He did not explain that the product resets daily, that leveraged ETFs experience volatility decay, or that the product is generally designed for short-term trading rather than buy-and-hold strategies. No written disclosure specific to leveraged or complex products was provided, and no enhanced supervisory review was conducted by the branch.

Ketterick placed the trade and did not contact Mrs. Hollowell again for over eleven months. During that period, the semiconductor sector experienced significant volatility. The ICE Semiconductor Index ended the eleven-month period down approximately 4% from the date of purchase. However, due to the compounding effects of daily resetting with 3x leverage and the volatile path the index took - including two drawdowns exceeding 15% followed by partial recoveries - the SOXL position lost approximately 38% of its value, declining from \$95,000 to roughly \$58,900, a loss of \$36,100. Mrs. Hollowell discovered the loss in February 2024 when her grandson helped her review her annual account statement. She was distraught and contacted the branch manager, who had no record of any supervisory review of the original trade recommendation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, this fact pattern presents multiple serious violations of applicable regulatory standards.

1. ****Suitability - FINRA Rule 2111****: Under the reasonable-basis, customer-specific, and quantitative suitability components, Ketterick's recommendation fails on all three prongs. A triple-leveraged daily-resetting ETF is entirely inconsistent with Mrs. Hollowell's stated objectives of income generation and capital preservation, her conservative risk tolerance, her age (78), her limited investment experience, and her financial dependence on her \$340,000 portfolio as her sole liquid savings. Customer-specific suitability requires the advisor to have a reasonable basis to believe the recommendation is suitable for the particular customer based on that customer's investment profile. Recommending a highly speculative, volatile, short-term trading instrument to a 78-year-old conservative retiree with no experience in complex products is a textbook violation.
2. ****Regulation Best Interest (Reg BI) - Rule 15l-1****: Under the Care Obligation of Reg BI, which applies to broker-dealer recommendations to retail customers, the advisor must exercise reasonable diligence, care, and skill to understand the product, its risks, and potential consequences, and must have a reasonable basis to believe the recommendation is in the customer's best interest without placing the advisor's interest ahead of the customer's. Ketterick clearly failed this standard. The product was unsuitable and the recommendation appears driven by factors other than the customer's best interest. Additionally, under Reg BI's Disclosure Obligation, Ketterick failed to provide Mrs. Hollowell with material information about the product's daily-resetting mechanism, volatility decay, and the risks of long-term holding.
3. ****FINRA Regulatory Notices 09-31 and 22-08****: FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets, due to the effects of compounding (path dependency and volatility decay). The notice highlighted that these products can produce returns that diverge dramatically from the underlying index over time, exactly as occurred here (index down 4%, SOXL

down 38%). FINRA RN 22-08 reinforced heightened obligations regarding complex products, including leveraged ETFs, emphasizing the need for robust supervisory systems, enhanced suitability analysis, and meaningful customer-specific disclosures before recommending such products. Neither the advisor nor the firm fulfilled these obligations.

4. ****Supervision Failures****: The branch manager had no record of any supervisory review of the trade. Given that the product is a complex, triple-leveraged ETF and the customer is a 78-year-old conservative retiree, the firm's supervisory system failed to flag what should have been an obvious red-flag transaction requiring enhanced review. This constitutes a violation of FINRA Rules 3110 (supervision) and the complex products supervision standards articulated in RN 12-03 and RN 22-08.

5. ****Senior Investor Exploitation****: Mrs. Hollowell's age, health condition (macular degeneration limiting her ability to independently monitor her account), dependence on a fixed income, conservative profile, and lack of sophistication make her a particularly vulnerable investor. FINRA has repeatedly emphasized heightened protections for senior investors, and placing a speculative leveraged product in the IRA of a 78-year-old conservative retiree is precisely the type of conduct that draws enhanced regulatory scrutiny and sanctions.

****Likely Regulatory Outcome****: Ketterick faces potential sanctions including fines, disgorgement, suspension, or bar. The firm faces supervisory failure charges. Mrs. Hollowell would likely recover her \$36,100 loss plus interest in an arbitration proceeding or regulatory restitution action. The firm's failure to implement enhanced review procedures for complex product recommendations to senior investors significantly compounds its exposure.

Hypothetical 60

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

Margaret Kowalski, age 71, is a retired elementary school teacher living in suburban Milwaukee. She receives a monthly pension of \$2,800 and Social Security benefits of \$1,650 per month. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account that represents essentially all of her retirement assets aside from her pension. She owns her home outright, valued at approximately \$195,000. Margaret has no other sources of income and describes herself as someone who has "always kept money in CDs and savings bonds." She has no prior experience trading stocks, options, or ETFs of any kind.

In March 2023, Margaret's longtime advisor at a regional broker-dealer retired, and her account was reassigned to Kevin Pratt, a registered representative who had been with the firm for four years. Kevin scheduled an introductory phone call with Margaret lasting approximately twelve minutes, during which he asked her how she was doing and confirmed her address and beneficiary designations. He did not conduct a new account review, did not update her investor profile questionnaire, and did not ask about her risk tolerance, investment time horizon, liquidity needs, tax situation, or investment experience. The firm's records still contained an investor profile from 2016 that listed her risk tolerance as "moderate" and her

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investment objective as "growth and income" - designations her prior advisor had selected when opening the account, though Margaret later stated she did not recall discussing those terms and believed her money was "in something safe."

Over the next two months, Kevin repositioned approximately \$185,000 of Margaret's IRA - previously invested in a balanced fund of investment-grade bonds and large-cap equities - into two leveraged ETF products. He allocated \$110,000 to a 3x leveraged ETF tracking the Nasdaq-100 index and \$75,000 to a 2x leveraged ETF tracking the S&P 500 Energy sector index. Kevin did not explain to Margaret that these products reset daily, that they were designed for short-term trading, or that holding them for extended periods could result in significant losses due to compounding effects and volatility decay, even if the underlying index was relatively flat over time. Margaret was not informed that these products carried expense ratios significantly higher than her prior balanced fund. Kevin's notes in the firm's CRM system for both trades simply read: "Client wants more growth."

Margaret did not check her account statements regularly. When she finally reviewed her year-end statement in January 2024, she discovered that her \$185,000 in leveraged ETF positions had declined to approximately \$121,000 - a loss of roughly \$64,000, or about 34.6% - during a period in which the Nasdaq-100 was approximately flat and the S&P Energy sector had declined modestly. Margaret called Kevin, who told her the market "had been choppy" and suggested she "hold on a little longer." By March 2024, the combined value had fallen to \$108,500. Margaret filed a complaint with the firm, stating she never understood what these products were and never would have agreed to put her retirement savings into anything so risky.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Pratt committed multiple serious violations of applicable regulatory standards.

****Failure to Know the Customer (FINRA Rule 2111 - Reasonable-Basis, Customer-Specific, and Quantitative Suitability):****

Kevin failed to conduct any meaningful updated inquiry into Margaret's financial situation, investment experience, risk tolerance, time horizon, or liquidity needs before making recommendations. FINRA Rule 2111 requires that a representative have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, which the representative must make reasonable diligence to ascertain. A twelve-minute introductory call that addressed only administrative matters does not satisfy this obligation. Relying on a stale 2016 profile - which Margaret herself did not recall agreeing to - is insufficient, particularly when taking on a new client relationship.

****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):****

Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making recommendations to retail customers. This includes understanding the potential risks, rewards, and costs of a recommendation and having a reasonable basis to believe the recommendation is in the retail customer's best interest. Kevin recommended complex, highly leveraged daily-resetting ETF products to a 71-year-old retiree with no trading experience, no risk appetite for

speculative instruments, and total dependence on these retirement assets. This is a clear violation of the Care Obligation. Additionally, Reg BI's Know-Your-Customer component requires reasonable diligence to understand the customer's investment profile before making any recommendation.

****FINRA Regulatory Notices 09-31 and 22-08 - Leveraged and Inverse ETFs and Complex Products:****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding (volatility decay or path dependency). The notice emphasized that these products can produce returns that diverge significantly from the underlying index over time, even in flat or modestly trending markets - exactly what happened here. FINRA RN 22-08 reinforced and expanded these concerns under a complex products framework, requiring firms and representatives to perform enhanced due diligence on complex products, ensure customers understand the material features and risks, and determine that such products are consistent with the customer's profile.

Kevin made no effort to explain daily resetting, compounding risk, or the short-term nature of these products. He placed over 54% of Margaret's entire retirement savings into 2x and 3x leveraged ETFs and then recommended she continue holding them as losses mounted.

****Firm Supervision Failures:****

The firm may also bear responsibility for failing to flag these trades through supervisory review systems. Concentrated leveraged ETF positions in a 71-year-old retiree's IRA should have triggered heightened supervisory review under FINRA Rules 3110 and 3120, as well as the firm's own written supervisory procedures for complex product transactions.

****Likely Regulatory Outcome:****

Kevin Pratt faces potential sanctions including fines, disgorgement, suspension, or a bar from the industry. Margaret has strong grounds for recovery of her approximately \$76,500 in losses (from \$185,000 to \$108,500) through arbitration or regulatory complaint. The firm faces potential supervisory liability for failure to implement adequate controls around complex product recommendations and failure to detect an unsuitable concentration of leveraged ETFs in a retired, conservative investor's account.

Hypothetical 61

Topic: high_fees_unsuitable | Difficulty: medium

Fact Pattern

Margaret Tilson, age 71, is a retired elementary school teacher living in Omaha, Nebraska. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid savings amount to approximately \$310,000, held in an IRA rollover account and a small taxable brokerage account. She has no other significant assets beyond her home, which is fully paid off. Her stated investment objectives on her new account form are income generation and capital preservation, and her risk tolerance is marked as conservative. She has no prior experience trading options, futures, or leveraged products, and her investment history consists entirely of certificates of deposit and a target-date retirement fund held

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through her former employer's 403(b) plan.

In February 2023, Margaret's financial advisor, Kevin Dahl, age 38, recommended that she allocate \$95,000 of her IRA rollover - roughly 31% of her total liquid net worth - into a 3x leveraged daily-resetting ETF tracking the Nasdaq-100 index. Kevin told Margaret that the fund would 'triple her gains from the tech rally' and described it as 'like owning the Nasdaq but better.' He did not explain the daily reset mechanism, the compounding effects of holding the product beyond one trading session, or the fact that the fund carried an annual expense ratio of 0.95% - significantly higher than a standard index ETF tracking the same benchmark, which typically charges between 0.03% and 0.20%. He also did not discuss the impact of the embedded financing costs inherent in leveraged ETF structures, which effectively add an additional drag of approximately 0.50% to 1.00% annually beyond the stated expense ratio.

Kevin executed the purchase on February 14, 2023, and did not set any stop-loss parameters, rebalancing triggers, or a defined holding period. He did not contact Margaret again regarding the position until she called him on October 30, 2023, after receiving her third-quarter account statement. By that time, the Nasdaq-100 index itself had gained roughly 10% from her purchase date, but Margaret's leveraged ETF position had gained only 18% rather than the 30% she expected - a shortfall she did not understand. More critically, the position had experienced a drawdown of over 22% during a volatile stretch in August and September before partially recovering.

When Margaret expressed confusion and concern, Kevin told her to 'just hang on, it'll catch up,' and recommended she continue holding. He did not offer to rebalance, reduce the position size, or move her into a lower-cost, non-leveraged alternative. Margaret's account was charged approximately \$900 in explicit fund expenses over the holding period, on top of the hidden financing drag. No documentation exists showing that Kevin performed any product-specific due diligence, discussed the total cost of ownership with Margaret, or assessed whether a daily-resetting leveraged product was appropriate for a long-term, conservative, income-focused retiree.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Dahl violated multiple applicable standards governing the recommendation of complex, high-cost products to retail investors.

****Suitability Under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on that customer's investment profile. This rule encompasses three obligations: (1) reasonable-basis suitability (the advisor must understand the product), (2) customer-specific suitability (the recommendation must fit the specific customer), and (3) quantitative suitability (the advisor must not engage in excessive activity).

Here, Kevin failed on both reasonable-basis and customer-specific grounds. Margaret is a 71-year-old retired teacher with conservative risk tolerance, income-oriented objectives, modest liquid savings, and zero experience with leveraged products. A 3x leveraged daily-resetting ETF is designed for sophisticated,

short-term traders who actively monitor positions and understand path dependency and volatility decay. Allocating 31% of a conservative retiree's IRA to such a product is facially unsuitable.

****Regulation Best Interest (Reg BI) - Rule 15l-1:****

Under Reg BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill in making a recommendation, must understand the potential risks, rewards, and costs of the recommendation, and must have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. The Cost component of the Care Obligation specifically requires consideration of reasonably available alternatives. Kevin recommended a fund with a 0.95% expense ratio plus hidden financing costs when standard Nasdaq-100 index ETFs were available at a fraction of the cost. He made no comparative cost analysis, did not disclose total cost of ownership, and failed to consider lower-cost alternatives - a clear violation of the Care Obligation.

Reg BI's Disclosure Obligation also required Kevin to disclose all material facts about the recommendation, including the daily-reset mechanism, the impact of volatility decay on long-term returns, and the full cost structure. He did none of this.

****FINRA Regulatory Notice 09-31:****

This notice specifically warned firms and registered representatives that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. It highlighted the effects of daily compounding, which can cause returns to deviate significantly from the expected multiple of the underlying index's return over longer periods - precisely the shortfall Margaret experienced. Kevin's recommendation to buy and hold a 3x leveraged ETF in a retirement account with no exit strategy or monitoring plan directly contravenes this guidance.

****FINRA Regulatory Notice 22-08:****

RN 22-08 imposed heightened obligations on firms regarding complex products, including leveraged and inverse ETFs. It emphasized the need for firms to establish robust supervisory frameworks, ensure that associated persons understand the products they recommend, and implement measures to assess whether customers can understand the risks. There is no evidence Kevin performed any product-level due diligence, and his firm apparently had no supervisory mechanism that flagged this transaction for review.

****FINRA Regulatory Notice 12-03:****

RN 12-03 reinforced suitability obligations with respect to complex products, stating that the more complex and risky the product, the more inquiry is needed into the customer's sophistication, financial situation, and ability to absorb losses. Kevin made no such inquiry and failed to document any heightened suitability analysis.

****Likely Regulatory Outcome:****

Kevin Dahl faces probable sanctions including fines, disgorgement of commissions earned on the transaction, potential suspension, and mandatory restitution to Margaret. His firm may also face supervisory deficiency charges for failing to flag a 3x leveraged ETF purchase in a conservative retiree's IRA. Margaret would likely prevail in a customer arbitration claim seeking recovery of her excess costs and any losses attributable to the unsuitable recommendation.

Hypothetical 62

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Dawson, age 71, is a retired elementary school teacher living in Tulsa, Oklahoma. She receives a monthly pension of \$3,200 and Social Security benefits of \$1,850 per month, giving her a total annual income of approximately \$60,600. Her investment portfolio, which constitutes her entire liquid savings, totals \$185,000 and is held in a rollover IRA. Margaret has no prior experience trading options, futures, or leveraged products. Her investment knowledge is limited to owning a few blue-chip stocks and a balanced mutual fund that her previous advisor selected for her over a decade ago. On her new account form completed in January 2023, her stated investment objective was 'income with capital preservation,' her risk tolerance was marked as 'conservative,' and her time horizon was listed as '10+ years' since she intended the IRA to supplement her pension throughout retirement.

In March 2023, her new financial advisor, Kevin Stahl, age 34, recommended that Margaret invest \$55,000 - roughly 30% of her IRA - into ProShares UltraPro QQQ (TQQQ), a 3x daily leveraged ETF that seeks to deliver three times the daily return of the Nasdaq-100 Index. Kevin told Margaret that with the technology sector poised for a rebound, this fund would 'supercharge her returns' and help her portfolio grow faster so she could leave more to her grandchildren. He described the product as 'basically a Nasdaq index fund, just with a little extra kick.' He did not explain the daily resetting mechanism, the concept of volatility decay, or the fact that the product is designed for short-term trading and can lose substantial value even if the underlying index is flat or modestly positive over time. No written materials or prospectus excerpts regarding leveraged ETFs were provided to Margaret.

Kevin did not consult with his branch manager or any supervisory principal before placing the trade. His firm, Ridgecrest Financial Partners, had an internal policy requiring heightened supervisory review and a signed risk disclosure acknowledgment for any client investing more than 10% of their account in leveraged or inverse ETFs. Kevin bypassed this process entirely.

Over the following ten months, the Nasdaq-100 experienced significant volatility, declining 8% from March to June 2023, recovering partially, then declining again. By January 2024, the Nasdaq-100 was approximately 2% below its level when Kevin made the purchase. However, due to the compounding effects of the daily leveraged reset and the path dependency of returns during the volatile period, Margaret's TQQQ position had declined from \$55,000 to approximately \$34,100 - a loss of nearly \$20,900, or 38%. Margaret's overall IRA had dropped to approximately \$164,100. When Margaret called Kevin in January 2024 expressing alarm at her statement, Kevin told her to 'just hang on' and that 'it will come back.' He did not recommend liquidating the position or reassessing the allocation. Margaret filed a complaint with the firm in February 2024 after her granddaughter, a finance graduate student, explained to her how the leveraged ETF actually worked.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Stahl violated applicable suitability and best interest standards on multiple grounds.

1. **FINRA Rule 2111 (Suitability):** Under Rule 2111, a financial advisor must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. Margaret's profile - a 71-year-old retiree with conservative risk tolerance, income/capital preservation objectives, limited investment knowledge, and a 100% reliance on her IRA as liquid savings - is fundamentally incompatible with a 3x daily leveraged ETF. TQQQ is designed for sophisticated, active traders seeking short-term tactical exposure. Kevin failed all three components of the suitability obligation: (a) reasonable-basis suitability, because he apparently did not understand the product's daily-reset mechanism and path dependency himself (calling it 'basically a Nasdaq index fund with a little extra kick'); (b) customer-specific suitability, because the product was wholly inappropriate for Margaret's conservative profile; and (c) quantitative suitability, given that 30% of her retirement account was concentrated in a single speculative leveraged instrument.

2. **Regulation Best Interest (Rule 15l-1):** Under Reg BI's Care Obligation, Kevin was required to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. He was further required to have no reasonable alternative available that would better serve Margaret's stated objectives. A 3x leveraged ETF in a conservative retiree's IRA fails this standard categorically. The Disclosure Obligation was also violated: Kevin affirmatively mischaracterized the product, failing to disclose its daily reset feature, volatility decay risk, and unsuitability for long-term holding. This is not merely an omission - his description was materially misleading.

3. **FINRA Regulatory Notices 09-31, 12-03, and 22-08:** FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. It highlighted that these products can produce returns that deviate significantly from the underlying index over longer periods due to the mathematical effects of daily compounding, especially in volatile markets. RN 22-08 reinforced heightened obligations around complex products, emphasizing that firms and advisors must understand the products they recommend and must ensure that any recommendation of a complex product is in the customer's best interest given the totality of the customer's profile. Kevin's recommendation contravened the explicit guidance in all three notices.

4. **Failure of Firm Supervision:** Ridgecrest Financial Partners had an internal policy requiring heightened supervisory review and a signed risk disclosure for leveraged ETF allocations exceeding 10% of an account. Kevin bypassed this entirely, and the firm's supervisory systems apparently failed to flag the trade. This represents a supervisory failure under FINRA Rule 3110, which requires firms to establish and maintain a system to supervise the activities of each associated person that is reasonably designed to achieve compliance.

5. **Failure to Mitigate Ongoing Harm:** Even after Margaret contacted Kevin in January 2024, he advised her to 'just hang on,' compounding the initial suitability violation by continuing to recommend holding a product that was causing ongoing harm and remained unsuitable for her profile. This constitutes a continuing violation.

****Likely Regulatory Outcome:**** Kevin Stahl faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar from the industry. Ridgecrest Financial Partners faces supervisory failure charges. Margaret would likely prevail in a FINRA arbitration claim seeking recovery of her approximately \$20,900 in losses, plus potential consequential damages and interest. The firm's failure to enforce its own internal policies significantly strengthens the customer's case.

Hypothetical 63

[NON-COMPLIANT]

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Kowalski, age 67, is a retired elementary school teacher living in suburban Pittsburgh, Pennsylvania. She receives a monthly pension of \$3,200 and Social Security benefits of \$1,850, for a combined annual income of approximately \$60,600. Her total investable assets consist of a \$410,000 rollover IRA, which represents the entirety of her retirement savings. She has no other significant assets aside from her home, which is mortgage-free. Margaret has no prior experience with options, futures, margin accounts, or leveraged products. Her prior investment experience is limited to a target-date mutual fund offered through her employer's 403(b) plan, which she held for 22 years. On her new account form completed in March 2022, her stated investment objective was 'income and capital preservation,' her risk tolerance was marked as 'low,' her time horizon was listed as '5-10 years,' and her liquidity needs were noted as 'moderate - may need funds for healthcare expenses.' Her financial advisor, Derek Simmons, had been registered for four years and worked at a mid-size broker-dealer. During their initial meeting, Margaret explained that she wanted her retirement savings to last through her lifetime, that she was concerned about inflation eroding her purchasing power, and that she could not afford to lose significant principal. In April 2022, Simmons recommended that Margaret allocate \$120,000 of her IRA - roughly 29% of her total portfolio - into three leveraged and inverse exchange-traded funds: \$45,000 into the ProShares UltraPro QQQ (TQQQ), a 3x daily leveraged ETF tracking the Nasdaq-100; \$40,000 into the Direxion Daily Semiconductor Bull 3X Shares (SOXL); and \$35,000 into the ProShares UltraShort S&P 500 (SDS), a 2x daily inverse ETF on the S&P 500. Simmons told Margaret that TQQQ and SOXL would 'turbocharge her growth to fight inflation' and that SDS would serve as a 'hedge against a market downturn.' He did not explain the daily reset mechanism of these products, the concept of volatility decay, or the fact that the products' compounding effects mean that returns over periods longer than one day can differ significantly - and often negatively - from the stated leverage multiple applied to the index's cumulative return. He did not provide Margaret with any written materials, product prospectuses, or investor bulletins about leveraged or inverse ETFs. There is no record that he discussed the specific risks of holding these products beyond a single trading session or that he set any stop-loss levels, monitoring schedule, or rebalancing plan. The firm's internal product catalog flagged all three ETFs as 'complex/high-risk - suitable only for sophisticated, active traders with short-term horizons,' but Simmons did not seek or obtain any supervisory pre-approval before executing the trades. The firm's supervisory system generated an automated alert when the trades were placed due to the customer's age and risk profile, but the branch manager, Carol Denning, acknowledged the alert and approved the trades after a brief phone conversation with Simmons, during which Simmons characterized the allocation as a 'small tactical position.' Denning did not contact Margaret

or review her account documentation before clearing the alert. Margaret did not log into her account or contact Simmons for the next nine months. By January 2023, TQQQ had declined from her \$45,000 cost basis to approximately \$21,600, a loss of 52%. SOXL had fallen from \$40,000 to roughly \$16,800, a loss of 58%. SDS, despite some periods of market decline, had also lost value due to volatility decay and compounding effects during periods of market recovery, declining from \$35,000 to approximately \$26,500, a loss of 24.3%. In total, Margaret's \$120,000 allocation was worth approximately \$64,900, reflecting a loss of roughly \$55,100, or 45.9% of her original investment. When Margaret received her year-end statement and called Simmons in a panic, he suggested she 'hold on and wait for a recovery.' She subsequently filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons violated both the suitability requirements under FINRA Rule 2111 and the best interest standard under Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act of 1934. The analysis proceeds on multiple grounds:

****1. Customer-Specific Suitability (FINRA Rule 2111.05):****

Margaret Kowalski's profile - a 67-year-old retiree with low risk tolerance, income and capital preservation objectives, moderate liquidity needs, no experience with complex products, and total dependence on her IRA for retirement income - is fundamentally incompatible with leveraged and inverse ETFs. FINRA Regulatory Notice 09-31 explicitly warns that leveraged and inverse ETFs 'are typically not suitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' FINRA Regulatory Notice 12-03 reinforces that complex products require heightened suitability analysis, including a reasonable basis to believe the customer can understand and bear the risks. Allocating 29% of a retired teacher's sole retirement account to 3x leveraged and 2x inverse daily-resetting ETFs is plainly unsuitable given her stated objectives, risk tolerance, financial situation, and investment experience.

****2. Reasonable-Basis Suitability:****

Simmons failed to demonstrate that he understood the products he was recommending. His characterization of SDS as a 'hedge' is misleading - inverse ETFs with daily resets are not effective long-term hedging instruments due to path dependency and volatility decay, as extensively described in FINRA RN 09-31. A competent advisor would know that holding these products for months without active management virtually guarantees tracking error that compounds losses, especially in volatile markets. Simmons appears to have lacked reasonable-basis suitability for recommending these products to any investor in a buy-and-hold context.

****3. Reg BI - Care Obligation (Rule 15l-1(a)(2)(ii)(B)):****

Under Reg BI's Care Obligation, the broker-dealer and associated person must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. Simmons's recommendation fails this standard. The products' high expense ratios relative to traditional index funds, the daily compounding risk, the extreme volatility, and Margaret's complete lack of sophistication all demonstrate that no reasonable broker could conclude this recommendation was in

Margaret's best interest. The recommendation also fails the quantitative component - a 29% allocation to leveraged/inverse ETFs in a retirement account with a preservation mandate is excessive.

****4. Reg BI - Disclosure Obligation (Rule 15l-1(a)(2)(ii)(A)):****

Simmons failed to disclose material facts about the daily reset mechanism, volatility decay, path dependency, and the fact that these products are designed for short-term tactical trading, not buy-and-hold strategies. He provided no prospectuses, no risk disclosures, and no written materials. This is a clear violation of the Disclosure Obligation.

****5. Supervisory Failures (FINRA Rule 3110; FINRA RN 22-08):****

The firm's supervision was deficient. FINRA RN 22-08 emphasizes that firms must establish and maintain a supervisory system, including written supervisory procedures, reasonably designed to achieve compliance with complex products rules. The firm's own internal product catalog flagged these ETFs as suitable only for sophisticated active traders with short-term horizons. Despite an automated alert being triggered - specifically because of the mismatch between Margaret's age, risk profile, and the product flags - branch manager Carol Denning cleared the alert after only a brief phone call with Simmons and without contacting the customer, reviewing account documentation, or verifying the suitability basis. This represents a failure of the supervisory system and a violation of the firm's own internal policies.

****6. Holding Period / Failure to Monitor:****

Simmons made no effort to monitor the positions, establish any rebalancing triggers, or contact Margaret for nine months. Given that these products are designed for daily or very short-term holding periods, the absence of any monitoring plan is itself a suitability violation. When Margaret finally reached out, Simmons's advice to 'hold on and wait for a recovery' further demonstrates a fundamental misunderstanding of how daily-resetting leveraged and inverse products behave - they do not recover in the same manner as the underlying index due to compounding effects.

****Likely Regulatory Outcome:****

Simmons would likely face enforcement action for suitability violations (FINRA Rule 2111) and Reg BI violations (Rule 15l-1). Potential sanctions include fines, disgorgement, suspension, or a bar. The firm and the branch manager face supervisory failure charges under FINRA Rule 3110. Margaret would have strong grounds for a customer arbitration claim seeking recovery of her approximately \$55,100 in losses, plus interest, and potentially attorneys' fees. Given the clear mismatch between the customer profile and the products, the lack of disclosure, and the supervisory breakdowns, this case presents a textbook example of the regulatory concerns articulated in FINRA Regulatory Notices 09-31, 12-03, and 22-08 regarding leveraged and inverse ETF suitability for retail investors.

Hypothetical 64

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Sweeney, age 71, is a retired elementary school teacher living in suburban Columbus, Ohio. She

[NON-COM

receives a monthly pension of \$3,400 and Social Security payments of \$1,850. Her total liquid savings amount to approximately \$285,000, held primarily in a traditional IRA that she has been drawing down for required minimum distributions. She has no prior experience trading options, futures, or any leveraged financial products. Her account application, completed in March 2023, listed her investment objective as 'income and capital preservation,' her risk tolerance as 'conservative,' her time horizon as '5-10 years,' and her annual income as \$62,000. She has a high school diploma and described her investment knowledge as 'limited' during her onboarding meeting.

Her financial advisor, Craig Denham, had been her advisor for two years handling a straightforward portfolio of Treasury bonds, a broad market index fund, and a high-yield savings account. In August 2023, Denham called Sweeney and recommended she reallocate \$95,000-roughly one-third of her liquid retirement savings-into a 3x leveraged daily-resetting ETF that tracks the Nasdaq-100 index (ticker: TQQQ). Denham told Sweeney that the fund would 'triple the gains of tech stocks' and that 'the tech sector always comes back strong,' characterizing it as a way to 'supercharge her retirement nest egg.' He did not explain the daily resetting mechanism, the concept of volatility decay, or the mathematical certainty that such products diverge significantly from the cumulative return of the underlying index over periods longer than one trading day. He did not provide the fund's prospectus or any supplemental materials describing the risks of leveraged products.

Sweeney agreed to the purchase, and Denham executed the trade on August 14, 2023, buying 410 shares of TQQQ at approximately \$231.70 per share for a total investment of roughly \$95,000. Denham did not set any stop-loss order or establish a monitoring schedule. Over the following months, the Nasdaq-100 experienced a period of elevated volatility without a clear directional trend. By February 2024, TQQQ had declined to approximately \$164 per share despite the Nasdaq-100 being only modestly lower. Sweeney's position was now worth roughly \$67,240-a loss of approximately \$27,760 or 29.2%. The underlying Nasdaq-100 index had declined only about 7% during the same period, illustrating the compounding effect of daily leverage resets during choppy markets.

Sweeney called Denham multiple times between November 2023 and February 2024 expressing alarm at the losses. Denham advised her each time to 'hold on and be patient' because 'it will come roaring back.' He never discussed the path-dependency risk that made a full recovery increasingly unlikely without a sustained, low-volatility rally. By June 2024, after continued volatility, Sweeney's position had eroded further to approximately \$58,500-a total loss of \$36,500 or 38.4% of her original investment-even though the Nasdaq-100 was only about 4% below its August 2023 level.

Sweeney eventually liquidated her position on June 20, 2024, realizing the \$36,500 loss. She filed a written complaint with Denham's broker-dealer in July 2024, stating she was never told the product was designed for short-term traders and that she would not have purchased it had she understood how it worked. An internal review revealed that Denham had recommended TQQQ to four other retired clients with conservative profiles during the same period, and that the firm had no written supervisory procedures specifically addressing the sale of leveraged or inverse exchange-traded products to retail customers.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Denham violated multiple regulatory standards governing the recommendation of complex products to retail investors.

****Applicable Regulatory Framework:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Rule 2111 encompasses three suitability obligations: (a) reasonable-basis suitability (the advisor must understand the product), (b) customer-specific suitability (the recommendation must fit the particular customer), and (c) quantitative suitability (the frequency of trading must not be excessive).

2. ****Regulation Best Interest (Reg BI), Rule 15l-1:**** For broker-dealer recommendations to retail customers after June 30, 2020, Reg BI imposes a best interest standard with four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. The Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile, and that the advisor have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made.

3. ****FINRA Regulatory Notice 09-31:**** This notice specifically warned member firms that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlighted that these products can produce returns that differ dramatically from the underlying index over longer holding periods due to daily compounding and volatility decay. It stressed that firms must train registered representatives on the features of these products and conduct heightened supervision.

4. ****FINRA Regulatory Notice 22-08:**** This more recent notice reinforced concerns about complex products and proposed measures requiring enhanced account-level approval processes before retail investors could purchase complex products such as leveraged and inverse ETFs. It emphasized the importance of ensuring customers understand the risks and that such products align with their investment objectives.

****Analysis of Violations:****

****Customer-Specific Suitability / Care Obligation Violation:**** Margaret Sweeney's profile is that of a 71-year-old retiree with conservative risk tolerance, limited investment knowledge, an income-and-capital-preservation objective, and dependence on her retirement savings for living expenses. A 3x daily-leveraged Nasdaq-100 ETF is an extremely aggressive, speculative instrument designed for sophisticated, short-term tactical traders. The recommendation to allocate one-third of her liquid retirement savings to TQQQ was grossly inconsistent with every element of her investment profile. Under both Rule 2111 and Reg BI's Care Obligation, this recommendation cannot be justified.

****Reasonable-Basis Suitability Violation:**** Denham's characterization of TQQQ as a way to 'supercharge

her retirement nest egg' and his advice to hold through volatility suggest he either did not understand the daily-resetting mechanism and path-dependency risk of leveraged ETFs, or he understood these features and deliberately misrepresented them. Either way, he lacked a reasonable basis for the recommendation. FINRA RN 09-31 explicitly notes that associated persons must understand how leveraged ETFs perform over periods beyond a single day before recommending them.

****Disclosure Obligation Violation:**** Under Reg BI's Disclosure Obligation, Denham was required to disclose material facts about the recommendation, including risks. He failed to provide the fund prospectus, failed to explain the daily reset mechanism, failed to explain volatility decay, and affirmatively mischaracterized the product as a straightforward way to capture amplified tech-sector returns over time. This constitutes a clear disclosure failure.

****Ongoing Duty and Holding Recommendation:**** Denham's repeated advice to 'hold on and be patient' constitutes an implicit hold recommendation, which is itself subject to suitability analysis under Rule 2111.03. Given the path-dependency dynamics that were causing accelerating losses even as the underlying index was nearly flat, advising Sweeney to continue holding compounded the harm and constituted a further suitability violation.

****Supervisory Failures:**** The firm's lack of written supervisory procedures specifically addressing leveraged and inverse ETF sales to retail customers is a violation of FINRA Rule 3110 (Supervision). FINRA RN 09-31 and RN 22-08 both emphasize that firms must implement targeted supervisory procedures for complex products, including pre-approval mechanisms, heightened review of recommendations to unsophisticated or elderly investors, and training for registered representatives.

****Pattern of Misconduct:**** The fact that Denham recommended the same product to four other retired conservative-profile clients during the same period suggests a systematic disregard for customer-specific suitability rather than an isolated lapse.

****Likely Regulatory Outcome:**** Denham would likely face an enforcement action resulting in a fine, disgorgement of commissions, restitution to Sweeney and the other affected clients, and a potential suspension or bar. The broker-dealer would likely face supervisory failure charges and be required to implement enhanced procedures for complex product sales consistent with FINRA RN 22-08 guidance. Sweeney would have a strong arbitration claim for her \$36,500 in losses plus consequential damages.

Hypothetical 65

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Donovan, age 71, is a retired elementary school teacher living in suburban Columbus, Ohio. She receives a monthly pension of \$3,200 and Social Security income of \$1,850 per month. Her total liquid savings amount to approximately \$285,000, held in an IRA rollover account at a regional broker-dealer. She has no other significant assets aside from her home, which is paid off and valued at roughly \$210,000.

[NON-COM

Margaret's prior investment experience is limited to a target-date retirement fund she held through her employer's 403(b) plan. On her new account forms, she indicated a conservative risk tolerance, an investment objective of capital preservation and income, and a time horizon of five to ten years. She told her advisor, Kevin Pratt, that she wanted to make sure her savings lasted through retirement and that she could not afford to lose a significant portion of her principal.

In March 2023, Kevin recommended that Margaret invest \$95,000 - roughly one-third of her total liquid savings - into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Kevin told Margaret that the fund would give her 'triple the returns of the tech sector' and that it was a strong choice because 'technology always comes back.' He described the product as similar to a regular index fund but 'more aggressive.' He did not explain the daily resetting mechanism, the concept of volatility decay, or the fact that holding the product over periods longer than one day could produce returns that deviate substantially - and potentially catastrophically - from three times the index's cumulative return over the same period. He did not provide the fund's prospectus or any supplemental materials describing the risks unique to leveraged ETFs. No written suitability analysis or rationale memo was prepared by Kevin or reviewed by his branch manager. The firm's compliance department had a written supervisory procedure requiring heightened review for leveraged and inverse ETF transactions above \$25,000, but the branch office supervisor, Diane Fulton, approved the trade without conducting the required review or speaking to Margaret.

Margaret held the TQQQ position for fourteen months. During that period, the Nasdaq-100 experienced several volatile swings: a 12% drawdown in the summer of 2023, a recovery in the fall, another sharp 9% decline in early 2024, and a partial rebound. By May 2024, the Nasdaq-100 was approximately 3% above its level at the time of Margaret's purchase. However, due to the compounding effects of daily rebalancing and volatility drag, her TQQQ position was worth approximately \$71,400 - a loss of roughly \$23,600, or about 24.8% of her invested principal - even though the underlying index was slightly positive over the same period. Margaret contacted the firm in distress after reviewing her May 2024 statement, stating she did not understand how she could have lost money when she had been told technology stocks were up. Kevin advised her to 'hold on a little longer' and did not suggest liquidating the position or rebalancing into a more appropriate investment.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Pratt violated multiple regulatory standards governing the recommendation of complex products to retail investors.

****Suitability Under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. This rule encompasses three obligations: (1) reasonable-basis suitability (the advisor must understand the product), (2) customer-specific suitability (the recommendation must be appropriate for the particular customer), and (3) quantitative suitability (the advisor must not engage in excessive activity). Here, Kevin failed on at least the first two prongs.

Regarding reasonable-basis suitability, Kevin's description of TQQQ as similar to a 'regular index fund but more aggressive' demonstrates a fundamental misunderstanding - or deliberate mischaracterization - of the product. TQQQ is a 3x daily-leveraged ETF that resets its exposure each day. As emphasized in FINRA Regulatory Notices 09-31 and 12-03, leveraged and inverse ETFs that reset daily are designed to achieve their stated objectives on a daily basis only. Over longer periods, especially in volatile markets, the effects of daily compounding (commonly called 'volatility decay' or 'path dependency') can cause returns to deviate dramatically from the leveraged multiple of the underlying index's cumulative return. An advisor recommending such a product must understand these mechanics.

Regarding customer-specific suitability, Margaret is a 71-year-old retiree with limited investment experience, conservative risk tolerance, capital preservation and income objectives, and a moderate time horizon. She explicitly stated she could not afford to lose significant principal. Allocating one-third of her liquid retirement savings to a 3x leveraged ETF is fundamentally incompatible with her stated profile. FINRA RN 09-31 specifically warned that leveraged ETFs are 'typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' Margaret held the position for fourteen months.

****Regulation Best Interest (Reg BI) - SEC Rule 15l-1:****

Under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)(B)), a broker-dealer must exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Kevin failed to exercise such care. The product's risk profile was wholly mismatched to the customer's needs. Additionally, under the Disclosure Obligation, Kevin was required to disclose all material facts relating to the recommendation, including the risks of daily resetting, volatility decay, and the potential for significant loss even in flat or modestly positive markets. He did none of this. Under the Compliance Obligation, the firm was required to establish and enforce written policies reasonably designed to achieve compliance with Reg BI. The firm had a heightened review procedure for leveraged ETF transactions above \$25,000, but branch supervisor Diane Fulton approved the \$95,000 trade without conducting the required review or contacting the customer.

****FINRA Regulatory Notice 22-08 (Complex Products):****

FINRA RN 22-08 reinforced expectations that firms maintain robust supervisory frameworks for complex products, including leveraged and inverse ETFs. It emphasized the need for account approval processes, concentration limits, and heightened due diligence for customers with limited experience or conservative profiles. The firm's failure to enforce its own written supervisory procedures constitutes a supervisory failure under FINRA Rules 3110 and 3120.

****Likely Regulatory Outcome:****

Kevin Pratt would likely face disciplinary action for unsuitable recommendations and failure to disclose material risks. The firm would face supervisory failure charges. Potential sanctions include fines, disgorgement of commissions, restitution to the customer (approximately \$23,600 in losses plus any additional losses if the position was not subsequently liquidated), suspension or bar for the representative, and censure of the firm. Margaret would have strong grounds for a customer arbitration claim. The fact that Kevin advised Margaret to continue holding the position after she expressed distress, rather than

recommending a liquidation and reallocation to suitable investments, compounds the violation.

Hypothetical 66

Topic: *high_fees_unsuitable* | Difficulty: *medium*

[NON-COMPLIANT]

Fact Pattern

Margaret Hollis, age 68, is a retired elementary school teacher in Tucson, Arizona, living on a fixed income of approximately \$42,000 per year from her pension and Social Security. She has \$310,000 in a rollover IRA, which represents the entirety of her liquid retirement savings. Her account application lists her risk tolerance as 'moderate,' her investment objective as 'income with capital preservation,' her investment experience as 'limited' (she had previously held only a target-date retirement fund and a municipal bond fund), and her time horizon as 10+ years since she plans to leave a portion of the account to her grandchildren.

In March 2023, her financial advisor, Dale Pritchard, recommended she allocate \$93,000 - roughly 30% of her IRA - into a 3x leveraged bull semiconductor ETF (ticker symbol: SOXL) and \$62,000 - roughly 20% of her IRA - into a 2x leveraged S&P 500 ETF (ticker symbol: SSO). Pritchard told Mrs. Hollis that semiconductors were 'the future of everything' and that these funds would 'turbocharge her returns so she could leave more to the grandkids.' He did not discuss the daily resetting mechanism of leveraged ETFs, the impact of volatility decay on long-term returns, or the substantially higher expense ratios of these products compared to traditional index funds. SOXL carried an expense ratio of 0.94% and SSO carried an expense ratio of 0.91%, compared to the approximately 0.03% expense ratio on the broad market index ETF she had previously held.

Pritchard did not document any analysis of whether the leveraged ETFs were appropriate for Mrs. Hollis's profile, nor did he present alternative products. He also did not discuss the compounding risk that, in volatile markets, these products could significantly underperform or lose value even if the underlying index was flat or slightly positive over a multi-month period.

Mrs. Hollis held both positions for 14 months. During that period, the semiconductor sector experienced significant volatility - the underlying index rose roughly 8% on a cumulative basis, but SOXL declined approximately 11% due to path dependency and volatility drag inherent in the daily 3x reset. SSO performed somewhat better but still lagged a simple unleveraged position. In total, Mrs. Hollis's \$155,000 invested in leveraged ETFs was worth approximately \$127,400 by May 2024, a loss of \$27,600. Meanwhile, she paid roughly \$1,380 in excess expense ratio costs compared to what she would have paid in a standard index fund. Mrs. Hollis filed a complaint in June 2024 after her grandson, a finance graduate student, reviewed her account statements and explained the nature of the products she held.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Pritchard likely violated multiple regulatory standards governing suitability and the obligation to

act in the customer's best interest.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. There are three components: (a) reasonable-basis suitability (understanding the product), (b) customer-specific suitability (matching the product to the customer), and (c) quantitative suitability (ensuring the volume/frequency of transactions is not excessive).
2. ****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934):**** For recommendations made to retail customers, the advisor must act in the customer's best interest at the time of the recommendation without placing the advisor's financial interest ahead of the customer's. This includes the Care Obligation, requiring reasonable diligence, care, and skill in making recommendations, and considering reasonably available alternatives.
3. ****FINRA Regulatory Notice 09-31:**** This notice specifically warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. It emphasizes that in volatile markets, these products can produce returns that deviate significantly - and negatively - from the expected multiple of the underlying index over time due to the mathematical effects of daily compounding (volatility decay/path dependency).
4. ****FINRA Regulatory Notice 22-08:**** This notice addresses sales practice obligations for complex products, including leveraged ETFs, and emphasizes the need for enhanced supervision, meaningful investor education, and an assessment of whether the customer has the financial sophistication and risk capacity to understand and bear the risks of such products.

****Analysis of Violations:****

- ****Customer-Specific Suitability Failure:**** Mrs. Hollis was a 68-year-old retiree with limited investment experience, a moderate risk tolerance, an income/capital preservation objective, and total liquid savings of \$310,000. Allocating 50% of her IRA to leveraged ETFs - products designed for short-term tactical trading by sophisticated investors - is fundamentally misaligned with her profile. The concentration (30% in a single 3x leveraged sector fund) magnifies this concern.
- ****Reasonable-Basis Suitability Failure:**** Pritchard apparently failed to understand or convey the mechanics of daily-resetting leveraged ETFs, including volatility decay and path dependency. His characterization of the products as a way to 'turbocharge returns' suggests he either did not understand the products or deliberately mischaracterized them.
- ****Reg BI Care Obligation Failure:**** Pritchard did not consider reasonably available alternatives (such as unleveraged semiconductor or broad market index funds), did not document any analysis, and did not weigh the substantially higher costs and risks against the customer's stated objectives.

- **Disclosure and Cost Failures:** The expense ratios of the leveraged ETFs (0.91%-0.94%) were roughly 30 times higher than comparable unleveraged products. Pritchard did not disclose or discuss these cost differentials, nor did he explain the implicit cost of volatility drag, which in this case resulted in a loss even when the underlying index gained.

- **Long-Term Holding:** The 14-month holding period is precisely the scenario warned against in regulatory guidance. Daily-resetting leveraged products are designed for intraday or very short-term use. Holding them for over a year in a retirement account is a textbook example of misuse.

Likely Regulatory Outcome:

Pritchard would likely face enforcement action for unsuitable recommendations and failure to act in the customer's best interest. Potential sanctions include disgorgement of commissions, restitution of customer losses (\$27,600 plus excess fees), fines, a suspension, and enhanced supervisory requirements. The firm could also face liability for failure to supervise under FINRA Rule 3110, particularly if it lacked specific procedures for reviewing leveraged ETF recommendations to retail customers as contemplated by RN 09-31 and RN 22-08. Mrs. Hollis's arbitration claim would have strong prospects for recovery.

Hypothetical 67

Topic: *leveraged_etf_unsuitable* | Difficulty: *hard*

Fact Pattern

Margaret Hollis, age 71, is a retired school librarian living in suburban Philadelphia. She has a fixed annual income of \$38,000 consisting of Social Security and a modest state pension. Her total liquid savings amount to approximately \$410,000, held in an IRA rollover account at Ridgeline Wealth Partners. She has no other significant assets aside from her home, which is fully paid off. Her account opening documents from January 2021 list her risk tolerance as 'moderate,' her investment objective as 'income and capital preservation,' her time horizon as '5-10 years,' and her investment experience as 'limited - primarily mutual funds and CDs.' She told her advisor, Derek Simmons, that her primary goal was to generate steady income to supplement her pension and avoid outliving her savings.

In March 2021, Simmons recommended that Mrs. Hollis allocate \$82,000 - roughly 20% of her portfolio - to a 3x leveraged daily-resetting ETF tracking the Nasdaq-100 index (ticker: TQQQ). He told her it was 'like a turbocharged version of the tech stocks that have been doing so well' and described it as a way to 'supercharge growth in part of her retirement account.' He did not explain the daily resetting mechanism, the compounding effect of leverage over time, or the concept of volatility decay. He did not provide any written materials about the product's risks, nor did he document any discussion of how a leveraged product's returns could diverge dramatically from three times the index return when held beyond a single trading session.

Simmons also placed \$45,000 of Mrs. Hollis's IRA funds into a -2x inverse leveraged ETF tracking the S&P

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500 (ticker: SDS) in June 2021, telling her it would act as 'insurance' for her portfolio in case of a market downturn. Again, no disclosure was made regarding the product's daily reset feature or the risks of holding it beyond one day.

Mrs. Hollis held both positions for approximately 14 months without any contact or review from Simmons. During that period, the Nasdaq-100 experienced significant volatility, rising roughly 12% on a cumulative basis. However, due to volatility decay and the path-dependent nature of daily compounding, Mrs. Hollis's TQQQ position lost approximately 9% of its value rather than gaining roughly 36%. Her SDS position, held during a period when the S&P 500 was roughly flat but highly volatile, lost approximately 28% of its value. Combined, Mrs. Hollis suffered losses of approximately \$20,180 on these two positions - nearly 5% of her total retirement savings.

Ridgeline Wealth Partners' compliance department had a general policy requiring enhanced review for complex product transactions, but no specific supervisory procedures were in place for leveraged or inverse ETFs. No supervisor reviewed or approved either trade before execution. The firm's product catalog listed TQQQ and SDS as approved for use in client accounts without any restrictions based on client profile, account type, or holding period. No automated alerts existed to flag when leveraged or inverse ETFs were held beyond 30 days in any account.

When Mrs. Hollis called in August 2022 to ask why her account value had dropped despite the market being 'roughly where it was,' Simmons told her the positions 'just needed more time to work out' and recommended she continue holding both. She liquidated both positions on her own initiative in September 2022 after speaking with her nephew, a CPA, who explained the products to her.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons violated applicable suitability and best interest standards on multiple grounds, and Ridgeline Wealth Partners failed in its supervisory obligations regarding complex products.

****Applicable Standards:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. This rule encompasses three components: (1) reasonable-basis suitability (the advisor must understand the product), (2) customer-specific suitability (the product must fit the customer's profile), and (3) quantitative suitability (excessive trading concerns).

Under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), broker-dealers and their associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing their own interests ahead of the customer's. Reg BI's Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the product's risks, rewards, and costs.

FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice emphasized that these products can produce returns that deviate significantly from the stated multiple of the underlying index over periods longer than one day due to the mathematical effects of daily compounding (volatility decay/path dependency). FINRA Regulatory Notice 12-03 reinforced heightened suitability obligations for complex products, requiring firms to perform reasonable diligence to understand such products before recommending them, and to ensure that recommendations are consistent with customers' profiles. FINRA Regulatory Notice 22-08 further addressed the sale of complex products to retail investors, emphasizing the need for enhanced supervisory frameworks, customer-specific considerations, and potential sales practice restrictions.

****Reasonable-Basis Suitability Violation:****

Simmons demonstrated a fundamental misunderstanding of the leveraged and inverse ETFs he recommended. His description of TQQQ as a 'turbocharged version of tech stocks' and SDS as 'insurance' against a downturn reflects either ignorance of or disregard for the daily-resetting mechanism and the path-dependent nature of these products. An advisor who does not understand that a 3x leveraged ETF can lose money even when the underlying index gains - due to volatility decay - lacks the reasonable basis required to recommend such products to any customer.

****Customer-Specific Suitability Violation:****

Mrs. Hollis's profile is fundamentally incompatible with leveraged and inverse ETFs: she is 71 years old, retired, living on a fixed income, with limited investment experience, a moderate risk tolerance, and objectives of income generation and capital preservation. Her investment time horizon of 5-10 years is antithetical to products designed for single-day holding periods. Allocating 20% of her retirement portfolio to a 3x leveraged ETF and an additional 11% to a -2x inverse ETF - totaling approximately 31% of her entire liquid net worth in daily-resetting leveraged products - is egregiously unsuitable for this customer profile.

****Disclosure and Communication Failures:****

Simmons failed to explain the daily resetting mechanism, the effects of volatility decay, the path-dependent nature of returns, or the risk of holding these products beyond a single trading day. His affirmative mischaracterizations of the products compounded the violation.

****Ongoing Duty and Hold Recommendation:****

When Mrs. Hollis contacted Simmons in August 2022 about her losses, his recommendation to continue holding the positions constituted an additional violation. Under both Rule 2111 and Reg BI, an implicit or explicit recommendation to hold a security triggers suitability/best interest obligations. Recommending that a 71-year-old retiree continue holding daily-resetting leveraged products after 14 months - well beyond their intended use case - with demonstrated losses attributable to volatility decay was plainly unsuitable.

****Supervisory Failures (FINRA Rule 3110):****

Ridgeline Wealth Partners failed to establish and maintain adequate supervisory systems for complex products. The firm's lack of specific supervisory procedures for leveraged/inverse ETFs, the absence of pre-trade supervisory review for these transactions, the unrestricted availability of these products regardless of customer profile or account type, and the absence of automated holding-period alerts all constitute supervisory deficiencies. FINRA RN 09-31 and RN 12-03 both emphasized that firms must adopt specific supervisory procedures tailored to leveraged and inverse ETFs.

****Likely Regulatory Outcome:****

Simmons would likely face sanctions including fines, disgorgement of commissions, and a potential suspension or bar for recommending grossly unsuitable complex products to a vulnerable retiree. Ridgeline Wealth Partners would likely face supervisory failure charges under FINRA Rule 3110, resulting in fines, a censure, and mandatory remediation of its complex products supervision framework. Mrs. Hollis would likely recover her losses (approximately \$20,180) plus interest through FINRA arbitration, with potential additional damages for the advisor's affirmative misrepresentations about the products.

Hypothetical 68

Topic: senior_investor_exploitation | Difficulty: hard

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Fact Pattern

Margaret Ellison, age 79, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$34,000, consisting of \$22,000 in Social Security benefits and \$12,000 from a small state pension. Her total liquid savings amount to approximately \$410,000, held in a brokerage account at a mid-sized regional firm, and she has an additional \$85,000 in a savings account at a local bank. Her stated investment objectives on file are capital preservation and income generation, and her risk tolerance is documented as conservative. She has no prior experience with options, futures, leveraged products, or any complex financial instruments. Her investment experience is limited to certificates of deposit, Treasury bonds, and a handful of blue-chip dividend stocks she has held for over fifteen years. Margaret's husband passed away in January 2022, and she became the sole client of advisor Dennis Koh, who had previously managed the couple's account.

In March 2022, Dennis recommended that Margaret reallocate \$175,000 of her \$410,000 brokerage account into three leveraged and inverse exchange-traded products. Specifically, he placed \$70,000 into a 3x leveraged daily-resetting ETF tracking the Nasdaq-100 (TQQQ), \$60,000 into a 2x inverse daily-resetting ETF tracking the S&P 500 (SDS), and \$45,000 into a 3x leveraged daily-resetting ETF tracking the energy sector (ERX). Dennis told Margaret these funds would "protect her portfolio against market downturns while also giving her growth potential" and described them as "like regular index funds but with a little more kick." He did not explain the daily reset mechanism, the concept of volatility decay, the effect of compounding on leveraged returns over time, or the fact that these products are generally designed for short-term tactical trading and not long-term holding. He did not provide Margaret with any

product-specific risk disclosures, prospectuses, or supplemental materials for any of the three ETFs.

Dennis's firm had a written supervisory procedure requiring heightened review and principal pre-approval for any transaction involving leveraged or inverse ETFs in accounts belonging to clients aged 65 or older. The firm also required advisors to document a specific investment rationale and obtain a signed acknowledgment from the client confirming their understanding of the daily-resetting nature and risks of such products. Dennis did not submit the trades for pre-approval, did not document a rationale, and did not obtain any signed acknowledgment from Margaret. His branch manager, Patricia Noll, did not flag the trades despite the fact that automated exception reports identified the transactions as involving complex products in a senior client account. Patricia later stated she had been "overwhelmed with other reviews" and had not examined the alerts for that month.

Margaret held all three positions for approximately fourteen months, from March 2022 through May 2023. During that period, TQQQ experienced significant drawdowns during the 2022 technology sell-off and, despite a partial market recovery, her \$70,000 position was worth approximately \$31,500 by the time it was liquidated. Her \$60,000 in SDS, an inverse product, also lost substantial value as markets recovered in early 2023; by May 2023 it was worth roughly \$28,000. The ERX position fluctuated dramatically with energy price volatility; her \$45,000 investment was valued at approximately \$33,000 at liquidation. In total, Margaret's \$175,000 allocation to leveraged and inverse ETFs had declined to approximately \$92,500, a loss of \$82,500 or 47.1%. Meanwhile, during the same period, the S&P 500 returned approximately -2% on a total return basis.

Margaret's granddaughter, who works as a certified public accountant, reviewed the account statements in June 2023 and was alarmed by the losses. She contacted the firm's compliance department. Margaret subsequently filed a complaint stating she was never told the products could lose nearly half their value, that she believed they were similar to regular index funds, and that Dennis never mentioned the words "leveraged," "inverse," "daily reset," or "decay" during their conversation. Dennis's notes in the CRM system contain only the entry: "Client wants growth and protection - placed in diversified ETF strategy 3/14/22."

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dennis Koh committed multiple serious violations, and supervisory failures by Patricia Noll compounded the harm.

****Suitability - FINRA Rule 2111:****

Under Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, experience, and liquidity needs. Margaret was a 79-year-old retired teacher with conservative risk tolerance, capital preservation and income objectives, limited investment experience, and a modest fixed income. Allocating 42.7% of her liquid brokerage assets (\$175,000 of \$410,000) into three highly speculative, daily-resetting leveraged and inverse ETFs was patently unsuitable under all three components of the suitability obligation:

1. ***Reasonable-basis suitability*:** Dennis either did not understand or ignored the fundamental characteristics of leveraged and inverse ETFs - specifically their daily-resetting mechanism, path dependency, volatility decay, and the near-universal consensus that they are designed for short-term tactical use by sophisticated traders, not for long-term holding. FINRA Regulatory Notice 09-31 explicitly warned that leveraged and inverse ETFs that reset daily are 'typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' RN 22-08 reaffirmed these concerns and imposed enhanced obligations around complex product recommendations.
2. ***Customer-specific suitability*:** Margaret's documented profile - conservative risk tolerance, preservation/income objectives, advanced age, no experience with complex products, dependence on her savings - made her a textbook unsuitable candidate for leveraged/inverse ETFs. The concentration (\$175,000 or roughly 35.5% of total liquid assets) amplified the unsuitability.
3. ***Quantitative suitability*:** While traditionally applied to excessive trading, the sheer magnitude of the allocation relative to her total assets and risk profile raises quantitative concerns as well.

****Regulation Best Interest (Reg BI) - Rule 15l-1:****

If Dennis's firm is a broker-dealer (as indicated), Reg BI's Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs. Placing a 79-year-old conservative widow into 3x leveraged and inverse products without any understanding-based justification violates the Care Obligation. The Disclosure Obligation was also violated because Dennis failed to provide any meaningful disclosure of the daily-resetting nature, compounding risks, or the specific risks of long-term holding. Dennis's characterization of the products as 'like regular index funds but with a little more kick' was materially misleading.

****FINRA Regulatory Notices 09-31, 12-03, and 22-08:****

RN 09-31 specifically warned firms and representatives that inverse and leveraged ETFs 'are typically unsuitable for retail investors who plan to hold them for longer than one trading session.' RN 12-03 reinforced supervisory obligations for complex products. RN 22-08 established heightened expectations for complex product supervision, including that firms must reasonably supervise recommendations of complex products and that the products must be in the customer's best interest. Dennis's recommendations contravene the guidance in all three notices.

****Supervisory Failures - FINRA Rules 3110 and 3120:****

Patricia Noll's failure to review automated exception alerts flagging leveraged/inverse ETF transactions in a senior investor's account constitutes a supervisory failure under Rule 3110. The firm's written supervisory procedures required heightened review and principal pre-approval for leveraged/inverse ETFs in accounts of clients aged 65+. Neither Dennis nor Patricia followed these procedures. Patricia's explanation of being 'overwhelmed' does not excuse the firm's obligation to ensure that supervisory systems are reasonably designed and implemented.

****Senior Investor Concerns:****

FINRA has repeatedly emphasized heightened obligations when dealing with senior investors, including

through RN 07-43 (Senior Investors) and the establishment of senior-specific protections. Margaret's age, cognitive vulnerability following her husband's recent death, and financial dependence on her savings all warranted additional care, not less.

****Likely Regulatory Outcome:****

Dennis Koh faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar. Patricia Noll and the firm face supervisory violation charges. Margaret would likely prevail in an arbitration claim for compensatory damages of approximately \$82,500 plus potential interest. The firm may also face enhanced scrutiny and remediation requirements for systemic supervisory deficiencies regarding complex products and senior investors.

Hypothetical 69

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Dawson, age 78, is a retired elementary school teacher living in Tallahassee, Florida. She receives \$2,400 per month in pension income and \$1,870 per month in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account and a modest taxable brokerage account. She has no other significant assets aside from her home, which is paid off. Her stated investment objectives on her new account form, completed in March 2022, are "income and capital preservation." Her risk tolerance is marked as "conservative." She has no prior experience trading options, futures, or leveraged products, and her investment history consists entirely of certificates of deposit and a balanced mutual fund held through her school district's retirement plan for 25 years.

Her financial advisor, Kevin Burgess, age 34, had been her advisor for approximately six months when, in September 2022, he recommended she invest \$95,000 - roughly 28% of her liquid net worth - into the Direxion Daily Semiconductor Bull 3x Shares (SOXL), a triple-leveraged ETF that seeks to deliver 300% of the daily return of the ICE Semiconductor Index. Burgess told Mrs. Dawson that semiconductors were "the backbone of the future economy" and that this fund would "triple her gains" as the sector recovered. He described the product as similar to a regular technology mutual fund but "with more upside potential." He did not explain the daily resetting mechanism, the effects of volatility decay, or the concept of path dependency. He did not provide any prospectus or supplemental materials regarding the product's compounding risks.

Mrs. Dawson agreed to the purchase based on Burgess's recommendation. Over the following eleven months, the semiconductor sector experienced significant volatility, with the underlying index fluctuating in a range-bound pattern, declining approximately 8% over the period. However, due to the compounding effects of daily resetting and the high volatility of the underlying index (realized annualized volatility of approximately 45%), Mrs. Dawson's \$95,000 position in SOXL declined to approximately \$41,200 - a loss of nearly \$53,800, or 56.6%. During this same period, Burgess never contacted Mrs. Dawson to discuss the position, review whether continued holding was appropriate, or recommend liquidation. Mrs. Dawson discovered the losses in August 2023 when she requested a withdrawal to pay for home repairs and

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assisted living evaluations. She was shocked by the account value and filed a written complaint with the firm. The firm's compliance department reviewed the matter and found no evidence that Burgess had obtained supervisory pre-approval for the leveraged ETF purchase, despite the firm's written supervisory procedures requiring heightened review and branch manager sign-off for any complex or leveraged product recommended to clients over age 65.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Burgess violated applicable suitability and best interest standards on multiple grounds.

1. ****Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act of 1934****: Reg BI requires that a broker-dealer and its associated persons act in the best interest of a retail customer when making a recommendation, without placing their own interests ahead of the customer's. This obligation encompasses four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. Burgess failed the Care Obligation by recommending a triple-leveraged daily-resetting ETF to a 78-year-old conservative, income-oriented investor with no experience in complex products. The recommendation was inconsistent with Mrs. Dawson's stated investment objectives (income and capital preservation), her conservative risk tolerance, her age, her reliance on fixed income, and her limited investment knowledge. He also failed the Disclosure Obligation by mischaracterizing the product as similar to a regular technology mutual fund and by failing to provide the prospectus or explain the risks of daily compounding, volatility decay, and path dependency.

2. ****FINRA Rule 2111 (Suitability)****: Although Reg BI has largely supplanted the suitability standard for broker-dealer recommendations to retail customers, the suitability framework remains analytically relevant. Under Rule 2111's three-component analysis - reasonable-basis suitability, customer-specific suitability, and quantitative suitability - Burgess failed at minimum on customer-specific suitability. A 3x leveraged semiconductor ETF is wholly unsuitable for a 78-year-old retiree seeking capital preservation and income. There is also a reasonable-basis suitability concern: Burgess appears not to have understood the product himself, given his description of it as akin to a standard mutual fund.

3. ****FINRA Regulatory Notices 09-31 and 22-08****: FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding in volatile markets. FINRA RN 22-08 further reinforced expectations for heightened supervision and due diligence around complex products, including leveraged ETFs, particularly for vulnerable investors such as seniors. Burgess not only recommended an extended hold but never monitored the position or contacted Mrs. Dawson over eleven months.

4. ****Path Dependency and Volatility Decay****: The underlying index declined only approximately 8%, yet the 3x leveraged ETF lost 56.6%. This dramatic disparity is a textbook illustration of volatility decay (also called the "constant leverage trap"), where a daily-resetting leveraged product in a volatile, range-bound market erodes value far in excess of what the leverage ratio applied to the cumulative index return would suggest. This risk is well-documented and was central to the warnings in FINRA RN 09-31.

5. ****Senior Investor Protection Failures****: Mrs. Dawson's age (78), dependence on pension and Social Security income, limited investment experience, and conservative objectives all placed her squarely in the category of vulnerable senior investors who require heightened care. Concentrating 28% of her liquid net worth in a single, highly speculative, triple-leveraged product exposed her to catastrophic loss potential that was entirely inconsistent with her financial situation and needs.

6. ****Supervisory Failures****: The firm's own written supervisory procedures required pre-approval for complex or leveraged product recommendations to clients over age 65. No such approval was obtained. This constitutes a failure of the firm's supervisory system under FINRA Rules 3110 and 3120, and the firm may face its own liability for failure to enforce its procedures, in addition to Burgess's individual violations.

****Likely Regulatory Outcome****: Burgess faces potential sanctions including fines, disgorgement, suspension, or a bar. The firm faces potential fines and censure for supervisory failures. Mrs. Dawson would likely prevail in an arbitration claim seeking compensatory damages of approximately \$53,800 plus interest, and potentially additional damages depending on jurisdiction and the panel's assessment of the egregiousness of the conduct.

Hypothetical 70

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Donovan, age 67, is a retired elementary school principal living in Tucson, Arizona. She receives a monthly pension of \$3,800 and Social Security of \$2,100, for a combined annual fixed income of approximately \$70,800. Her total liquid savings amount to \$410,000, held primarily in a traditional IRA (\$295,000) and a taxable brokerage account (\$115,000). She has no other significant assets besides her home, which is paid off and valued at approximately \$280,000. Margaret's new account form at Ridgmont Financial Services lists her investment objective as 'income and capital preservation,' her risk tolerance as 'conservative,' her investment time horizon as '5-10 years,' and her investment experience as 'limited - mostly certificates of deposit and government bonds.' She told her advisor, Craig Fenton, during their initial meeting in March 2023 that she wanted to supplement her pension income and avoid losing principal because she could not replace these savings. In April 2023, Fenton recommended that Margaret invest \$85,000 of her IRA - roughly 29% of that account - into the ProShares UltraPro QQQ (TQQQ), a 3x daily leveraged ETF tracking the Nasdaq-100 Index. Fenton told Margaret the fund would 'triple any gains in the Nasdaq' and was a 'great way to grow her retirement savings faster.' He did not discuss the daily reset mechanism, the concept of volatility decay, or the possibility that the fund could lose significant value even if the underlying index remained relatively flat over time. He also did not provide Margaret with the product's prospectus or any supplemental materials explaining the risks of leveraged ETFs. Margaret held the position for eleven months. During that period, the Nasdaq-100 experienced multiple sharp drawdowns and recoveries. By March 2024, even though the Nasdaq-100 was up approximately 4.5% from when Margaret purchased TQQQ, her position had declined by roughly 12%, resulting in an unrealized loss of approximately \$10,200. Margaret discovered the loss when she reviewed her annual tax documents and

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called another advisor for a second opinion. She subsequently filed a complaint against Fenton and Ridgemont Financial Services, alleging that the recommendation was wholly unsuitable for her age, income needs, risk tolerance, and investment objectives.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Fenton violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Rule 2111 encompasses three components: reasonable-basis suitability (the advisor must understand the product), customer-specific suitability (the recommendation must fit the individual customer), and quantitative suitability (the overall pattern of recommendations must not be excessive).

2. ****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934):**** Reg BI requires broker-dealers to act in the best interest of retail customers when making recommendations, without placing the financial interest of the broker-dealer ahead of the customer. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in understanding the product, assessing risks and rewards, and determining that the recommendation is in the customer's best interest given her specific profile.

3. ****FINRA Regulatory Notices 09-31 and 22-08:**** RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlighted that in volatile markets, these products can produce results that diverge significantly - and negatively - from the stated multiple of the index return over periods longer than one day. RN 22-08 reinforced these concerns and expanded guidance on complex products, emphasizing heightened supervision and the need for firms to assess whether customers can understand and bear the risks of such products before recommending them.

****Analysis of Violations:****

- ****Reasonable-Basis Suitability Failure:**** Fenton's description that TQQQ would 'triple any gains in the Nasdaq' demonstrates a fundamental misunderstanding (or deliberate misrepresentation) of how daily-resetting leveraged ETFs work. The product's prospectus clearly states that returns are targeted on a daily basis only and that long-term returns can deviate substantially due to compounding (path dependency) and volatility decay. An advisor who does not understand these mechanics cannot form a reasonable basis for recommending the product to any customer.

- ****Customer-Specific Suitability Failure:**** Margaret is a 67-year-old conservative retiree with limited

investment experience, a capital preservation objective, a moderate time horizon, and fixed income that she cannot replace. A 3x leveraged ETF is among the highest-risk equity products available to retail investors. Allocating 29% of her IRA to TQQQ is diametrically opposed to every element of her stated investment profile. There is no reasonable basis to conclude this recommendation was suitable for this customer.

- **Reg BI Care Obligation Failure:** Under Reg BI's Care Obligation, Fenton was required to exercise reasonable diligence in understanding the risks, rewards, and costs of TQQQ, and to have a reasonable basis to believe the recommendation was in Margaret's best interest. Recommending a highly volatile, daily-resetting 3x leveraged product to a conservative retiree with limited experience and income-supplementation needs plainly fails this standard.

- **Disclosure Failures:** Fenton failed to provide Margaret with the TQQQ prospectus, did not explain the daily reset mechanism, volatility decay, or path dependency, and affirmatively mischaracterized the product's return profile. This compounds the suitability failure and also raises potential concerns under Reg BI's Disclosure Obligation.

- **Firm Supervision:** Under FINRA Rules 3110 and 3120, Ridgemont Financial Services had an obligation to supervise recommendations of complex products. FINRA RN 22-08 specifically calls on firms to implement policies and procedures to evaluate whether complex products like leveraged ETFs are appropriate before they are recommended to retail customers. The firm's apparent failure to flag or prevent this recommendation suggests supervisory deficiencies.

Outcome:

Margaret's \$10,200 loss - occurring even as the underlying Nasdaq-100 rose 4.5% - vividly illustrates the volatility decay and path dependency risks that make daily-resetting leveraged ETFs unsuitable for long-term holding by conservative retail investors. Fenton and Ridgemont Financial Services face potential liability for compensatory damages, and the firm could face regulatory sanctions for inadequate supervision of complex product recommendations. In FINRA arbitration, Margaret would have strong grounds for recovery of her losses, and in a regulatory examination, both Fenton and the firm could face fines, suspensions, or enhanced supervisory requirements.

Hypothetical 71

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Holbrook, age 78, is a retired elementary school teacher living in Sarasota, Florida. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid net worth is approximately \$340,000, held primarily in a traditional IRA rollover account that constitutes virtually all of her retirement savings. Mrs. Holbrook's investment objectives, as documented on her new account form completed in January 2022, are capital preservation and income generation. Her risk tolerance is listed as conservative. She has no prior experience trading options, futures, or leveraged products, and her

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investment knowledge is described as 'limited' in her client profile. She told her advisor, Kevin Stafford, that her primary concern was making sure her money lasted through her remaining years and that she could cover potential assisted living costs in the future.

In March 2022, Stafford recommended that Mrs. Holbrook invest \$95,000-roughly 28% of her liquid net worth-into a 3x leveraged bull ETF tracking the semiconductor sector, and an additional \$45,000 into a 2x inverse ETF tracking the Nasdaq-100 index. Stafford told Mrs. Holbrook that the semiconductor fund was 'like buying the best tech companies but with more upside' and that the inverse Nasdaq fund would act as 'insurance for her portfolio if the market went down.' He did not explain the daily resetting mechanism, compounding effects, volatility decay, or path dependency of these products. No written disclosures or product-specific risk documents for leveraged or inverse ETFs were provided to Mrs. Holbrook.

Stafford placed the trades and did not set any stop-loss orders or establish any rebalancing schedule. He did not contact Mrs. Holbrook again to discuss the positions for the next eleven months. During that period, the semiconductor sector experienced significant volatility, rising approximately 8% on a cumulative basis, but the 3x leveraged ETF actually declined 14% due to volatility decay and daily compounding effects. The 2x inverse Nasdaq ETF lost approximately 38% of its value as the Nasdaq-100 index recovered from early 2022 lows. By February 2023, Mrs. Holbrook's combined \$140,000 investment in these two products had declined to approximately \$81,200, a loss of nearly \$58,800. When Mrs. Holbrook called Stafford in February 2023 after reviewing her annual statement, she was distressed and said she did not understand what these funds were or why she had lost so much money. Stafford told her to 'hang on because they'll bounce back eventually.' The positions were not liquidated until Mrs. Holbrook's daughter intervened and contacted the branch manager in April 2023, at which point the combined position value had further declined to approximately \$72,500, representing a total loss of roughly \$67,500 or 48% of the original investment.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Stafford violated applicable suitability and best interest standards in multiple ways.

****Applicable Regulatory Framework:****

Under FINRA Rule 2111 (Suitability), a financial advisor must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and investment experience. This rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), broker-dealers and their associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing their own interests ahead of the customer's. This obligation includes a Care Obligation requiring reasonable diligence, care, and skill in understanding the product and forming a reasonable basis to believe the recommendation is in the customer's best interest given her specific profile.

FINRA Regulatory Notice 09-31 specifically warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice emphasizes that in volatile markets, these products can produce results that diverge significantly from the underlying index performance multiplied by the leverage factor, due to the mathematical effects of daily compounding (often called volatility decay or path dependency). FINRA Regulatory Notice 12-03 and Regulatory Notice 22-08 further address complex products supervision, requiring heightened scrutiny, enhanced disclosure, and a reasonable basis for believing the customer can understand and bear the risks of complex products like leveraged and inverse ETFs.

****Specific Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Mrs. Holbrook was a 78-year-old retiree with conservative risk tolerance, capital preservation objectives, limited investment knowledge, no experience with leveraged products, and a finite pool of retirement assets. Allocating 28% of her liquid net worth to a 3x leveraged semiconductor ETF and an additional 13% to a 2x inverse ETF was fundamentally incompatible with her documented profile. These are among the most volatile and risky exchange-traded products available.
2. ****Reasonable-Basis Suitability Violation:**** Stafford either did not understand or chose to ignore the daily-reset mechanism and path dependency of these products. His statement that the leveraged ETF was 'like buying the best tech companies but with more upside' and that the inverse ETF was 'insurance' demonstrates a fundamental misunderstanding or willful misrepresentation of how these products work. An advisor must understand a product before recommending it.
3. ****Failure to Disclose Material Risks:**** Stafford failed to explain the daily compounding mechanism, volatility decay, or the fact that these products are designed for short-term tactical trading-not long-term buy-and-hold strategies. No written risk disclosures specific to leveraged or inverse ETFs were provided. This violates the Disclosure Obligation under Reg BI and general suitability requirements.
4. ****Failure to Monitor / Neglect of Account:**** FINRA Regulatory Notice 09-31 and 22-08 emphasize that firms and advisors must have supervisory systems to monitor positions in leveraged and inverse ETFs, particularly given that holding periods beyond a single day can produce unexpected results. Stafford placed \$140,000 in daily-resetting leveraged products and did not contact the client or review the positions for eleven months. When the client finally called, he advised her to continue holding-directly contradicting the nature of these products.
5. ****Senior Investor Considerations:**** Mrs. Holbrook's age, cognitive vulnerability, dependence on this money for potential long-term care needs, and limited sophistication all required heightened care. The concentration of nearly 41% of her liquid net worth in leveraged and inverse products represented an egregious mismatch with her needs.

****Likely Regulatory Outcome:****

This fact pattern would likely result in significant sanctions. The advisor faces potential suspension or bar, disgorgement of commissions, and fines. The firm faces supervisory failure charges under FINRA Rule 3110 for failing to have adequate systems to detect and prevent unsuitable recommendations of complex products to vulnerable customers. Mrs. Holbrook would likely recover her losses of approximately \$67,500 plus interest through arbitration or a regulatory restitution order. Cases involving leveraged ETF losses by senior investors with conservative profiles have historically resulted in substantial arbitration awards and regulatory sanctions.

Hypothetical 72

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Colvin, age 67, is a retired elementary school teacher living in suburban Atlanta. She receives a monthly pension of \$3,200 and Social Security payments of \$1,850. Her total liquid savings amount to approximately \$410,000, representing the entirety of her retirement nest egg, held in an IRA rollover account. She has no other significant assets aside from her home, which is paid off. On her new account form completed in March 2023, her investment objective was listed as "income and capital preservation," her risk tolerance was marked "moderate," and her time horizon was noted as 5-10 years. She told her advisor, Derek Hutchins, that she wanted steady income and could not afford to lose principal because these savings needed to last through her retirement. She had limited investment experience, having previously owned only a target-date mutual fund through her employer's 403(b) plan.

In April 2023, Hutchins recommended that Margaret allocate \$82,000 - roughly 20% of her portfolio - into a 3x leveraged bull semiconductor ETF (ticker: SOXL), which seeks to deliver 300% of the daily return of a semiconductor index. Hutchins told Margaret the semiconductor sector was "the future" and that artificial intelligence demand would drive massive gains over the next two to three years. He described the product as an ETF, comparing it favorably to index funds she was familiar with, and suggested she hold it for at least 18 months to capture the sector's growth cycle. He did not explain that the fund resets daily, that compounding effects could cause significant deviation from 3x the index's cumulative return over time, or that volatility in the underlying index could erode value even if the index ended flat or slightly higher over a multi-month period.

Between April and November 2023, the semiconductor index experienced significant volatility, rising roughly 12% on a cumulative basis. However, due to the daily reset mechanism and the compounding effect of leveraged returns during volatile periods - with multiple drawdowns of 8-15% interspersed with sharp recoveries - the 3x leveraged ETF gained only about 9% over the same period instead of the approximately 36% Margaret might have expected based on Hutchins' description. During a sharp pullback in October 2023, the position lost 34% of its value in three weeks, temporarily reducing the \$82,000 investment to approximately \$54,000. Margaret called Hutchins in a panic, and he reassured her to continue holding. By January 2024, after additional volatility, the position stood at approximately \$71,500, representing a net loss of roughly \$10,500 from her original investment despite the underlying index being higher than when she purchased.

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Margaret filed a complaint in February 2024, alleging that the investment was completely unsuitable for her situation and that Hutchins never explained how the product actually worked.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hutchins violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, time horizon, liquidity needs, and investment experience. This rule encompasses three obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability.

Under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act), broker-dealers must act in the retail customer's best interest at the time of recommendation, without placing the broker's interest ahead of the customer's. This includes a Care Obligation requiring the broker to exercise reasonable diligence, care, and skill in understanding the product, evaluating it in light of the customer's profile, and considering reasonably available alternatives. It also includes a Disclosure Obligation requiring full and fair disclosure of all material facts relating to the recommendation, including risks.

FINRA Regulatory Notices 09-31 and 22-08 provide specific guidance on leveraged and inverse ETFs. RN 09-31 explicitly warns that leveraged ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlights that due to the effects of daily compounding (often called volatility decay or path dependency), these products can produce returns that deviate significantly - and often negatively - from the expected multiple of the underlying index's return over periods longer than one day. RN 22-08 reinforces heightened obligations when recommending complex products to retail investors, including enhanced due diligence and explicit risk disclosure.

****Specific Violations:****

1. ****Reasonable-Basis Suitability Failure:**** Hutchins either did not understand or chose to ignore the daily-reset mechanism and volatility decay characteristics of a 3x leveraged ETF. By recommending an 18-month hold for a daily-resetting leveraged product, he demonstrated a fundamental misunderstanding of the product, violating his obligation to understand what he was recommending.
2. ****Customer-Specific Suitability Failure:**** Margaret's profile - a 67-year-old retiree with limited investment experience, moderate risk tolerance, income and capital preservation objectives, and total dependence on these savings for retirement - is fundamentally incompatible with a 3x leveraged sector-specific ETF. This product carries extreme concentration risk, leverage risk, and path-dependency risk. Allocating 20% of her

entire retirement portfolio to such a product was grossly unsuitable.

3. ****Disclosure Failure (Reg BI):**** Hutchins compared SOXL to a standard index fund and failed to disclose the daily-reset mechanism, the effects of compounding and volatility decay, or the possibility that the product could lose money even when the underlying index rises over time. This violates the Disclosure Obligation under Reg BI.

4. ****Care Obligation Failure (Reg BI):**** Even if Hutchins believed semiconductor stocks would perform well, he failed to consider reasonably available alternatives - such as an unleveraged semiconductor ETF, a diversified technology fund, or a balanced income-oriented portfolio - that could have provided sector exposure without the extreme risks of a 3x leveraged daily-resetting product.

5. ****Supervision Concerns:**** Under FINRA Rules 3110 and the complex products supervision framework emphasized in RN 22-08, the firm should have had heightened supervisory procedures for leveraged ETF recommendations, particularly to retirement-age clients with conservative objectives. The approval of this transaction suggests a supervisory failure as well.

****Likely Regulatory Outcome:**** Hutchins would likely face arbitration liability for unsuitable recommendation, with damages measured by the difference between Margaret's losses and the performance of a suitable alternative investment. The firm could face supervisory deficiency findings. Potential sanctions include fines, disgorgement of commissions, suspension, and restitution to the customer. The facts present a clear case of an unsuitable leveraged ETF recommendation to a vulnerable retail investor, precisely the scenario regulators have repeatedly warned against.

Hypothetical 73

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

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Fact Pattern

Margaret Dolan, age 64, is a recently retired elementary school teacher in suburban Pittsburgh. She receives a state pension of \$3,200 per month and Social Security of \$1,850 per month. Her total liquid savings amount to approximately \$285,000, held primarily in a traditional IRA rolled over from her 403(b) plan. She has no other significant assets beyond her home, valued at roughly \$210,000 with \$45,000 remaining on the mortgage. Margaret's new account form, completed in March 2022 with her advisor Brian Hess at a mid-size broker-dealer, listed her risk tolerance as 'moderate,' her investment objective as 'income and preservation of capital,' her time horizon as '10-15 years,' her investment experience as 'limited - mutual funds only,' and her annual income need from the portfolio as approximately \$8,000 to supplement her pension and Social Security.

In April 2022, Brian recommended that Margaret allocate \$60,000 of her IRA - roughly 21% of her total liquid savings - into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Brian told Margaret that this was a 'turbocharged growth fund that tracks the big tech companies' and that it would 'really accelerate the growth side of her portfolio.' He did not explain that the product

resets daily, that its compounded returns over periods longer than one day can diverge dramatically from three times the index return, or that volatility decay could erode principal even if the Nasdaq-100 were flat or modestly positive over time. He provided no written materials, no options disclosure, and no supplemental risk documentation specific to leveraged ETFs. Margaret's account records show no prior options trading, no margin agreement, and no history of speculative investments.

Margaret held the position for eleven months. During that period, the Nasdaq-100 experienced significant volatility, declining approximately 12% and then partially recovering to end down roughly 4% from the date of her purchase. A simple 3x leveraged position would have implied a loss of about 12%, but due to volatility decay and the daily-reset compounding effect, TQQQ declined approximately 29% over the same period. Margaret's \$60,000 investment was worth approximately \$42,600 by March 2023, a loss of \$17,400. She called Brian several times during the drawdown, and he advised her each time to 'hang tight, the Nasdaq always comes back.' Brian never recommended trimming or exiting the position, and he never documented any reassessment of whether the product remained appropriate for her. Margaret ultimately sold at a \$17,400 loss after reading a newspaper article warning retirees about leveraged funds.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Brian Hess violated applicable suitability and best interest standards on multiple grounds.

1. ****Customer-Specific Suitability (FINRA Rule 2111.05(a)):** Margaret's documented profile - a 64-year-old retiree with limited investment experience, moderate risk tolerance, income and capital preservation objectives, and heavy reliance on her IRA for retirement supplementation - is fundamentally inconsistent with a 3x daily-leveraged ETF. TQQQ is classified as a complex, speculative product designed for short-term trading by sophisticated investors. Allocating 21% of a retiree's liquid assets to such a product fails the customer-specific suitability obligation.
2. ****Reasonable-Basis Suitability (FINRA Rule 2111.05(a)):** Brian appears to have lacked an adequate understanding of TQQQ's mechanics, particularly the daily-reset feature, path dependency, and volatility decay. FINRA Regulatory Notices 09-31 and 22-08 explicitly warn that leveraged and inverse ETFs are designed to achieve their stated objectives on a daily basis only, and that holding them for longer periods - especially in volatile markets - can produce returns that differ significantly from the leveraged return of the underlying index. Brian's description of TQQQ as a 'turbocharged growth fund' without any discussion of these critical risks demonstrates a failure to understand the product he recommended.
3. ****Regulation Best Interest (Rule 15l-1 under the Exchange Act):** Under the Care Obligation of Reg BI, a broker must exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Brian failed this obligation by recommending a product whose risk characteristics were plainly incompatible with Margaret's profile. Under the Disclosure Obligation, he was required to disclose material facts about the recommendation, including the daily-reset mechanism and the risk of volatility decay; he failed to provide any such disclosure. Under the Compliance Obligation, the firm was required to have policies and procedures to ensure adherence to Reg BI, including heightened supervision for complex products.

4. **Complex Products Supervision (FINRA RN 12-03, 22-08):** FINRA has repeatedly emphasized that firms must establish robust supervisory systems for complex products, including leveraged ETFs. This includes account approval processes, concentration limits, post-recommendation monitoring, and ensuring that registered representatives understand the products. Brian's firm apparently had no mechanism to flag or prevent the concentration of a retiree's IRA in a 3x leveraged ETF, and Brian conducted no subsequent review of the position's appropriateness.

5. **Ongoing Duty and Hold Recommendations:** Brian's repeated advice to 'hang tight' constitutes an implicit hold recommendation. Under FINRA Rule 2111 and Reg BI, hold recommendations are subject to the same suitability and best interest standards as buy recommendations. Each time Brian advised Margaret to continue holding TQQQ, he was obligated to reassess whether the position remained suitable given the ongoing losses and her unchanged risk profile. He failed to do so and failed to document any such analysis.

6. **Path Dependency and Volatility Decay:** The facts illustrate the precise harm regulators have warned about: the Nasdaq-100 declined only ~4%, yet TQQQ declined ~29% due to the compounding of daily returns in a volatile market. This \$17,400 loss (29% of the invested amount) on a 4% index decline vividly demonstrates why these products are unsuitable for long-term holding by retail investors seeking capital preservation.

Likely Regulatory Outcome: Brian and his firm face potential FINRA enforcement action, including fines, disgorgement of commissions, restitution to Margaret, and possible suspension. The firm could face additional sanctions for supervisory failures relating to complex product oversight. In an arbitration proceeding, Margaret would have a strong claim for compensatory damages of at least \$17,400, plus potential consequential damages.

Hypothetical 74

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Holden, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,800 per month from her state pension and \$1,400 per month in Social Security benefits. Her total liquid investable assets are approximately \$185,000, held in an IRA rollover account, which represents the bulk of her retirement savings aside from her pension. She has no other significant assets beyond her paid-off home valued at approximately \$210,000. On her new account form, her investment objective was listed as 'income and preservation of capital,' her risk tolerance was marked 'conservative,' her investment time horizon was listed as '5-10 years,' and her investment experience was described as 'limited - mutual funds only.' She told her advisor, Kevin Shea, at a regional broker-dealer in March 2023 that she wanted to generate modest supplemental income without taking big risks, as she could not afford to lose her nest egg.

Shea, a registered representative with the firm for four years, recommended that Margaret allocate \$55,000

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(approximately 30% of her IRA) into a 3x leveraged daily-resetting ETF tracking the Nasdaq-100 index (TQQQ), explaining that it would 'turbocharge her growth potential' and that the tech sector was poised for a strong recovery. He also placed \$25,000 into a -2x inverse daily-resetting ETF on the S&P 500 (SDS), telling her it would act as a 'hedge' to protect her portfolio if the market dropped. Shea did not provide Margaret with any written materials explaining how daily-resetting leveraged or inverse products work, did not discuss volatility decay or path dependency, and did not explain that these products are generally designed for short-term trading rather than long-term holding. He did not document any discussion of the risks specific to these products. No supervisor at the firm reviewed or approved the transactions before execution.

Margaret held both positions for 14 months. During that period, the Nasdaq-100 experienced significant intraday volatility, including multiple swings of 2-4% in single sessions. By May 2024, despite the Nasdaq-100 being roughly flat over the holding period, her TQQQ position had declined from \$55,000 to approximately \$38,200 - a loss of roughly \$16,800, or about 30.5%. Her SDS position, despite the S&P 500 also being roughly flat, had declined from \$25,000 to approximately \$17,900 - a loss of roughly \$7,100, or about 28.4%. In total, Margaret lost approximately \$23,900, or about 29.9% of the \$80,000 invested in these two products, even though the underlying indices were approximately unchanged. Margaret was unaware of how the products functioned until she received her May 2024 account statement and called her advisor to ask why she had lost so much money when the market had barely moved. Shea told her the losses were 'just bad luck' and suggested holding on longer. Margaret subsequently filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Shea violated multiple applicable standards governing the recommendation of complex products to retail investors.

****Regulation Best Interest (Reg BI) - Rule 15l-1 under the Securities Exchange Act of 1934:****

Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. This requires understanding the potential risks, rewards, and costs of the recommendation, and having a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, based on the customer's investment profile. Margaret's profile - a 71-year-old retiree with limited investment experience, conservative risk tolerance, income and preservation objectives, and a retirement account representing the vast majority of her savings - is fundamentally incompatible with highly speculative leveraged and inverse ETFs. These products are designed for sophisticated, active traders, not buy-and-hold conservative retirees. The Care Obligation was clearly breached.

Reg BI's Disclosure Obligation also required Shea to disclose all material facts about the recommendation, including how daily resetting works, the effects of volatility decay and path dependency, and the fact that these products can lose substantial value even when the underlying index is flat. None of this was disclosed.

****FINRA Rule 2111 (Suitability):****

Rule 2111 requires that a recommended transaction or investment strategy be suitable for the customer based on reasonable diligence concerning the customer's investment profile. The rule encompasses three components: (1) reasonable-basis suitability - the advisor must understand the product well enough to have a reasonable basis for recommending it to anyone; (2) customer-specific suitability - the recommendation must be suitable for the particular customer; and (3) quantitative suitability. Here, both reasonable-basis and customer-specific suitability were violated. There is no reasonable basis for recommending 3x leveraged and -2x inverse daily-resetting ETFs for long-term holding in the IRA of a conservative, unsophisticated 71-year-old retiree whose stated objectives are income and capital preservation.

****FINRA Regulatory Notices 09-31 and 22-08:****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlighted the effects of daily compounding, volatility decay, and path dependency, noting that returns over longer periods can differ dramatically from the multiple of the underlying index's return. RN 22-08 reinforced and expanded upon obligations related to complex products, requiring heightened supervision, enhanced due diligence, and robust suitability determinations before recommending complex products to retail investors. Both notices emphasize that firms must have reasonable supervisory systems, including pre-approval mechanisms for complex product transactions, particularly when involving unsophisticated or vulnerable investors.

****Supervisory Failures:****

The firm failed to implement any pre-transaction supervisory review of these leveraged and inverse ETF purchases. Under FINRA Rules 3110 and 3120, and consistent with FINRA's guidance in RN 12-03 (which addresses heightened supervision for complex products), firms are expected to have policies and procedures tailored to the risks posed by complex products, including approval requirements, concentration limits, and post-trade surveillance. No supervisor reviewed or approved these transactions.

****Path Dependency and Volatility Decay:****

The outcome in this case is a textbook illustration of the risks described in FINRA's guidance. Despite both underlying indices being approximately flat over the 14-month holding period, Margaret lost nearly 30% of the capital invested in these products due to the mathematical effects of daily resetting in volatile markets. This demonstrates precisely why these products are unsuitable for long-term holding and why regulators have repeatedly warned about the risks.

****Likely Regulatory Outcome:****

Shea and his firm would likely face enforcement action. Shea could be subject to fines, disgorgement, suspension, or a bar. The firm could face additional sanctions for supervisory failures. Margaret would likely recover her losses (approximately \$23,900 plus interest) through arbitration or a regulatory proceeding. The concentration of approximately 43% of her total liquid assets in these two speculative products significantly compounds the severity of the violation.

Hypothetical 75

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

Margaret Dawson, age 71, is a retired school librarian living in Tucson, Arizona. She receives \$2,400 per month from Social Security and a small pension of \$800 per month. Her total liquid savings amount to approximately \$185,000, held in a brokerage account that represents the vast majority of her net worth aside from her home. She has no other significant income sources. In March 2023, Margaret met with her financial advisor, Kevin Bledsoe, at a regional broker-dealer. During the account opening process, Margaret told Kevin that she wanted to preserve her savings to cover living expenses and potential medical costs, and that she could not afford to lose a significant portion of her portfolio. She described herself as a conservative investor with very limited experience - she had previously owned only certificates of deposit and a single balanced mutual fund through her employer's retirement plan. Kevin's firm had a new account form that included fields for investment objectives, risk tolerance, time horizon, liquidity needs, and investment experience. Kevin filled in Margaret's investment objective as 'growth' and her risk tolerance as 'moderate,' despite her stated preferences. He did not ask her about her familiarity with exchange-traded products, derivatives, or leveraged instruments, and left the 'investment experience' section blank. In April 2023, Kevin recommended that Margaret invest \$55,000 - nearly 30% of her liquid savings - into a 3x leveraged ETF tracking the semiconductor sector, telling her it was 'like a mutual fund but with more upside.' He did not explain that the fund reset daily, that its returns over periods longer than one day could deviate significantly from three times the index's cumulative return, or that the product could experience severe losses due to volatility decay. He also did not discuss the fund's expense ratio of 0.95%, which was considerably higher than the balanced fund she previously owned. Margaret held the position for approximately nine months. During that period, the semiconductor index experienced significant volatility, rising and falling repeatedly without a clear trend. By January 2024, even though the underlying index was roughly flat over the holding period, Margaret's position had lost approximately \$16,500 - a decline of 30% - due to the compounding effects of daily resetting in a volatile, trendless market. Margaret filed a complaint with the firm alleging that her advisor never took the time to understand her financial situation and needs, placed inaccurate information on her account documents, and recommended a product she neither understood nor was suitable for her circumstances.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Bledsoe violated multiple regulatory requirements. First, under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. This rule encompasses three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the recommendation to the customer's profile), and quantitative suitability. Kevin failed at both the reasonable-basis and customer-specific levels.

Regarding the failure to know his customer: FINRA Rule 2111 requires brokers to use reasonable diligence to know and retain essential facts about the customer, including age, financial situation, tax status,

investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Kevin recorded Margaret's investment objective as 'growth' and risk tolerance as 'moderate' despite her explicit statements that she wanted capital preservation and could not afford significant losses. He left the investment experience field blank entirely. This falsification and omission of customer profile information is a foundational failure - it corrupted the entire suitability analysis that should have followed.

Under Regulation Best Interest (Rule 15l-1 under the Exchange Act), broker-dealers owe retail customers a best interest obligation when making recommendations. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation and to have a reasonable basis to believe the recommendation is in the customer's best interest based on the customer's actual investment profile. Kevin's failure to accurately document and understand Margaret's profile, combined with the wholly unsuitable recommendation, constitutes a clear violation of Reg BI's Care Obligation.

FINRA Regulatory Notice 09-31 specifically warned firms and brokers that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets, due to the effects of daily compounding (volatility decay or path dependency). FINRA Regulatory Notice 12-03 further reinforced heightened suitability obligations for complex products, requiring brokers to perform a reasonable investigation of the product, understand its risks, and ensure the customer has the capacity to understand the product. FINRA Regulatory Notice 22-08 continued this scrutiny by proposing additional measures for complex products and emphasizing that firms must have robust supervisory systems to ensure that recommendations of complex products like leveraged ETFs meet suitability and best interest standards.

Margaret's profile - a 71-year-old retiree with limited income, modest savings, a conservative risk tolerance, a capital preservation objective, and virtually no experience with complex products - made a 3x leveraged semiconductor ETF fundamentally unsuitable. The 30% allocation of her liquid assets to a single highly volatile leveraged product compounded the unsuitability. Kevin's failure to explain daily resetting, volatility decay, the product's short-term tactical nature, or the elevated expense ratio further demonstrates he lacked a reasonable basis for the recommendation and failed to act in Margaret's best interest.

The likely regulatory outcome would include findings of suitability violations under FINRA Rule 2111, violations of Reg BI's Care and Disclosure Obligations, potential falsification of books and records (FINRA Rule 4511, FINRA Rule 2010 - Standards of Commercial Honor), monetary restitution to the customer of at least \$16,500 in losses, potential fines, a suspension or bar for the advisor, and supervisory deficiency findings against the firm if it failed to flag the discrepancies in the account documentation or the concentration of a retiree's assets in a 3x leveraged product.

Hypothetical 76

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

[NON-COM

Margaret Collings, age 71, is a retired elementary school teacher living in Tulsa, Oklahoma. She receives \$2,800 per month from her state pension and \$1,650 per month in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held in a rollover IRA that represents the entirety of her retirement nest egg aside from her pension and Social Security. She owns her home outright, valued at approximately \$185,000. On her new account form completed in January 2023, her stated investment objective was "income and preservation of capital," her risk tolerance was marked as "conservative," her investment time horizon was listed as "5-10 years," and her annual income was documented at \$53,400. She had no prior experience trading options, futures, or leveraged products, and her investment experience was limited to certificates of deposit and a target-date mutual fund she had held through her employer's retirement plan.

Her financial advisor, Derek Simmons, had been with a mid-sized broker-dealer in Tulsa for nine years. In February 2023, during a quarterly review meeting, Simmons told Margaret that interest rates were likely to decline over the coming year and that she could "supercharge" her bond returns by getting ahead of the rate cuts. He recommended she allocate \$120,000—approximately 35% of her IRA—into a 3x leveraged long Treasury bond ETF (ticker: TMF). He described the product to her as "like a regular Treasury bond fund, just with more upside potential" and told her it was "backed by U.S. government bonds, so it's very safe." He did not explain daily resetting, compounding effects, volatility decay, or the fact that the fund was designed for short-term tactical trading. No written materials specific to leveraged ETFs were provided. Margaret signed a general trade confirmation but was not asked to sign any supplemental risk disclosure for complex or leveraged products.

Simmons placed the initial \$120,000 purchase on February 14, 2023. Over the following eleven months, interest rates did not decline as Simmons predicted; instead, the Federal Reserve raised rates twice more before pausing. Treasury yields remained elevated and volatile. By January 2024, the position had declined to approximately \$61,800, a loss of roughly \$58,200 or 48.5%. During this period, Simmons did not contact Margaret to discuss the position, did not recommend any stop-loss or rebalancing strategy, and did not conduct any interim suitability review. Margaret discovered the extent of her losses when she received her year-end account statement and called Simmons in a panic. Simmons told her to "hang tight" because the fund would "bounce back once rates come down." Margaret held the position for another three months on his advice before liquidating in April 2024 at approximately \$54,300, realizing a total loss of \$65,700, or 54.75% of her original investment. This loss represented approximately 19.3% of her entire retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons violated multiple regulatory requirements governing the recommendation of complex products to retail investors.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the

customer, based on the customer's investment profile including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and experience. Rule 2111 encompasses three obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability.

2. ****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** Reg BI requires broker-dealers to act in the retail customer's best interest at the time of recommendation, without placing their own interests ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill to understand the product and have a reasonable basis to believe the recommendation is in the customer's best interest considering the customer's investment profile. The Disclosure Obligation requires full and fair disclosure of material facts, including risks.

3. ****FINRA Regulatory Notices 09-31 and 22-08:**** RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice emphasized the effects of daily compounding, volatility decay, and path dependency, which can cause returns to diverge dramatically from the underlying index over time. RN 22-08 reinforced and expanded these concerns regarding complex products, emphasizing heightened supervision, explicit risk disclosures, and the need for firms to evaluate whether their registered representatives and customers understand the products.

****Analysis of Violations:****

- ****Customer-Specific Suitability Failure:**** Margaret was a 71-year-old retiree with conservative risk tolerance, a capital preservation objective, and no experience with leveraged or complex products. A 3x leveraged Treasury ETF-which can lose 50% or more of its value in a matter of months due to volatility decay and adverse rate movements-is fundamentally incompatible with her documented investment profile. Allocating 35% of her sole retirement account to this product was egregiously unsuitable.

- ****Reasonable-Basis Suitability Failure:**** Simmons either did not understand the mechanics of daily-resetting leveraged ETFs or chose to misrepresent them. His characterization of TMF as being "like a regular Treasury bond fund" and "very safe" because it is "backed by U.S. government bonds" was materially misleading. Leveraged ETFs use derivatives (swaps, futures) to achieve daily leveraged exposure and are not equivalent to holding Treasury bonds. This suggests Simmons lacked the product knowledge necessary to recommend this instrument.

- ****Disclosure Failures:**** Simmons failed to disclose the material risks of the product, including daily resetting, volatility decay, path dependency, and the potential for catastrophic losses even if the underlying index moves favorably over time. No supplemental risk disclosure documents were provided, contrary to the heightened disclosure expectations for complex products.

- ****Failure to Monitor and Supervise the Position:**** After placing a highly speculative, leveraged position in a conservative retiree's account, Simmons failed to monitor the position over eleven months as it lost nearly half its value. When Margaret finally contacted him, he advised her to continue holding-compounding the harm. This ongoing neglect further violated both suitability obligations and the duty of care.

- **Concentration Risk:** Placing 35% of a retiree's entire liquid retirement savings in a single leveraged product created an unreasonable concentration of risk, particularly for a conservative investor.

Likely Regulatory Outcome: This fact pattern would likely result in a finding of multiple violations of FINRA Rule 2111 and Regulation Best Interest. Potential sanctions could include disgorgement of commissions, restitution to the customer of approximately \$65,700 in losses, a fine, a suspension or bar of the advisor, and potential supervisory action against the firm for failing to implement adequate controls around the sale of leveraged ETFs to retail customers. The firm's failure to require enhanced disclosures or approval processes for leveraged ETF purchases, as contemplated by FINRA RN 09-31 and RN 22-08, would compound the supervisory deficiency.

Hypothetical 77

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

Margaret Collings, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives a monthly pension of \$3,200 and Social Security payments of \$1,850, for a combined annual income of approximately \$60,600. Her total investable assets consist of a \$410,000 IRA rollover from her teacher's retirement system and a \$45,000 savings account. She has no other sources of income and no dependents. Margaret has limited investment experience; she previously held only a target-date retirement fund and a certificate of deposit. When she opened her account at Ridgeline Financial Partners in March 2022, her new financial advisor, Derek Huang, conducted an initial meeting lasting roughly 20 minutes. During the meeting, Derek asked Margaret a handful of general questions about her goals - she stated she wanted "safe income to supplement my pension" and "to not lose what I've saved." Derek did not ask Margaret about her understanding of complex financial products, her prior trading experience beyond the target-date fund, her time horizon for needing distributions, her tax situation, or her comfort with daily portfolio fluctuations. He recorded her risk tolerance as "moderate" on the new account form, though Margaret later stated she told him she was "very conservative" and "couldn't afford to lose money." No investment policy statement or financial plan was prepared. In April 2022, Derek recommended that Margaret invest \$125,000 - roughly 27% of her IRA - into a 3x leveraged bull semiconductor ETF and \$60,000 into a 2x leveraged inverse Treasury bond ETF, telling her these funds would "capture upside in the tech boom" and "protect her if interest rates kept climbing." He did not explain that these products reset daily, that holding them for extended periods could produce returns that deviate significantly from the underlying index due to compounding and volatility decay, or that they were designed primarily for short-term tactical traders. Margaret was not provided any supplemental risk disclosure materials for leveraged or inverse products. Derek did not set any stop-loss levels, establish a monitoring schedule, or discuss exit criteria. Over the following 14 months, the semiconductor sector experienced sharp swings - a 22% drawdown from May to October 2022, a partial recovery, and another 15% decline in early 2023. Due to the compounding effects of the 3x daily leverage, Margaret's \$125,000 position in the leveraged semiconductor ETF declined to approximately \$54,000 by June 2023, a loss of roughly \$71,000, even though the underlying semiconductor index was down only about 11% over the same stretch. The inverse

[NON-COM]

Treasury ETF, buffeted by volatile rate expectations, lost approximately \$19,500 on the \$60,000 investment despite Treasury yields being modestly higher over the period. In total, Margaret suffered realized and unrealized losses exceeding \$90,000 on these two positions - more than 19% of her entire retirement savings. When Margaret called Derek in June 2023 to ask why her account had dropped so dramatically, he told her to "hang tight" because "these things bounce back." No rebalancing or liquidation was performed. Margaret filed a complaint with Ridgeline Financial in August 2023 after learning from a friend that leveraged ETFs were not intended to be held long-term.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Huang committed multiple violations. First and most fundamentally, he failed to satisfy the 'know your customer' obligation under FINRA Rule 2111(a) and its supplementary material, which requires a broker to use reasonable diligence to know the essential facts about a customer - including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance - before making any recommendation. Derek's cursory 20-minute intake, his failure to probe Margaret's understanding of complex products, and his apparent overstatement of her risk tolerance from 'very conservative' to 'moderate' all represent a clear failure to obtain and accurately document the customer's investment profile.

Second, under the customer-specific suitability component of FINRA Rule 2111, a representative must have a reasonable basis to believe that a recommendation is suitable for the particular customer based on that customer's profile. A 71-year-old retiree with no investment sophistication, limited income, a conservative stated objective of capital preservation and income, and total reliance on her retirement savings is among the least appropriate candidates for daily-resetting 3x and 2x leveraged and inverse ETFs. FINRA Regulatory Notices 09-31, 12-03, and 22-08 have all specifically warned that leveraged and inverse ETFs are complex products generally unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding, path dependency, and volatility decay. Derek's failure to understand or explain these mechanics constitutes a lack of 'reasonable-basis suitability' as well.

Third, under SEC Regulation Best Interest (Rule 15l-1), applicable to broker-dealer recommendations to retail customers after June 30, 2020, Derek was required to act in Margaret's best interest at the time the recommendation was made, exercising reasonable diligence, care, and skill, and considering the customer's investment profile including risk tolerance and financial needs. Placing over \$185,000 of a conservative retiree's IRA into leveraged and inverse daily-resetting ETFs - without explanation of the products' mechanics, without a monitoring plan, and without providing required risk disclosures - fails every prong of the Care Obligation under Reg BI.

Fourth, FINRA RN 22-08 reinforces firm and representative obligations for complex products supervision, including the requirement that firms establish written supervisory procedures ensuring customers receive targeted disclosures, that representatives assess whether the customer can understand the product, and that heightened scrutiny is applied before such products are recommended. There is no evidence that Ridgeline Financial implemented or Derek followed any such procedures.

The likely regulatory outcome includes potential disgorgement or restitution of the approximately \$90,000 in losses, fines against both Derek and Ridgeline Financial for supervisory failures, and possible suspension or bar for Derek depending on the scope of similar conduct. Margaret's arbitration claim would likely succeed given the overwhelming mismatch between her profile and the recommended products.

Hypothetical 78

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

[NON-COMPLIANT]

Fact Pattern

Margaret Colton, age 68, is a retired elementary school teacher in suburban Indianapolis with an annual pension income of \$42,000 and approximately \$285,000 in a rollover IRA, which represents virtually all of her liquid savings. She has no prior experience with options, futures, or leveraged products, and her account application lists her risk tolerance as "moderate" with investment objectives of "income and capital preservation." She told her advisor, Derek Haines, that she wanted something that could "keep up with inflation" without exposing her to significant losses, and that she expected to begin drawing from the IRA within two to three years to supplement her pension. In March 2022, Haines recommended that Mrs. Colton allocate \$95,000—roughly one-third of her IRA—into a 3x leveraged daily-resetting bull ETF tied to the Nasdaq-100 index, explaining that technology stocks had historically outperformed over the long run and that the triple leverage would "supercharge" her returns. He did not discuss the daily reset mechanism, the compounding effects of volatility on leveraged products, or the possibility that the fund could lose substantial value even if the underlying index was relatively flat over a multi-month period. He provided no written risk disclosures specific to leveraged ETFs and did not document any evaluation of whether Mrs. Colton understood the product. Mrs. Colton held the position for eleven months. During that period, the Nasdaq-100 experienced several sharp drawdowns and recoveries. By February 2023, the underlying Nasdaq-100 index had declined approximately 4% from her purchase date, but due to the effects of daily compounding and volatility decay, her 3x leveraged ETF position had lost roughly 29%, reducing her \$95,000 investment to approximately \$67,450—a loss of \$27,550. When Mrs. Colton called Haines in distress, he recommended she continue to hold, telling her the market would "come back eventually." She liquidated the position on her own in April 2023 at a value of \$61,200, realizing a total loss of \$33,800. Haines's branch manager had not established any specific supervisory procedures for reviewing leveraged ETF recommendations, and there was no heightened review process for recommendations of complex products to retirement accounts or customers over 65.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Haines violated multiple applicable regulatory standards in recommending a 3x leveraged daily-resetting ETF to Margaret Colton.

****Suitability under FINRA Rule 2111:**** The recommendation failed all three components of the suitability obligation. (1) Reasonable-basis suitability: Haines had an obligation to understand the risks and features

of the product before recommending it. FINRA Regulatory Notice 09-31 specifically warns that leveraged and inverse ETFs that reset daily are complex products designed to achieve their stated objectives on a daily basis only, and that their performance over longer periods can differ significantly from the performance of the underlying index due to the effects of compounding and volatility decay. Haines's failure to understand or communicate the daily reset mechanism and path-dependency risk suggests he lacked a reasonable basis for the recommendation. (2) Customer-specific suitability: Mrs. Colton was a 68-year-old retiree with moderate risk tolerance, income and capital preservation objectives, no experience with complex or leveraged products, and a near-term need to draw on the account. A 3x leveraged equity ETF-one of the most volatile and risky products available to retail investors-is fundamentally incompatible with this profile. Allocating one-third of her retirement savings to this product dramatically amplified the unsuitability. (3) Quantitative suitability: While this prong typically addresses excessive trading, the outsized concentration in a single highly volatile product effectively guaranteed outsized losses in a downturn.

****Regulation Best Interest (Rule 15l-1):**** Under Reg BI's Care Obligation, a broker-dealer and associated person must exercise reasonable diligence, care, and skill to understand the product and have a reasonable basis to believe the recommendation is in the retail customer's best interest. Recommending a 3x leveraged daily-resetting product for long-term holding in the IRA of an unsophisticated 68-year-old retiree with capital preservation objectives is virtually impossible to justify under this standard. The Disclosure Obligation also required Haines to disclose material facts about the recommendation, including the risks of daily compounding, volatility decay, and the product's unsuitability for holding periods beyond one day. He failed to provide any such disclosure.

****FINRA Regulatory Notice 22-08 (Complex Products):**** This notice reinforces the need for firms to adopt robust policies and procedures for complex product recommendations, including consideration of whether the customer can understand the product's risks, whether the product is consistent with the customer's objectives, and whether enhanced supervisory review is warranted. The branch manager's failure to implement any heightened review procedures for leveraged ETF recommendations-particularly for retirement accounts and senior investors-represents a supervisory failure under FINRA Rule 3110.

****FINRA Regulatory Notice 12-03:**** This notice reminds firms of their obligations when recommending complex products, including the need for a reasonable basis to believe the customer can understand the product. Haines made no effort to assess Mrs. Colton's ability to understand the 3x leveraged ETF, and his description of the product as something that would 'supercharge' returns was misleading and omitted critical risk information.

****Likely Regulatory Outcome:**** Haines would likely face sanctions including disgorgement of commissions, a fine, and a suspension. His firm would face supervisory deficiency charges for failing to implement procedures specific to complex product recommendations. Mrs. Colton would have strong grounds for a customer arbitration claim seeking recovery of her \$33,800 in losses plus consequential damages. The combination of an unsophisticated senior investor, a retirement account, capital preservation objectives, a near-term liquidity need, concentration of one-third of savings in a 3x leveraged product, no risk disclosure, and no supervisory oversight represents a textbook violation across multiple regulatory frameworks.

Hypothetical 79

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

Margaret Kowalski, age 71, is a retired elementary school teacher living in suburban Milwaukee on a fixed income consisting of a \$2,400 monthly pension and \$1,850 in Social Security benefits. She has \$340,000 in a rollover IRA, which represents essentially all of her liquid savings. She has no other investments aside from a small savings account with \$12,000. In March 2023, Margaret visited the branch office of her brokerage firm to discuss her IRA. She told the receptionist she was concerned about inflation eroding her retirement savings and wanted 'something safe that could keep up.' She was assigned to Kevin Driscoll, a registered representative who had been with the firm for two years. During their initial meeting, Kevin spent approximately 25 minutes with Margaret. He asked her name, age, and account balance, but did not inquire about her monthly expenses, other sources of income, existing debts, tax situation, investment time horizon, prior investment experience, or how she would characterize her willingness to take risk. Margaret mentioned she had previously owned only certificates of deposit and a small balanced mutual fund. Kevin did not document any specific risk tolerance or investment objective on the new account form, leaving those fields marked as 'moderate' and 'growth,' respectively, which were the system defaults. Kevin recommended that Margaret invest \$170,000 - half of her IRA - into a 3x leveraged daily-resetting ETF tied to the Nasdaq-100 index, telling her it was 'like a tech index fund but with more upside.' He described it as a good way to 'fight inflation aggressively.' He did not explain the daily reset mechanism, the effects of compounding over multi-day periods, or the potential for significant losses in volatile or sideways markets. Margaret agreed and the trade was executed on March 14, 2023. Over the following seven months, the Nasdaq-100 experienced several sharp drawdowns and recoveries, but ended the period roughly flat. Due to volatility decay and the daily compounding effect of the 3x leverage, Margaret's \$170,000 position declined to approximately \$121,500 by October 2023 - a loss of roughly \$48,500, or 28.5%, despite the underlying index being nearly unchanged. Margaret called the branch in October, distressed, and asked Kevin why she had lost so much money when 'the market didn't really go down.' Kevin told her to 'hang on' because 'it would come back.' She continued to hold the position. By January 2024, the position had further declined to \$109,000. Margaret filed a written complaint with the firm alleging she was never properly assessed as an investor and was placed in a product she did not understand.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Kevin Driscoll committed multiple serious violations. First and most fundamentally, he failed to satisfy his know-your-customer obligations under FINRA Rule 2111(a), which requires a representative to use reasonable diligence to know and retain the essential facts concerning every customer and the authority of each person acting on the customer's behalf. The know-your-customer obligation, codified in FINRA Rule 2090, requires reasonable efforts to ascertain a customer's investment profile, including but not limited to age, other investments, financial situation and needs, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Kevin gathered only the most superficial information - name, age, and account balance - and failed to ask about Margaret's income, expenses, debts, tax situation, time horizon, liquidity needs, experience, or risk tolerance. The account form

fields for risk tolerance and investment objective were left at system defaults ('moderate' and 'growth') with no documented basis, which violates the reasonable-basis and customer-specific components of the suitability analysis.

Second, the recommendation of a 3x leveraged daily-resetting ETF to a 71-year-old retired schoolteacher living on fixed income, with no investment experience beyond CDs and a balanced fund, fails the customer-specific suitability prong of FINRA Rule 2111. FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding (volatility decay or path dependency). FINRA Regulatory Notice 22-08 further reinforced heightened obligations around complex products, requiring firms and representatives to evaluate whether investors have the capacity to understand such products and whether the products align with the investor's profile. Margaret's profile - conservative, inexperienced, elderly, dependent on fixed income, with her IRA as her primary savings - is fundamentally incompatible with a concentrated position in a 3x leveraged product.

Third, under Regulation Best Interest (SEC Rule 15l-1), Kevin owed Margaret a care obligation requiring him to exercise reasonable diligence, care, and skill in making the recommendation. This includes understanding the risks and rewards of the recommended security and having a reasonable basis to believe the recommendation was in the customer's best interest based on her investment profile. Kevin failed all three components of the Care Obligation: he did not understand the product well enough to explain daily reset mechanics to the customer; he did not gather sufficient information to form a customer-specific belief about suitability; and he recommended a highly volatile, leveraged instrument representing 50% of a retiree's liquid net worth.

Fourth, Kevin compounded the initial violation by advising Margaret to 'hang on' in October 2023 after the position had already lost 28.5% due to the very volatility decay effects that make long-term holding of daily-reset leveraged ETFs inappropriate. This constitutes an implicit hold recommendation that itself may be assessed for suitability under the quantitative suitability obligation.

The firm also bears supervisory liability under FINRA Rule 3110, as its systems apparently allowed a representative to default account form fields without completing a meaningful customer profile, and failed to flag a concentrated leveraged ETF position in a retirement account belonging to a senior investor.

The likely regulatory outcome would include findings of failure to know the customer, unsuitable recommendation, failure to disclose material risks of a complex product, and supervisory failures. Potential sanctions include fines, disgorgement of commissions, restitution to the customer, and possible suspension of the representative. FINRA has historically imposed significant sanctions in cases involving leveraged ETF sales to unsuitable customers, particularly elderly or retired individuals with conservative profiles.

Hypothetical 80

Topic: *leveraged_etf_unsuitable* | Difficulty: *hard*

[NON-COM

Fact Pattern

Margaret Delacroix, age 71, is a retired French teacher living in Baton Rouge, Louisiana, with an annual pension income of \$42,000 and Social Security benefits of \$22,800. Her total liquid investment portfolio was approximately \$385,000, representing substantially all of her retirement savings aside from a small emergency fund of \$15,000 in a credit union savings account. She had no other sources of income and described her investment objective as 'capital preservation with modest income' when she opened her brokerage account in January 2021. Her account new-client questionnaire indicated a 'conservative' risk tolerance and an investment time horizon of 10+ years, reflecting her desire to make her savings last through retirement. She had limited investment experience, having previously held only certificates of deposit and a small allocation to a balanced mutual fund through her 403(b) plan.

Her financial advisor, Craig Fontenot, age 38, had been registered for 11 years and worked at a mid-sized independent broker-dealer. In March 2021, Fontenot recommended that Mrs. Delacroix allocate \$115,000 - roughly 30% of her liquid portfolio - into three leveraged and inverse ETF positions: \$45,000 in a 3x leveraged daily-resetting ETF tracking the Nasdaq-100 index (TQQQ), \$40,000 in a 2x leveraged daily-resetting ETF tracking the S&P 500 (SSO), and \$30,000 in a -1x inverse daily-resetting ETF tracking the Russell 2000 (RWM). Fontenot told Mrs. Delacroix that the leveraged products would 'turbocharge her returns' while the inverse ETF would provide a 'hedge' against any market downturn, creating what he described as a 'balanced approach.' He did not explain the daily reset mechanism, the compounding effects of holding leveraged products over extended periods, the concept of volatility decay, or the path dependency risk inherent in these products. No written materials explaining these risks were provided, and Fontenot did not document any discussion of how these products might perform differently from the underlying indices over a holding period longer than one trading day.

Fontenot did not consult with his firm's complex products principal before making the recommendations, despite the firm's written supervisory procedures requiring pre-approval for leveraged and inverse ETF transactions exceeding \$25,000 in accounts belonging to clients over age 65 with conservative risk profiles. He also did not set any stop-loss orders, establish any rebalancing triggers, or schedule periodic reviews of the positions.

Mrs. Delacroix held all three positions for approximately 18 months, from March 2021 through September 2022. During this period, significant market volatility occurred, including the sharp technology-sector selloff that began in late 2021 and continued through much of 2022. By September 2022, the TQQQ position had declined from \$45,000 to approximately \$14,200 - a loss of roughly 68%. The SSO position declined from \$40,000 to approximately \$27,500 - a loss of roughly 31%. The RWM inverse position, despite the broader market decline, had also lost value due to whipsaw volatility and the daily-reset compounding effect, falling from \$30,000 to approximately \$22,100 - a loss of roughly 26%. In total, Mrs. Delacroix's \$115,000 allocation had declined to approximately \$63,800, a combined loss of roughly \$51,200, or about 44.5% of the amount invested. During this same 18-month period, a standard (unleveraged) S&P 500 index fund would have declined approximately 6%.

When Mrs. Delacroix called in October 2022 alarmed by the losses reflected on her statement, Fontenot suggested she 'hold on a little longer because the market always comes back.' He did not recommend liquidating or reducing the positions. Mrs. Delacroix ultimately sold all three positions in December 2022

after consulting with her daughter, realizing total losses of approximately \$48,700 on the combined positions after a modest partial recovery in late 2022. She filed a complaint with the firm in January 2023, stating she was never told these products could lose money even when parts of the market went down, and that she never understood what 'daily resetting' meant.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Fontenot committed multiple serious violations of applicable regulatory standards in recommending leveraged and inverse ETFs to Margaret Delacroix.

****FINRA Rule 2111 (Suitability) Analysis:****

Under FINRA Rule 2111, a broker must have a reasonable basis for believing that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and experience. This rule encompasses three components:

1. ***Reasonable-Basis Suitability (Rule 2111.05(a)):*** The advisor must understand the products being recommended. Leveraged and inverse ETFs are daily-resetting instruments whose returns over periods longer than one day can deviate significantly - and unpredictably - from the leveraged or inverse multiple of the underlying index's return due to the mathematical effects of daily compounding, known as 'volatility decay' or 'path dependency.' FINRA Regulatory Notice 09-31 explicitly warned that leveraged and inverse ETFs 'typically are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' FINRA RN 22-08 reinforced supervisory expectations for complex products. An advisor who does not understand or cannot explain these mechanics lacks reasonable-basis suitability to recommend them.
2. ***Customer-Specific Suitability (Rule 2111.05(b)):*** Mrs. Delacroix's profile - age 71, retired, conservative risk tolerance, capital preservation objective, limited investment experience, 10+ year time horizon, and dependence on her portfolio for retirement income - is fundamentally incompatible with leveraged and inverse ETFs. These are among the most volatile and complex products available to retail investors. Allocating 30% of a conservative retiree's liquid savings to three daily-resetting leveraged/inverse products is a clear violation of customer-specific suitability.
3. ***Quantitative Suitability (Rule 2111.05(c)):*** While this component typically addresses excessive trading, the concentration of 30% of a conservative retiree's portfolio in complex, high-risk products effectively constitutes an unsuitable level of exposure.

****Regulation Best Interest (Rule 15l-1) Analysis:****

If Fontenot's firm was a broker-dealer subject to Reg BI (effective June 30, 2020), his recommendations also violated the Care Obligation under Rule 15l-1(a)(2)(ii), which requires that the broker-dealer exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, considering the customer's investment profile and the potential risks, rewards, and costs of the

recommendation. Recommending 3x and 2x leveraged daily-resetting ETFs and an inverse ETF to a 71-year-old conservative retiree, without explaining daily-reset mechanics, volatility decay, or path dependency, and without any plan for monitoring or rebalancing, cannot satisfy the Care Obligation. Additionally, the Disclosure Obligation was violated because Fontenot failed to provide material information about the products' risks.

****FINRA Regulatory Notice 09-31 & 12-03:****

FINRA RN 09-31 specifically states that 'inverse and leveraged ETFs that are reset daily typically are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' RN 12-03 reaffirmed heightened suitability obligations and emphasized that firms must train registered representatives to understand complex products before recommending them.

****FINRA Regulatory Notice 22-08 (Complex Products):****

RN 22-08 proposed enhanced sales practice requirements for complex products including leveraged/inverse ETFs. It reinforced expectations that firms implement robust supervisory procedures, including pre-approval requirements, enhanced training, and account-level restrictions for complex products sold to retail investors.

****Supervisory Failures:****

Fontenot bypassed his firm's own written supervisory procedures requiring pre-approval from a complex products principal for leveraged/inverse ETF transactions exceeding \$25,000 in accounts of clients over age 65 with conservative profiles. This is a violation of FINRA Rule 3110 (Supervision). The firm may also face liability under FINRA Rules 3110 and 3120 for failing to detect and prevent the unsuitable transactions.

****Additional Concerns:****

- Fontenot's characterization of the strategy as 'balanced' was misleading, as an inverse ETF does not function as a traditional hedge when held over extended periods due to daily reset mechanics.
- His October 2022 advice to 'hold on' compounded the harm by extending the holding period of unsuitable products.
- The absence of written disclosures, position monitoring, or rebalancing protocols further demonstrates a failure to meet applicable standards.

****Likely Regulatory Outcome:****

Fontenot faces potential disciplinary action including fines, suspension, and potential restitution. The firm faces supervisory failure charges. Mrs. Delacroix would likely prevail in a FINRA arbitration claim for unsuitable recommendations, with potential recovery of her approximately \$48,700 in realized losses plus interest. Her age, limited sophistication, conservative profile, and the advisor's failure to explain product mechanics or obtain required supervisory pre-approval create a compelling case for the customer.

Hypothetical 81

Topic: *high_fees_unsuitable* | Difficulty: *medium*

[NON-COM

Fact Pattern

Gerald Whitfield, age 64, is a recently retired public school principal in Akron, Ohio, with a \$410,000 IRA rollover from his state pension system, \$38,000 in a savings account, and Social Security income of \$2,450 per month. He told his financial advisor, Craig Denning, at Ridgepoint Wealth Partners, that he needed the IRA to provide supplemental retirement income, that he had a moderate risk tolerance, and that capital preservation was his primary concern because he had no other significant assets and his wife, age 62, was not yet eligible for Medicare. Whitfield had no prior experience with exchange-traded funds, options, or leveraged products. In March 2022, Denning recommended that Whitfield allocate \$165,000 - roughly 40% of his IRA - into three leveraged and inverse ETFs: \$70,000 into a 3x leveraged daily-resetting semiconductor ETF (expense ratio 0.95%), \$55,000 into a 2x leveraged daily-resetting S&P 500 ETF (expense ratio 0.91%), and \$40,000 into a -1x inverse daily-resetting Nasdaq-100 ETF (expense ratio 0.95%). Denning told Whitfield that these products would "turbocharge" his returns and that the inverse fund would act as a hedge against downturns. He did not explain that these products reset daily, that their returns over periods longer than one day could diverge substantially from the leveraged or inverse return of the underlying index due to compounding and volatility decay, or that expense ratios on these products were significantly higher than standard index ETFs charging 0.03%-0.10%. Denning did not provide any written risk disclosures specific to leveraged or inverse products. Whitfield held all three positions for fourteen months without any contact from Denning. During that period, the semiconductor sector experienced sharp intraday swings, and the 3x semiconductor ETF lost 47% of its value despite the underlying index declining only 11%. The 2x S&P 500 ETF underperformed a standard S&P 500 ETF by 19 percentage points due to volatility drag. The inverse Nasdaq ETF lost 22% even during a period when the Nasdaq was essentially flat, entirely attributable to daily reset compounding and the elevated expense ratio. In total, Whitfield's \$165,000 allocation declined to approximately \$97,500, a loss of \$67,500. The cumulative expense charges across the three funds over the holding period totaled approximately \$2,200, compared to roughly \$120 that would have been incurred holding comparable non-leveraged index ETFs. When Whitfield called Denning in May 2023 to ask why his account had lost so much, Denning said the market was unpredictable and suggested holding the positions longer to recover. Ridgepoint's compliance department had no specific supervisory procedures for reviewing leveraged or inverse ETF recommendations, and no automated alerts were in place to flag when retail customers held daily-resetting leveraged products beyond 30 days.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Denning violated applicable suitability and best interest standards in multiple respects.

1. ****Suitability under FINRA Rule 2111****: The recommendation to place 40% of a 64-year-old retiree's sole retirement account into leveraged and inverse daily-resetting ETFs fails all three components of the suitability obligation. (a) Reasonable-basis suitability: Denning does not appear to have understood the mechanics of daily-resetting leveraged products - specifically, that compounding causes significant return deviation (volatility decay or path dependency) over multi-day holding periods. FINRA Regulatory Notices 09-31 and 12-03 explicitly warn that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who plan to hold them for more than one trading session. (b) Customer-specific suitability: Whitfield's profile - moderate risk tolerance, capital preservation objective, retirement income

dependence, no experience with complex products - is fundamentally incompatible with 3x and 2x leveraged and -1x inverse ETFs. (c) Quantitative suitability: The high expense ratios (0.91%-0.95%) and the implicit cost of daily rebalancing (structural slippage) made it highly unlikely these positions would generate suitable risk-adjusted returns for a retiree with Whitfield's objectives.

2. ****Regulation Best Interest (Rule 15l-1)**:** As a broker-dealer representative making a recommendation to a retail customer, Denning was required to act in Whitfield's best interest at the time of the recommendation, considering reasonably available alternatives. The Care Obligation under Reg BI required Denning to understand the risks and costs of these products and to have a reasonable basis to believe they were in the customer's best interest. Recommending products with expense ratios nearly 10x higher than standard index alternatives, combined with embedded structural costs from daily rebalancing, without any corresponding benefit to Whitfield's stated objectives, violates this obligation. The Disclosure Obligation required Denning to disclose all material facts about the recommendation, including the daily-reset mechanism, the risk of volatility decay, and the dramatically higher cost structure. His failure to provide written or oral disclosure of these features is a clear violation.

3. ****FINRA RN 22-08 - Complex Products**:** FINRA's 2022 guidance on complex products specifically identifies leveraged and inverse ETFs as products requiring heightened supervision, enhanced disclosure, and a determination that the customer can understand and bear the risks. Denning made no such assessment and provided no tailored disclosure.

4. ****Supervisory Failures**:** Ridgepoint Wealth Partners' lack of any supervisory procedures for leveraged or inverse ETF recommendations, and the absence of automated alerts for long-term holding of daily-resetting products, constitutes a failure of supervision under FINRA Rule 3110. The firm had an obligation to establish written supervisory procedures reasonably designed to ensure compliance with suitability and best interest requirements, particularly for complex products.

5. ****Post-Recommendation Conduct**:** Denning's failure to monitor the positions for fourteen months and his advice to continue holding after a \$67,500 loss compounded the harm. While Reg BI does not impose a general ongoing monitoring obligation for broker-dealers, the recommendation to continue holding was itself a new implicit recommendation that was equally unsuitable.

****Likely Regulatory Outcome**:** Denning faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar. Ridgepoint faces supervisory deficiency charges and potential fines. Whitfield would have a strong arbitration claim for damages of at least \$67,500 plus the excess fees incurred. The fact pattern closely mirrors enforcement themes in FINRA's regulatory notices on leveraged ETFs and complex product supervision.

Hypothetical 82

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

[NON-COM

Margaret Ellison, age 71, is a retired elementary school teacher in Tucson, Arizona, living on a fixed income consisting of a \$2,400 monthly pension and \$1,850 in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held in an IRA that represents virtually all of her retirement assets. She has no other significant sources of income or wealth. On her new account form completed in March 2023, her stated investment objective was "income and capital preservation," her risk tolerance was marked as "low," and her investment time horizon was listed as "5-10 years." She had no prior experience with options, futures, margin accounts, or leveraged products. Her investment experience was limited to certificates of deposit and a target-date retirement fund offered through her former employer's 403(b) plan.

Her financial advisor, Derek Montoya, age 34, had been with his broker-dealer for three years. In April 2023, Montoya recommended that Mrs. Ellison allocate \$85,000 - roughly 25% of her IRA - into a 3x leveraged bull semiconductor ETF (ticker: SOXL), explaining that artificial intelligence was "the investment opportunity of a lifetime" and that semiconductor stocks were poised for enormous gains. He told her the fund would "triple the returns of the semiconductor sector" and described it as a way to "turbocharge" her retirement portfolio. He did not explain the daily resetting mechanism of the fund, the concept of volatility decay, or the fact that the product was designed for short-term tactical trading rather than long-term holding. No written materials or risk disclosures specific to leveraged ETFs were provided to Mrs. Ellison.

Montoya did not set any stop-loss orders or establish a monitoring schedule for the position. He did not discuss an exit strategy or explain under what conditions the position should be liquidated. Between April 2023 and February 2024, the semiconductor sector experienced significant volatility, including a drawdown of approximately 18% over a six-week period during the summer of 2023 before partially recovering. Due to the compounding effects of daily resetting during this volatile period, SOXL's cumulative return substantially underperformed three times the sector's cumulative return. By February 2024, when Mrs. Ellison called Montoya to express concern after reviewing her account statement, her \$85,000 position in SOXL had declined to approximately \$54,000 - a loss of roughly \$31,000, or 36%. The underlying semiconductor index over the same period had declined only about 7%. Mrs. Ellison was distraught and told Montoya she could not afford to lose that money. Montoya advised her to "hold on and wait for a recovery." He did not recommend liquidating the position or reallocating to investments consistent with her stated objectives. The firm's compliance department had no record of any pre-trade review or supervisory approval for the leveraged ETF recommendation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Montoya violated applicable suitability and best interest standards in multiple respects.

****Applicable Regulatory Framework:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. This rule encompasses three obligations: reasonable-basis suitability (the advisor must understand the product), customer-specific suitability (the recommendation must fit the specific customer),

and quantitative suitability (excessive trading).

Under Regulation Best Interest (SEC Rule 15l-1), broker-dealers and their associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing their own interests ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, including understanding the risks, rewards, and costs of the product; having a reasonable basis to believe the recommendation is in the customer's best interest considering the customer's investment profile; and having a reasonable basis to believe that a series of recommended transactions is not excessive.

FINRA Regulatory Notices 09-31 and 22-08 specifically address leveraged and inverse ETFs and complex products. RN 09-31 warned that leveraged ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding and volatility decay (also called path dependency). RN 22-08 further reinforced heightened obligations for complex products, requiring firms to establish a reasonable basis for recommending complex products to retail investors and to implement robust supervisory systems.

****Specific Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Mrs. Ellison was a 71-year-old retiree with low risk tolerance, a capital preservation objective, no experience with complex products, and a retirement portfolio that represented her entire financial safety net. A 3x leveraged ETF - among the most volatile and risky exchange-traded products available - is fundamentally incompatible with her investment profile. Allocating 25% of her IRA to such a product dramatically increased portfolio risk far beyond what was appropriate.
2. ****Reasonable-Basis Suitability Violation:**** Montoya's description of SOXL as a way to "triple the returns" without disclosing the daily-reset mechanism, volatility decay, and the product's design as a short-term trading instrument suggests he either did not understand the product himself or deliberately omitted material information. Under both Rule 2111 and Reg BI, the advisor must understand the product's risks before recommending it.
3. ****Disclosure Failures / Reg BI Disclosure Obligation:**** Montoya failed to provide any written risk disclosures about leveraged ETFs. He did not explain path dependency, the compounding effects of daily resetting, or the risk that the product could significantly underperform the expected leveraged return of the underlying index over holding periods longer than one day. This omission is particularly egregious given Mrs. Ellison's lack of investment sophistication.
4. ****Failure to Monitor and Establish an Exit Strategy:**** FINRA guidance on leveraged ETFs (RN 09-31) specifically emphasizes that these products require active monitoring and are designed for short-term holding periods. Montoya established no monitoring schedule, no stop-loss, and no exit strategy. When the client expressed distress about losses, he compounded the problem by advising her to continue holding - further inconsistent with the product's intended use.

5. ****Supervisory Failures (FINRA Rules 3110, 3120):**** The firm's compliance department had no record of pre-trade review or supervisory approval for the leveraged ETF recommendation. Under RN 22-08, firms are expected to implement heightened supervision for complex product recommendations, including pre-approval mechanisms, concentration limits, and post-trade surveillance. The absence of any supervisory involvement suggests systemic compliance failures at the firm level.

****Likely Regulatory Outcome:****

Montoya would likely face enforcement action for recommending an unsuitable complex product. Potential sanctions include fines, disgorgement of commissions, suspension or bar from the industry, and restitution to the customer. The firm would likely face separate supervisory failure charges. Mrs. Ellison's approximately \$31,000 loss would likely be recoverable through arbitration or a regulatory restitution order. The concentration of 25% of a retiree's IRA in a single 3x leveraged sector ETF, combined with the complete absence of disclosure and monitoring, represents a clear-cut suitability and best interest violation.

Hypothetical 83

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Kovacs, age 71, is a retired elementary school teacher living in Scranton, Pennsylvania. She receives \$2,850 per month from her state pension and \$1,400 per month from Social Security. Her total liquid savings amount to approximately \$215,000, held in an IRA that she relies upon to supplement her fixed income and cover medical expenses. She has no other significant assets aside from her home, which is paid off. Mrs. Kovacs has no prior experience with options, futures, or any leveraged investment products. Her account application, completed in March 2021, lists her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' her investment experience as 'limited - CDs, money markets, and one balanced mutual fund,' and her time horizon as '1-5 years.' She told her advisor, Daniel Whitfield, that her primary concern was not outliving her money and that she could not afford to lose a significant portion of her savings.

In April 2021, Whitfield recommended that Mrs. Kovacs invest \$95,000 - roughly 44% of her liquid net worth - into two exchange-traded products: \$55,000 into a 3x leveraged daily-resetting ETF tracking the Nasdaq-100 index, and \$40,000 into a 2x leveraged daily-resetting ETF tracking the S&P 500 Financial sector. Whitfield told Mrs. Kovacs that these funds were 'like regular index funds but they grow faster,' and that she should 'hold them for at least a year or two to really see the gains.' He did not explain the daily reset mechanism, the concept of volatility decay, or the fact that these products are designed for short-term tactical trading and can diverge significantly from their benchmark's cumulative return over longer holding periods. He did not provide her with the ETF prospectuses or any supplemental educational material about leveraged products.

Whitfield's branch manager, Sandra Liu, approved the trades without conducting any additional review or flagging the transactions as involving complex products. The firm had no specialized approval process,

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enhanced supervision protocol, or required customer attestation for leveraged or inverse ETF purchases.

Mrs. Kovacs held both positions for fourteen months. During that period, the Nasdaq-100 experienced significant intraday and weekly volatility, including a sharp drawdown in early 2022. By June 2022, despite the Nasdaq-100 being down approximately 25% from her purchase date, the 3x leveraged ETF had lost approximately 62% of its value, reducing her \$55,000 position to roughly \$20,900. The 2x leveraged financial sector ETF, affected by rising interest rate volatility, lost approximately 38%, reducing her \$40,000 position to roughly \$24,800. In total, Mrs. Kovacs lost approximately \$89,300 - over 41% of her total retirement savings. When she called Whitfield in distress, he suggested she 'hold on a little longer because it will bounce back.' She eventually liquidated both positions in August 2022 at a combined loss of \$84,200 after a slight partial recovery.

Mrs. Kovacs filed a complaint with the firm alleging that the investment was wholly inappropriate for her and that she was never told the products could lose far more than the underlying index.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Daniel Whitfield violated applicable suitability and best interest standards in multiple respects, and the firm failed in its supervisory obligations regarding complex products.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. This rule encompasses three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

- ***Reasonable-Basis Suitability:** Whitfield failed to understand the products he recommended. Leveraged ETFs that reset daily are explicitly designed for short-term, typically single-day, holding periods. FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs 'are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' Whitfield's recommendation that Mrs. Kovacs hold these products for 'at least a year or two' demonstrates a fundamental misunderstanding of path dependency and volatility decay - the mathematical phenomenon by which daily-resetting leveraged products can lose substantial value even when the underlying index is flat or only modestly down over extended periods. A 3x leveraged product tracking an index that falls 25% will not simply lose 75%; compounding losses from daily resets in volatile markets cause far greater erosion, as demonstrated by the 62% loss here.

- ***Customer-Specific Suitability:** Mrs. Kovacs's profile - a 71-year-old retiree with conservative risk tolerance, income/preservation objectives, limited investment experience, a 1-5 year time horizon, and dependence on her IRA for living expenses - is fundamentally incompatible with concentrated leveraged ETF positions. Allocating 44% of her liquid net worth to 2x and 3x leveraged daily-resetting products exposes her to catastrophic, unrecoverable losses that directly contradict her stated objectives. This is a textbook customer-specific suitability violation.

****Regulation Best Interest (Reg BI) - Rule 15l-1 under the Securities Exchange Act:****

For recommendations made after June 30, 2020, broker-dealers must comply with Reg BI's Care Obligation, which requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The advisor must have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the advisor's interest ahead of the customer's. Whitfield's recommendation fails all prongs of the Care Obligation. The recommendation of highly volatile, daily-resetting leveraged ETFs to a conservative, elderly, unsophisticated retiree who cannot absorb losses is plainly not in her best interest. Additionally, Reg BI's Disclosure Obligation required Whitfield to disclose material facts about the recommendation, including the risks of leveraged products, daily reset mechanics, and the potential for losses exceeding the underlying index decline. His characterization of these products as 'like regular index funds but they grow faster' is materially misleading.

****FINRA Regulatory Notice 22-08 - Complex Products Supervision:****

FINRA RN 22-08 reinforced and expanded upon earlier guidance (including RN 09-31 and RN 12-03) emphasizing that firms must implement robust supervisory systems for complex products, including leveraged and inverse ETFs. Proposed measures include requiring customers to demonstrate an understanding of product mechanics before purchasing, instituting specialized approval processes, and ensuring heightened supervisory review. Sandra Liu's perfunctory approval of the trades - without any enhanced review, risk assessment, or verification that Mrs. Kovacs understood the products - constitutes a supervisory failure under FINRA Rule 3110, which requires firms to establish and maintain a system to supervise the activities of each associated person that is reasonably designed to achieve compliance.

****Specific Violations Summary:****

1. FINRA Rule 2111 - Customer-specific and reasonable-basis suitability violations for recommending daily-resetting leveraged ETFs for long-term holding by a conservative, elderly, unsophisticated retail investor.
2. Reg BI Rule 15l-1 - Failure to satisfy the Care Obligation (recommendation not in client's best interest) and Disclosure Obligation (misleading characterization of product risks).
3. FINRA Rule 3110 - Firm supervisory failure for lacking any enhanced review protocol for complex product transactions.
4. Guidance from FINRA RN 09-31 - Direct contravention of explicit warnings that leveraged ETFs are generally unsuitable for long-term holding by retail investors.

****Likely Regulatory Outcome:****

Whitfield would likely face sanctions including fines, disgorgement of commissions, and a potential suspension or bar. The firm would face supervisory deficiency findings and potential fines for failing to implement adequate complex product oversight. In an arbitration or enforcement proceeding, Mrs. Kovacs would have strong grounds for recovery of her approximately \$84,200 in losses, plus interest and costs. The combination of an unsuitable product, an unsuitable customer, misleading disclosures, and absent supervision presents a compelling case of regulatory violations.

Hypothetical 84

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Ellison, age 71, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$38,000 from her pension and Social Security, total liquid savings of approximately \$210,000 in an IRA rollover account, and an additional \$15,000 in a checking account. She owns her home outright. Her stated investment objectives on her new account form, completed in March 2021, were 'income and preservation of capital,' and her risk tolerance was marked as 'conservative.' She had no prior experience with options, futures, margin accounts, or exchange-traded products beyond a handful of blue-chip stocks and a balanced mutual fund she had held for over fifteen years. She told her financial advisor, Craig Dempsey, at their first meeting that she wanted her retirement savings 'to last' and that she could not afford to lose a significant portion of her nest egg.

In April 2021, Dempsey recommended that Mrs. Ellison invest \$95,000 - roughly 45% of her IRA - into the ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Dempsey told her the fund would 'triple her gains on tech stocks' and described it as a way to 'supercharge growth while the market is hot.' He did not explain that the product resets daily, that compounding effects over time can cause significant deviation from the expected 3x return of the underlying index, or that the fund's prospectus explicitly warns it is not intended to be held for periods longer than a single trading day. He did not discuss volatility decay, margin risk embedded in the leverage, or the product's 0.95% expense ratio. Mrs. Ellison was not given the fund's prospectus until after the trade was executed and the confirmation was mailed.

Dempsey's branch manager, Lisa Hoang, approved the trade the same day it was entered. The firm's internal product catalog flagged TQQQ as a 'complex/high-risk product' requiring enhanced review, but Hoang later acknowledged she did not speak with Mrs. Ellison or review her account profile before signing off.

Mrs. Ellison held the position for fourteen months. During that period, the Nasdaq-100 experienced substantial volatility, declining roughly 25% from its peak by June 2022. Due to the daily-reset leveraging mechanism and compounding losses during volatile periods, Mrs. Ellison's \$95,000 position declined to approximately \$31,400 - a loss of about \$63,600, or 67%. By contrast, a hypothetical unleveraged Nasdaq-100 index fund purchased at the same time would have lost approximately 22% over the same period. Mrs. Ellison called Dempsey several times during the drawdown asking what was happening; Dempsey repeatedly advised her to 'hold on' and that 'it will bounce back.' He never recommended liquidating the position or rebalancing. When Mrs. Ellison's daughter, a CPA, reviewed the account in June 2022, she immediately flagged the holding and helped her mother sell the position and file a complaint.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, financial advisor Craig Dempsey violated multiple applicable regulatory standards in recommending

and maintaining the TQQQ position for Margaret Ellison.

****Regulation Best Interest (Reg BI) - Rule 15l-1 under the Securities Exchange Act:****

Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation, considering the retail customer's investment profile - including age, financial situation, investment objectives, risk tolerance, and investment time horizon. Mrs. Ellison was a 71-year-old retired teacher on a fixed income with conservative risk tolerance and capital preservation objectives. Recommending that she place 45% of her retirement assets into a 3x daily-leveraged ETF is fundamentally inconsistent with her stated profile. Dempsey failed the Care Obligation's requirement that the recommendation be in the customer's best interest and that the advisor not place his own interests ahead of the customer's.

Under Reg BI's Disclosure Obligation, Dempsey was required to disclose material facts about the recommendation, including risks and conflicts. He failed to explain daily resetting, path dependency, volatility decay, the product's unsuitability for long-term holding, or the embedded costs. Providing the prospectus only after trade execution does not satisfy this obligation.

****FINRA Rule 2111 (Suitability):****

The recommendation fails all three components of the suitability framework. (1) Reasonable-basis suitability: Dempsey appears not to have understood the mechanics of the product himself, given his advice to 'hold on' during a drawdown in a daily-resetting leveraged ETF - a strategy the product is explicitly not designed for. (2) Customer-specific suitability: A 3x leveraged Nasdaq ETF is wholly unsuitable for a conservative, income-oriented 71-year-old retiree with limited investment experience and no ability to absorb significant losses. (3) Quantitative suitability: While this is more commonly applied to excessive trading, concentrating 45% of a conservative retiree's IRA in a single speculative leveraged product raises similar concerns about excessive risk concentration.

****FINRA Regulatory Notices 09-31 and 22-08 (Complex Products Guidance):****

FINRA RN 09-31 specifically warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, especially in volatile markets. The notice emphasizes that these products can produce returns that differ dramatically from the leveraged multiple of the index's return over longer periods due to the mathematical effects of daily compounding (volatility decay or path dependency). Dempsey's recommendation to buy and hold TQQQ for over a year directly contravenes this guidance.

FINRA RN 22-08 reinforces and expands upon these concerns by proposing enhanced sales practice obligations for complex products, including requirements for firms to (a) exercise due diligence to understand product risks before recommending them, (b) implement reasonably designed policies to identify and approve complex products, (c) ensure that associated persons have a reasonable basis to believe the customer can evaluate the risks, and (d) provide targeted disclosure. None of these steps were adequately performed here.

****Supervisory Failures:****

Branch manager Lisa Hoang's approval of the trade without reviewing Mrs. Ellison's profile or contacting

the customer constitutes a failure of supervision. The firm's own internal controls flagged TQQQ as complex/high-risk requiring enhanced review. Hoang's rubber-stamp approval undermines the firm's supervisory framework and may expose the firm to liability under FINRA Rules 3110 (Supervision) and 3120 (Supervisory Control System).

****Path Dependency and Volatility Decay:****

The outcome illustrates the precise risk warned about in regulatory guidance. The Nasdaq-100 declined approximately 22-25% peak-to-trough, but Mrs. Ellison's 3x leveraged position lost 67% - far worse than the naively expected 3x loss of ~66-75% - because of the compounding effect of daily resets during a period of high volatility. The daily-reset mechanism causes the product to lose more in volatile, declining markets than a simple 3x multiplier would suggest, and it does not recover proportionally when the index rebounds. This is exactly the path-dependency risk that should have been disclosed and that made this product categorically unsuitable for a long-term, conservative holder.

****Likely Regulatory Outcome:****

Dempsey would likely face enforcement action for unsuitable recommendations and failure to disclose material risks. The firm would likely face sanctions for supervisory failures. In arbitration or litigation, Mrs. Ellison would have strong claims for compensatory damages of approximately \$63,600, plus potential interest and costs. Given the egregiousness of the mismatch between customer profile and product, punitive damages or enhanced sanctions are also possible.

Hypothetical 85

Topic: *leveraged_etf_unsuitable* | Difficulty: *hard*

Fact Pattern

Margaret Donovan, age 71, is a retired elementary school teacher in Tucson, Arizona, with a fixed annual income of \$42,000 from her pension and Social Security. She has a total liquid net worth of approximately \$310,000, the vast majority of which is held in a traditional IRA that she depends on for supplemental retirement income and eventual required minimum distributions. She has described her investment objective as 'income and capital preservation' on every account form she has completed since opening her brokerage account in 2016. Her risk tolerance is documented as 'conservative.' Margaret has no prior experience trading options, futures, or complex exchange-traded products. She holds a diversified portfolio of investment-grade bond funds and blue-chip dividend stocks.

In January 2022, Margaret's financial advisor, Kyle Brannigan, age 34, contacted her after attending an internal product training session on leveraged exchange-traded funds. During a phone call, Kyle told Margaret that he had identified a way to 'turbocharge' her portfolio returns without taking on much additional risk. He recommended that she allocate \$95,000-roughly 30% of her IRA-into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Kyle explained that technology stocks had strong long-term track records and that a leveraged position would allow Margaret to 'catch up' on gains she had missed during the prior bull market. He did not explain that TQQQ resets its leverage daily, nor did he discuss the concept of volatility decay or path dependency. He did not mention that the fund's

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prospectus explicitly states it is designed for short-term trading and is not intended to be held for periods longer than one trading day. Kyle also did not document any analysis of why a 3x leveraged Nasdaq product was appropriate for Margaret's stated objectives, risk tolerance, or time horizon.

Margaret agreed to the recommendation based on Kyle's assurance. The \$95,000 was invested in TQQQ on January 18, 2022. Over the following eleven months, the Nasdaq-100 experienced significant volatility, declining sharply through mid-June 2022, partially recovering, and then declining again through the fall. Due to the compounding effects of daily resetting leverage during this volatile period, by December 15, 2022, Margaret's TQQQ position had declined to approximately \$31,400—a loss of roughly \$63,600, or 67% of her original investment. Meanwhile, the underlying Nasdaq-100 Index had declined approximately 29% over the same period. The additional losses beyond the index decline were attributable to the mathematical effects of daily leverage compounding in a volatile, downward-trending market.

Kyle never contacted Margaret during this period to recommend closing or reducing the position. No stop-loss order or monitoring protocol was established. Margaret discovered the extent of the loss only when she reviewed her year-end account statement in late December 2022 and called the firm in distress. She subsequently filed a written complaint with the brokerage firm, stating that she was never told the product could lose money at more than twice the rate of the underlying index and that the investment was completely inconsistent with her retirement income needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kyle Brannigan committed multiple serious violations of applicable regulatory standards.

1. ****Reg BI (Rule 15l-1) - Care Obligation:**** Under Regulation Best Interest, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. The recommendation must be in the retail customer's best interest and must not place the financial professional's interest ahead of the customer's. The Care Obligation requires that the advisor consider the investment's risks, rewards, and costs in light of the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and time horizon. Margaret is a 71-year-old retiree with conservative risk tolerance, income and capital preservation objectives, a \$42,000 fixed income, and dependence on her \$310,000 IRA for retirement. A 3x daily-leveraged ETF—which is explicitly designed for short-term trading, carries extreme volatility risk, and is susceptible to devastating losses from path dependency and volatility decay—is fundamentally incompatible with this profile. The recommendation failed every element of the Care Obligation.

2. ****FINRA Rule 2111 - Suitability (Customer-Specific and Reasonable-Basis):**** FINRA Rule 2111 requires that a recommended transaction or investment strategy be suitable for the specific customer based on that customer's investment profile. On a customer-specific basis, allocating 30% of a conservative retiree's IRA into a 3x leveraged equity ETF is unsuitable. On a reasonable-basis level, Kyle appears to have lacked a fundamental understanding of how TQQQ works. He failed to understand daily resetting leverage, volatility decay, and path dependency—core mechanics that make these products inappropriate for long-term holding. FINRA Regulatory Notice 09-31 specifically warns that leveraged and inverse ETFs that reset daily are

typically unsuitable for retail investors who plan to hold them for longer than one trading session, because daily compounding causes returns to deviate significantly from the stated multiple of the underlying index over longer periods. FINRA Regulatory Notice 12-03 further requires heightened supervision of complex products and mandates that firms ensure associated persons understand the products before recommending them.

3. ****Failure to Disclose Material Risks:**** Kyle did not explain the daily-reset mechanism, volatility decay, or the prospectus warning that TQQQ is not intended for holding periods beyond one day. This constitutes a failure to provide full and fair disclosure of material risks, violating both Reg BI's Disclosure Obligation and general anti-fraud principles.

4. ****Failure to Monitor and Supervise:**** FINRA Regulatory Notice 22-08 emphasizes the need for firms to have robust supervisory systems for complex products, including leveraged and inverse ETFs. Kyle established no monitoring protocol, no stop-loss, and made no follow-up contact during an eleven-month period of extreme volatility and mounting losses. The firm's supervisory system also appears deficient for allowing this trade to be executed in a conservative retiree's IRA without triggering a review.

5. ****Concentration Risk:**** Placing 30% of the customer's entire liquid retirement assets in a single 3x leveraged sector-specific ETF creates dangerous concentration that is inconsistent with capital preservation and income objectives.

****Outcome Analysis:**** Margaret lost approximately \$63,600 (67%) on the position, while the underlying index lost only 29%-the additional 38 percentage points of loss are directly attributable to volatility decay and daily compounding inherent in leveraged ETFs held over extended periods. This is the precise harm that regulators have repeatedly identified and warned against.

****Likely Regulatory Outcome:**** Kyle and his firm face significant liability. Probable outcomes include customer arbitration damages for the full loss plus interest, potential FINRA enforcement action resulting in fines, suspension, and supervisory deficiency findings against the firm. The firm may also face a disgorgement of commissions or advisory fees earned on the transaction.

Hypothetical 86

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

Gerald Hoffman, age 61, is a retired municipal bus driver living in Dayton, Ohio. He receives a pension of \$3,200 per month and Social Security payments of \$1,850 per month. His total liquid savings amount to approximately \$285,000, held in an IRA rollover account at a regional broker-dealer. Gerald has no prior experience trading individual stocks, options, or exchange-traded products; his previous investments consisted solely of a target-date retirement fund offered through his employer's 403(b) plan. On his new account form, Gerald checked 'conservative' for risk tolerance and listed his investment objective as 'income and capital preservation.' He told his advisor, Marcus Crane, that he wanted his savings to last

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through retirement and that he could not afford to lose principal.

In March 2023, Marcus recommended that Gerald allocate \$85,000-approximately 30% of his IRA-into the ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index, and \$40,000 into the Direxion Daily Semiconductor Bull 3x Shares (SOXL). Marcus told Gerald these funds would 'supercharge his growth' and that the technology sector was 'a sure thing for the next couple of years.' Marcus did not explain the daily reset mechanism, the concept of volatility decay, or the fact that these products are designed to achieve their stated leverage ratio on a single-day basis only. He did not ask Gerald about his understanding of leveraged products, nor did he update the account documentation to reflect a higher risk tolerance or speculative objective. No account update form or risk disclosure was signed by Gerald.

Over the following ten months, the Nasdaq-100 experienced significant intraday volatility, including multiple drawdowns of 5% or more. By January 2024, despite the Nasdaq-100 being roughly flat over the period, Gerald's TQQQ position had declined to \$58,400 (a loss of approximately \$26,600 or 31%) and his SOXL position had fallen to \$24,800 (a loss of \$15,200 or 38%). Combined, Gerald lost \$41,800-roughly 14.7% of his total retirement savings. When Gerald called Marcus to ask why his account was down so much when 'the market hadn't really moved,' Marcus said the losses were 'just temporary' and recommended Gerald hold the positions. Gerald filed a complaint with the firm in February 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Crane committed multiple violations related to the failure to know his customer and the recommendation of unsuitable leveraged exchange-traded products.

****Applicable Standards and Violations:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. The rule encompasses three obligations: (a) reasonable-basis suitability, (b) customer-specific suitability, and (c) quantitative suitability. Marcus violated both reasonable-basis and customer-specific suitability.

- ***Reasonable-Basis Suitability:** Marcus failed to understand the products he recommended. FINRA Regulatory Notices 09-31 and 12-03 specifically warn that leveraged and inverse ETFs that reset daily are complex products whose performance over periods longer than one trading day can differ significantly-and sometimes dramatically-from the stated multiple of the underlying index's return over the same period. This is due to the mathematical effect of daily compounding (often called 'volatility decay' or 'path dependency'). A financial professional recommending these products must understand these mechanics. Marcus's failure to explain or apparently even comprehend the daily reset feature and its implications demonstrates a lack of reasonable-basis suitability.

- ***Customer-Specific Suitability:** Gerald's documented profile-conservative risk tolerance, income and

capital preservation objectives, no experience with complex products, age 61, retired, and dependent on a fixed pension and Social Security-makes him a textbook unsuitable candidate for 3x leveraged ETFs. Allocating 44% of his liquid retirement savings (\$125,000 of \$285,000) to two of the most volatile exchange-traded products available is fundamentally inconsistent with every element of his investment profile.

2. ****Regulation Best Interest (Reg BI), Rule 15l-1:**** Under the Care Obligation of Reg BI, a broker-dealer must exercise reasonable diligence, care, and skill when making recommendations to retail customers. The advisor must understand the potential risks, rewards, and costs of a recommendation and must have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. Marcus's recommendation of daily-resetting 3x leveraged ETFs to a conservative, inexperienced retiree for long-term holding clearly fails the Care Obligation. Additionally, the Disclosure Obligation requires that material facts about the recommendation be disclosed; Marcus failed to disclose the daily reset mechanism, volatility decay, and the fact that these products are designed for short-term trading only.

3. ****FINRA Regulatory Notice 09-31:**** This notice specifically warns that leveraged and inverse ETFs that are reset daily typically are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets. It states that due to the effects of compounding, the performance of these products over longer periods can differ significantly from the performance of their underlying index or benchmark during the same period. The notice places affirmative obligations on firms and advisors to ensure customers understand these risks before purchasing.

4. ****FINRA Regulatory Notice 22-08 (Complex Products):**** This notice reinforces heightened obligations for complex products, including leveraged and inverse ETFs, requiring firms to reasonably ensure that associated persons understand the characteristics and risks of complex products before recommending them and that recommendations are consistent with customers' investment profiles.

5. ****Failure to Update Customer Account Information:**** Marcus did not update Gerald's account documentation to reflect any change in risk tolerance or investment objectives, meaning the recommendations were made in direct contradiction to the account records. This compounds the suitability failure and raises additional supervisory concerns.

6. ****Misleading Statements:**** Marcus's characterization of the tech sector as 'a sure thing' and his post-loss advice that the decline was 'just temporary' constitute misleading communications. Telling a customer that any sector is a 'sure thing' violates the prohibition against making exaggerated or unwarranted claims.

****Likely Regulatory Outcome:**** Marcus would face potential sanctions including fines, disgorgement of commissions, suspension or bar from the industry, and the firm could face supervisory failure charges if it lacked adequate procedures to flag concentrated leveraged ETF positions in conservative retirement accounts. Gerald would have strong grounds for recovery through arbitration, given the clear mismatch between his profile and the products recommended, the lack of disclosure, and the documented losses of \$41,800.

Hypothetical 87

Topic: *high_fees_unsuitable* | Difficulty: *hard*

Fact Pattern

Margaret Ellison, age 71, is a retired elementary school teacher living in Tucson, Arizona, with an annual pension income of \$42,000 and Social Security benefits of \$21,600. Her total liquid investment portfolio at the time of the events was approximately \$385,000, held in an IRA rollover account. She described her investment objective as "income with capital preservation" on her new account form and indicated a "conservative" risk tolerance. She had no prior experience with options, futures, margin accounts, or leveraged products. Her prior holdings consisted entirely of a balanced mutual fund, a short-term bond fund, and certificates of deposit.

In March 2023, her financial advisor, Derek Simmons, who had been registered for eleven years, recommended that Mrs. Ellison reallocate \$115,000 - roughly 30% of her portfolio - into a combination of three leveraged and inverse exchange-traded products. Specifically, he placed \$45,000 into a 3x leveraged daily-resetting ETF tracking the S&P 500 (with an expense ratio of 0.93%), \$40,000 into a 2x leveraged daily-resetting semiconductor sector ETF (expense ratio 0.94%), and \$30,000 into a -1x inverse daily-resetting ETF tracking the Nasdaq-100 (expense ratio 0.88%). Simmons told Mrs. Ellison these products would "turbocharge her returns" and that the inverse position would serve as a "hedge" to protect her portfolio during downturns.

Simmons did not provide Mrs. Ellison with any written materials explaining daily resetting mechanics, compounding effects, volatility decay, or the fact that these products are generally designed for short-term or single-day holding periods. He did not discuss the elevated expense ratios relative to her existing low-cost index holdings, nor did he explain that the total annual cost drag from these three positions - between management fees, swap spreads, and daily rebalancing friction - could amount to well over \$2,000 per year in addition to any losses from volatility decay. No documentation in the file reflects that a conversation about these risks occurred.

Mrs. Ellison held these positions for fourteen months without any further contact from Simmons. By May 2024, due to market volatility and the path-dependent compounding effects inherent in daily-resetting leveraged products, her \$45,000 position in the 3x S&P 500 ETF had grown to only \$47,200 despite the S&P 500 itself gaining approximately 22% over the same period (which would have implied far greater gains from a 3x product in a hypothetical straight-line scenario). The 2x semiconductor ETF position had declined from \$40,000 to \$31,400 after a period of sharp sector swings. The inverse Nasdaq-100 ETF had fallen from \$30,000 to \$16,800, as the Nasdaq-100 rose significantly over the period. Her combined \$115,000 allocation was now worth \$95,400 - a loss of \$19,600, or approximately 17%. Meanwhile, the expense ratios and hidden costs of the leveraged products had consumed an estimated \$2,850 in fees over the fourteen months.

Mrs. Ellison's daughter, a CPA, reviewed her mother's account statements in June 2024 and was alarmed by both the nature of the products and the losses. She contacted Simmons's branch office to complain. The branch manager acknowledged that the firm had issued internal guidance in 2022 reminding advisors that leveraged and inverse ETFs require heightened supervisory review and are generally inappropriate for

buy-and-hold retirement accounts, but a review of the firm's records showed that no supervisory principal had reviewed or approved Simmons's recommendation before or after the trades were placed. The firm's surveillance system had flagged the trades as requiring principal review, but the alerts had been cleared without documented action.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons violated applicable suitability and best interest standards on multiple grounds, and the firm failed in its supervisory obligations.

****1. Customer-Specific Suitability (FINRA Rule 2111.05(a)):****

Mrs. Ellison's documented investment profile - age 71, retired, conservative risk tolerance, income-with-preservation objective, no experience with complex products, and reliance on her portfolio for retirement security - is fundamentally incompatible with leveraged and inverse daily-resetting ETFs. FINRA Regulatory Notice 09-31 explicitly warned that leveraged and inverse ETFs that reset daily are "typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets." FINRA RN 12-03 reinforced that heightened suitability obligations apply to complex products, requiring the advisor to perform reasonable diligence to understand the product and to have a reasonable basis to believe the customer can understand and bear the risks. A 3x leveraged equity ETF, a 2x leveraged sector ETF, and an inverse index ETF are all classified as complex products under these standards. Allocating 30% of a conservative retiree's IRA to such instruments fails customer-specific suitability under Rule 2111.

****2. Reasonable-Basis Suitability:****

The advisor's statement that the inverse ETF would serve as a long-term "hedge" suggests he did not adequately understand the product's daily-resetting mechanism and the effects of volatility decay and path dependency. An inverse ETF held over 14 months in a rising market will almost certainly suffer substantial losses unrelated to the simple inverse of the index's cumulative return. This mischaracterization indicates a failure of reasonable-basis suitability - the advisor must understand the product before recommending it to anyone.

****3. Regulation Best Interest (Rule 15l-1 - Care Obligation):****

Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the product's risks, rewards, and costs. Recommending high-cost, daily-resetting leveraged products for long-term holding in a conservative retiree's IRA, without ensuring the customer understood the compounding mechanics and elevated fees, constitutes a clear violation. The cost component is also significant: Reg BI requires consideration of reasonably available alternatives. Low-cost broad index funds would have been plainly superior for this client's stated objectives, and the \$2,850 in annual product costs (plus volatility decay losses) were excessive relative to alternatives.

****4. Disclosure Failures:****

FINRA RN 22-08 reinforces that firms and advisors must ensure customers receive clear, meaningful

disclosure about the risks and costs of complex products, and that the firm's written supervisory procedures address complex product recommendations. Simmons provided no written risk disclosures, no explanation of daily resetting, and no discussion of the implications of holding these products beyond a single trading day.

****5. Supervisory Failures (FINRA Rules 3110, 3120):****

The firm's own internal policies required principal review of leveraged and inverse ETF trades. The surveillance system flagged the transactions, but no supervisor documented a review or approval. Clearing alerts without substantive review is a well-established supervisory failure. FINRA RN 09-31 and RN 12-03 both emphasize that firms must implement reasonable supervisory systems specifically tailored to complex products, including post-trade surveillance for holding periods. The branch manager's admission that internal guidance existed but was not followed further evidences a systemic supervisory breakdown.

****Likely Regulatory Outcome:****

Simmons would likely face individual sanctions including fines and a potential suspension. The firm would likely face a supervisory deficiency action under FINRA Rules 3110 and 3120, with potential fines and a requirement to enhance its complex products supervision framework. Mrs. Ellison would likely recover her \$19,600 in losses plus the approximately \$2,850 in excess fees through arbitration, and potentially additional consequential damages if she can demonstrate opportunity cost versus appropriate conservative investments.

Hypothetical 88

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Owens, age 78, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid savings amount to approximately \$340,000, held in a brokerage account that represents the vast majority of her net worth outside of her home, which is valued at roughly \$210,000 and fully paid off. Margaret's stated investment objectives on her account opening documents are income generation and capital preservation, and her risk tolerance is listed as conservative. She has no prior experience with options, futures, derivatives, or leveraged products, and her investment knowledge is described as 'limited' in her account profile. Margaret's husband passed away in 2021, and she relies on her portfolio to supplement her fixed income and cover medical expenses, which have been increasing due to treatment for early-stage macular degeneration.

In March 2023, Margaret's financial advisor, Craig Delmonico, age 41, recommended that she invest \$95,000 - approximately 28% of her liquid portfolio - into a 3x leveraged bull semiconductor ETF (ticker: SOXL). Craig told Margaret that semiconductors were 'the future' and that the leveraged product would help her 'catch up' on returns she had missed during the prior year's market downturn. He described the ETF as a 'turbo-charged technology fund' but did not explain the daily reset mechanism, the effect of compounding on leveraged returns over multi-day holding periods, or the concept of volatility decay. Craig did not provide

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Margaret with the product's prospectus or any supplemental educational materials about how leveraged ETFs function.

Margaret held the position for eleven months. During that period, the underlying semiconductor index experienced significant volatility, with multiple drawdowns exceeding 8% followed by partial recoveries. By February 2024, although the underlying index was roughly flat compared to where it stood when Margaret purchased the leveraged ETF, her position in SOXL had declined by approximately 31%, representing a loss of roughly \$29,450. Margaret called Craig in distress after receiving her February 2024 statement. Craig advised her to 'hold on a little longer' because 'these things bounce back.' Margaret ultimately sold the position in April 2024 at a total loss of approximately \$34,200.

Craig's branch manager, Laura Kessler, had no written supervisory procedures specifically addressing the review or approval of leveraged or inverse ETF transactions for senior clients. The firm's general compliance manual mentioned leveraged ETFs only in a single paragraph noting that 'advisors should exercise caution,' but imposed no concentration limits, no mandatory customer acknowledgment forms, and no heightened review for clients over age 65. There was no evidence that Laura reviewed or approved the SOXL trade before or after execution.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Delmonico violated multiple regulatory standards governing suitability and the obligation to act in the customer's best interest.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a financial advisor have a reasonable basis for believing that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and investment experience. Margaret Owens is a 78-year-old retiree with conservative risk tolerance, income and capital preservation objectives, limited investment knowledge, no experience with leveraged products, and heavy dependence on her portfolio for living and medical expenses. A 3x leveraged daily-resetting ETF is the antithesis of a capital preservation instrument. This product is designed for short-term, tactical trading by sophisticated investors who understand compounding, path dependency, and volatility decay. The recommendation fails all three components of Rule 2111: reasonable-basis suitability (a 3x leveraged ETF is inappropriate for long-term holding by any investor), customer-specific suitability (Margaret's profile is entirely inconsistent with leveraged product exposure), and quantitative suitability (concentrating 28% of a senior retiree's liquid assets in a single volatile leveraged position is excessive).

****Reg BI - Rule 15l-1 (Care Obligation):****

Under Regulation Best Interest, Craig had an obligation to exercise reasonable diligence, care, and skill in making the recommendation, and to consider reasonably available alternatives. He was required to consider the risks, rewards, and costs of the recommendation in light of Margaret's specific profile and to have a reasonable basis to believe the recommendation was in her best interest without placing his own interests ahead of hers. A 3x leveraged semiconductor ETF carries extreme risk, high expense ratios, and

is explicitly warned against for long-term holding by product issuers themselves. Craig failed to consider lower-risk alternatives that would have been consistent with Margaret's income and preservation needs. The Reg BI Disclosure Obligation was also violated, as Craig failed to explain the daily reset mechanism, volatility decay, or the product's fundamental unsuitability for buy-and-hold strategies.

****FINRA Regulatory Notices 09-31 and 22-08:****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because daily compounding can cause returns to deviate significantly from the underlying index over longer periods. The notice emphasized that these products require heightened supervision. FINRA RN 22-08 reinforced obligations around complex products, requiring firms to establish reasonably designed written supervisory procedures, including consideration of whether customers have the knowledge and experience to evaluate the risks, whether concentration limits should apply, and whether enhanced review and approval processes are needed - particularly for vulnerable investors such as seniors.

****Supervisory Failures:****

Branch manager Laura Kessler's lack of written supervisory procedures addressing leveraged ETF transactions for senior clients constitutes a failure under FINRA Rules 3110 and 3110.09 (Senior Investor protections). The firm's compliance manual was perfunctory and imposed no meaningful controls - no pre-approval requirements, no concentration limits, no mandatory acknowledgment forms, and no heightened review for elderly clients. This is precisely the type of supervisory deficiency that FINRA RN 09-31 and RN 22-08 were designed to address.

****Additional Concerns - Senior Investor Exploitation:****

Margaret's age, cognitive vulnerability (early macular degeneration potentially affecting her ability to review statements and disclosures), dependence on portfolio assets for medical expenses, and limited sophistication make this a case of potential senior investor exploitation. Craig's characterization of the product as a 'turbo-charged technology fund' was materially misleading and obscured the true risks.

****Likely Regulatory Outcome:****

Craig Delmonico would likely face enforcement action for unsuitable recommendations in violation of FINRA Rule 2111 and Reg BI Rule 15l-1. Sanctions could include disgorgement of commissions, restitution of Margaret's approximately \$34,200 in losses, fines, a suspension, and potentially a bar depending on whether a pattern of similar conduct is identified. Laura Kessler and the firm would likely face supervisory failure charges under FINRA Rules 3110 and 3110.09, with potential fines and mandated remediation of their written supervisory procedures.

Hypothetical 89

Topic: *leveraged_etf_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Olsen, age 71, is a retired elementary school teacher living in Duluth, Minnesota. She receives

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\$2,800 per month from her pension and \$1,400 per month from Social Security. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account and a taxable brokerage account. She has no other significant assets beyond her home, which is paid off. Her stated investment objectives on her account opening documents were "income and capital preservation," and her risk tolerance was marked as "conservative." She told her financial advisor, Kevin Marsh, that she wanted her savings to last through retirement and was nervous about market downturns after losing money in 2008.

In September 2022, during a routine portfolio review, Marsh told Margaret that he was concerned about a potential prolonged market decline and recommended she invest \$95,000 - roughly 28% of her total portfolio - into a 3x inverse leveraged ETF tied to the S&P 500 (ProShares UltraPro Short S&P 500, ticker SPXU). He described it as "portfolio insurance" and told her it would "protect her retirement if the market goes south." He did not explain that the product resets daily, that its returns over periods longer than one day can deviate significantly from three times the inverse of the index's cumulative return, or that the product is subject to compounding losses in volatile or trending-upward markets. He did not provide the product's prospectus or any supplemental educational materials. There is no record in the firm's files that Margaret was given or signed a leveraged/inverse ETF risk disclosure, nor that Marsh conducted any additional due diligence regarding her understanding of the product.

Margaret held the position for approximately eleven months. During that time, the S&P 500 experienced significant volatility but ultimately gained roughly 14%. Due to the effects of daily resetting and volatility decay, Margaret's \$95,000 position in SPXU declined to approximately \$38,200 - a loss of nearly \$56,800, or about 60% of the invested amount. When Margaret called Marsh in August 2023 alarmed at her losses, he told her the position "should come back" and recommended she continue holding. She finally liquidated the position in October 2023 at \$34,500, crystallizing a total loss of \$60,500.

Marsh's firm, Lakeshore Financial Group, had an internal policy requiring supervisory pre-approval for any leveraged or inverse ETF purchase exceeding \$25,000 in accounts belonging to clients over age 65 or with conservative risk profiles. Marsh did not seek or obtain this approval. His branch manager, Denise Whitfield, did not flag the trade in her monthly blotter review. The firm's compliance system generated an automated alert when the trade was executed, but Whitfield marked it as "reviewed - no action needed" without contacting either Marsh or the client.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Marsh violated both the suitability and best interest standards applicable to this recommendation, and the firm's supervisory framework failed as well.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on that customer's investment profile. This rule encompasses three component obligations: (1) reasonable-basis suitability (the advisor must understand the product), (2) customer-specific suitability (the recommendation must be appropriate given the customer's profile), and (3) quantitative suitability (the advisor must not

engage in excessive activity).

Here, Marsh failed reasonable-basis suitability because his characterization of SPXU as "portfolio insurance" demonstrates either a fundamental misunderstanding of how daily-resetting 3x inverse leveraged ETFs function, or a deliberate misrepresentation. FINRA Regulatory Notice 09-31 specifically warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because their performance over longer periods can differ dramatically from the stated multiple of the index return due to the mathematical effects of daily compounding (often called "volatility decay" or "path dependency"). FINRA Regulatory Notice 12-03 further emphasizes that firms must perform reasonable diligence to understand the risks and features of complex products before recommending them.

Marsh also failed customer-specific suitability. Margaret was a 71-year-old retiree with conservative risk tolerance, income and capital preservation objectives, limited liquid assets (\$340,000), and dependence on her portfolio for retirement security. Allocating 28% of her portfolio to a 3x inverse leveraged product - one of the most volatile and risky instruments available to retail investors - is fundamentally incompatible with her stated profile. This is precisely the scenario FINRA warned about in RN 09-31 and reiterated in RN 22-08, which discusses complex products and the heightened obligations firms owe retail investors.

****Regulation Best Interest (Reg BI) - Rule 15l-1:****

Under the SEC's Regulation Best Interest, Marsh was required to act in Margaret's best interest at the time of the recommendation, without placing his own interests ahead of hers. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the product's risks, understanding the customer's investment profile, and having a reasonable basis to believe the recommendation is in the customer's best interest. The Disclosure Obligation requires full and fair disclosure of all material facts, including risks. Marsh failed both: he did not disclose the daily-reset mechanism, volatility decay, or the product's unsuitability for long-term holding, and his recommendation was manifestly not in Margaret's best interest given her profile.

****Supervisory Failures:****

The firm, Lakeshore Financial Group, also violated its supervisory obligations under FINRA Rule 3110, which requires firms to establish and maintain a system to supervise the activities of each associated person. The firm had a specific internal policy requiring pre-approval for leveraged ETF trades above \$25,000 for clients over 65 or with conservative risk profiles. Marsh circumvented this policy, and branch manager Denise Whitfield failed to enforce it despite receiving an automated compliance alert. Whitfield's perfunctory dismissal of the alert - without any investigation - constitutes a supervisory failure. Under FINRA RN 22-08, firms are expected to have robust supervisory procedures for complex products, including retrospective reviews, escalation protocols, and meaningful oversight of automated alerts.

****Likely Regulatory Outcome:****

Marsh would likely face sanctions including fines, disgorgement of commissions, suspension, or barment. The firm and Whitfield could face supervisory failure charges. Margaret would likely be entitled to full restitution of her \$60,500 loss, plus interest. In a FINRA arbitration, damages could also include consequential damages related to the impact on her retirement security. The case presents a textbook

example of the harms identified in FINRA RN 09-31, 12-03, and 22-08 regarding unsuitable recommendations of daily-resetting leveraged and inverse ETFs to conservative retail investors.

Hypothetical 90

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

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Fact Pattern

Margaret Kowalski, age 71, is a retired elementary school teacher living in suburban Milwaukee, Wisconsin. She receives a monthly pension of \$3,200 and Social Security of \$1,850, totaling approximately \$60,600 per year. Her total investable assets are \$410,000, consisting of a \$280,000 IRA rollover from her former employer's 403(b) plan and a \$130,000 taxable brokerage account. She has no other significant sources of income or wealth beyond her home, which is paid off. During her initial meeting with financial advisor Derek Yoon in March 2022, Margaret stated that her primary investment objective was capital preservation and income generation to supplement her fixed retirement income. She described herself as someone who 'cannot afford to lose money' and indicated she had never invested in anything beyond a target-date retirement fund and certificates of deposit. Her account opening documents reflected a conservative risk tolerance and a moderate investment time horizon of five to ten years.

In April 2022, Derek Yoon recommended that Margaret allocate \$82,000 - representing 20% of her total portfolio - into a 3x leveraged bull semiconductor ETF (ticker: SOXL) within her IRA account. Derek told Margaret that the semiconductor sector was 'the future of everything from cars to phones' and that the fund would 'triple the gains of a great sector.' He did not explain that the product resets daily, that its leveraged structure causes returns to deviate significantly from three times the underlying index's cumulative return over periods longer than one day, or that the compounding effect - sometimes called volatility decay - could erode the value of the position even if the underlying index ended flat over time. He did not discuss the product's 0.89% expense ratio or the embedded costs of maintaining leveraged exposure through swap contracts. No written materials about leveraged ETF mechanics were provided, and there is no record of any enhanced due diligence or supervisory review of the recommendation.

Margaret held the position for fourteen months. During that period, the semiconductor index experienced significant volatility, including a drawdown of approximately 35% followed by a partial recovery. By June 2023, her \$82,000 SOXL position had declined to approximately \$34,400 - a loss of \$47,600, or 58%. Meanwhile, the underlying semiconductor index over the same period had declined only about 12%. Margaret called Derek in distress after reviewing her quarterly statement and asked how she could have lost so much when she read that 'chip stocks were only down a little.' Derek told her that 'markets go up and down' and suggested she hold the position longer to recover. Margaret subsequently filed a written complaint with Derek's firm, stating she was never told the product could lose dramatically more than the underlying sector and that the investment was completely inconsistent with her retirement needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Yoon violated applicable suitability and best interest standards in multiple respects.

****Customer-Specific Suitability (FINRA Rule 2111.05(a)):** Under the customer-specific obligation, a recommended transaction must be suitable in light of the customer's investment profile, including age, financial situation, risk tolerance, time horizon, liquidity needs, and investment objectives. Margaret Kowalski is a 71-year-old retiree on a fixed income with conservative risk tolerance and a stated goal of capital preservation and income generation. A 3x daily-leveraged semiconductor ETF is a highly speculative, volatile instrument designed for short-term tactical trading by sophisticated investors. Allocating 20% of a conservative retiree's portfolio to such a product is fundamentally inconsistent with her stated profile. This constitutes a clear violation of customer-specific suitability.

****Reasonable-Basis Suitability (FINRA Rule 2111.05(a)):** The advisor must have a reasonable basis to believe the recommendation is suitable for at least some investors. FINRA Regulatory Notices 09-31 and 22-08 specifically warn that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who intend to hold them for periods longer than one trading session. The mathematical reality of daily compounding (path dependency and volatility decay) means that over time, especially in volatile markets, the product's return can deviate dramatically from the leveraged multiple of the index's cumulative return. Derek appears to have lacked a fundamental understanding of these mechanics, as evidenced by his failure to explain them and his advice to simply 'hold longer' - the opposite of appropriate guidance for a daily-resetting leveraged product.

****Regulation Best Interest (Rule 15l-1, Care Obligation):** Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation, consider reasonably available alternatives, and have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made. Derek failed on all three elements: (1) he did not understand or disclose the product's daily-reset mechanism and volatility decay risk; (2) he did not consider lower-cost, non-leveraged semiconductor funds or more conservative alternatives consistent with Margaret's objectives; and (3) no reasonable analysis could support a conclusion that a 3x leveraged ETF was in the best interest of a conservative 71-year-old retiree.

****Disclosure Failures:** FINRA RN 09-31 emphasizes that firms and their representatives must ensure customers understand how leveraged and inverse ETFs work, particularly that holding periods beyond one day can produce results that differ dramatically from the stated leverage multiple. Derek provided no written disclosures, no discussion of the daily-reset mechanism, no explanation of volatility decay, and no cost analysis. This failure compounds the suitability violations.

****Supervisory Failures (FINRA Rule 3110):** FINRA RN 22-08 reiterates that firms must have robust supervisory systems for complex products, including heightened review of recommendations involving leveraged ETFs to retail investors. There is no evidence that Derek's firm conducted any enhanced supervisory review of this recommendation, despite its placement in the IRA of a conservative elderly retiree - a combination of factors that should have triggered immediate supervisory scrutiny.

****Quantitative Unsuitability / Concentration:** Allocating 20% of a conservative retiree's total assets to a single 3x leveraged sector ETF also raises concentration concerns. This level of exposure to a single

speculative position is inconsistent with prudent portfolio construction for Margaret's profile.

****Likely Regulatory Outcome:**** Derek Yoon and his firm face significant regulatory exposure. Likely outcomes include a finding of violations of FINRA Rules 2111 (suitability) and 3110 (supervision), as well as Reg BI's Care and Disclosure Obligations. Sanctions could include fines, disgorgement of commissions, restitution of Margaret's \$47,600 loss, suspension or bar of the advisor, and censure of the firm. In a customer arbitration, Margaret would have a strong claim for compensatory damages based on the unsuitability of the recommendation and the advisor's material omissions regarding product risks.

Hypothetical 91

Topic: *leveraged_etf_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Ostrowski, age 71, is a retired elementary school teacher living in Columbus, Ohio. She receives \$2,800 per month from her pension and \$1,950 per month in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held in a rollover IRA and a taxable brokerage account. She has no other significant assets aside from her home, which is paid off. On her new account form, her risk tolerance was marked as "moderate," her investment objective was listed as "income and capital preservation," and her investment time horizon was noted as 10+ years. She has limited investment experience, having previously owned only a target-date retirement fund and a certificate of deposit ladder.

In March 2023, her financial advisor, Kevin Driscoll, age 38, recommended that Mrs. Ostrowski invest \$95,000 - roughly 28% of her liquid net worth - into a 3x leveraged bull semiconductor ETF (ticker: SOXL) within her IRA. Driscoll told her that semiconductors were "the future" and that the fund would "triple the gains of the chip sector." He did not explain how the product resets daily, the concept of volatility decay, or the possibility that the fund could lose substantial value even if the underlying index was roughly flat over an extended period. He did not provide her with the fund's prospectus or any supplemental educational materials about leveraged products. No written documentation was created reflecting a discussion of the product's risks or an explanation of why it was appropriate for her.

Mrs. Ostrowski held the position for 14 months. During that time, the semiconductor sector experienced significant volatility, including a drawdown of approximately 30% in mid-2023 before recovering. Due to the compounding effects of the 3x daily reset, by May 2024 her \$95,000 position had declined to approximately \$41,200 - a loss of roughly \$53,800, or 56.6% - even though the underlying semiconductor index had declined only about 8% on a cumulative basis over the same period. Mrs. Ostrowski filed a complaint stating she never understood the product, was never told it could behave this way, and that she needed the money for long-term retirement expenses and potential healthcare costs. Driscoll's firm had an internal policy requiring supervisory pre-approval for any leveraged or inverse ETF purchase exceeding \$25,000, but no record of such approval exists for this transaction.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

[NON-COM]

Answer

Yes, Kevin Driscoll likely violated multiple regulatory requirements in recommending a 3x leveraged semiconductor ETF to Margaret Ostrowski.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. There are three component obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

2. ****Regulation Best Interest (Reg BI), Rule 15l-1:**** Under the Care Obligation, a broker must exercise reasonable diligence, care, and skill in making a recommendation, must understand the risks and rewards of the product, and must have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the financial professional's interest ahead of the customer's. The Disclosure Obligation requires material facts about the recommendation to be disclosed.

3. ****FINRA Regulatory Notices 09-31 and 22-08:**** These notices specifically address leveraged and inverse ETFs and complex products. RN 09-31 warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because the effects of daily compounding can cause returns to deviate significantly - sometimes dramatically - from the expected multiple of the index return over longer periods. This phenomenon, known as volatility decay or path dependency, means that in volatile markets, a leveraged ETF can lose substantial value even when the underlying index is relatively flat or only modestly down. RN 22-08 further reinforced heightened obligations around complex product recommendations, requiring firms to establish robust supervisory systems, perform due diligence, and ensure customers understand the products.

****Analysis of Violations:****

- ****Customer-Specific Unsuitability:**** Mrs. Ostrowski is a 71-year-old retiree with limited investment experience, moderate risk tolerance, and stated objectives of income and capital preservation. A 3x leveraged ETF is among the most volatile and speculative instruments available to retail investors. Allocating 28% of her liquid retirement savings to such a product is fundamentally inconsistent with her profile. This constitutes a clear violation of the customer-specific suitability component of Rule 2111 and the Care Obligation under Reg BI.

- ****Reasonable-Basis Unsuitability:**** Even setting aside Mrs. Ostrowski's specific profile, Driscoll appears to have lacked an adequate understanding of the product himself or at minimum failed to communicate its mechanics. A 3x leveraged ETF that resets daily is designed for short-term tactical trading, not buy-and-hold strategies. Recommending a 14-month hold period for such a product demonstrates a failure to understand the product's fundamental characteristics, violating the reasonable-basis component of Rule 2111.

- **Failure to Disclose Material Risks:** Driscoll did not explain the daily reset mechanism, volatility decay, path dependency, or the risk that losses could far exceed the underlying index's decline. He did not provide the prospectus or supplemental materials. This violates the Disclosure Obligation under Reg BI and the general duty to ensure a customer has sufficient information to evaluate a recommendation.

- **Supervisory Failures:** The firm had an internal policy requiring pre-approval for leveraged ETF purchases over \$25,000, and no such approval was obtained for a \$95,000 trade. This constitutes a violation of FINRA Rules 3110 (Supervision) and potentially exposes the firm to liability for failing to enforce its own written supervisory procedures. Under FINRA RN 22-08, firms must have reasonably designed policies and procedures to identify and supervise complex product recommendations.

- **Concentration Risk:** Placing 28% of a retiree's liquid assets in a single 3x leveraged sector ETF creates an unreasonable concentration of risk that is inconsistent with any reasonable interpretation of a moderate risk tolerance or capital preservation objective.

Likely Regulatory Outcome: Driscoll would likely face disciplinary action including potential fines, suspension, and an order to pay restitution. The firm could face separate supervisory violation charges for failing to enforce its own pre-approval requirement. The customer's losses of approximately \$53,800 - starkly illustrating the volatility decay phenomenon (56.6% loss on a 3x product versus only an 8% decline in the underlying index) - would be strong evidence of the harm caused. An arbitration panel or regulator would likely find in favor of the customer and order compensatory damages.

Hypothetical 92

Topic: *high_fees_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Kowalski, age 71, is a retired elementary school teacher living in suburban Milwaukee, Wisconsin. She has a fixed annual income of \$38,000, consisting of her pension and Social Security benefits. Her total investable assets are approximately \$285,000, held primarily in an IRA rollover account. She has described her investment objective as 'income and preservation of capital' and indicated on her new account form that she has a conservative risk tolerance and limited investment experience beyond certificates of deposit and a small allocation to a balanced mutual fund held for over fifteen years.

In March 2023, Margaret's financial advisor, Derek Holliday, age 34, recommended she invest \$70,000 - roughly 25% of her portfolio - into a 3x leveraged bull semiconductor ETF (ticker: SOXL) with an annual expense ratio of 0.94%. Derek told Margaret that semiconductors were 'the future of the economy' and that the leveraged product would help her 'catch up' on returns she had missed during prior years of conservative investing. He described the fund as similar to a regular technology stock fund but 'with more upside potential.' He did not explain the daily reset mechanism, the compounding effects of leverage over time, or the concept of volatility decay. He also did not discuss the fund's significantly higher expense ratio compared to a standard semiconductor index ETF (which carried an expense ratio of approximately 0.35%).

[NON-COM

Derek did not document any analysis of why a triple-leveraged product was appropriate for Margaret's stated objectives. No written rationale appeared in his notes, and no supervisory review of the recommendation was conducted prior to the trade being placed. Margaret's account had no prior history of speculative or leveraged investments.

Margaret held the position for eleven months. During that period, the semiconductor sector experienced significant volatility, including a 22% drawdown followed by a partial recovery. Due to the effects of daily compounding and volatility decay inherent in the 3x leveraged structure, Margaret's \$70,000 investment declined to approximately \$41,300 by February 2024 - a loss of roughly \$28,700 or 41% - even though the underlying semiconductor index itself had declined only about 9% over the same period. In addition to the investment losses, Margaret paid approximately \$658 in embedded fund expenses over the holding period, substantially more than she would have paid in a non-leveraged equivalent.

When Margaret called Derek in February 2024 to ask why her account had dropped so dramatically, he told her to 'hang in there' and that the fund would 'bounce back eventually.' He did not recommend liquidating the position or reassessing its appropriateness. Margaret ultimately sold the position in April 2024 at \$43,500, locking in a net loss of \$26,500.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Holliday violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on that customer's investment profile. The rule encompasses three components: (a) reasonable-basis suitability (understanding the product), (b) customer-specific suitability (matching the product to the specific customer), and (c) quantitative suitability (ensuring the frequency and cost of transactions are not excessive).
2. ****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** Reg BI requires that broker-dealers act in the retail customer's best interest at the time a recommendation is made, without placing their own interests ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, including understanding the risks, rewards, and costs of recommended products and considering reasonably available alternatives.
3. ****FINRA Regulatory Notice 09-31:**** This notice specifically addresses leveraged and inverse ETFs, warning that these products are designed to achieve their stated objectives on a daily basis and that their performance over longer periods can differ significantly from their stated benchmarks due to the effects of compounding. The notice states that leveraged ETFs are typically unsuitable for retail investors who plan to hold them for more than one trading session, particularly in volatile markets.

4. **FINRA Regulatory Notice 22-08 and 12-03 (Complex Products):** These notices address firms' obligations to establish robust supervisory systems for complex products, including leveraged ETFs. They require heightened scrutiny before recommending complex products to retail customers and emphasize the need for adequate training, due diligence, and documentation.

Analysis of Violations:

Customer-Specific Suitability / Care Obligation Failure: Margaret was a 71-year-old retiree with conservative risk tolerance, limited investment experience, fixed income of \$38,000, and stated objectives of income and capital preservation. A 3x leveraged semiconductor ETF is an aggressive, speculative instrument fundamentally at odds with every element of her investment profile. Recommending that she allocate 25% of her retirement assets to such a product was patently unsuitable and did not serve her best interest. Under both FINRA Rule 2111 and Reg BI's Care Obligation, this recommendation fails.

Reasonable-Basis Suitability Failure: Derek's description of the product as similar to a 'regular technology stock fund but with more upside' demonstrates that he either did not understand the daily-reset mechanics and path dependency of leveraged ETFs or chose to misrepresent them. A financial professional recommending a 3x leveraged ETF must understand that the product is designed for short-term, typically intraday, tactical use and that holding it over weeks or months exposes the investor to volatility decay, which can cause dramatic divergence from the underlying index's cumulative return. The fact that the underlying index declined approximately 9% while Margaret's position lost 41% is a textbook illustration of this phenomenon.

Disclosure Failures: Derek failed to explain the daily reset mechanism, compounding risk, volatility decay, or the significantly higher expense ratio of the leveraged product versus a standard index fund. Under Reg BI's Disclosure Obligation, material facts about costs, risks, and the nature of the product must be communicated to the customer.

Cost-Related Unsuitability: The leveraged ETF carried an expense ratio of 0.94%, nearly three times the 0.35% expense ratio of a comparable non-leveraged ETF. For a conservative, cost-sensitive retiree, the higher embedded costs further eroded returns and were not justified by any legitimate investment objective. Reg BI and FINRA guidance both require consideration of costs and reasonably available lower-cost alternatives.

Supervisory Failures: No supervisory review was conducted before the leveraged ETF recommendation was placed in a 71-year-old retiree's IRA. FINRA Regulatory Notices 09-31 and 12-03 require firms to implement specific supervisory procedures for complex products, including pre-trade review, especially for vulnerable customer profiles. The firm's failure to flag this trade for review represents an independent supervisory violation under FINRA Rules 3110 and 3120.

Post-Recommendation Failure: When Margaret contacted Derek about her losses in February 2024, he advised her to 'hang in there' rather than reassessing the position's appropriateness. This compounded the original violation by extending the holding period of a daily-reset product already demonstrating volatility

decay.

****Likely Regulatory Outcome:**** Derek and his firm face potential enforcement action including monetary fines, restitution to Margaret of her approximately \$26,500 in losses plus the excess fees paid, suspension or bar for Derek, and censure of the firm for supervisory failures. The fact pattern closely mirrors cases that have resulted in substantial sanctions where leveraged ETFs were recommended to elderly, conservative, inexperienced investors and held for extended periods.

Hypothetical 93

Topic: *leveraged_etf_unsuitable* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Margaret Olsen, age 72, is a retired elementary school teacher living in Cedar Rapids, Iowa. She receives \$2,800 per month from her pension and \$1,950 per month from Social Security. Her total liquid savings amount to approximately \$340,000, held in a traditional IRA rollover account and a small taxable brokerage account. She has no other significant assets aside from her home, which is paid off and valued at roughly \$185,000. Mrs. Olsen described her investment objectives as capital preservation and income generation. On her new account form completed in March 2022, she indicated a "conservative" risk tolerance and a time horizon of 10+ years, noting that her primary concern was making her savings last through retirement and leaving a modest inheritance for her two grandchildren.

Her financial advisor, Derek Huang, age 38, had been with Ridgeline Financial Group for four years. In April 2022, Mr. Huang recommended that Mrs. Olsen allocate \$95,000 - approximately 28% of her total liquid savings - into a 3x leveraged bull semiconductor ETF (ticker: SXXX) and \$45,000 into a 2x leveraged S&P 500 ETF (ticker: SPUU). Mr. Huang told Mrs. Olsen that semiconductors were "the backbone of the future economy" and that these funds would "supercharge her returns so she wouldn't have to worry about running out of money." He described the products as similar to regular index funds but with "a little extra kick." He did not explain the daily reset mechanism, compounding effects, or the concept of volatility decay. No written materials about leveraged ETF risks were provided, and there is no record that Mr. Huang discussed the products' prospectus disclosures - which explicitly warned against holding the funds for periods longer than a single trading day.

Mrs. Olsen held both positions continuously from April 2022 through February 2023, approximately ten months. During this period, the semiconductor sector experienced significant volatility, with multiple drawdowns exceeding 8% in a single week followed by partial recoveries. Despite the underlying semiconductor index finishing the period down approximately 11%, the 3x leveraged semiconductor ETF lost approximately 47% of its value due to volatility decay and the compounding of daily returns. The 2x leveraged S&P 500 ETF lost approximately 19% over the same period while the S&P 500 itself declined roughly 7%. In total, Mrs. Olsen's \$140,000 investment in the two leveraged products declined to approximately \$80,500, a loss of roughly \$59,500. This represented approximately 17.5% of her entire liquid net worth.

Mrs. Olsen called Mr. Huang multiple times between September 2022 and January 2023 expressing concern about the declining values. Mr. Huang reassured her each time that the funds would "bounce back" and advised her to "stay the course." He did not recommend liquidating the positions or reducing the concentration. There is no evidence in the firm's records that any supervisor reviewed or approved the initial leveraged ETF purchases for Mrs. Olsen's account, despite the firm's internal procedures requiring supervisory pre-approval for complex product transactions in accounts belonging to customers over age 65.

Mrs. Olsen filed a complaint with the firm in March 2023 after learning from her grandson, a finance student, that leveraged ETFs are designed only for short-term tactical trading and are widely understood to be inappropriate for long-term buy-and-hold investors, particularly retirees with conservative risk profiles.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Huang violated applicable suitability and best interest standards in multiple respects.

****Applicable Regulatory Framework:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer, considering the customer's investment profile including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. This rule encompasses three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability (avoiding excessive activity).

Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act, imposes a heightened standard requiring broker-dealers to act in the retail customer's best interest at the time of the recommendation and not place the financial interest of the broker ahead of the customer. The Care Obligation under Reg BI requires consideration of reasonably available alternatives and an evaluation of potential risks, rewards, and costs.

FINRA Regulatory Notices 09-31, 12-03, and 22-08 provide specific guidance on leveraged and inverse ETFs. RN 09-31 explicitly warned that leveraged ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets where path dependency and volatility decay can cause returns to deviate dramatically from the expected multiple of the underlying index. RN 22-08 reinforced these concerns and addressed the heightened supervisory obligations firms bear regarding complex products, including required escalated review for vulnerable investors.

****Specific Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Mrs. Olsen was a 72-year-old retiree with conservative risk tolerance, capital preservation and income objectives, limited liquid assets (\$340,000), and dependence on her portfolio for retirement security. Leveraged ETFs - which carry magnified downside

risk, are designed for intraday or very short-term tactical use, and generate no income - are fundamentally incompatible with every element of her investment profile. Allocating 28% of her liquid net worth to 2x and 3x leveraged products was grossly unsuitable.

2. **Reasonable-Basis Suitability Violation:** Mr. Huang's description of the products as similar to regular index funds with "a little extra kick" demonstrates a failure to understand, or a willful misrepresentation of, the critical characteristics of daily-resetting leveraged ETFs - specifically path dependency, compounding risk, and volatility decay. An advisor who does not understand these mechanics cannot form a reasonable basis for recommending the product to any customer.

3. **Disclosure Failures:** Mr. Huang failed to explain the daily reset mechanism, the mathematical certainty of performance deviation from the stated leverage multiple over holding periods longer than one day, or the explicit prospectus warnings against long-term holding. This constitutes a failure to provide adequate disclosure of material risks under both Rule 2111 and Reg BI's Disclosure Obligation.

4. **Failure to Mitigate / Hold Recommendation:** When Mrs. Olsen expressed concern about losses, Mr. Huang advised her to continue holding the leveraged ETFs - effectively making an implicit hold recommendation that itself was unsuitable. Under FINRA Rule 2111, an explicit recommendation to hold a security is subject to suitability obligations. Advising a conservative 72-year-old retiree to continue holding 3x leveraged semiconductor exposure during a period of extreme sector volatility compounded the original violation.

5. **Supervisory Failures (Firm Level):** The firm's own written supervisory procedures required pre-approval for complex product transactions in accounts of customers over age 65. No supervisory review occurred. This constitutes a violation of FINRA Rule 3110 (Supervision) and the enhanced supervisory obligations described in FINRA RN 22-08, which specifically addresses the need for heightened supervision of complex products recommendations.

6. **Concentration Risk:** Placing approximately 41% of the invested amount (\$140,000 of the \$340,000 liquid portfolio) into two highly correlated leveraged equity products created a dangerous concentration that was inconsistent with the customer's conservative profile and preservation objectives.

Likely Regulatory Outcome:

Mr. Huang would likely face FINRA enforcement action resulting in a fine, disgorgement of commissions, and a potential suspension. The firm, Ridgeline Financial Group, faces liability for supervisory failures under Rule 3110 and could be required to pay restitution of Mrs. Olsen's approximately \$59,500 in losses, plus interest. In a customer arbitration proceeding, damages would likely be calculated based on a comparison of the leveraged ETF performance versus an appropriate benchmark portfolio (e.g., a conservative balanced allocation), potentially yielding damages exceeding the nominal loss amount when accounting for the opportunity cost of suitable alternative investments.

Hypothetical 94

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

Gerald Hoffman, age 71, is a retired postal worker living in Tallahassee, Florida. He receives \$2,400 per month in Social Security and a modest pension of \$1,100 per month. His total liquid savings amount to approximately \$185,000, held in an IRA rollover account, which represents the entirety of his retirement nest egg aside from his government benefits. Gerald has no prior experience trading options, futures, or leveraged financial products. When he opened his account with registered representative Dana Whitfield at Patriot Wealth Advisors in March 2021, he completed a new account form that listed his investment objective as "income and capital preservation," his risk tolerance as "conservative," his time horizon as "10+ years (retirement income)," and his annual income as \$42,000. The form did not include any questions about Gerald's familiarity with complex exchange-traded products, nor did Whitfield conduct any oral or written assessment of Gerald's understanding of leveraged or inverse funds, compounding risk, or daily reset mechanics.

In June 2021, Whitfield recommended that Gerald invest \$55,000 - roughly 30% of his IRA - into a 3x leveraged bull semiconductor ETF (ticker: SOXL), telling Gerald that semiconductors were "the future" and that this fund would give him "triple the upside of the chip boom." Whitfield did not explain that the product resets daily, that its returns over periods longer than one day can deviate substantially from three times the underlying index return, or that the product could suffer severe losses in volatile or declining markets due to compounding effects sometimes called volatility decay. Whitfield did not provide Gerald with the fund's prospectus or any supplemental educational materials about leveraged ETFs. No supervisor at Patriot Wealth reviewed the recommendation before the trade was executed.

Gerald held the position for fourteen months. During that period, the semiconductor sector experienced significant volatility, including a drawdown of approximately 35% in the underlying index between January and June 2022. By August 2022, Gerald's \$55,000 position in SOXL had declined to approximately \$14,800, a loss of roughly \$40,200 or 73%. Gerald contacted Whitfield multiple times during the decline, and each time Whitfield advised him to "hold tight" and that the position would "come roaring back." Gerald eventually liquidated the remaining position in August 2022 on the advice of a family friend who was a CPA. Gerald filed a complaint with the firm alleging that Whitfield never explained the risks, never asked about his knowledge of leveraged products, and placed an outsized and inappropriate bet with his retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dana Whitfield violated multiple regulatory obligations in recommending SOXL to Gerald Hoffman.

****Failure to Know the Customer (FINRA Rule 2111 - Reasonable-Basis, Customer-Specific, and Quantitative Suitability):****

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommendation is

suitable for at least some investors (reasonable-basis suitability), and specifically suitable for the particular customer based on that customer's investment profile (customer-specific suitability). The customer's investment profile includes age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

Gerald was a 71-year-old retiree with conservative risk tolerance, an income-and-preservation objective, limited liquid assets (\$185,000 total), and zero experience with leveraged or complex products. Allocating 30% of his sole retirement account to a 3x daily-resetting leveraged ETF is fundamentally inconsistent with every element of his stated profile. Whitfield failed to gather critical information about Gerald's understanding of complex products before making the recommendation, which is itself a violation of the know-your-customer obligation embedded in Rule 2111.

****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934):****

Under Reg BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation, and must have a reasonable basis to believe the recommendation is in the retail customer's best interest given the customer's investment profile. The Disclosure Obligation further requires the broker to disclose material facts about the recommendation, including risks. Whitfield failed both obligations: she did not disclose the daily-reset mechanism, path dependency, volatility decay, or the unsuitability of long-term holding, and the recommendation was plainly not in Gerald's best interest.

****FINRA Regulatory Notices 09-31 and 22-08 - Complex Products and Leveraged/Inverse ETFs:****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding in volatile markets. RN 22-08 reinforced and expanded these concerns, emphasizing that firms must have robust supervisory systems for complex products and that registered representatives must understand the products they recommend and ensure customers understand the material risks, including path dependency and volatility decay. Whitfield neither understood nor communicated these risks.

****Supervisory Failures:****

Patriot Wealth Advisors failed to review or approve the leveraged ETF recommendation before execution, despite the product's complexity and the customer's conservative profile. Under FINRA Rules 3110 and 3120, firms must establish and maintain supervisory systems reasonably designed to ensure compliance with applicable rules. The absence of any pre-trade supervisory review for a 3x leveraged ETF purchase in a 71-year-old conservative retiree's IRA constitutes a supervisory failure.

****Likely Regulatory Outcome:****

Whitfield would likely face sanctions including disgorgement of commissions, fines, and a potential suspension. The firm could face fines and be required to pay restitution of the approximately \$40,200 in losses. In a customer arbitration, the panel would likely find in Gerald's favor given the overwhelming mismatch between his profile and the product, the failure to disclose material risks, and the absence of any documented suitability analysis or supervisory review. The continued "hold tight" advice compounded the initial violation by encouraging long-term holding of a product explicitly warned against for such use.

Hypothetical 95

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

Margaret Doyle, age 71, is a retired school librarian living in Tucson, Arizona. She has a fixed income of approximately \$2,800 per month from Social Security and a small pension. Her total investable assets consist of a \$340,000 IRA rollover from her former employer's 403(b) plan, which represents virtually all of her liquid savings. She has no other meaningful sources of income or wealth beyond her home, which she owns outright. In March 2023, Margaret visited the branch office of her brokerage firm to discuss her portfolio with her advisor, Kevin Briggs. She told Kevin that she wanted to keep her money safe, generate modest income to supplement her pension, and ensure she would not outlive her savings. She mentioned she was anxious about market volatility after reading news about bank failures earlier that month. Kevin had been Margaret's advisor for less than two months, having been reassigned her account after her prior advisor retired. Kevin did not update Margaret's account profile or conduct a new account review. The existing profile on file, last updated in 2018 by her previous advisor, listed her risk tolerance as 'moderate' and her investment objective as 'growth and income.' Kevin did not ask Margaret about her current financial situation, monthly expenses, health status, tax bracket, liquidity needs, or time horizon. During the meeting, Kevin recommended that Margaret invest \$85,000 - roughly 25% of her IRA - into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Kevin told Margaret that technology stocks 'always come back strong' and that this fund would 'turbocharge her returns so she could build a bigger cushion for the future.' He described it as an 'ETF, like any other index fund, just with a little extra kick.' He did not explain that TQQQ resets its leverage daily, that path dependency and volatility decay can cause severe losses even if the underlying index is flat or modestly positive over longer periods, or that the product was designed for short-term tactical trading and not for buy-and-hold retirement investors. He did not discuss the fund's 0.86% expense ratio relative to unleveraged alternatives, nor the potential for margin-like losses within the fund structure. Margaret signed the trade authorization, believing she was purchasing a standard technology index fund with somewhat higher growth potential. Kevin placed the trade on March 22, 2023. Over the following eleven months, Margaret did not receive any proactive communication from Kevin about the position. By February 2024, after a period of significant Nasdaq volatility that included a 12% drawdown and partial recovery, Margaret's \$85,000 TQQQ position had declined to approximately \$54,200 - a loss of over \$30,000, or roughly 36%. When Margaret called the branch in distress after reviewing her quarterly statement, Kevin suggested she 'hold on and wait for the bounce.' Margaret ultimately liquidated the position in March 2024 at \$51,800, realizing a loss of \$33,200. She filed a complaint with the firm's compliance department.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Briggs committed multiple violations. First, under FINRA Rule 2111 (Suitability), an advisor must have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and other factors. Kevin failed to satisfy the 'customer-specific suitability' obligation because he never updated Margaret's profile or gathered current information about her circumstances

despite being newly assigned to her account. The outdated 2018 profile listing 'moderate' risk tolerance and 'growth and income' objectives did not reflect Margaret's actual current needs as a 71-year-old retiree seeking capital preservation and income supplementation. This is a textbook 'failure to know your customer' violation.

Second, under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act), broker-dealers and their associated persons owe retail customers a duty to act in the customer's best interest at the time of a recommendation. The Care Obligation under Reg BI requires advisors to exercise reasonable diligence, care, and skill in understanding the product, understanding the retail customer's investment profile, and having a reasonable basis to believe the recommendation is in the customer's best interest. Kevin failed all three prongs: he did not understand TQQQ's daily-reset mechanism and associated risks well enough to explain them, he did not understand Margaret's actual financial profile, and no reasonable advisor could conclude that concentrating 25% of a 71-year-old retiree's sole retirement assets in a 3x leveraged daily-resetting ETF was in her best interest.

Third, FINRA Regulatory Notices 09-31 and 22-08 specifically warn that leveraged and inverse ETFs are complex products generally unsuitable for retail investors who plan to hold them for longer than one trading session. RN 09-31 explicitly states that 'inverse and leveraged ETFs that are reset daily typically are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' RN 22-08 further reinforces that firms must have robust supervisory systems for complex products and that representatives must understand and be able to explain the material features and risks - including volatility decay and path dependency - before recommending them. Kevin's description of TQQQ as an ETF 'like any other index fund, just with a little extra kick' was materially misleading and failed to disclose the core risks of the product.

Fourth, the firm's supervision appears deficient. The recommendation of a 3x leveraged ETF constituting 25% of a retirement account for a 71-year-old conservative retiree should have been flagged by supervisory systems. Under FINRA's complex products supervision framework, firms must establish written supervisory procedures to review recommendations of leveraged products and ensure suitability. The lack of any supervisory intervention or post-trade review over eleven months suggests a systemic failure.

The likely regulatory outcome would include findings of violation of FINRA Rule 2111 (customer-specific and reasonable-basis suitability), Reg BI's Care Obligation, and potentially FINRA Rule 2010 (Standards of Commercial Honor). Potential sanctions could include disgorgement, restitution of the \$33,200 loss plus interest, fines against both the advisor and the firm, a supervisory suspension or bar for the advisor, and enhanced supervisory requirements for the firm. In arbitration, Margaret would likely prevail on claims of unsuitability, failure to know the customer, misrepresentation by omission, and negligent supervision.

Hypothetical 96

Topic: senior_investor_exploitation | Difficulty: hard

Fact Pattern

[NON-COM]

Margaret Kowalski, age 79, is a retired elementary school teacher living in Scottsdale, Arizona. She receives \$2,800 per month from her pension and \$1,950 per month in Social Security benefits. Her total liquid net worth is approximately \$410,000, held primarily in an IRA rollover account and a small taxable brokerage account. She has no other significant sources of income. Her stated investment objectives on her new account form, completed in March 2022, list 'income' and 'preservation of capital' as her primary goals. Her risk tolerance is marked as 'conservative.' Margaret has limited investment experience, having previously owned only certificates of deposit and a balanced mutual fund through her employer's retirement plan. She has early-stage cognitive decline, which her daughter, Karen, mentioned to the advisor during the initial account opening meeting, explaining that she accompanies her mother to most financial appointments to help her understand paperwork.

Her financial advisor, Dale Rennick, age 42, has been registered with his broker-dealer for nine years. In April 2022, Rennick recommended that Margaret allocate \$135,000—roughly 33% of her liquid net worth—into a 3x leveraged bull semiconductor ETF (ticker: SOXL) and \$80,000 into a 2x leveraged inverse Treasury bond ETF (ticker: TBT). Rennick told Margaret and Karen that semiconductors were 'the future' and that interest rates were 'guaranteed to keep rising,' making the inverse Treasury product a 'safe bet for income investors who want to stay ahead of inflation.' He did not explain the daily reset mechanism of either fund, the concept of volatility decay, or the compounding risk associated with holding leveraged or inverse products over extended periods. He did not provide any written materials specific to leveraged or inverse ETFs, nor did he document any discussion of the risks unique to these products.

Rennick placed the trades in Margaret's IRA account and did not set any stop-loss orders or schedule periodic reviews of the positions. Over the next fourteen months, the semiconductor ETF experienced severe volatility. Although the underlying semiconductor index declined approximately 8% over that period, SOXL lost roughly 41% of its value due to the compounding effect of daily resets during high-volatility periods. The inverse Treasury ETF similarly underperformed expectations: while long-term Treasury yields rose modestly over the holding period, TBT's daily reset mechanism and path dependency caused it to return only 3% compared to the roughly 14% gain a simple short Treasury position might have captured. By June 2023, Margaret's combined position in the two leveraged products had declined from \$215,000 to approximately \$134,000, a loss of about \$81,000. Karen discovered the extent of the losses when reviewing her mother's quarterly statement and filed a complaint with the broker-dealer. During the internal review, it was discovered that Rennick had recommended leveraged and inverse ETFs to seven other clients over the age of 70 in his book of business during the same period, none of whom had investment experience with complex products.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Rennick violated multiple regulatory standards governing the recommendation of complex products to retail investors, and particularly to senior investors.

1. ****Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act of 1934:**** Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. This includes understanding the risks, rewards,

and costs of the recommended security, and having a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, considering the customer's investment profile (age, financial situation, investment objectives, risk tolerance, and other relevant factors). Rennick's recommendation of a 3x leveraged semiconductor ETF and a 2x inverse Treasury ETF to a 79-year-old conservative investor seeking income and capital preservation fails every prong of this analysis. The products are speculative, volatile, and structurally designed for short-term trading—none of which aligns with Margaret's profile. Additionally, Reg BI's Disclosure Obligation required Rennick to disclose all material facts about the recommendation, including the daily reset mechanism, volatility decay, and path dependency risk. He failed to do so.

2. **FINRA Rule 2111 (Suitability):** To the extent legacy suitability obligations apply, Rennick violated all three components. (a) Reasonable-basis suitability: He failed to understand the leveraged and inverse ETFs well enough to explain their mechanics, and appears not to have understood that long-term holding of daily-resetting products can produce returns that deviate dramatically from the underlying index return multiplied by the leverage factor. (b) Customer-specific suitability: A 79-year-old retiree with conservative risk tolerance, limited investment experience, income and capital preservation objectives, and early-stage cognitive decline is the paradigmatic unsuitable customer for leveraged and inverse ETFs. Allocating 33% of her liquid net worth to a single 3x leveraged sector ETF alone is grossly disproportionate. (c) Quantitative suitability: While the positions were buy-and-hold rather than actively traded, the magnitude of the unsuitable concentration effectively constitutes a de facto quantitative violation.

3. **FINRA Regulatory Notices 09-31 and 22-08:** FINRA has specifically warned that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who plan to hold them for longer than one trading session. RN 09-31 explicitly states that the performance of these products over periods longer than one day can differ significantly from their stated daily objective times the return of the benchmark. RN 22-08 reinforces heightened obligations regarding complex products, including leveraged and inverse ETFs, requiring firms to establish written supervisory procedures, conduct reasonable diligence into the complexity and risk of such products, and consider whether customers can understand and bear the risks. Rennick's failure to explain daily resetting, volatility decay, or path dependency—and his affirmative mischaracterization of these products as suitable for an income and capital preservation strategy—directly contravenes these regulatory expectations.

4. **Complex Products Supervision Failures:** Rennick's broker-dealer may also face supervisory liability. The fact that Rennick recommended leveraged and inverse ETFs to at least seven other senior clients without complex product experience suggests a systemic supervision failure. Under FINRA Rules 3110 and 3120 and the heightened supervisory expectations outlined in RN 12-03 regarding complex products, the firm should have had written supervisory procedures requiring pre-approval or enhanced review of leveraged/inverse ETF recommendations, particularly for senior investors. The absence of documented risk discussions, written disclosures, or periodic position reviews indicates the firm's supervisory system was either inadequate or not enforced.

5. **Senior Investor Considerations:** Margaret's age (79), cognitive decline, dependence on fixed income, and limited investment sophistication create heightened duties. FINRA has repeatedly emphasized that firms must pay special attention to senior investors and implement policies to detect and prevent financial

exploitation. Rennick's knowledge of Margaret's cognitive decline-communicated directly by her daughter-makes his recommendation even more egregious.

****Likely Regulatory Outcome:**** Rennick faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar from the industry. The firm faces potential fines and required remediation for supervisory failures. Margaret would likely prevail in a customer arbitration claim seeking recovery of her approximately \$81,000 in losses, plus potential consequential damages. The pattern of similar recommendations to other senior clients could elevate this to a broader enforcement action.

Hypothetical 97

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Delacroix, age 71, is a retired elementary school teacher in Baton Rouge, Louisiana, with a fixed annual income of \$42,000 from her pension and Social Security. She has \$310,000 in a brokerage account, which represents the bulk of her liquid savings aside from a \$15,000 emergency fund in a savings account. Her investment objectives, as documented on her new account form completed in January 2023, are listed as 'income and capital preservation,' and her risk tolerance is marked as 'conservative.' She has no prior experience with options, futures, margin accounts, or leveraged products. Her prior portfolio consisted entirely of Treasury bonds, a balanced mutual fund, and a dividend-paying utility stock.

In March 2023, her financial advisor, Dale Robichaux, recommended she invest \$85,000 - approximately 27% of her brokerage account - into the Direxion Daily Semiconductor Bull 3X Shares (SOXL), a triple-leveraged ETF that seeks 300% of the daily return of the ICE Semiconductor Index. Robichaux told Margaret that semiconductors were 'the future' and that this fund would 'triple her gains on the way up.' He did not explain the daily reset mechanism, the concept of volatility decay, or the fact that the product was designed for short-term tactical trading, not buy-and-hold strategies. No written materials or prospectus disclosures specific to leveraged ETFs were provided.

Robichaux did not escalate the recommendation for supervisory review, and the firm had no automated alerts or flags for leveraged ETF purchases in accounts designated as conservative. Margaret held the position for fourteen months. During that period, the semiconductor sector experienced significant volatility: the index rose roughly 8% cumulatively, but SOXL declined approximately 11% due to the compounding effects of daily resets during volatile trading periods. By May 2024, Margaret's \$85,000 investment had fallen to approximately \$75,650, a loss of \$9,350. She contacted the firm after reviewing her statement and expressed confusion about how she could lose money when she had read that the semiconductor sector was up overall.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Robichaux violated applicable suitability and best interest standards in multiple respects.

[NON-COM]

****Customer-Specific Suitability (FINRA Rule 2111.05):**** Margaret's documented profile - age 71, conservative risk tolerance, income/capital preservation objectives, no experience with complex products, and reliance on her portfolio for retirement security - is fundamentally incompatible with a 3x leveraged ETF. FINRA Rule 2111 requires that a recommendation be suitable in light of the customer's investment profile, including age, financial situation, risk tolerance, time horizon, liquidity needs, and investment experience. A triple-leveraged daily-resetting product is among the most aggressive instruments available in the equity markets and is wholly inappropriate for a conservative retiree.

****Reg BI - Care Obligation (Rule 15l-1(a)(2)(ii)):**** Under Regulation Best Interest, the advisor must exercise reasonable diligence, care, and skill in making the recommendation. The Care Obligation requires the advisor to understand the risks, rewards, and costs of the product recommended and to have a reasonable basis for believing the recommendation is in the customer's best interest given her specific profile. Recommending a concentrated 27% allocation to a 3x leveraged semiconductor ETF to a 71-year-old conservative retiree with no complex product experience fails this standard on every dimension.

****FINRA Regulatory Notices 09-31 and 22-08:**** FINRA RN 09-31 explicitly warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlighted that in volatile markets, the compounding of daily returns can cause the product to diverge significantly from the leveraged multiple of the index's cumulative return - which is exactly what happened here (index up ~8%, 3x product down ~11%). FINRA RN 22-08 reinforced these concerns in the context of complex products generally, emphasizing heightened supervisory obligations and the need for firms to ensure that registered representatives understand the products before recommending them.

****Disclosure Failures:**** Robichaux failed to explain the daily reset mechanism, volatility decay/path dependency, or the product's intended use as a short-term trading vehicle. He provided no prospectus or leveraged ETF-specific disclosure documents. This compounds the suitability violation and is also relevant under Reg BI's Disclosure Obligation.

****Supervisory Failures:**** The firm lacked automated surveillance to flag leveraged ETF purchases in conservative accounts and did not require heightened supervisory review for such transactions. This represents a violation of FINRA Rules 3110 and 3120 regarding supervisory systems and procedures, as well as the complex products supervision expectations outlined in FINRA RN 12-03.

****Likely Regulatory Outcome:**** Robichaux would likely face a fine, suspension, and potential restitution order. The firm would face separate supervisory charges for failing to implement adequate controls for complex product recommendations. Margaret would have strong grounds for recovery of her \$9,350 loss plus consequential damages in arbitration.

Hypothetical 98

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

[NON-COM

Fact Pattern

Margaret Delano, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives a monthly pension of \$3,200 and Social Security benefits of \$1,850 per month. Her total liquid savings amount to approximately \$340,000, held in an IRA that she relies on to supplement her fixed income and cover occasional medical expenses. She has no other significant assets besides her home, which is paid off. Mrs. Delano's investment experience is limited to certificates of deposit and a target-date retirement fund that her school district's 403(b) plan offered. She has described her risk tolerance as conservative on all account opening documents and indicated that her primary investment objective is capital preservation with modest income generation. She has no college education in finance or business and has never traded options, futures, or any leveraged financial products.

In March 2023, her financial advisor, Kevin Brandt, age 38, recommended that Mrs. Delano invest \$85,000 - roughly 25% of her liquid retirement savings - into a 3x leveraged bull semiconductor ETF (ticker symbol: SOXL). Brandt told Mrs. Delano that semiconductors were 'the future of everything' and that this fund would 'triple the gains of the semiconductor sector,' which he described as a 'sure thing for the next couple of years.' He did not explain that the product resets daily, nor did he discuss the concept of volatility decay or path dependency. He did not provide the fund's prospectus or any written risk disclosures specific to leveraged ETFs. Brandt's notes in the CRM system simply read: 'Client wants growth exposure - recommended SOXL, client agreed.'

Mrs. Delano held the position for fourteen months. During that period, the semiconductor sector experienced significant volatility, including a 22% drawdown between July and October 2023 before recovering. Due to the compounding effects of daily resetting in a volatile market, Mrs. Delano's \$85,000 investment was worth approximately \$54,600 by May 2024 - a loss of over \$30,000 - even though the underlying semiconductor index was only down about 4% over the same period. When Mrs. Delano called Brandt in May 2024 to ask why she had lost so much money when she had read that chip stocks were 'roughly flat,' Brandt told her to 'hang tight' and that 'it will come back.' He did not recommend liquidating the position or reassess whether the product remained appropriate. The firm's compliance department had no record of conducting any heightened review of this transaction, and no supervisory principal had signed off on the leveraged ETF purchase.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Brandt violated multiple applicable regulatory standards in recommending the 3x leveraged semiconductor ETF to Mrs. Delano.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Rule 2111 encompasses three component obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the client), and quantitative suitability.

Brandt failed reasonable-basis suitability. FINRA Regulatory Notices 09-31 and 12-03 specifically warn that leveraged and inverse ETFs that reset daily are complex products whose performance over periods longer than one trading day can differ significantly - and sometimes dramatically - from the performance of the underlying index or benchmark. The phenomenon of volatility decay (also called compounding risk or path dependency) means that in volatile markets, a 3x leveraged ETF can lose substantial value even when the underlying index is flat or modestly positive over the holding period. Brandt either did not understand these mechanics or chose to ignore them, as evidenced by his failure to explain daily resetting, volatility decay, or the prospectus risk disclosures to Mrs. Delano.

Brandt failed customer-specific suitability. Mrs. Delano was a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, limited investment experience, and dependence on her IRA for living expenses. A 3x leveraged ETF is an aggressive, speculative instrument wholly inconsistent with her stated profile. Allocating 25% of her liquid retirement assets to this single leveraged product dramatically concentrated her portfolio in an instrument designed for sophisticated, short-term traders - not retirees seeking to preserve capital.

****Regulation Best Interest (Reg BI) - Rule 15l-1:****

Under Reg BI's Care Obligation, Brandt was required to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the risks and rewards of the product and having a reasonable basis to believe the recommendation was in the customer's best interest, not just suitable. The recommendation of SOXL to a conservative, unsophisticated 71-year-old retiree cannot reasonably be characterized as in her best interest. Under Reg BI's Disclosure Obligation, the advisor was required to disclose all material facts about the recommendation, including risks. Brandt failed to disclose the daily-reset mechanism, volatility decay risk, or the prospectus warnings. Under the Compliance Obligation, the firm was required to establish and maintain written policies and procedures reasonably designed to achieve compliance with Reg BI, particularly regarding complex products.

****FINRA Regulatory Notice 22-08 - Complex Products:****

FINRA RN 22-08 reinforces the obligation of firms to implement heightened supervision for complex products, including leveraged ETFs. This includes requiring enhanced due diligence before approving such transactions for retail customers, implementing approval processes for complex product transactions, and ensuring that registered representatives understand the products they recommend. The firm's compliance department had no record of any heightened review, and no supervisory principal signed off on the transaction, indicating a failure of the firm's supervisory system under FINRA Rules 3110 and 3120.

****Ongoing Duty:****

Brandt's advice in May 2024 to 'hang tight' rather than reassessing the appropriateness of continued holding further compounded the violation. FINRA has noted that even where an initial recommendation of a leveraged ETF might be appropriate for a short-term trading strategy, the decision to hold such a product over weeks or months effectively constitutes a new implicit recommendation that must independently satisfy suitability and best interest requirements.

****Likely Regulatory Outcome:****

Brandt would likely face individual liability including fines, disgorgement, suspension, or a bar. The firm would likely face supervisory failure charges for inadequate complex-product oversight. Mrs. Delano's losses of over \$30,000 (approximately 9% of her total retirement savings) would likely be subject to restitution. In arbitration, compensatory damages, interest, and potentially attorneys' fees would be awarded. The pattern of facts - an elderly, conservative, unsophisticated retiree placed into a 3x daily-resetting leveraged ETF without disclosure, without supervisory review, and held for over a year - represents a textbook violation of both the suitability framework and Regulation Best Interest.

Hypothetical 99

Topic: *high_fees_unsuitable* | Difficulty: *medium*

[NON-COMPLIANT]

Fact Pattern

Margaret Dolan, age 71, is a retired elementary school teacher in Tucson, Arizona, living on a fixed income consisting of a \$2,800 monthly pension and \$1,400 in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account that represents her primary retirement nest egg. She has no other significant assets beyond her home, which is fully paid off. Margaret's account opening documents list her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' her investment experience as 'limited' (she had previously only owned a target-date retirement fund through her employer plan), and her time horizon as '10+ years' since the funds need to last through retirement.

In March 2023, Margaret's financial advisor, Derek Huang, age 34, recommended she allocate \$85,000-roughly 25% of her retirement savings-into a 3x leveraged bull semiconductor ETF (ticker: SOXL) with an expense ratio of 0.94%. Derek told Margaret the fund would allow her to 'participate in the AI boom' and described it as an 'exchange-traded fund, just like the index funds you're used to.' He did not explain the daily resetting mechanism, the effects of compounding on leveraged returns over time, or the concept of volatility decay. He also did not discuss that the product's expense ratio was significantly higher than the broad market index ETFs that made up the rest of her portfolio, which carried expense ratios between 0.03% and 0.07%.

Derek's branch had recently circulated an internal memo noting that leveraged and inverse ETFs required enhanced documentation and supervisory review before being recommended to retail clients. Derek did not submit the required pre-approval form, and his branch manager, who was responsible for reviewing leveraged ETF transactions, did not flag the trade.

Margaret held the position for 14 months. During that period, the semiconductor sector experienced significant volatility, including a 22% drawdown in the underlying index between August and October 2023 followed by a sharp recovery. Due to the compounding effects of daily resetting on the 3x leveraged product, Margaret's \$85,000 investment was worth approximately \$61,400 by May 2024-a loss of roughly \$23,600 or 27.8%-even though the underlying semiconductor index was only down about 3% over the same period. The vast majority of the loss was attributable to volatility decay and path dependency rather than a directional decline in semiconductors. Over that same 14-month holding period, the leveraged ETF's

internal costs (expense ratio plus the implicit cost of daily swap rebalancing) consumed approximately \$2,900 in value, far exceeding what Margaret would have paid holding a standard semiconductor index ETF or a broad market fund.

When Margaret called Derek in May 2024 to ask why her account had lost so much money when she had read that chip stocks were 'roughly flat,' Derek told her that 'markets are unpredictable' and suggested she hold on longer to 'wait for a recovery.' He did not explain volatility decay or path dependency at that time either. Margaret eventually liquidated the position herself through the firm's online platform at the \$61,400 value after speaking with her daughter, who has a background in finance.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Huang violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, experience, and other factors. Rule 2111 encompasses three component obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching it to the client), and quantitative suitability (avoiding excessive activity).
2. ****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** For broker-dealer recommendations to retail customers, Reg BI imposes a best interest standard with four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. The Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, considering the retail customer's investment profile and the potential risks, rewards, and costs of the recommendation.
3. ****FINRA Regulatory Notices 09-31, 12-03, and 22-08:**** These notices specifically address leveraged and inverse ETFs and complex products. RN 09-31 warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding (volatility decay and path dependency). RN 12-03 reinforced heightened suitability obligations for complex products. RN 22-08 further addressed complex products and emphasized the need for robust supervisory systems, enhanced due diligence, and consideration of whether a firm's customers can understand and bear the risks of complex products.

****Analysis of Violations:****

****A. Reasonable-Basis Suitability Failure:**** Derek's description of SOXL as being 'just like the index funds you're used to' strongly suggests he either did not understand the product himself or deliberately mischaracterized it. A 3x daily-resetting leveraged ETF is fundamentally different from a traditional index fund. The daily reset mechanism means that returns over periods longer than one day can diverge

dramatically from 3x the index return due to volatility drag. Derek's failure to understand or communicate this constitutes a reasonable-basis suitability violation under FINRA Rule 2111.01.

****B. Customer-Specific Suitability Failure:**** Margaret's profile-a 71-year-old retiree with conservative risk tolerance, limited investment experience, an income/capital preservation objective, and reliance on the IRA as her primary retirement asset-is the archetype of a customer for whom leveraged ETFs are unsuitable. Allocating 25% of her retirement savings to a 3x leveraged sector ETF is wildly inconsistent with her stated objectives and risk tolerance. This violates the customer-specific component of Rule 2111 and the Care Obligation of Reg BI.

****C. Disclosure Failures:**** Under Reg BI's Disclosure Obligation, Derek was required to disclose material facts about the recommendation, including risks, costs, and conflicts. He failed to disclose: (1) the daily-resetting mechanism, (2) the effects of volatility decay and path dependency on long-term holding, (3) the substantially higher expense ratio relative to her existing holdings, and (4) the implicit costs of daily swap rebalancing embedded in leveraged ETFs.

****D. Cost Considerations:**** The 0.94% expense ratio of SOXL is roughly 13 to 31 times higher than the expense ratios of Margaret's existing ETF holdings (0.03%-0.07%). Under Reg BI's Care Obligation, advisors must consider cost as a factor. The elevated costs of the leveraged ETF, combined with the hidden costs of daily rebalancing (approximately \$2,900 over 14 months), were material and not disclosed. For a capital preservation investor, these costs are particularly damaging.

****E. Supervisory Failures:**** The firm's internal procedures required pre-approval and enhanced supervisory review for leveraged ETF recommendations to retail clients, consistent with the supervisory obligations outlined in FINRA RN 22-08 and FINRA Rule 3110. Derek did not submit the required pre-approval form, and his branch manager failed to detect and flag the transaction. This constitutes both an individual violation by Derek and a supervisory failure by the branch manager and firm.

****F. Ongoing Obligation and Post-Sale Conduct:**** When Margaret inquired about her losses, Derek again failed to explain volatility decay and instead advised her to 'hold on longer'-precisely the opposite of the guidance in FINRA RN 09-31, which warns against long-term holding of daily-resetting leveraged products. This compounded the initial unsuitable recommendation.

****Likely Regulatory Outcome:**** Derek would likely face enforcement action for unsuitable recommendations and failure to act in the customer's best interest. Potential sanctions include fines, disgorgement of commissions earned on the transaction, restitution to Margaret for her losses (approximately \$23,600), suspension, and potentially a bar if a pattern of similar conduct is found. The firm and branch manager would likely face supervisory failure charges under FINRA Rule 3110 for failing to enforce their own written supervisory procedures regarding leveraged ETF transactions. The firm may also face scrutiny under FINRA RN 22-08's expectation that firms establish robust frameworks-including approval processes, training, and ongoing monitoring-before permitting complex product recommendations to retail investors.

Hypothetical 100

Topic: senior_investor_exploitation | Difficulty: medium

[NON-COM

Fact Pattern

Margaret Hendricks, age 78, is a retired schoolteacher in Tulsa, Oklahoma, living on a fixed income of approximately \$3,200 per month from Social Security and a small state pension. Her total liquid savings amount to roughly \$410,000, held in a brokerage account with Heartland Financial Services. Her account documents list her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' her investment experience as 'limited,' and her time horizon as 'short (1-3 years).' She has no prior experience with options, futures, or leveraged products.

In January 2023, her financial advisor, Kevin Broussard, age 34, met with Mrs. Hendricks to discuss her portfolio. During the meeting, Broussard told her that interest rates were likely to keep rising and that she could 'make her money work harder' by investing in products that would profit from rate increases. He recommended she allocate \$125,000-roughly 30% of her liquid net worth-into a 3x leveraged inverse Treasury bond ETF (ticker: TMV), which seeks daily investment results corresponding to 300% of the inverse of the daily performance of ICE U.S. Treasury 20+ Year Bond Index. Broussard described the product as a way to 'short long-term bonds safely through an ETF' and told her it would be 'straightforward, like owning any other ETF.' He did not explain daily resetting mechanics, path dependency, volatility decay, or the compounding risks associated with holding leveraged inverse products beyond a single trading day. No written disclosure materials specific to leveraged or inverse ETFs were provided to Mrs. Hendricks.

Broussard entered the trade on January 19, 2023. Over the following eleven months, Mrs. Hendricks held the position continuously. Although long-term Treasury yields did rise modestly over portions of that period, significant intra-period volatility caused the 3x leveraged inverse ETF to experience substantial volatility decay. By December 15, 2023, the position had lost approximately \$38,000, or roughly 30.4% of its original value, despite the fact that the underlying index had moved only modestly over the same period on a point-to-point basis.

When Mrs. Hendricks called Broussard in mid-December to express alarm at the losses on her monthly statement, Broussard advised her to 'hold on a little longer because rates haven't peaked yet.' He did not recommend liquidating the position or revisiting her overall allocation. Mrs. Hendricks's daughter, a CPA, reviewed the account in January 2024 and immediately contacted the firm's branch manager to file a complaint, noting that her mother did not understand the product, that the concentration was excessive for a conservative retiree, and that no one had monitored the position or contacted her mother about the ongoing losses.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Broussard likely violated multiple regulatory standards governing the recommendation of complex leveraged and inverse products to a retail investor.

1. ****Regulation Best Interest (Reg BI) - Rule 15l-1 under the Securities Exchange Act of 1934:**** Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. This includes understanding the risks, rewards, and costs of the recommended security and having a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. A 3x leveraged inverse Treasury ETF is a highly complex, speculative instrument designed for short-term tactical trading by sophisticated investors. Recommending such a product to a 78-year-old conservative retiree with limited investment experience, a short time horizon, and a capital preservation objective fails all three components of the Care Obligation: reasonable-basis suitability, customer-specific suitability, and quantitative suitability (given the 30% portfolio concentration).
2. ****FINRA Rule 2111 (Suitability):**** Although Reg BI has largely superseded the traditional suitability standard for broker-dealer recommendations to retail customers, FINRA Rule 2111 remains relevant and applicable. The rule requires that a recommended transaction or investment strategy be suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and experience. Mrs. Hendricks's profile is fundamentally incompatible with a 3x leveraged inverse ETF. Her conservative risk tolerance, income/preservation objective, limited experience, and advanced age all weigh heavily against this recommendation.
3. ****FINRA Regulatory Notice 09-31:**** This notice specifically warned member firms that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlighted that the performance of these products over longer periods can differ significantly from the stated daily objective due to the mathematical effects of daily compounding (often called 'volatility decay' or 'path dependency'). Broussard not only recommended an initial purchase but also advised Mrs. Hendricks to continue holding the position for nearly eleven months-precisely the scenario FINRA cautioned against.
4. ****FINRA Regulatory Notice 12-03 and 22-08 (Complex Products Supervision):**** These notices emphasize that firms must establish robust supervisory systems for the sale of complex products, including heightened scrutiny for recommendations to retail and senior investors. Firms should ensure that registered representatives understand the products they recommend and that customers receive meaningful disclosure about product mechanics and risks. Broussard's description of the product as 'straightforward, like owning any other ETF' was materially misleading and failed to disclose the daily-reset mechanism, leverage risk, and compounding effects. No written risk disclosures specific to leveraged/inverse ETFs were provided.
5. ****Senior Investor Considerations:**** Mrs. Hendricks's age (78), fixed income, limited financial sophistication, and dependence on her savings for retirement needs all represent aggravating factors. Regulatory guidance consistently emphasizes that recommendations to senior investors warrant heightened scrutiny, and that products with high risk of principal loss are generally inappropriate for elderly clients in a capital preservation posture.
6. ****Failure to Monitor/Ongoing Obligation:**** Broussard's failure to monitor the position or recommend liquidation as losses mounted, and his affirmative advice to 'hold on,' compounded the violation. Given the

daily-resetting nature of the product, ongoing monitoring was essential, and the failure to act as the position deteriorated further harmed the client.

****Likely Regulatory Outcome:**** Broussard faces potential sanctions including fines, suspension, or bar from the industry. The firm, Heartland Financial Services, faces potential supervisory failure charges under FINRA Rules 3110 and 3120 for inadequate oversight of complex product sales, particularly to a senior investor. Mrs. Hendricks would have strong grounds for recovery of her approximately \$38,000 in losses through FINRA arbitration, and potentially additional damages depending on the jurisdiction and arbitration panel findings. The firm may also face enhanced scrutiny of its broader leveraged ETF sales practices.